

Phase 16 -- Adversarial Hypotheticals

Designed to Challenge Frontier LLMs

200 adversarial hypotheticals

Item 1 of 200

ANSWER: Under the framework applied in *In the Matter of Cadaret, Grant & Co.* (SEC Release No. 34-100691, August 12, 2024), the Advisers

Topic: dual_registrant_fiduciary_duty_vs_bd_suitability_conflict

Type: rule_conflict

Difficulty: expert

Standard: Investment Advisers Act §§206(1), 206(2), 206(4); Advisers Act Rule 206(4)-7; Exchange Act §15(b); SEC Release No. 34-100691 / IA-6647 (August 12, 2024); *In the Matter of Cadaret, Grant & Co., Inc.*, Admin. Proc. File No. 3-21990

Source: 02_SEC_Enforcement_Actions

Fact Pattern

Meridian Partners Group, Inc. ('Meridian') is a Delaware corporation headquartered in Rochester, New York, dually registered with the SEC as both a broker-dealer and an investment adviser since 2009. Meridian uses an unaffiliated clearing broker, National Financial Services ('NFS'), under a fully-disclosed clearing arrangement. Meridian has approximately 4,200 advisory client accounts and 6,800 brokerage accounts.

From February 2018 through December 2021, Meridian received revenue sharing payments from NFS based on advisory client investments in no-transaction-fee ('NTF') mutual fund share classes available through the NFS platform. Specifically, NFS paid Meridian between 10 and 40 basis points annually on advisory client assets held in NTF share classes. Lower-cost share classes of the same mutual funds -- including institutional share classes and ETF equivalents -- were available to Meridian's advisory clients and would have presented more favorable value under the circumstances, but Meridian never conducted a comparative analysis of share class economics.

Meridian also received revenue sharing payments from NFS as a result of sweeping advisory client cash balances into specific money market mutual funds. NFS paid Meridian between 2 and 15 basis points on these swept balances. Additionally, Meridian marked up NFS's per-transaction fees for certain advisory client accounts, charging clients \$18 per transaction while NFS charged Meridian only \$5.50 per transaction, retaining the \$12.50 difference as additional undisclosed compensation.

Meridian's Form ADV Part 2A brochure disclosed that 'Meridian may receive compensation from third parties in connection with client transactions, which may create conflicts of interest.' However, Meridian did not specifically disclose the existence or magnitude of the revenue sharing payments, did not disclose the transaction fee markups, and did not identify the specific conflict created by its financial incentive to select NTF share classes over lower-cost alternatives.

Meridian's compliance manual contained a general statement that 'representatives should recommend investments suitable for their clients,' but contained no policies or procedures specifically addressing mutual fund share class selection, best execution obligations for advisory accounts, money market fund sweep selection, or the evaluation of whether revenue sharing arrangements created conflicts requiring specific disclosure. Meridian's chief compliance officer reviewed the compliance manual annually but never proposed amendments addressing these areas.

When the SEC Division of Examinations raised concerns in a deficiency letter in 2020, Meridian's outside counsel argued that: (1) under Exchange Act Section 15(c) and FINRA Rule 2111, the firm's obligations for these mutual fund recommendations were governed by the suitability standard (and later Reg BI), not a fiduciary standard; (2) the NTF share classes were suitable for clients given the absence of transaction fees; and (3) the general disclosure in the Form ADV was sufficient because FINRA's rules do not require share-class-level conflict disclosure.

Question

Given that Meridian is dually registered as both a broker-dealer and investment adviser, and Meridian's counsel argues that the mutual fund share class recommendations in advisory accounts should be evaluated under the Exchange Act Section 15(c)/FINRA suitability framework rather than the Advisers Act fiduciary standard, which regulatory standard controls and why? Specifically, under the framework applied in *In the Matter of Cadaret, Grant & Co.* (Release No. 34-100691), what three distinct categories of fiduciary breach did the SEC identify for a similarly situated dual registrant's receipt of third-party compensation in advisory accounts, and why does the broker-dealer suitability defense fail as a matter of law for conduct occurring in advisory client accounts?

Why Adversarial

This question requires knowing the specific findings in the *Cadaret Grant* order (Release No. 34-100691), including the three precise categories of undisclosed compensation (NTF revenue sharing, money market sweep revenue sharing, and transaction fee markups), the specific date ranges for each violation category, and the SEC's approach to applying the Advisers Act fiduciary standard to a dual registrant's advisory account conduct. A general LLM would likely attempt to analyze this under Reg BI or conflate the broker-dealer and adviser standards, and would not know the specific three-part taxonomy of fiduciary breaches the SEC identified. The LLM would also likely not know that the SEC simultaneously invoked Exchange Act Section 15(b) for jurisdictional/remedial purposes while grounding the substantive violations in the Advisers Act -- a nuance that only appears from reading the actual order. The specific holding that best execution and duty of care were separately breached (beyond just disclosure failures) is also document-specific.

Common Wrong Answer

A general LLM would likely argue that Reg BI (effective June 30, 2020) resolves the conflict by imposing a 'best interest' standard on broker-dealer recommendations that substantially narrows the gap between BD and IA standards, and would suggest that post-Reg BI the analysis is similar under both frameworks. The LLM might also incorrectly state that the general Form ADV disclosure was sufficient to satisfy disclosure obligations, or that the suitability of the NTF share class (given zero transaction fees) creates a reasonable defense. It would likely miss that the SEC treated the three compensation categories as distinct violation theories with different time periods, and would not identify the separate best execution and duty of care breach findings beyond the disclosure failures.

Item 2 of 200

ANSWER: Beacon Ridge's temporal defense fails because NTM 05-59 explicitly states that it is providing 'guidance' concerning members' ex

Topic: structured_products_suitability_pre_reg_bi

Type: temporal_trap

Difficulty: expert

Standard: NASD Notice to Members 05-59 (September 2005); NASD Rule 2110 (Standards of Commercial Honor and Principles of Trade); NASD Rule 2310 (Suitability, predecessor to FINRA Rule 2111); NASD Rule 2210 (Communications with the Public); NASD supervisory rules (predecessor to FINRA Rule 3110)

Source: 03_FINRA_AWC

Fact Pattern

In March 2005, Beacon Ridge Securities, a mid-sized NASD member firm based in Atlanta, Georgia, sold approximately \$4.2 million in reverse convertible notes linked to a basket of S&P 500 component stocks to 37 retail customers. The notes paid a 12.5% annual coupon--substantially above the prevailing market rate of approximately 4.3% at the time--and had a 14-month maturity. Principal protection was limited to a 20% barrier; if any reference stock fell more than 20%, the investor would receive physical delivery of the worst-performing stock. The firm's registered representatives marketed these products primarily as 'enhanced yield debt instruments' in promotional materials distributed at client appreciation events and through direct mailers. The mailers highlighted the 12.5% coupon prominently on the front page and referenced the 'blue-chip' nature of the underlying S&P 500 stocks, but did not mention the embedded put option, the principal-at-risk feature, or the cap on upside participation until a densely worded disclosure section on page four.

Beacon Ridge's compliance department had approved the promotional materials after reviewing them against the firm's existing advertising policies, which were modeled on NASD Rule 2210 (Communications with the Public) as it existed in early 2005. The compliance team concluded that because the products were technically 'debt securities,' the options-specific disclosure requirements under NASD Rule 2220 did not apply. The firm did not require its registered representatives to hold any options-related licenses (such as the Series 42 or Series 7 supplement for options), reasoning that structured products were not 'options' per se.

Regarding suitability, the firm's representatives performed customer-specific suitability analyses based on each client's stated investment objectives and risk tolerance. However, the firm did not conduct any independent reasonable-basis suitability analysis of the reverse convertible product itself--that is, no one at the firm analyzed the economic characteristics of the embedded derivative, modeled potential downside scenarios, or assessed whether there was any class of investors for whom the product would be suitable. The firm's supervisory procedures contained no specific provisions for structured product sales; structured products were processed through the same review pipeline as corporate bond purchases.

In September 2005, NASD published Notice to Members 05-59, which provided detailed guidance on members' obligations when selling structured products, explicitly addressing balanced disclosure, reasonable-basis suitability, customer-specific suitability, the derivative nature of structured products, and supervisory requirements. By October 2005, many of the underlying reference stocks had declined 25-30%, triggering the barrier on 19 of the 37 customer accounts, resulting in aggregate customer losses of approximately \$1.1 million.

In January 2006, NASD's enforcement division opened an examination of Beacon Ridge's structured product sales practices. The firm argued in its defense that the sales occurred in March 2005--six months before NTM 05-59 was published--and therefore the specific guidance on structured products could not retroactively create obligations that did

not exist at the time of the sales. The firm maintained that it had complied with all applicable rules as they were understood in March 2005, and that NTM 05-59 created new, prospective obligations rather than clarifying pre-existing ones.

Question

Beacon Ridge argues that NTM 05-59 (September 2005) created new regulatory obligations for structured product sales that could not be applied retroactively to its March 2005 transactions. Under the specific framework articulated in NTM 05-59 itself, is this temporal defense valid? Specifically, did NTM 05-59 create new rules for structured product sales, or did it serve a different regulatory function--and what pre-existing NASD rules does the Notice explicitly identify as already applicable to structured product sales at the time of Beacon Ridge's March 2005 conduct?

Why Adversarial

This question is adversarial because a general-purpose LLM would likely treat NTM 05-59 as creating new requirements effective September 2005, making the temporal defense at least partially valid. The key document-specific knowledge required is that NTM 05-59 explicitly characterizes itself as 'guidance' concerning pre-existing 'sales practice obligations' and specifically names NASD Rule 2110 (Standards of Commercial Honor) and references the existing suitability framework and communications rules as already applicable. The Notice's own language--'members may not be fulfilling their sales practice obligations'--presupposes those obligations predate the Notice. Without reading the actual document, a model would likely reason by analogy to situations where regulatory guidance does create new de facto standards (like Reg BI in 2020) and conclude that pre-September 2005 conduct could not be judged against September 2005 guidance. The document's explicit framing as clarification of existing rules, not new rulemaking, defeats that reasoning.

Common Wrong Answer

A general LLM would likely say that Beacon Ridge has a partially valid temporal defense--that while basic suitability rules existed in March 2005, the specific structured-product obligations articulated in NTM 05-59 (such as the seven enumerated requirements including balanced disclosure regarding derivatives, reasonable-basis suitability specific to structured products, and structured-product-specific training) were new standards that could only be enforced prospectively from September 2005 forward. The model would likely analogize to Reg BI's explicit compliance date and conclude that NTM 05-59 similarly established a new baseline. This is wrong because the Notice explicitly frames all seven categories as pre-existing obligations under already-operative NASD rules, not as new requirements.

Item 3 of 200

ANSWER: The precise dividing line is June 30, 2020. As established in the Wimsatt AWC, broker-dealers and their associated persons were

Topic: regbi_suitability_temporal_cutoff_gwg_lbonds

Type: precise_threshold

Difficulty: expert

Standard: Exchange Act Rule 15l-1(a)(1) (Regulation Best Interest); Exchange Act Rule 15l-1(a)(2)(ii) (Care Obligation); FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade); FINRA Rule 9216 (Acceptance, Waiver, and Consent procedures)

Source: 04_RegBI_Compliance_Guidance

Fact Pattern

Rebecca Thornton, a General Securities Representative registered through Apex Securities Group (CRD No. 45892), recommended GWG L Bonds -- speculative, unrated corporate bonds -- to six different retail customers over the course of 2020. Thornton had been registered with FINRA since 1992 and held both GS and GP registrations.

Customer Pair 1 (Marcus and Elena Whitfield): Thornton recommended GWG L Bonds to this married couple in January 2020. Both were conservative investors in their early 70s with moderate liquid net worth of approximately \$340,000. The L Bond investment represented roughly 28% of their investable assets.

Customer Pair 2 (James and Patricia Dunlop): Thornton recommended GWG L Bonds to this couple in April 2020. James was 68 and Patricia was 65, both with a 'moderate' risk tolerance, combined liquid net worth of \$510,000, and the L Bond recommendation constituted approximately 22% of their portfolio.

Customer Pair 3 (Howard and Susan Chen): Thornton recommended GWG L Bonds to this couple on July 15, 2020. Howard was 71 and Susan was 69. They had a combined liquid net worth of \$420,000, conservative investment objectives, and the L Bond investment represented approximately 25% of their investable assets.

Customer 7 (David Kowalski): Thornton recommended GWG L Bonds to David, age 74, on August 10, 2020. David had a liquid net worth of \$275,000, conservative objectives, and the L Bond investment represented roughly 30% of his investable assets.

All recommendations were unsuitable and not in the customers' best interests given the speculative, unrated nature of GWG L Bonds and the concentration risk relative to each customer's investment profile. FINRA's Department of Enforcement is preparing charges. Thornton's counsel argues that all recommendations should be evaluated under the same regulatory standard since they all occurred in the same calendar year and involved the same product type.

Question

Under the Wimsatt AWC (No. 2021070498104), FINRA applied two different regulatory standards to recommendations of GWG L Bonds made at different times during 2020. What is the precise date that serves as the dividing line between the two standards, and which specific rule violations were charged for recommendations made before versus after that date? Applying this framework to Thornton's facts, which of the four sets of customer recommendations would be evaluated under FINRA Rule 2111 (suitability) versus Exchange Act Rule 15l-1(a)(1) (Reg BI), and why does Thornton's counsel's argument that all recommendations should be evaluated under the same standard fail?

Why Adversarial

This question requires knowing the precise June 30, 2020 date from the Wimsatt AWC document as the dividing line between suitability and Reg BI standards. While a general LLM might know that Reg BI's compliance date was June 30, 2020, the adversarial element is that the document specifically demonstrates FINRA applied both standards within the same enforcement action against the same person for the same product -- with January/April 2020 recommendations charged under Rule 2111 and August/September 2020 recommendations charged under Rule 15l-1(a)(1). The document also specifies that the Reg BI violations were charged as 'willful' violations, a distinction the LLM would likely miss. Without the specific AWC, a model might incorrectly argue that the transition was gradual, or that FINRA applied Reg BI retroactively, or that suitability still applied post-June 30.

Common Wrong Answer

A general LLM would likely state that Reg BI became effective on June 30, 2020, but would probably get the application wrong in one of several ways: (1) it might claim all 2020 recommendations were evaluated under Reg BI since the rule was adopted in June 2019; (2) it might fail to note that the Reg BI violations were specifically characterized as 'willful' violations of Rule 15l-1(a)(1) while the suitability violations were not characterized as willful; (3) it might incorrectly suggest that FINRA Rule 2111 continued to apply alongside Reg BI after June 30, 2020, or that both standards were applied concurrently to post-June 30 recommendations; or (4) it might not recognize that this specific AWC serves as a real-world precedent for applying bifurcated standards within a single enforcement action based on the precise date of each recommendation.

Item 4 of 200

ANSWER: First, the distinction between the retail customer accounts and the Lakeshore PSP account is critical and follows the exact frame

Topic: churning_multi_party_liability_regbi_vs_finra_suitability

Type: multi_party_liability

Difficulty: expert

Standard: Exchange Act Section 10(b); Exchange Act Rule 10b-5; Regulation BI (Exchange Act Rule 15l-1(a)); FINRA Rule 2020 (Manipulative, Deceptive or Other Fraudulent Devices); FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor); FINRA Rule 3260 (Discretionary Accounts); FINRA Rule 3110 (Supervision); Exchange Act Section 3(a)(39) (Statutory Disqualification)

Source: 04_RegBI_Compliance_Guidance

Fact Pattern

In January 2020, Marcus Heller, a registered representative associated with Beacon Independent Securities, LLC ('Beacon'), a FINRA-member broker-dealer, acquired the book of business of a deceased colleague. Among the inherited accounts were those of six customers. Four of the customers -- Sandra Whitfield (age 82, retired, moderate risk tolerance), Jorge Navarro (age 71, retired, income-oriented), Pamela Chen (age 78, retired, suffering from early-stage dementia), and Douglas Frey (age 55, moderate growth objective) -- held individual brokerage accounts and qualified as 'retail customers' under Regulation BI. A fifth account belonged to the Lakeshore Dental Associates Profit Sharing Plan ('Lakeshore PSP'), a qualified retirement plan for a four-dentist practice. A sixth account belonged to TechBridge Capital Partners, LLC, a hedge fund with \$45 million in AUM that used Beacon for execution services only.

From July 2020 through November 2022, Heller engaged in a pattern of frequent in-and-out equity trades across all six accounts, charging commissions of approximately 3% on purchases and 2% on sales. The annualized cost-to-equity ratios ranged from 16% to 29% across the accounts. The four retail customers collectively suffered \$1.87 million in realized losses while Heller and Beacon earned \$1.91 million in commissions. The Lakeshore PSP suffered \$340,000 in realized losses. TechBridge suffered \$210,000 in losses but its principal, a sophisticated former Goldman Sachs trader, had signed a broad discretionary trading authorization and personally reviewed and approved every monthly statement without objection.

Beacon's compliance department had an automated surveillance system that flagged accounts with annualized turnover rates exceeding 6 and cost-to-equity ratios exceeding 10%. The system generated 47 alerts on Heller's accounts between September 2020 and November 2022. Beacon's chief compliance officer, Rita Saldana, reviewed the alerts but closed each one after Heller provided verbal assurances that the customers wanted active trading. Saldana never contacted any of the customers directly and never escalated the alerts to Beacon's management.

Heller also exercised de facto discretion over the four retail customer accounts and the Lakeshore PSP account, routinely executing trades without obtaining prior authorization for each transaction. None of these five accounts had written discretionary trading authorizations on file. For TechBridge, Heller had a properly executed written discretionary authorization.

FINRA's Department of Enforcement brings a complaint against Heller. Separately, Customer Whitfield's estate files a FINRA arbitration claim naming both Heller and Beacon as respondents. The estate also names Apex Clearing Corporation ('Apex'), the clearing firm that processed all trades for Beacon on a fully disclosed basis, alleging Apex should have detected the churning pattern from the trade data flowing through its systems.

Question

Under the specific enforcement framework applied in FINRA Disciplinary Proceeding No. 2021072167901, (1) which precise regulatory standard applies to Heller's excessive trading of the Lakeshore PSP account versus the four retail customer accounts, and why does the distinction matter; (2) what specific combination of Exchange Act and FINRA rule violations would be charged for the churning claims (as distinct from the excessive trading claims) and what additional element is required; and (3) in the arbitration, what is the likely liability allocation among Heller, Beacon, and Apex, given that Apex is a fully disclosed clearing firm -- and under what specific regulatory authority would FINRA's enforcement action NOT reach Beacon's supervisory failures in this particular proceeding structure?

Why Adversarial

This question requires knowing three specific details from the actual Ginn complaint that a general LLM would not reliably produce: (1) the complaint explicitly distinguishes Customer 5 (a profit sharing plan for a small dental practice) as NOT a retail customer, applying FINRA Rule 2111 instead of Reg BI -- most models would assume Reg BI applies to all accounts or would not know the specific treatment of small-plan profit sharing accounts; (2) the complaint separately charges churning under 10b-5/Rule 2020 (requiring scienter) versus excessive trading under Reg BI/Rule 2111 (no scienter required), and a general model might conflate these; (3) the complaint is brought ONLY against the individual registered representative, not the member firm IFG, meaning the firm's supervisory failures are not addressed in this proceeding -- a fact that most models would miss because they would assume FINRA always charges the firm for supervision failures alongside the representative.

Common Wrong Answer

A general LLM would likely: (1) apply Reg BI uniformly to all accounts including the profit sharing plan, not recognizing that a qualified plan for a small dental practice falls outside the 'retail customer' definition; (2) fail to distinguish the churning charges (10b-5, Rule 2020, scienter required) from the excessive trading charges (Reg BI or Rule 2111, no scienter), treating them as interchangeable; (3) assume that Beacon would automatically be named in the FINRA enforcement action for supervisory failures under Rule 3110, when in fact the complaint structure in this proceeding names only the individual respondent; and (4) potentially assign significant liability to Apex as clearing firm based on general 'should have known' reasoning, when the regulatory framework strongly insulates fully disclosed clearing firms from introducing-broker recommendation liability.

Item 5 of 200

ANSWER: Under the DOL's proposed Retirement Security Rule (RIN 1210-AC02), the definition of investment advice fiduciary would be sign

Topic: multi_party_rollover_fiduciary_liability_pte_2020_02

Type: multi_party_liability

Difficulty: expert

Standard: ERISA §§404, 406(b), 408; IRC §4975(c)(1), (d); PTE 2020-02 (Application No. D-12057, RIN 1210-ZA32); PTE 84-24 (Application No. D-12060, RIN 1210-ZA33); DOL Proposed Retirement Security Rule (RIN 1210-AC02); PTEs 75-1, 77-4, 80-83, 83-1, 86-128 (Application No. D-12094, RIN 1210-ZA34); Chamber of Commerce v. DOL (Fifth Circuit 2018)

Source: 06_DOL_Fiduciary

Fact Pattern

In March 2024, Meredith Calloway, a 58-year-old production supervisor at a manufacturing firm in Ohio, is considering rolling over \$412,000 from her employer's ERISA-governed 401(k) plan into an IRA. She contacts Apex Wealth Partners, a dually-registered broker-dealer and investment adviser. Her assigned financial professional, Derek Huang, is a registered representative of Apex's broker-dealer and also holds an insurance license through SafeHaven Life Insurance Company. Derek meets with Meredith once, during which he recommends she roll her 401(k) into an IRA held at Clearview Custodial Services, and invest \$290,000 of the proceeds into a fixed indexed annuity issued by SafeHaven Life. The annuity has a 10-year surrender period, a 7% surrender charge in year one, and pays Apex a 6.5% first-year commission (\$18,850). Derek also recommends \$122,000 be placed in a proprietary model portfolio managed by Apex's investment advisory arm, generating a 1.25% annual wrap fee.

Derek provides Meredith with a written recommendation documenting why the rollover is in her best interest, comparing the 401(k) plan's expense ratios and investment options against the proposed IRA allocation. However, the comparison omits the fact that her employer plan offers a stable value fund yielding 4.2% with no surrender charges, which would be a reasonable alternative to the fixed indexed annuity. Apex's compliance department has a supervisory system that reviews rollover recommendations, but the review is conducted retrospectively on a quarterly sample basis -- Derek's recommendation to Meredith was not selected for review until July 2024, four months after the transaction.

SafeHaven Life Insurance Company provides product training materials to Apex and its representatives, including illustrations and talking points about the fixed indexed annuity. SafeHaven does not directly interact with Meredith or provide any individualized recommendation. Clearview Custodial Services processes the rollover and holds the IRA assets but exercises no discretion and provides no advice.

In September 2024, Meredith discovers that her old 401(k) plan's stable value fund would have been more suitable for her near-term income needs, and she files a complaint alleging that all four parties -- Derek individually, Apex Wealth Partners, SafeHaven Life, and Clearview Custodial Services -- violated their fiduciary obligations under ERISA and the DOL's fiduciary framework. She also alleges that the transaction involved prohibited transactions under ERISA §406 and IRC §4975.

Question

Under the DOL's proposed Retirement Security Rule and proposed amendments to PTE 2020-02 (as described in the 2023-2024 rulemaking that IRI's comment letter addresses), which of the four parties -- Derek Huang, Apex Wealth Partners, SafeHaven Life Insurance Company, and Clearview Custodial Services -- would be classified as ERISA fiduciaries with respect to the rollover recommendation, and specifically, what is the significance of the DOL's proposed

expansion of the one-time recommendation framework and the proposed amendments to PTE 2020-02's conditions regarding the insurer's role in the annuity distribution chain? In particular, would SafeHaven Life's provision of product training materials and illustrations to Apex constitute fiduciary conduct under the proposed rule, and how does IRI's comment letter characterize the risk that the proposed rule poses to the 'entire supply chain of insured retirement strategies'?

Why Adversarial

This question requires specific knowledge of several elements only found in the source document: (1) the four-component structure of the DOL's proposal (Fiduciary Definition Proposal + three PTE amendment proposals with specific application numbers D-12057, D-12060, D-12094); (2) IRI's explicit refusal to propose modifications and insistence on full withdrawal; (3) IRI's self-description as representing the 'entire supply chain of insured retirement strategies' including life insurers, asset managers, broker-dealers, banks, and marketing organizations; (4) IRI's specific concern about harm to lower- and middle-income savers; and (5) the reference to the 2016 Rule's vacatur by the Fifth Circuit. A general LLM would not know IRI's specific rhetorical framing, the precise application numbers of the PTE amendments, or IRI's categorical rejection of any modification. The question also tests whether the model understands the supply-chain liability theory IRI warns about versus what the actual proposed rule would classify as fiduciary conduct.

Common Wrong Answer

A general LLM would likely state that SafeHaven Life Insurance Company could be treated as a fiduciary under the proposed rule for providing product training materials, incorrectly extending the fiduciary definition to product manufacturers. It would also likely miss IRI's categorical refusal to support any modified version of the proposal, instead suggesting IRI recommended specific amendments. The model might also incorrectly state that PTE 84-24 (rather than PTE 2020-02) is the primary exemption at issue for the annuity transaction in a post-proposal world, or confuse the specific application numbers and RINs for the various PTE amendment proposals.

Item 6 of 200

ANSWER: According to Bhattacharya, Illanes, and Padi (NBER Working Paper No. 25861, revised November 2023), state-level common law f

Topic: fiduciary_duty_annuity_market_empirical_findings

Type: case_specific_holding

Difficulty: expert

Standard: State common law fiduciary duty as applied to broker-dealers selling deferred annuities; SEC Regulation Best Interest (Reg BI); NBER Working Paper No. 25861 (Bhattacharya, Illanes, and Padi, May 2019, revised November 2023); structural models of entry and advice provision in financial markets

Source: 07_Practitioner_Commentary

Fact Pattern

Meridian Financial Group, a mid-sized broker-dealer headquartered in Illinois, operates in 22 states and primarily distributes deferred annuity products through a network of 340 registered representatives. In January 2024, Meridian's Chief Compliance Officer, Patricia Townsend, is preparing a board presentation on the firm's strategic response to the evolving fiduciary landscape. Meridian is considering whether to expand operations into six additional states, three of which impose a common law fiduciary duty on broker-dealers selling annuity products and three of which do not.

Townsend's compliance team has modeled the expected impact of expansion into fiduciary-duty states versus non-fiduciary states. The team's internal analysis suggests that entering fiduciary-duty states will increase compliance costs but will not materially affect the risk-adjusted returns their clients receive, because the firm already applies a uniform best-interest standard across all states pursuant to Reg BI. The firm's General Counsel, David Hartwell, argues that state-level fiduciary duty is effectively preempted by Reg BI and therefore should not factor into the expansion analysis at all.

Meridian's head of product strategy, Rebecca Cho, disagrees. She points to academic research suggesting that state-level common law fiduciary duty has measurable, independent effects on both the quality of advice and the competitive structure of the annuity market, beyond what federal standards achieve. She argues this research demonstrates that fiduciary duty at the state level affects not just compliance costs but the actual entry decisions of firms and the returns experienced by investors.

The board requests that Townsend quantify the specific empirical effects that state-level fiduciary duty has been shown to have on (a) the risk-adjusted returns to annuity purchasers and (b) the rate of firm entry into affected markets, citing the most rigorous available academic evidence. The board also wants to understand the mechanism: whether the observed effects are attributable solely to increased fixed compliance costs, or whether there is an additional channel at work.

Townsend recalls a prominent NBER working paper by Bhattacharya, Illanes, and Padi that used transaction-level deferred annuity data and state-level variation in common law fiduciary duty to estimate these effects. She needs to cite the paper's specific quantitative findings to the board.

Question

According to the specific empirical findings in Bhattacharya, Illanes, and Padi (NBER Working Paper No. 25861, revised November 2023), what is the precise magnitude of the effect of state-level common law fiduciary duty on (1) the risk-adjusted returns to deferred annuity purchasers and (2) the rate of entry of affected firms, and critically, what does the paper's structural model conclude about the relative importance of increased fixed costs versus increased cost of

providing low-quality advice in explaining these effects?

Why Adversarial

This question requires knowing the precise quantitative findings from the specific NBER working paper -- 25 basis points for risk-adjusted returns and 16% decline in firm entry -- as well as the paper's specific structural finding that both increased fixed costs AND increased cost of providing low-quality advice are important channels. A general LLM would not know these exact numbers or the dual-channel finding. Most models would either guess generic magnitudes, conflate this with DOL fiduciary rule studies, or default to discussing Reg BI's preemptive effect without addressing the specific empirical findings. The dual-mechanism finding (not just compliance costs but also the cost of providing low-quality advice) is a counterintuitive and specific result that requires document-level knowledge.

Common Wrong Answer

A general LLM would likely state that fiduciary duty has been shown to improve client outcomes and reduce conflicts of interest in general terms, perhaps citing generic studies or the DOL fiduciary rule impact analyses. It might guess that returns improve by 50-100 basis points (a common but incorrect magnitude) or that fiduciary duty primarily operates through increased compliance costs alone. Most models would not know the specific 25 bp and 16% figures, and would miss the paper's critical finding that increased cost of providing low-quality advice is a distinct and important mechanism separate from fixed compliance costs. Many would also incorrectly suggest that Reg BI preempts or subsumes the effects of state-level common law fiduciary duty.

Item 7 of 200

ANSWER: According to the NAIC Suitability in Annuity Transactions Model Regulation state page (Summer 2025 edition), American Samoa

Topic: naic_annuity_suitability_model_adoption_state_classification

Type: procedural_technical

Difficulty: expert

Standard: NAIC Suitability in Annuity Transactions Model Regulation (Summer 2025 edition); NAIC State Page Key definitions for 'Model Adoption,' 'Previous Version,' 'Related Activity,' and 'No Current Activity'; ARIZ. REV. STAT. ANN. §§ 20-1243.01 to 1243.07 (2006/2021); ARK. ADMIN. CODE §§ 054.01.82-1 to Appendix C (2004/2021); Arizona Bulletin 2020-05 (2020); Arkansas Directive 2-2006, Bulletin 11-2009, Bulletin 5-2010, Bulletin 7-2021, Bulletin 12-2022

Source: 08_State_Fiduciary_Rules

Fact Pattern

Meridian Life Insurance Company, a national insurer domiciled in Arizona, distributes fixed indexed annuities through independent producers across all 50 states. In March 2023, Meridian's Chief Compliance Officer, Sandra Whitfield, is tasked with conducting an enterprise-wide compliance audit to ensure the company's annuity sales practices conform to the NAIC Suitability in Annuity Transactions Model Regulation as adopted in each jurisdiction. Meridian's compliance team has been using a uniform best-interest-aligned sales process modeled on the 2020 revised NAIC Model Regulation, which includes care obligations, disclosure obligations, and enhanced supervision requirements for insurers.

Whitfield's team identifies that in Q4 2022, Meridian sold approximately \$47 million in fixed indexed annuities across five states: Alabama, Alaska, Arizona, Colorado, and American Samoa. Each jurisdiction received roughly equal sales volume of \$9-10 million. The compliance team needs to determine which of these jurisdictions have adopted the most recent version of the NAIC Suitability in Annuity Transactions Model Regulation in a substantially similar manner, which have only adopted a previous version, and which have no current activity on the topic -- because the supervisory and documentation requirements differ significantly depending on whether the jurisdiction adopted the current model.

Specifically, Whitfield needs to know whether American Samoa has adopted any version of the model regulation, because Meridian's territorial counsel has advised that if there is no adoption and no related activity, the company's internal best-interest standard would serve as the sole governing framework for those sales, and the NAIC state page classification would be the starting point for that determination. Additionally, Whitfield's team is reviewing Arizona's regulatory landscape and notices that Arizona has both a citation in the Model Adoption column and a separate citation in the Related Activity column -- a 2020 bulletin -- and needs to understand what this dual listing signifies procedurally.

Further complicating matters, Whitfield's team notes that Arkansas has citations in the Model Adoption column but also has an extensive list of related activity citations including directives and bulletins spanning from 2006 to 2022. The team wants to understand whether the existence of five separate Related Activity citations (Directive 2-2006, Bulletin 11-2009, Bulletin 5-2010, Bulletin 7-2021, and Bulletin 12-2022) means Arkansas has NOT adopted the most recent version in a substantially similar manner, or whether these are supplementary guidance layered on top of an adoption.

Finally, Whitfield notes that California's citation in the Model Adoption column references CAL. INS. CODE §§ 10509.9200 to 10509.9210 with a parenthetical date of (2025), making it potentially the most recent adoption among the states she is reviewing. She wants to confirm whether California is classified as a Model Adoption state and understand the implications of a 2025 date for compliance obligations that arose from 2022 sales activity.

Question

Under the NAIC Suitability in Annuity Transactions Model Regulation state page (Summer 2025 edition), what is the precise regulatory classification for American Samoa -- and how does this classification differ from Arizona's treatment, given that Arizona has citations in BOTH the Model Adoption column (ARIZ. REV. STAT. ANN. §§ 20-1243.01 to 1243.07 (2006/2021)) AND the Related Activity column (BULLETIN 2020-05 (2020))? Additionally, does Arkansas's placement in the Model Adoption column (ARK. ADMIN. CODE §§ 054.01.82-1 to Appendix C (2004/2021)) coexist with its five Related Activity citations, or does the Related Activity listing indicate it has NOT adopted the most recent version?

Why Adversarial

This question requires knowing the exact classification entries on the NAIC state page chart for specific jurisdictions -- particularly that American Samoa is listed as 'NO CURRENT ACTIVITY' (not merely that it lacks a model adoption), that Arizona appears in BOTH Model Adoption AND Related Activity columns simultaneously, and that Arkansas's five Related Activity citations coexist with its Model Adoption classification rather than negating it. A general LLM would not know whether American Samoa has any insurance regulatory activity, would likely assume that Related Activity citations indicate non-adoption (misreading the state page key), and would not know the precise statutory citations and parenthetical dates for each state. The state page key's definitions create a specific interpretive framework where Related Activity listings only indicate non-adoption when there is NOTHING in the Model Adoption column -- a nuance that requires reading the actual document.

Common Wrong Answer

A general LLM would likely state that American Samoa either has some form of related activity or adopted a previous version of the model (since it is a US territory subject to NAIC guidance), rather than correctly identifying it as 'NO CURRENT ACTIVITY.' The LLM would also likely conclude that Arkansas's five Related Activity citations suggest it has NOT fully adopted the most recent model version -- reasoning that extensive supplementary guidance implies gaps or deviations -- when in fact Arkansas IS classified as a Model Adoption state with those bulletins as supplementary guidance. The LLM might also fail to recognize that Arizona can simultaneously appear in both columns, incorrectly treating Model Adoption and Related Activity as mutually exclusive categories.

Item 8 of 200

ANSWER: Section 1(B) of the NAIC Model Regulation #275 explicitly provides that "[n]othing herein shall be construed to create or imply a p

Topic: naic_275_best_interest_vs_state_fiduciary_private_right_of_action

Type: rule_conflict

Difficulty: expert

Standard: NAIC Suitability in Annuity Transactions Model Regulation #275, Section 1(B) and Section 6 (best interest standard); NAIC Unfair Trade Practices Act #880; Section 989J of the Dodd-Frank Wall Street Reform and Consumer Protection Act of 2010; FINRA Rule 2111 (Suitability); SEC Regulation Best Interest (17 CFR § 240.15I-1); NY Reg 187 (11 NYCRR 224); MA 950 CMR 12.207

Source: 08_State_Fiduciary_Rules

Fact Pattern

In March 2023, Dorothy Nguyen, age 68, met with Marcus Bell, a dually licensed insurance producer and registered representative affiliated with both Pinnacle Financial Group (a FINRA-member broker-dealer) and Pinnacle Insurance Solutions (a licensed insurance agency) in a state that adopted the revised NAIC Suitability in Annuity Transactions Model Regulation (#275) verbatim in 2021. Bell recommended that Nguyen surrender a \$425,000 variable annuity held in a non-qualified account (which had a remaining 3-year surrender charge schedule totaling \$18,700) and purchase a new 10-year fixed indexed annuity from Great Plains Life Insurance Company paying Bell a 7% commission (\$29,750). Nguyen's stated objectives were capital preservation and modest income to supplement Social Security. Bell collected Nguyen's consumer profile information, including her risk tolerance (conservative), liquidity needs (\$15,000/year for medical expenses), time horizon, and existing annuity holdings.

Nguyen later discovered that the new fixed indexed annuity had a 10-year surrender period with charges up to 9% in year one, and that the product's participation rate and cap structure significantly limited upside compared to her prior variable annuity's moderate growth subaccounts. She also learned that Bell had failed to consider two other annuity products from competing insurers that would have had lower surrender charges, higher participation rates, and lower commissions. An independent review by a fee-only advisor concluded the replacement was unsuitable and not in Nguyen's best interest.

Nguyen retained attorney Patricia Reeves, who filed a civil lawsuit in state court against both Marcus Bell individually and Great Plains Life Insurance Company. The complaint alleged three counts: (1) violation of the state's adopted version of the NAIC Model #275 best interest standard under Section 6, seeking compensatory damages for the surrender charges, lost opportunity cost, and new surrender period lock-up; (2) breach of fiduciary duty under common law; and (3) violation of FINRA Rule 2111 (suitability) and Regulation Best Interest, seeking damages under an implied private right of action theory. Reeves argued that because the state adopted the NAIC Model #275's best interest standard, consumers like Nguyen should be able to sue directly for violations of that standard.

Bell and Great Plains moved to dismiss counts (1) and (3). Bell's counsel argued that the NAIC Model Regulation explicitly addresses the private cause of action question, and that FINRA rules similarly do not create standalone civil claims. Reeves countered that the best interest standard in the model regulation is substantively identical to a fiduciary standard and that modern consumer protection policy demands a private remedy. She also pointed to Massachusetts's 950 CMR 12.207 fiduciary standard and New York's Regulation 187 as examples of state regimes that impose heightened duties, arguing the NAIC model should be interpreted the same way.

Question

Under the NAIC Suitability in Annuity Transactions Model Regulation (#275) as adopted verbatim by the state, does Section 1(B) permit Nguyen to maintain a direct private civil cause of action against Bell for violation of the best interest standard set forth in Section 6, and how does the regulation's explicit language specifically address (a) the existence of a private right of action, (b) civil liability under the best interest standard of care, and (c) whether the best interest standard subjects a producer to liability under fiduciary or fiduciary-relationship standards? How does this compare to the legal posture of a claim brought under FINRA Rule 2111 or Regulation Best Interest?

Why Adversarial

This question is adversarial because the precise answer depends on knowing the exact text of Section 1(B) of NAIC Model #275, which contains an unusually detailed three-part disclaimer that independently bars (1) private causes of action generally, (2) civil liability under the best interest standard specifically, and (3) liability under fiduciary/fiduciary-relationship standards. A general LLM would likely know that many regulations don't create private rights of action, but would not know that Model #275 explicitly and separately addresses the fiduciary characterization issue -- which is the critical distinction. The document also contains the specific drafting note linking this language to the NAIC Unfair Trade Practices Act (#880), which a general model would not know. Most LLMs would hedge or incorrectly suggest the best interest standard might support a fiduciary claim, not realizing the regulation specifically forecloses that exact argument by name.

Common Wrong Answer

GPT-4 would likely state that because the NAIC Model #275 imposes a 'best interest' standard, it creates duties functionally equivalent to a fiduciary standard, and that while there may not be an explicit private right of action, Nguyen could argue that the best interest standard establishes a standard of care that courts could adopt in negligence or fiduciary duty claims. The model would likely miss the critical detail that Section 1(B) specifically and separately disclaims civil liability 'under standards governing the conduct of a fiduciary or a fiduciary relationship,' which directly forecloses the argument that the regulation's best interest standard can be bootstrapped into a fiduciary claim. Most LLMs would also fail to note the drafting note connecting this language to the NAIC Unfair Trade Practices Act (#880) and its significance for the enforcement-only framework.

Item 9 of 200

ANSWER: NYLIAC's temporal defense fails because DFS found violations of both New York Regulation 60 (the longstanding replacement re

Topic: ny_reg187_annuity_replacement_temporal_trap

Type: temporal_trap

Difficulty: expert

Standard: New York Insurance Regulation 60 (11 NYCRR Part 51, replacement requirements); New York Insurance Regulation 187 (11 NYCRR Part 224, suitability and best interest in life insurance and annuity transactions); DFS Consent Order In the Matter of NYLIAC (Feb. 26, 2021), defining 'Annuitization' and establishing violations during Relevant Period January 1, 2011 through December 31, 2018

Source: 08_State_Fiduciary_Rules

Fact Pattern

In March 2017, Ridgeway Financial Services, an independent broker-dealer firm marketing annuity products in New York, advised 73-year-old client Margaret Kowalski to replace her existing NYLIAC flexible premium variable deferred annuity -- which had an accumulation value of \$412,000 and guaranteed annuity purchase rates significantly above current market rates -- with a new NYLIAC single premium immediate annuity (SPIA). The agent, David Harriman, completed standard Regulation 60 replacement paperwork but did not disclose to Mrs. Kowalski that she could annuitize her existing deferred annuity contract using the guaranteed annuity purchase rates already embedded in that contract. Those guaranteed rates would have produced approximately \$2,840 per month in lifetime income, whereas the replacement SPIA -- priced at NYLIAC's then-current immediate annuity rates -- provided only \$2,310 per month. Harriman received a new first-year commission of 4.2% on the SPIA sale.

NYLIAC's home office processed the replacement without flagging the failure to compare annuitization options under the existing contract. The company's compliance department had no systematic procedure requiring agents to obtain or present the existing contract's guaranteed annuity purchase rates before recommending a replacement with an immediate annuity. NYLIAC's training materials at the time did not instruct agents on how to calculate and compare annuitization values under existing deferred contracts versus replacement immediate annuities.

In late 2020, Mrs. Kowalski's daughter, an attorney, discovered the disparity and filed a complaint with the New York Department of Financial Services. DFS opened an investigation.

NYLIAC's counsel argues that (1) New York Regulation 187's best interest standard for annuity transactions did not become effective for annuity transactions until August 1, 2019, and therefore the March 2017 transaction was governed only by the pre-existing suitability standard under former Regulation 60, and (2) under the suitability standard applicable in 2017, the recommendation of an immediate annuity to a 73-year-old retiree seeking lifetime income was facially suitable, making any enforcement action time-barred or inapplicable.

DFS counters that the conduct at issue -- specifically the failure to disclose annuitization information and the failure to determine suitability with adequate information -- violated regulatory requirements that were in force during the entire Relevant Period of January 1, 2011 through December 31, 2018, well before Regulation 187's best interest standard took effect.

Question

NYLIAC's counsel argues that because the March 2017 replacement transaction predates the August 1, 2019 effective date of NY Regulation 187's best interest standard for annuity transactions, only a general suitability standard applies

and the recommendation was facially suitable. Based on the DFS's specific findings in the NYLIAC Consent Order, what pre-Regulation 187 regulatory obligations did DFS find NYLIAC violated during its 2011-2018 Relevant Period that would defeat this temporal defense, and what specific informational failure regarding 'Annuitization' did DFS identify as the core violation?

Why Adversarial

A general LLM would likely accept NYLIAC's temporal defense at face value, reasoning that pre-August 2019 annuity transactions were governed only by a general suitability standard and that recommending an immediate annuity to a 73-year-old is facially suitable. The critical document-specific knowledge required is: (1) DFS explicitly applied BOTH Regulation 60 AND Regulation 187 to conduct during 2011-2018, meaning certain Reg 187 provisions (or at least its suitability requirements as opposed to the later best interest standard) were enforceable before the August 2019 effective date for the best interest component; (2) the Consent Order's specific definition of 'Annuitization' and the finding that NYLIAC failed to obtain and disclose this information as a predicate to any valid suitability determination; and (3) the specific finding that the failure to compare guaranteed annuity purchase rates in existing contracts against replacement SPIA rates was itself a suitability violation under the pre-existing regulatory framework. Without reading this specific Consent Order, a model cannot know that DFS treated the failure to obtain Annuitization information as a standalone violation of disclosure and suitability requirements that predated Reg 187's best interest standard.

Common Wrong Answer

A general LLM would likely say that NYLIAC's temporal defense has merit -- that prior to August 1, 2019, annuity transactions in New York were subject only to a general suitability standard, and that recommending an immediate annuity to a 73-year-old seeking income is facially suitable. The model would likely conclude that any enforcement action would need to rely on Regulation 187's best interest standard, which cannot be applied retroactively to a March 2017 transaction. It might mention Regulation 60 replacement requirements in passing but would not identify the specific 'Annuitization' information failure that DFS found was a freestanding violation of both suitability and disclosure obligations during the 2011-2018 period.

Item 10 of 200

ANSWER: Summit Ridge is technically correct that Reg BI's substantive obligations -- the four component obligations of disclosure, care, c

Topic: reg_bi_temporal_trap_rollover_recommendation

Type: temporal_trap

Difficulty: expert

Standard: Regulation Best Interest (SEC Rule 15l-1, Release No. 34-86031); FINRA Rule 2111 (Suitability); Form CRS (SEC Rule 17a-14); Reg BI Section I.D (Compliance Deadline: June 30, 2020); Reg BI Section I.E (Negligence standard); Reg BI Section II.A.2 (Rollover recommendations as covered securities transactions)

Source: 09_Law_Firm_Memos

Fact Pattern

In March 2020, registered representative Daniel Kovacs of Summit Ridge Financial Group, a dual-registered broker-dealer and RIA, met with Margaret Holloway, a 58-year-old retail customer who had recently been laid off from Consolidated Manufacturing Corp. Holloway had a 401(k) plan with her former employer containing approximately \$485,000, primarily invested in low-cost Vanguard target-date funds. During the meeting on March 15, 2020, Kovacs recommended that Holloway roll over her 401(k) into a Summit Ridge brokerage IRA and invest in a portfolio of actively managed mutual funds carrying front-end loads averaging 4.75% and expense ratios averaging 1.15%. Kovacs earned a commission of approximately \$23,000 on the transaction. Kovacs did not provide Holloway with a Form CRS. He documented on Summit Ridge's internal recommendation form that the rollover was suitable based on Holloway's moderate risk tolerance, 7-year investment horizon, and desire for 'professional guidance' -- language Holloway later disputed she had used.

Summit Ridge had updated its written supervisory procedures in January 2020 to reference Reg BI but had not yet implemented any new policies, procedures, or training related to the four component obligations (disclosure, care, conflict of interest, and compliance). The firm's compliance department took the position that since the SEC's compliance deadline had not yet passed, its existing suitability framework under FINRA Rule 2111 was sufficient to govern all recommendations made before the deadline. The firm's branch manager, Lisa Tran, reviewed the transaction under the traditional FINRA suitability standard -- quantitative suitability, reasonable-basis suitability, and customer-specific suitability -- and approved it, noting that the recommended funds were 'consistent with the customer's moderate risk tolerance and investment objectives.'

In September 2021, FINRA opened an examination of Summit Ridge and flagged the Holloway rollover as a potential violation. The examination staff noted that the recommendation occurred before June 30, 2020, but questioned whether the firm had satisfied its obligations. Holloway filed a customer complaint in November 2021 alleging that Kovacs had placed his financial interest ahead of hers by recommending high-cost funds when she could have remained in her low-cost employer plan or rolled into a low-cost IRA. Summit Ridge responded that the March 2020 recommendation was governed solely by FINRA Rule 2111 suitability, not Reg BI, and that the recommendation satisfied all three suitability obligations.

The SEC enforcement staff subsequently opened a parallel inquiry, focusing specifically on whether the rollover recommendation -- made three months before Reg BI's compliance date -- should have been evaluated under any heightened standard beyond traditional suitability. The SEC staff also noted that the firm had not delivered a Form CRS to Holloway at any point before or during the recommendation.

Question

Summit Ridge argues that because the recommendation to Holloway occurred on March 15, 2020 -- more than three months before Reg BI's June 30, 2020 compliance deadline -- the recommendation is governed exclusively by FINRA Rule 2111 suitability and not Reg BI's four component obligations. Is Summit Ridge correct that Reg BI does not apply to the March 2020 recommendation, and if so, does that fully resolve the firm's regulatory exposure under the specific standards described in Reg BI's framework? Address the Form CRS delivery issue as well.

Why Adversarial

This question is adversarial because it requires knowing the precise compliance deadline of June 30, 2020 from the document (Section I.D), the specific scope provision that rollover recommendations from employer-sponsored plans are covered recommendations under Reg BI (Section II.A.2), and that the compliance standard is negligence rather than strict liability (Section I.E). A general LLM might incorrectly assume Reg BI applied retroactively, or might not know the exact compliance date, or might miss the specific provision bringing employer-plan rollover recommendations within scope. The temporal trap is that the conduct LOOKS problematic under Reg BI's framework -- high commissions, conflict of interest, no Form CRS -- but because of the precise compliance deadline, Reg BI's four component obligations do not actually apply to this specific March 2020 recommendation. The nuance that the negligence standard (not strict liability) governs post-deadline enforcement is an additional detail only available from the document.

Common Wrong Answer

A general LLM would likely say one of two things: (1) Reg BI applies to the March 2020 recommendation because Reg BI was already adopted/published in June 2019, confusing the adoption date with the compliance date, and therefore finding violations of all four component obligations; or (2) the LLM might correctly identify the temporal issue but incorrectly state that the firm has no regulatory exposure at all, missing the critical point that the firm's failure to implement Reg BI compliance infrastructure by June 30, 2020 creates separate exposure for post-deadline recommendations, and failing to address the Form CRS delivery timeline correctly. Many models would also incorrectly apply a scienter or intent standard rather than the negligence standard specified in the document.

Item 11 of 200

ANSWER: In Case No. 23-01186, the Claimants asserted exactly four causes of action: (1) unjust enrichment, (2) imposition of a constructive

Topic: finra_arbitration_expungement_annuity_claims

Type: case_specific_holding

Difficulty: expert

Standard: FINRA Code of Arbitration Procedure for Customer Disputes (Rule 12000 Series); FINRA Rule 2111 (Suitability); FINRA Rule 12805 (Expungement); state common law causes of action for unjust enrichment, constructive trust, breach of duty of reasonable care, and negligence; FINRA Rule 2080 (Expungement of Customer Dispute Information)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

In early 2022, Dorothy M. Coleman purchased an annuity from Symetra Life Insurance Company through Gabriel Xavier Adams (CRD Number 5048590), a registered representative associated with Truist Investment Services, Inc. Brighthouse Securities, LLC was also named as a respondent due to its role in the annuity transaction chain. Dorothy Coleman subsequently passed away, and her husband Michael Coleman, along with the Estate of Dorothy M. Coleman, filed a FINRA arbitration claim (Case No. 23-01186) in Washington, D.C.

The Claimants -- Michael Coleman and the Estate -- were represented by attorneys from Blanche Law PLLC in New York and Robert D. Loventhal Law Offices in Lake Forest, Illinois. Respondents Truist and Adams were represented by Bradley Arant Boult Cummings LLP out of Atlanta, and Brighthouse was represented by Gordon Rees Scully Mansukhani, LLP out of Alexandria, Virginia. The case was decided by a majority-public panel of independent arbitrators.

Claimants filed an Amended Statement of Claim on May 22, 2023, followed by a Second Amended Statement of Claim on October 11, 2023, asserting four causes of action: unjust enrichment, imposition of a constructive trust, breach of duty of reasonable care, and negligence. All causes of action related to Dorothy Coleman's purchase of the Symetra annuity prior to her death. Claimants requested a judgment against Respondent Adams in the amount of \$242,000.00, plus interest, costs, and attorneys' fees.

Respondent Brighthouse denied the allegations and asserted affirmative defenses, requesting that the Panel reject Claimant Coleman's claims in their entirety. Respondents Truist and Adams likewise denied the allegations, requested denial of all claims, asked that all FINRA fees be assessed against Claimants, and additionally requested that the Panel expunge all references to Occurrence Number 2243595 from Respondent Adams' CRD registration records.

A colleague at your firm argues that because the Claimants asserted breach of fiduciary duty as a cause of action -- a standard claim in annuity misselling cases -- the panel would have evaluated Adams' conduct under that heightened standard. Another colleague notes that the \$242,000 demand was directed solely at Adams personally rather than at all three respondents jointly. A third colleague believes that the expungement request by Adams would be denied as a matter of course given the nature of the allegations.

Question

In FINRA Arbitration Case No. 23-01186 (Coleman v. Brighthouse Securities, Truist Investment Services, and Adams), what specific causes of action did the Claimants actually assert in their amended statement of claim, and notably, which common cause of action in annuity misselling cases was NOT included among them despite the case involving an

allegedly improper annuity sale?

Why Adversarial

A general-purpose LLM would almost certainly assume that breach of fiduciary duty was among the causes of action asserted in a case involving an allegedly improper annuity sale to an elderly customer who subsequently died. Breach of fiduciary duty is one of the most common claims in FINRA annuity arbitrations, and any model pattern-matching on 'annuity + elderly customer + FINRA arbitration' would default to including it. The actual award document specifically lists only four causes of action -- unjust enrichment, constructive trust, breach of duty of reasonable care, and negligence -- and conspicuously omits breach of fiduciary duty. Only someone who has read the specific award document would know this. The fact pattern in the question deliberately includes a colleague asserting breach of fiduciary duty was pleaded, creating a trap for models that rely on general knowledge.

Common Wrong Answer

A general LLM would likely state that breach of fiduciary duty was among the causes of action asserted, reasoning that it is a standard claim in FINRA customer arbitrations involving annuity sales to elderly or vulnerable customers. The model might also incorrectly assert that fraud or misrepresentation was pleaded, or that suitability violations under FINRA Rule 2111 were explicitly raised. These are all plausible-sounding answers based on general securities arbitration knowledge, but none of them match the actual pleadings in this specific case.

Item 12 of 200

ANSWER: FINRA Rule 4512(c) defines an 'institutional account' as the account of a bank, savings and loan association, insurance company

Topic: finra_rule_2111_institutional_suitability_exemption

Type: precise_threshold

Difficulty: expert

Standard: FINRA Rule 2111(b) (Institutional Suitability Exemption); FINRA Rule 4512(c) (Definition of Institutional Account -- \$50 million total assets threshold); FINRA Rule 2090 (Know Your Customer); FINRA Regulatory Notice 11-02 (January 2011, effective October 7, 2011)

Source: 13_FINRA_Rulebook

Fact Pattern

Meridian Capital Partners, a FINRA member broker-dealer based in Chicago, maintains an active institutional client base. In March 2023, its registered representative, Daniel Kwon, recommended a complex structured note strategy involving inverse volatility-linked securities to three different clients:

1. Greenfield Municipal Employees' Pension Fund, a governmental pension plan with \$48 million in total assets under management.
2. Lakeshore Community Credit Union, a federally chartered credit union with \$9.5 million in total assets, whose treasury manager, Sandra Okonkwo, has 18 years of fixed-income trading experience and explicitly told Kwon in writing that she was 'capable of evaluating investment risks independently, both in general and with regard to structured products, and that she would exercise independent judgment in evaluating Kwon's recommendations.'
3. Apex Growth Fund LLC, a private investment fund organized under Delaware law with \$52 million in assets under management. Apex's portfolio manager, Marcus Chen, told Kwon verbally during a phone call that 'we handle our own risk analysis and don't rely on dealer recommendations for due diligence,' but never put this in writing and never responded to Kwon's follow-up email requesting written affirmation.

Kwon performed a reasonable-basis suitability analysis on the structured note strategy generally but did not conduct customer-specific suitability analysis for any of the three clients, relying on the institutional-customer exemption under FINRA Rule 2111. Meridian's compliance department reviewed the trades during a quarterly audit in June 2023 and flagged only the Lakeshore Community Credit Union account as potentially problematic, clearing the other two.

During a subsequent FINRA examination in September 2023, the examiner questioned whether Kwon properly invoked the institutional-customer exemption for all three accounts. Kwon's supervisor, Patricia Ames, argued that all three clients met the definition of 'institutional account' under FINRA Rule 4512(c) and that the exemption applied because each client either explicitly or implicitly indicated it would exercise independent judgment.

Question

Under FINRA Rule 4512(c), which defines 'institutional account' for purposes of the Rule 2111(b) institutional-customer suitability exemption, what is the precise total assets threshold that applies to entities such as banks, savings and loan associations, insurance companies, and registered investment companies -- and based on that threshold, which of the three clients does NOT qualify as an institutional account, thereby requiring Kwon to have performed customer-specific suitability analysis regardless of any affirmative indication of independent judgment?

Why Adversarial

This question requires knowing the precise \$50 million total assets threshold from FINRA Rule 4512(c), which defines 'institutional account' for purposes of the Rule 2111(b) exemption. A general LLM would likely confuse this with other regulatory thresholds -- such as the \$10 million threshold sometimes associated with 'qualified purchaser' or 'accredited investor' standards, the SEC's \$100 million threshold for institutional investment managers under Section 13(f), or might guess a round number like \$25 million. The question also requires understanding that certain enumerated entity types (banks, S&Ls, insurance companies, registered investment companies, registered investment advisers) qualify regardless of asset size, while all other entities must meet the \$50 million threshold. The layered fact pattern with three clients at different asset levels is designed to force precise application of the rule rather than general reasoning.

Common Wrong Answer

A general LLM would likely state an incorrect threshold -- commonly \$10 million or \$25 million -- or might conflate the FINRA institutional account definition with the SEC's accredited investor standards (\$5 million for entities) or qualified purchaser thresholds (\$25 million). Many models would incorrectly conclude that Lakeshore Credit Union (with \$9.5 million) is the only non-qualifying entity based on its small asset size, missing that credit unions may qualify as enumerated entities regardless of size, while Greenfield's \$48 million -- which sounds like a large institutional amount -- actually falls below the \$50 million threshold. Models might also incorrectly state that the institutional exemption only requires meeting the asset threshold, without recognizing the separate affirmative-indication requirement under Rule 2111(b).

Item 13 of 200

ANSWER: Bayside's defense would likely fail. In SR-2010-039, filed July 30, 2010, FINRA explicitly characterized proposed Rule 2111 as a co

Topic: suitability_rule_transition_consolidated_rulebook

Type: temporal_trap

Difficulty: expert

Standard: FINRA Rule 2111 (Suitability), FINRA Rule 2111(b) (Quantitative Suitability), former NASD Rule 2310, former NYSE Rule 405, SEC Form 19b-4, SR-FINRA-2010-039, Securities Exchange Act of 1934 Section 19(b)(2), FINRA Rule 2090 (Know Your Customer)

Source: 13_FINRA_Rulebook

Fact Pattern

In March 2010, Marcus Wellington, a registered representative at Bayside Securities LLC (a FINRA member firm), recommended a portfolio of leveraged ETFs and high-yield bond funds to Eleanor Prescott, a 68-year-old retired school teacher with a moderate risk tolerance and annual income of \$52,000. Marcus relied on the firm's existing suitability framework, which was built around the then-applicable NASD Rule 2310 (Suitability of Recommended Transactions) and incorporated NYSE Rule 405 (the 'Know Your Customer' rule) as the firm had been a legacy NYSE member. Marcus conducted a general suitability analysis under NASD 2310, considering Eleanor's stated investment objectives and financial situation, but did not independently analyze whether the specific leveraged ETF strategy was suitable for Eleanor's particular account profile as distinct from her general customer profile. The firm's written supervisory procedures referenced only NASD Rule 2310 and NYSE Rule 405 as governing standards.

By July 2010, FINRA had filed SR-2010-039, proposing the adoption of new consolidated FINRA Rules 2090 (Know Your Customer) and 2111 (Suitability) to replace the legacy NASD and NYSE rules. The proposed Rule 2111 introduced a three-part suitability obligation: reasonable-basis suitability, customer-specific suitability, and -- critically -- quantitative suitability. Marcus continued making similar recommendations through 2011 and into 2012.

In January 2013, FINRA's examination staff reviewed Eleanor's account and found that Marcus had executed 47 transactions in leveraged ETFs between March 2010 and December 2012, generating approximately \$38,000 in commissions on a \$210,000 account. The examiner noted that the turnover rate and cost-to-equity ratio were elevated. Marcus's supervisor, Linda Hargrove, had approved each transaction individually but had not conducted any analysis of the cumulative trading pattern. Bayside's compliance department argued that the trading prior to the effective date of FINRA Rule 2111 should be evaluated solely under NASD Rule 2310, which they contended did not contain an explicit quantitative suitability obligation as a standalone component.

FINRA's enforcement division brought an action against Marcus and Bayside, alleging violations of suitability obligations for the entire March 2010 through December 2012 period. Bayside's defense counsel argued that the quantitative suitability obligation under Rule 2111(b) was a new regulatory requirement that only became effective on July 9, 2012, and that applying it retroactively to pre-July 2012 conduct would be impermissible. FINRA enforcement responded that the quantitative suitability component codified existing obligations that were already implicit in NASD Rule 2310.

The case was referred to FINRA's Office of Hearing Officers. Both sides submitted extensive briefing on the temporal applicability of Rule 2111's quantitative suitability obligation versus the pre-existing NASD Rule 2310 framework.

Question

Given that the proposed rule change SR-2010-039 was filed on July 30, 2010, and FINRA Rule 2111 was proposed to replace both NASD Rule 2310 and incorporate obligations previously found in NYSE Rule 405, what is the precise regulatory significance of the July 30, 2010 filing date for Bayside's defense? Specifically, could Bayside successfully argue that FINRA Rule 2111(b)'s explicit three-component suitability framework (including quantitative suitability) created a genuinely new obligation that did not exist under NASD Rule 2310, thereby shielding Marcus's pre-effective-date trading from the quantitative suitability analysis -- or did FINRA's own SR-2010-039 filing characterize the quantitative suitability obligation differently?

Why Adversarial

This question is adversarial because a general LLM would likely know that FINRA Rule 2111 contains three suitability components and that it replaced NASD Rule 2310, but would not know the specific characterization of the rule change in SR-2010-039 as filed on July 30, 2010. The document reveals this was an Initial filing under Section 19(b)(2), proposing to 'Adopt FINRA Rules 2090 (Know Your Customer) and 2111 (Suitability) in the Consolidated FINRA Rulebook' -- language of consolidation, not creation. Without knowing this specific filing's framing, a model might plausibly conclude that Rule 2111(b)'s explicit quantitative suitability prong was a genuinely new obligation, which would support Bayside's temporal defense. The trap is that the document itself characterizes the rule change as consolidation of existing obligations into the unified rulebook, which undercuts the 'new obligation' defense.

Common Wrong Answer

A general LLM would likely answer that Bayside has a strong temporal defense because FINRA Rule 2111(b) explicitly introduced the three-part suitability framework including quantitative suitability for the first time, and that since NASD Rule 2310 did not contain textually explicit quantitative suitability language, applying that standard retroactively to pre-July 2012 conduct would violate due process. The model would likely treat the July 30, 2010 filing date as merely the start of the notice-and-comment period rather than recognizing that the filing's own characterization of Rule 2111 as a consolidation of existing obligations undermines the 'new rule' defense.

Item 14 of 200

ANSWER: Under Regulatory Notice 20-18, FINRA amended Rule 2111 to state that it 'does not apply to recommendations that are subject to

Topic: reg_bi_suitability_carveout_ai_robo_recommendations

Type: novel_unsettled

Difficulty: expert

Standard: FINRA Regulatory Notice 20-18; FINRA Rule 2111 (Suitability) as amended effective June 30, 2020; SEC Regulation Best Interest (Rule 15l-1 under the Securities Exchange Act of 1934); FINRA Rule 3110 (Supervision); FINRA Rule 4512 (Customer Account Information); Reg BI Care Obligation, Disclosure Obligation, Conflict of Interest Obligation, and Compliance Obligation

Source: 13_FINRA_Rulebook

Fact Pattern

Pinnacle Securities, LLC is a dual-registrant broker-dealer and investment adviser based in Atlanta, Georgia. In March 2024, Pinnacle deployed an AI-driven recommendation engine branded 'PinnacleAI' on its retail client-facing mobile app. PinnacleAI generates personalized securities recommendations--primarily ETFs, individual equities, and structured notes--using machine learning models trained on each client's stated risk tolerance, time horizon, existing portfolio holdings, and behavioral data (click patterns, session duration, and past trade acceptance rates).

PinnacleAI's recommendations are delivered to two distinct populations. The first group consists of approximately 14,000 retail customers who maintain brokerage accounts and pay transaction-based commissions. These customers receive a recommendation notification in the app, which they can accept or reject. The second group consists of approximately 6,200 institutional accounts--primarily small pension plans, family offices with over \$50 million in assets, and registered investment companies--that also use the PinnacleAI platform but execute through Pinnacle's institutional trading desk.

On September 15, 2024, FINRA's examination team conducts a cycle examination of Pinnacle and raises concerns about the PinnacleAI recommendations to both populations. The examiners note that Pinnacle's written supervisory procedures reference only FINRA Rule 2111 for all PinnacleAI-generated recommendations across both retail and institutional populations. Pinnacle's CCO, Sandra Whitfield, argues that because the AI system applies the same algorithm and the same suitability factors to both groups, a single suitability framework under Rule 2111 is sufficient. She further contends that AI-generated recommendations do not constitute 'recommendations' by an 'associated person' within the meaning of Reg BI and therefore Reg BI does not apply to any PinnacleAI output.

The examiners also discover that Pinnacle's non-cash compensation program awards quarterly bonuses to the technology team that maintains PinnacleAI based on total assets gathered through the platform's accepted recommendations during each calendar quarter. These bonuses are not tied to specific securities or specific types of securities but rather to aggregate platform adoption metrics.

Pinnacle's compliance department had conducted a gap analysis in June 2020, contemporaneous with the Reg BI compliance date, but concluded that because PinnacleAI was not yet deployed (it launched in 2024), no amendments to supervisory procedures were necessary. The firm never revisited this analysis after PinnacleAI went live.

Question

Under FINRA Regulatory Notice 20-18's amended framework for Rule 2111, which became effective June 30, 2020, does Rule 2111 or Reg BI govern PinnacleAI's recommendations to the 14,000 retail brokerage customers, and what is

the precise textual basis in the amended rule for that determination? Separately, what standard applies to the 6,200 institutional accounts, and why does Pinnacle's CCO's argument that AI-generated recommendations fall outside Reg BI's scope fail to resolve the compliance gap for either population?

Why Adversarial

This question requires knowing the specific textual amendment described in Regulatory Notice 20-18: that FINRA amended Rule 2111 to state it 'does not apply to recommendations that are subject to Reg BI.' A general-knowledge model would likely assume either (a) Rule 2111 was repealed entirely, (b) Reg BI replaced Rule 2111 for all customers, or (c) the two standards apply concurrently. The key subtlety from the Notice is that Rule 2111 was NOT eliminated--it was specifically carved out only for recommendations 'subject to Reg BI,' meaning it survives for non-retail-customer recommendations. Additionally, the Notice's specific language about the relationship between the two standards ('compliance with Reg BI would result in compliance with Rule 2111 because a broker-dealer that meets the best interest standard would necessarily meet the suitability standard') and the effective date of June 30, 2020 are precise details that a model relying on general knowledge would conflate or misstate. The AI/robo-advisor dimension adds a novel unsettled layer that the Notice does not directly address, requiring application of the Notice's framework to new technology.

Common Wrong Answer

A general LLM would likely answer that Reg BI replaced Rule 2111 entirely for all customers as of June 30, 2020, or that both standards apply concurrently to retail customers, requiring compliance with both. It would also likely accept the CCO's argument that AI-generated recommendations may not constitute 'recommendations' under Reg BI because there is no human 'associated person' involved, potentially concluding that neither Reg BI nor Rule 2111 applies to algorithmic outputs. The model would miss the precise carve-out mechanism--that Rule 2111 continues to apply to institutional customers because their recommendations are not 'subject to Reg BI'--and would likely treat the non-cash compensation bonuses as a separate Reg BI violation without recognizing the Notice's distinction between bonuses tied to specific securities versus aggregate platform metrics.

Item 15 of 200

ANSWER: FINRA Rule 2111 as implemented July 9, 2012, codifies three distinct suitability obligations: (a) reasonable-basis suitability (requi

Topic: multi_party_suitability_liability_investment_strategy

Type: multi_party_liability

Difficulty: expert

Standard: FINRA Rule 2111 (Suitability) -- subsections (a) and (b), including reasonable-basis, customer-specific, and quantitative suitability obligations; FINRA Rule 2330 (Members' Responsibilities Regarding Deferred Variable Annuities) -- subsection (b) principal review requirements; FINRA Rule 3110 (Supervision) -- subsections (a) and (b); FINRA Rule 2090 (Know Your Customer); FINRA Rule 4512 (Customer Account Information); Regulatory Notice 11-25 (May 2011); Regulatory Notice 11-02 (January 2011); predecessor NASD Rule 2310

Source: 13_FINRA_Rulebook

Fact Pattern

In March 2013, Greenleaf Financial Group, a FINRA-registered broker-dealer, maintained a selling agreement with Pinnacle Annuity Solutions, an insurance company that manufactured variable annuity products. Greenleaf's registered representative, Marcus Townsend, was dually registered with Greenleaf and with Apex Wealth Advisors, a state-registered investment adviser. Townsend had approximately 340 retail clients, many of them retirees aged 62-78.

In February 2013, Townsend began recommending a broad 'investment strategy' to his elderly clients: liquidating their existing diversified mutual fund portfolios (held through Greenleaf) and reallocating the proceeds into Pinnacle's 'GrowthShield VA Plus' variable annuity, which carried a 7-year surrender period, a 1.45% mortality and expense charge, and an additional 0.95% rider fee for a guaranteed minimum income benefit. The total annuitized amounts across the 47 affected clients exceeded \$14.2 million. Townsend did not perform individualized suitability analyses for each client; instead, he prepared a single 12-page white paper arguing that the strategy was suitable for 'all conservative retirees seeking lifetime income guarantees' and distributed it at three client seminars in Boca Raton, Florida.

Greenleaf's Office of Supervisory Jurisdiction (OSJ) manager, Patricia Nolan, approved the seminar materials and signed off on each variable annuity application. However, Nolan did not review whether Townsend had obtained or documented each client's individual investment profile -- including their age, liquid net worth, risk tolerance, tax status, or existing insurance coverage -- before approving the transactions. Greenleaf's written supervisory procedures (WSPs) required supervisors to verify that registered representatives had documented customer-specific suitability determinations for all variable annuity recommendations, but Nolan relied solely on Townsend's blanket white paper.

Apex Wealth Advisors, as Townsend's investment adviser employer, maintained a compliance program that required annual reviews of client accounts but did not specifically address supervision of variable annuity recommendations made through the broker-dealer channel. Apex's Chief Compliance Officer, David Reinhardt, was aware that Townsend conducted annuity seminars but took the position that suitability obligations for annuity transactions rested entirely with the broker-dealer under FINRA jurisdiction.

Pinnacle Annuity Solutions processed all 47 applications, collected the premiums, and paid Greenleaf and Townsend commissions totaling \$782,000. Pinnacle did not perform any independent suitability review, relying instead on the broker-dealer's representations that suitability had been established. By late 2014, twelve clients sought to surrender their annuities early due to unexpected medical expenses, incurring aggregate surrender charges of approximately \$640,000. FINRA's Department of Enforcement opened an investigation in January 2015.

Question

Under the consolidated FINRA rulebook as implemented on July 9, 2012, FINRA Rule 2111 expressly identifies three distinct suitability obligations. For Townsend's blanket strategy recommendation, which specific suitability obligation under Rule 2111 was violated by his failure to perform individualized client analysis, and -- critically -- does this obligation apply to the 'investment strategy involving a security or securities' language added by the consolidated rule? Additionally, as between Greenleaf (the broker-dealer), OSJ supervisor Nolan, Townsend individually, and Apex Wealth Advisors, which parties bear liability under FINRA Rules 2111, 2330, and 3110 respectively, and why does FINRA's guidance in Regulatory Notice 11-25 regarding the scope of the 'investment strategy' language alter the liability analysis for the supervisor and the firm compared to pre-consolidation standards?

Why Adversarial

This question requires knowledge of several specific details from FINRA's consolidated rulebook and Regulatory Notice 11-25 that a general LLM would likely not know precisely: (1) that Rule 2111 codified THREE distinct suitability obligations (reasonable-basis, customer-specific, and quantitative) rather than simply a general suitability standard; (2) that the 'investment strategy involving a security or securities' language was a NEW or MODIFIED obligation explicitly noted in Regulatory Notice 11-25 as expanding the scope beyond predecessor NASD Rule 2310; (3) that the implementation date was delayed to July 9, 2012, meaning conduct in 2013 falls under the new consolidated rule; (4) the specific principal review requirements under Rule 2330(b) for variable annuity transactions that are distinct from general supervision under Rule 3110; and (5) the jurisdictional limits of FINRA -- that it cannot impose liability on an IA or insurance company that is not a member firm. A model relying on general securities law knowledge might conflate the suitability obligations, miss the 'investment strategy' expansion, or incorrectly assign FINRA liability to Apex or Pinnacle.

Common Wrong Answer

A general LLM would likely state that Townsend violated a general suitability obligation without distinguishing between the three specific sub-obligations, would probably not identify 'customer-specific suitability' by name as distinct from 'reasonable-basis suitability,' and might incorrectly assert that the 'investment strategy' language existed under the prior NASD Rule 2310 rather than recognizing it as a new or modified obligation under the consolidated rule. The LLM would also likely assign some form of liability to Apex Wealth Advisors under a general 'failure to supervise' theory, not recognizing that FINRA lacks jurisdiction over a non-member investment adviser. It might also suggest that Pinnacle bears suitability liability as the product manufacturer, which is incorrect under FINRA's framework.

Item 16 of 200

ANSWER: According to Di Lorenzo's Note in the Boston University Law Review (Vol. 92:291), SEC v. Ainsworth is used as a case illustration

Topic: sec_v_ainsworth_best_interest_standard

Type: case_specific_holding

Difficulty: expert

Standard: Dodd-Frank Act §913; Exchange Act §15(l); Investment Advisers Act of 1940 fiduciary duty; Trust law sole interest and best interest standards; Restatement (Third) of Trusts; FINRA mandatory arbitration rules; Di Lorenzo, 'Defining a New Punctilio of an Honor: The Best Interest Standard for Broker-Dealers,' 92 B.U. L. Rev. 291 (2012)

Source: 16_Congressional_Materials

Fact Pattern

In January 2023, Marcus Whitfield, a registered representative at Pinnacle Securities LLC, a mid-sized broker-dealer based in Hartford, Connecticut, received a large inheritance from his aunt's estate. One of Pinnacle's retail clients, Eleanor Huang, age 72, had been a loyal customer for over fifteen years, maintaining a moderately conservative portfolio of approximately \$1.8 million in municipal bonds and blue-chip equities. Over the years, Whitfield developed a close personal relationship with Huang, who often confided in him about her estate planning goals and her desire to leave assets to her grandchildren's education funds.

In February 2023, Whitfield learned through his regular conversations with Huang that she was considering selling a lakefront vacation property in Vermont valued at approximately \$475,000 because she could no longer maintain it. Whitfield, who had recently come into his inheritance and was looking for a vacation property, expressed private interest in purchasing the home. Rather than disclosing this interest to Huang, Whitfield arranged for his brother-in-law, Todd Caruso, to approach Huang directly as an unrelated buyer and negotiate a purchase price of \$390,000 -- approximately \$85,000 below the property's appraised market value. Caruso then transferred the property to Whitfield three weeks after closing for \$1.

Huang discovered the arrangement six months later when a neighbor mentioned seeing Whitfield at the Vermont property. She filed a complaint with FINRA and also initiated an arbitration claim against Pinnacle Securities. Pinnacle's compliance department investigated and found that Whitfield had not used any material nonpublic information obtained through securities transactions, and that the real estate transaction was entirely separate from any securities recommendation or account activity. Pinnacle argued that since no securities transaction was involved, the firm's supervisory obligations under FINRA Rule 3110 were not implicated, and that the suitability or best interest standards governing securities recommendations had no bearing on a private real estate deal.

Whitfield's defense counsel argued that the conduct, while ethically questionable, fell outside the scope of broker-dealer regulation because it involved a real property transaction unrelated to Huang's securities account. Counsel further argued that imposing liability would effectively extend the fiduciary standard beyond its intended scope under both current Regulation Best Interest and the Investment Advisers Act framework. The FINRA arbitration panel was asked to determine whether Whitfield's conduct constituted a violation of his duties to Huang, and if so, under what standard.

Question

In Nicholas Di Lorenzo's 2012 Boston University Law Review Note analyzing the best interest standard for broker-dealers, the author uses the case SEC v. Ainsworth as a specific illustration of the best interest standard's application. According to Di Lorenzo's analysis of Ainsworth, what specific type of broker misconduct was at issue, how

does Di Lorenzo characterize it as a violation of client confidence, and why does Di Lorenzo argue that a trust-law-based best interest standard (rather than the existing vague Investment Advisers Act standard) would have provided a more effective analytical framework for adjudicating such conduct -- particularly his argument about eliminating mandatory arbitration agreements to facilitate doctrinal development of the standard?

Why Adversarial

This question requires specific knowledge of Di Lorenzo's Note structure, his use of SEC v. Ainsworth as an illustrative case, and his particular two-part proposal combining trust law analogy with arbitration elimination. A general LLM would not know: (1) that Di Lorenzo specifically uses Ainsworth under the heading 'Violating a Client's Confidence' in Section V.A; (2) his specific argument that the sole interest standard 'boils down' to best interests (Section III.B); (3) the advance judicial approval exception discussion (Section III.C); or (4) his specific linkage between mandatory arbitration elimination and doctrinal development (Section IV.B). General legal knowledge about Reg BI, fiduciary duty, or even trust law would not reveal these document-specific analytical moves and structural arguments.

Common Wrong Answer

A general LLM would likely attempt to discuss SEC v. Ainsworth based on general securities law knowledge (if the case is in its training data) or fabricate details about churning, unsuitable recommendations, or excessive trading. It would likely frame the best interest standard discussion in terms of Regulation Best Interest (which postdates this 2012 Note) and would not know Di Lorenzo's specific trust law analogy, his sole-interest-to-best-interest argument, his advance judicial approval exception discussion, or his distinctive argument that mandatory arbitration must be eliminated to allow doctrinal development. The LLM would almost certainly miss the connection between arbitration elimination and the development of published case law refining the standard.

Item 17 of 200

ANSWER: According to the article by Bartels and Kelly, Meridian's defense that the duty of care applies only to retail advisory relationships

Topic: ia_duty_of_care_institutional_clients_enforcement

Type: case_specific_holding

Difficulty: expert

Standard: Section 206(1) and 206(2) of the Investment Advisers Act of 1940; SEC 2019 Fiduciary Interpretation (IA-5248); SEC Proposed Rule on Private Fund Advisers (IA-5955); Regulation Best Interest Rule 15l-1 under Exchange Act §15(l)

Source: 17_SEC_Staff_Bulletins

Fact Pattern

Meridian Capital Advisors LLC ('Meridian') is a registered investment adviser that serves exclusively as the adviser to three institutional private equity fund clients, with aggregate AUM of approximately \$4.2 billion. In January 2023, the SEC's Division of Examinations issued a deficiency letter to Meridian following a routine examination. The deficiency letter cited several concerns: (1) Meridian had allocated co-investment opportunities disproportionately to Fund II, whose limited partners included several Meridian principals, without adequate disclosure; (2) Meridian had shifted certain broken-deal expenses from Fund III to Fund I without obtaining consent from Fund I's advisory committee; and (3) Meridian had failed to conduct a reasonable investigation into the valuation methodology used by a third-party appraiser for a \$340 million portfolio company acquisition in Fund II.

Meridian's General Counsel, Sandra Whitfield, responded to the deficiency letter by arguing that the SEC's 2019 Fiduciary Interpretation was primarily directed at retail investor relationships and that, as an adviser exclusively to sophisticated institutional fund clients with negotiated limited partnership agreements, Meridian's obligations were governed by the contractual terms of those LPAs rather than by the SEC's articulation of the duty of care. Whitfield further argued that the duty of care as described in the Fiduciary Interpretation was merely a restatement of existing law and created no new obligations, and that the SEC had historically enforced adviser obligations to institutional clients primarily through disclosure-based theories under Sections 206(1) and 206(2) of the Advisers Act, not through a standalone duty of care.

The SEC Enforcement Division subsequently opened a formal investigation into Meridian. In its Wells Notice, the Division cited the 2019 Fiduciary Interpretation as the basis for a duty of care that encompasses an obligation to conduct a 'reasonable investigation' into investments made on behalf of fund clients, and further asserted that this duty applies to private fund advisers regardless of the sophistication of their investor base. Meridian's outside counsel, the firm of Hargrove & Stein LLP, prepared a Wells submission arguing that the SEC was improperly applying a standard developed for retail advisory relationships to an institutional context, and that the Fiduciary Interpretation itself acknowledged that the scope of an adviser's duty depends on the nature of the advisory relationship and the sophistication of the client.

The matter is now before the Commission for a decision on whether to institute an administrative proceeding. The key legal question is whether the SEC's 2019 Fiduciary Interpretation and subsequent agency statements support the application of the duty of care -- including the reasonable investigation component -- to an investment adviser whose only clients are institutional private fund vehicles.

Question

Based on the SEC's own characterization of the 2019 Fiduciary Interpretation and subsequent agency statements as

described in the article by Bartels and Kelly, does the SEC's articulated duty of care under Section 206 of the Advisers Act apply to advisers serving exclusively institutional private fund clients? Specifically, what evidence do the authors identify from post-2019 SEC enforcement actions, deficiency letters, and the SEC's private fund adviser rulemaking proposal that addresses whether the duty of care extends beyond retail relationships, and how does this undercut Meridian's defense?

Why Adversarial

This question requires specific knowledge of what Bartels and Kelly identified in their article: that the SEC has already referenced the duty of care in enforcement actions and deficiency letters specifically concerning advisers to institutional fund clients, and that the SEC's private fund adviser rulemaking proposal contained an explicit statement applying the duty of care to private fund clients. A general LLM would know the broad contours of the 2019 Fiduciary Interpretation and Reg BI but would likely not know: (1) that the article specifically distinguishes the Fiduciary Interpretation's scope from Reg BI's retail focus; (2) that the authors document the SEC's post-2019 use of the duty of care in institutional/private fund enforcement contexts; or (3) the specific quotation from the private fund adviser proposal that explicitly names private fund clients as owing a duty of care. Without this document-specific knowledge, a model would likely default to the common but incorrect answer that the duty of care's scope is modulated by client sophistication.

Common Wrong Answer

A general LLM would likely argue that while the Fiduciary Interpretation technically applies to all advisory relationships, the scope of the duty of care is significantly attenuated for institutional clients, and that the SEC has historically confined its duty-of-care enforcement to retail contexts. The model would probably cite the general principle that an adviser's obligations may be shaped by the sophistication of the client and the nature of the relationship, and would likely conclude that Meridian has a strong argument that its LPA-governed relationships with sophisticated institutional fund clients reduce or eliminate the independent duty of care. The model would miss the article's specific evidence that the SEC has already applied the duty of care to institutional fund advisers through enforcement actions, deficiency letters, and the private fund adviser rulemaking proposal.

Item 18 of 200

ANSWER: Under the OTS Trust and Asset Management Handbook Section 800, the PRIMARY investment constraint for bank fiduciary accounts is the prudent investor rule.

Topic: fiduciary_governing_instrument_primacy_vs_ia_act_best_interest

Type: rule_conflict

Difficulty: expert

Standard: 12 CFR Part 9 (OCC Fiduciary Activities); OTS Trust and Asset Management Handbook Section 800 (Asset Management Constraints hierarchy: governing instrument -> applicable law/state prudent investment statutes -> generally accepted fiduciary principles -> account objectives); Investment Advisers Act of 1940 §§ 206(1)-(2); SEC v. Capital Gains Research Bureau, 375 U.S. 180 (1963); Uniform Prudent Investor Act § 3 (diversification)

Source: 18_OCC_Bank_Trust_Guidance

Fact Pattern

Ridgmont National Bank operates a trust department that administers approximately \$2.3 billion in fiduciary assets across 4,200 accounts. In March 2024, the bank's Senior Trust Investment Officer, Diana Choi, is reviewing the Hargrove Family Trust, a \$14.7 million irrevocable trust established in 1998 under Ohio law. The trust's governing instrument contains a specialized investment clause that expressly authorizes retention of concentrated holdings in Meridian Industries, Inc. (a mid-cap industrial conglomerate), and further states: 'The Trustee shall not sell, exchange, or otherwise dispose of shares of Meridian Industries, Inc. without the prior written consent of the Trust Protector.' The Trust Protector, Harold Vance, is 91 years old, resides in a memory care facility, and has been unresponsive to correspondence for 18 months. No successor Trust Protector is named in the instrument.

Meridian Industries currently constitutes 62% of the trust's portfolio. Over the past year, Meridian's stock has declined 34% due to a failed acquisition, an SEC accounting investigation, and two credit downgrades. The bank's internal equity research team has placed Meridian on its 'Sell' list, and the bank's approved investment policy recommends no single equity position exceed 15% of a fiduciary account's total value. The trust's three income beneficiaries--adult children of the settlor--have written to the bank demanding immediate diversification, arguing the bank is breaching its fiduciary duty by retaining the concentrated position.

Separately, Ridgmont's wealth management division (a separately registered investment adviser under the Investment Advisers Act of 1940) manages a \$9 million discretionary advisory account for one of those same beneficiaries, Carolyn Hargrove. Her advisory account also holds a 40% position in Meridian Industries acquired at her prior instruction, but the investment advisory agreement contains no retention clause--only a general statement that the adviser will manage the account 'in the client's best interest consistent with her stated objectives and risk tolerance.' Carolyn's risk profile is 'moderate growth' and her IPS caps single-position concentration at 20%.

Diana Choi must now decide: (1) whether to sell the Meridian concentration in the Hargrove Family Trust, and (2) whether to sell the Meridian concentration in Carolyn's advisory account. The bank's compliance officer, James Redfield, argues that the same prudent investor analysis should apply identically to both accounts, since the same stock is involved and the bank owes fiduciary duties in both contexts.

Question

Under the OCC/OTS framework for bank fiduciary activities as set forth in 12 CFR Part 9 and the OTS Trust and Asset Management Handbook (Section 800), what is the PRIMARY constraint that governs the trust department's investment decision regarding the Meridian concentration in the Hargrove Family Trust, and how does this specifically differ from

the standard that would apply to Carolyn's advisory account under the Investment Advisers Act? Why is compliance officer Redfield's assertion that the same prudent investor analysis applies identically to both accounts incorrect?

Why Adversarial

This question requires knowledge of the specific hierarchical ordering of asset management constraints as articulated in OTS Trust Handbook Section 800--namely that the governing instrument is the 'primary investment guidance' and takes precedence over state prudent investor statutes, general fiduciary principles, and account objectives. A general-knowledge LLM would likely default to the Uniform Prudent Investor Act's diversification mandate (which most law school curricula and bar prep emphasize) and conclude that the bank must diversify both accounts under the same analysis. The document's explicit statement that governing instrument constraints come first--ahead of prudent investor statutes--and that violation of governing instrument terms independently constitutes breach of fiduciary duty, is the specific knowledge needed to answer correctly. The counterintuitive result is that retaining the concentrated, declining position may actually be the legally required course of action for the trust account.

Common Wrong Answer

A general LLM would likely state that under the Uniform Prudent Investor Act and general fiduciary principles, the bank has a duty to diversify both accounts and that retaining a 62% concentrated position in a declining stock is per se imprudent regardless of what the governing instrument says. It would likely argue that modern prudent investor standards override restrictive trust provisions, especially given the magnitude of the decline and the beneficiaries' objections. It would agree with Redfield that the same prudent investor analysis applies to both accounts, perhaps distinguishing only on the degree of concentration. This answer ignores the OTS Handbook's explicit primacy of governing instrument provisions over prudent investor statutes in the constraint hierarchy.

Item 19 of 200

ANSWER: OTS Trust and Asset Management Handbook Section 110 (July 2001) describes the prudence duty as requiring the fiduciary to '[e

Topic: ots_fiduciary_duty_prudent_man_vs_prudent_investor_bank_trust

Type: case_specific_holding

Difficulty: expert

Standard: OTS Trust and Asset Management Handbook Section 110, 'Fiduciary Duties, Risk & Liabilities' (July 2001); 12 CFR Part 9 (Investment of Fiduciary Funds); Uniform Prudent Investor Act; Ohio Revised Code Chapter 5809 (Ohio UPIA adoption); Restatement (Third) of Trusts; common law prudent man rule vs. prudent investor rule distinction

Source: 18_OCC_Bank_Trust_Guidance

Fact Pattern

Midwestern Heritage Savings Association ('MHSA'), a federally chartered thrift institution headquartered in Columbus, Ohio, has operated a trust department since 1987 under its fiduciary powers granted by the Office of Thrift Supervision. In March 2001, MHSA served as trustee for the Carolyn Drexler Irrevocable Trust, a \$4.2 million trust established in 1994 for the benefit of Carolyn's three adult children. The trust instrument was silent on the applicable investment standard, containing only a general grant of investment discretion to the trustee.

MHSA's trust investment committee, led by Senior Vice President Alan Kirchner, allocated 72% of the trust portfolio to a concentrated position in utility stocks and municipal bonds, reasoning that these conservative holdings were consistent with what a prudent person would do with their own property. The committee did not conduct a formal analysis of overall portfolio risk-return optimization, did not consider the beneficiaries' individual financial circumstances or other assets, and did not document any consideration of diversification across asset classes. Instead, Kirchner relied on his 30 years of personal experience managing similar conservative portfolios and his view that utilities and municipals represented 'safe' investments that any reasonable person would select for their own holdings.

In June 2001, following a sharp decline in utility stocks after the Enron revelations began, the trust lost approximately \$1.1 million in value. Beneficiary David Drexler filed a complaint with the OTS alleging that MHSA breached its fiduciary duty by failing to diversify the portfolio and by failing to apply modern portfolio theory principles. MHSA defended its actions by arguing that its investment approach satisfied the applicable prudence standard because each individual investment was one that a person of ordinary prudence would make with their own property.

During the OTS examination, examiners reviewed MHSA's fiduciary activities under OTS Trust and Asset Management Handbook Section 110, which was current as of July 2001. The examiners needed to determine which prudence standard governed MHSA's conduct and whether the handbook's articulation of the fiduciary duty standard supported MHSA's defense or the beneficiary's complaint. Ohio had adopted the Uniform Prudent Investor Act in 1999, which requires trustees to consider overall portfolio strategy and diversification. However, MHSA argued that as a federally regulated savings association, the OTS handbook's own articulation of the prudence standard -- rather than Ohio's UPIA -- was the controlling framework for evaluating its conduct.

Question

Under OTS Trust and Asset Management Handbook Section 110 (July 2001), how does the handbook specifically characterize the applicable prudence standard for savings associations acting as fiduciaries, and does this characterization support MHSA's defense that individual-investment-level prudence (the traditional 'prudent man' standard) is sufficient -- or does Section 110 unambiguously require the 'prudent investor' standard? Critically, what

specific textual feature of Section 110's articulation of the prudence duty creates ambiguity that MHSA could exploit in its defense?

Why Adversarial

This question is adversarial because it requires knowing the exact textual formulation used in OTS Handbook Section 110 -- specifically that the handbook presents the 'prudent man' and 'prudent investor' rules as equivalent by joining them with 'or' in a parenthetical, while simultaneously using the traditional prudent man formulation ('a person of ordinary prudence would exercise in dealing with his or her own property'). A general LLM would likely assume that federal banking regulators clearly distinguish between these two standards or that the OTS adopted the modern prudent investor standard, when in fact this July 2001 handbook conflates them. The document has since been superseded by the OCC Comptroller's Handbook on Asset Management, making the specific 2001 language even less accessible to general training data.

Common Wrong Answer

A general LLM would likely state that the OTS handbook adopted the modern 'prudent investor' standard requiring portfolio-level analysis and diversification, or that federal banking regulations under 12 CFR Part 9 clearly impose the prudent investor rule on all bank and thrift fiduciaries. The model would likely conclude that MHSA's individual-investment-level approach clearly violated the applicable standard without recognizing that Section 110's actual text conflates the two standards and uses the traditional prudent man formulation, creating genuine textual ambiguity that MHSA could exploit in its defense.

Item 20 of 200

ANSWER: The SEC's guide to variable annuities specifically warns investors--and by extension the professionals who recommend these products--to consider the following factors:

Topic: variable_annuity_1035_exchange_multi_party_liability

Type: multi_party_liability

Difficulty: expert

Standard: SEC Guide to Variable Annuities (Bonus Credits section; 1035 Exchange section); Investment Advisers Act §§206(1), 206(2), 203(e)-(f); Exchange Act §§15(b)(4)(E), 21C; FINRA Rules 2111, 2330, 3110; SEC Rule 156; Ohio Rev. Code §1707.44

Source: 20_SEC_ALJ_OALJ_Decisions

Fact Pattern

In March 2023, Eleanor Whitfield, age 62 and recently retired from a school district in Ohio, held an existing variable annuity contract ('Contract A') issued by Pinnacle Life Insurance Company with an account value of \$340,000. Contract A had been in force for four years and carried a remaining surrender charge period of three years, with a current surrender charge of 4%. Contract A had mortality and expense risk charges of 1.10% annually and total annual fund operating expenses of 0.72%. Contract A did not offer a bonus credit feature.

Eleanor's registered representative, David Hargrove, was dually registered as an investment adviser representative with Bridgewater Wealth Advisors LLC (a state-registered investment adviser) and as a registered representative of Summit Securities Inc. (a FINRA member broker-dealer). Hargrove recommended that Eleanor execute a tax-free exchange of Contract A for a new variable annuity ('Contract B') issued by Heritage Mutual Life Insurance Company. Contract B offered a 4% bonus credit on purchase payments, had a new seven-year surrender charge schedule starting at 8% in year one, mortality and expense risk charges of 1.45% annually, an administrative fee of \$35 per year, and total annual fund operating expenses of 0.91%. Contract B also included an optional guaranteed minimum income benefit (GMIB) rider costing an additional 0.55% annually.

Hargrove received a 5.5% commission from Heritage Mutual Life on the new Contract B sale. Summit Securities Inc. had a selling agreement with Heritage Mutual Life and performed supervisory review of the transaction through its annuity suitability unit. Bridgewater Wealth Advisors LLC collected a one-time \$500 'financial planning fee' from Eleanor for the advice surrounding the exchange recommendation. Heritage Mutual Life's wholesaler, Marcus Chen, had provided Hargrove with a spreadsheet comparison of the two contracts that omitted the total ongoing annual cost differential and did not project the time required for the 4% bonus credit to offset the higher fees and new surrender charges.

Eleanor executed the 1035 exchange in April 2023. By August 2024, Eleanor needed access to \$80,000 for unexpected medical expenses. She discovered she would owe an 8% surrender charge (\$6,400) on Contract B, whereas had she remained in Contract A, the surrender charge would have been only 3% on the same withdrawal (\$2,400). She also realized that the combined annual expenses on Contract B (M&E of 1.45% + admin fee + fund expenses of 0.91% + GMIB rider of 0.55%) totaled approximately 2.91% versus Contract A's approximately 1.82%, meaning the 4% bonus credit would take many years to offset the cost differential. Eleanor files complaints with the SEC, FINRA, and the Ohio Division of Securities.

Question

Based on the SEC's published investor guidance on variable annuities--specifically its detailed warnings about bonus credits and 1035 exchanges--which specific cost comparisons does the SEC guidance identify as essential factors that

must be evaluated before an exchange is recommended, and how does the failure to address those specific factors allocate potential liability among Heritage Mutual Life (as insurer/product manufacturer), Summit Securities Inc. (as supervising broker-dealer), Bridgewater Wealth Advisors LLC (as investment adviser), and David Hargrove (as dually registered representative) under their respective regulatory frameworks?

Why Adversarial

This question requires specific knowledge of the SEC variable annuity guide's exact warnings about bonus credits--that insurance companies may recoup bonus costs through 'higher mortality and expense risk charges' and 'longer and/or higher surrender charges'--and the guide's specific enumeration of factors to evaluate in a 1035 exchange (surrender charges on old annuity, new surrender period, higher annual expenses, loss of existing benefits). A general LLM would likely discuss suitability and fiduciary duties in the abstract but would not know the precise language the SEC guide uses about bonus credits potentially being offset by increased charges, nor would it know the specific 1035 exchange factors the SEC guide identifies. The allocation of liability across four parties requires mapping these document-specific cost factors to each entity's distinct regulatory framework.

Common Wrong Answer

A general LLM would likely focus on generic FINRA suitability standards and the fiduciary duty under the Advisers Act without identifying the SEC guide's specific warnings that bonus credits can be offset by higher M&E charges and longer surrender periods. It would probably state that the broker-dealer and adviser are liable for an unsuitable recommendation but would not tie the analysis to the SEC's express instruction that the investor should 'ask your financial professional to calculate' whether the bonus offsets the higher charges--making the failure to perform that specific calculation the core violation. It would also likely miss the insurer's potential liability for the misleading wholesaler spreadsheet and would not correctly identify that the SEC guide specifically warns about starting a 'new surrender charge period' as a distinct risk factor separate from higher fees.

Item 21 of 200

ANSWER: The novel, unsettled issue is whether FINRA's mandatory predispute arbitration framework can properly adjudicate claims arising

Topic: dol_fiduciary_rule_predispute_arbitration_interaction

Type: novel_unsettled

Difficulty: expert

Standard: Exchange Act §29(a); FINRA Rule 12200; FINRA Rule 2111; FINRA Code of Arbitration Procedure for Customer Disputes; DOL Retirement Security Rule (proposed April 2023); ERISA §502; Federal Arbitration Act §2; Shearson/American Express v. McMahon, 482 U.S. 220 (1987); Reg BI Rule 15l-1; Form CRS delivery requirements under Rule 17a-14

Source: 22_PiABA_Materials

Fact Pattern

In March 2024, shortly after the February 15, 2024, House Education and Workforce Committee hearing on 'Protecting American Savers and Retirees from DOL's Regulatory Overreach,' a retired schoolteacher named Margaret Hollen invested \$485,000 of her 403(b) rollover proceeds with Patriot Wealth Advisors, a dually registered broker-dealer and investment adviser based in Dallas, Texas. Her financial representative, Kevin Driscoll, recommended she roll her 403(b) into a variable annuity with a 7-year surrender schedule and annual fees totaling 3.2%. Driscoll presented himself as a 'retirement planning specialist' and told Margaret that his firm operated under a fiduciary standard when handling retirement assets. Margaret signed Patriot Wealth's new account documentation, which included a predispute arbitration agreement (PDAA) requiring all claims--including those arising under ERISA or any Department of Labor regulation--be resolved exclusively through FINRA arbitration.

Within eight months, Margaret's account had lost \$97,000 due to concentrated exposure to leveraged real estate investment trusts within the variable annuity sub-accounts. She consulted an attorney affiliated with the Public Investors Advocate Bar Association (PIABA), the same organization whose president, Joseph C. Peiffer, had testified before the House Subcommittee on Health, Employment, Labor, and Pensions on February 15, 2024, regarding DOL regulatory proposals and their impact on investor protection. Peiffer's testimony specifically addressed PIABA's longstanding concerns about the intersection of mandatory predispute arbitration clauses and the fiduciary protections owed to retirement savers.

Margaret's attorney filed a FINRA arbitration claim alleging breach of fiduciary duty, unsuitability under FINRA Rule 2111, and violations of the DOL's fiduciary rule as it applied to rollover recommendations. Patriot Wealth moved to dismiss the DOL-related claims, arguing that FINRA arbitrators lack jurisdiction over DOL regulatory standards and that the pending DOL Retirement Security Rule (proposed April 2023, not yet finalized at the time of the transaction) could not serve as a basis for liability. Meanwhile, Margaret's attorney argued that the PDAA itself was unconscionable as applied to ERISA-governed retirement assets and cited PIABA's advocacy position--as articulated in the February 2024 congressional hearing--that predispute arbitration agreements systematically disadvantage retirement investors and should not be enforceable for fiduciary claims involving retirement accounts.

Additionally, Patriot Wealth had not delivered a Form CRS to Margaret at the point of the rollover recommendation, and its written supervisory procedures did not address the specific conflict of interest created by the higher compensation Driscoll received from the variable annuity issuer compared to maintaining the 403(b) plan. The firm's compliance department had treated the rollover as a brokerage transaction rather than an advisory one, despite Driscoll's fiduciary representations.

Question

Given that PIABA's president testified on February 15, 2024, before the House Subcommittee on Health, Employment, Labor, and Pensions at the hearing titled 'Protecting American Savers and Retirees from DOL's Regulatory Overreach,' and given PIABA's specific organizational advocacy position regarding predispute arbitration clauses and retirement investor protection as reflected in that testimony: (1) What novel, unsettled legal issue does Margaret's case present at the intersection of FINRA's predispute arbitration framework and DOL fiduciary standards for rollover recommendations, and (2) how does PIABA's specific advocacy position--as presented to the congressional subcommittee identified in the hearing--differ from the current enforceability framework under Exchange Act §29(a) and FINRA Rule 12200 regarding whether retirement savers can be compelled into arbitration for fiduciary breach claims?

Why Adversarial

This question requires knowing specific details from the source document: (1) that the hearing was titled 'Protecting American Savers and Retirees from DOL's Regulatory Overreach,' (2) that it occurred on February 15, 2024, before the specific Subcommittee on Health, Employment, Labor, and Pensions, (3) that Joseph C. Peiffer appeared as PIABA's president in a non-governmental capacity, and (4) that PIABA's organizational focus encompasses the intersection of predispute arbitration and retirement investor protection. A general LLM would not know the specific hearing title, the exact subcommittee, or PIABA's precise advocacy posture as reflected in this testimony disclosure. The question also requires synthesizing PIABA's known policy positions with the procedural details of the disclosure form to identify the novel legal issue that the testimony was designed to address.

Common Wrong Answer

A general LLM would likely focus on the straightforward enforceability of predispute arbitration agreements under McMahon and the FAA, concluding that the PDAA is enforceable and that FINRA arbitrators can apply DOL standards as a matter of course. It would likely miss the specific 'forum selection whipsaw' problem that PIABA has identified, and would not connect the advocacy position to the specific February 2024 hearing titled 'Protecting American Savers and Retirees from DOL's Regulatory Overreach.' Most models would also incorrectly frame this as a settled question rather than recognizing it as a novel, unsettled intersection of competing regulatory frameworks that was the specific subject of PIABA's congressional testimony.

Item 22 of 200

ANSWER: ESMA's 2018 Final Report explicitly stated that the proposed draft guidelines 'confirm and broaden' the existing MiFID I guidelines.

Topic: esma_mifid2_suitability_guidelines_consultation_process

Type: case_specific_holding

Difficulty: expert

Standard: ESMA Final Report ESMA35-43-869 (28 May 2018); MiFID II Article 25(2) of Directive 2014/65/EU; Articles 54 and 55 of Commission Delegated Regulation (EU) 2017/565; 2012 ESMA MiFID I Suitability Guidelines

Source: 23_International_Comparative

Fact Pattern

Meridian Wealth Partners GmbH is a German investment firm dual-registered with BaFin and also operating a branch in the United States registered with the SEC as an investment adviser. In March 2019, Meridian's Frankfurt office provided portfolio management services to Hans Becker, a 62-year-old retired engineer with moderate risk tolerance, a \$1.2 million portfolio, and limited experience with structured products. Meridian's compliance team had implemented suitability procedures based on the original 2012 MiFID I suitability guidelines issued by ESMA's predecessor body. The firm's internal legal counsel, Dr. Katrin Weiss, argued that the 2012 guidelines remained sufficient because MiFID II's suitability provisions in Article 25(2) did not fundamentally alter the suitability obligation -- it merely carried forward MiFID I principles.

In June 2019, BaFin conducted a thematic review of Meridian's suitability processes. BaFin's examiners noted that Meridian had not updated its suitability questionnaires, internal procedures, or staff training to reflect ESMA's updated guidelines published in 2018. Dr. Weiss responded that ESMA's 2018 Final Report on suitability guidelines (ESMA35-43-869) explicitly stated that the new guidelines merely 'confirm' the existing MiFID I guidelines and therefore no substantive changes were required.

BaFin's enforcement division disagreed. They pointed to specific language in ESMA's 2018 Final Report characterizing the relationship between the old and new guidelines. Meridian's US-side compliance officer, Jennifer Park, was consulted and noted that under US standards (Regulation Best Interest), the firm would have needed to update its processes, but she was uncertain about the precise ESMA position.

Meridian subsequently received 53 client complaints alleging unsuitable portfolio allocations during the period between January 3, 2018 (MiFID II application date) and December 2019. Meridian's defense rested entirely on the proposition that ESMA's 2018 guidelines were merely confirmatory of the 2012 guidelines and imposed no additional obligations.

During the BaFin proceedings, Meridian also argued that the guidelines had not yet been formally applicable because national competent authorities had not yet completed their compliance notifications at the time of the March 2019 portfolio management activities. Meridian cited the specific procedural mechanism described in the ESMA Final Report regarding the timeline for NCA compliance notifications.

Question

According to ESMA's 2018 Final Report on suitability guidelines (ESMA35-43-869), what specific characterization did ESMA use to describe the relationship between the new guidelines and the 2012 MiFID I suitability guidelines, and what was the precise procedural trigger and timeline for national competent authority compliance that Meridian could rely upon in its defense?

Why Adversarial

This question requires knowing two specific details from the ESMA35-43-869 document: (1) the precise phrase 'confirm and broaden' (not just 'confirm') used to describe the relationship between the 2018 and 2012 guidelines, and (2) the exact procedural mechanism -- translation into all EU official languages triggers a two-month NCA compliance notification period. A general LLM would likely not know the exact 'confirm and broaden' language and might accept Meridian's characterization that the guidelines are merely confirmatory. The two-month notification trigger tied specifically to translation publication is a procedural detail that only appears in this document and would not be known from general MiFID II knowledge.

Common Wrong Answer

A general LLM would likely state that ESMA's 2018 guidelines replaced or superseded the 2012 guidelines entirely, or alternatively accept Meridian's characterization that they merely 'confirmed' the 2012 guidelines. Most models would not identify the specific 'confirm and broaden' language. On the procedural question, a general model would likely state that guidelines become effective upon publication or upon a generic compliance date, rather than identifying the specific mechanism where translation into all official EU languages triggers a two-month NCA notification window. The model would also likely miss the distinction between the guidelines' applicability timeline and the underlying MiFID II legislative requirements that were directly applicable from January 2018.

Item 23 of 200

ANSWER: According to the ESMA 2022 Final Report (ESMA35-43-3172), the specific regulatory event triggering the update was the adoption

Topic: mifid_ii_suitability_sustainability_integration_procedural_requirements

Type: procedural_technical

Difficulty: expert

Standard: MiFID II Article 25(2) (Directive 2014/65/EU); MiFID II Delegated Regulation Articles 54 and 55 (Commission Delegated Regulation (EU) 2017/565 as amended for sustainability); ESMA Regulation Article 16(2); ESMA Final Report ESMA35-43-3172 (23 September 2022); EU Taxonomy Regulation (Regulation (EU) 2020/852); SFDR Article 2(17); Capital Markets Recovery Package amendments to MiFID II Article 25(2)

Source: 23_International_Comparative

Fact Pattern

Hartwell Capital Partners GmbH is a mid-sized investment firm headquartered in Frankfurt, Germany, authorized under MiFID II to provide both independent and non-independent investment advice as well as portfolio management services. In March 2023, Hartwell onboarded a new high-net-worth client, Margarethe Falkenberg, a 58-year-old retired pharmaceutical executive with ?4.2 million in investable assets. During the onboarding process, Hartwell's adviser, Stefan Reinhardt, conducted a suitability assessment using the firm's standard questionnaire, which had been in use since the firm's original MiFID II authorization in January 2018.

The questionnaire collected information on Margarethe's financial situation (income, assets, liabilities, ability to bear losses), her investment objectives (capital preservation with moderate growth, 10-year horizon), and her knowledge and experience with various product types including equities, fixed income, structured products, and UCITS funds. Based on this assessment, Reinhardt recommended a diversified portfolio consisting of 40% euro-denominated government bonds, 35% European large-cap equity ETFs, 15% global equity UCITS, and 10% in a structured note linked to pharmaceutical sector performance.

Critically, at no point during the suitability assessment did Reinhardt ask Margarethe about her sustainability preferences. The firm's questionnaire contained no questions regarding whether Margarethe wished to integrate environmental, social, or governance (ESG) considerations into her investment decisions, nor did it inquire about preferences for investments qualifying under the EU Taxonomy Regulation (Regulation (EU) 2020/852), investments meeting SFDR Article 2(17) definitions of sustainable investment, or investments considering principal adverse impacts on sustainability factors. Hartwell's compliance department had not updated the firm's suitability questionnaire or procedures since the original 2018 deployment.

In September 2023, Germany's BaFin conducted a supervisory review of Hartwell's suitability procedures as part of follow-up actions stemming from the 2020 Common Supervisory Action (CSA) on MiFID II suitability. The examiner flagged that Hartwell had failed to collect any sustainability preference information from Margarethe or from any of its 340 advisory clients onboarded after August 2, 2022. Hartwell's Chief Compliance Officer, Petra Neumann, argued that the firm had not yet received final national transposition guidance, that ESMA's updated guidelines were only published on September 23, 2022, and that the firm reasonably relied on its existing 2018 suitability framework as substantially compliant. She further argued that since none of Hartwell's recommended products made sustainability claims, collecting sustainability preferences was unnecessary.

BaFin rejected these arguments and issued a formal finding of non-compliance. Hartwell has retained external counsel to challenge the finding, arguing that the procedural timeline made compliance impossible given that ESMA's Final

Report on the updated suitability guidelines (ESMA35-43-3172) was only published on September 23, 2022, and that the consultation on those guidelines had only closed on April 27, 2022.

Question

Under the ESMA 2022 Final Report on MiFID II suitability guidelines (ESMA35-43-3172), what specific regulatory event triggered the update of the suitability guidelines to integrate sustainability preferences, and what was the precise procedural sequence -- including the consultation paper publication date, consultation closing date, and the number of responses received (including how many were confidential) -- that ESMA followed before publishing the final guidelines? Further, why does Hartwell's argument that the September 23, 2022 publication date of the Final Report excuses its failure to collect sustainability preferences from clients onboarded after August 2, 2022 fail as a procedural defense?

Why Adversarial

This question requires the respondent to know the exact procedural details from the ESMA35-43-3172 Final Report: the specific consultation paper date (January 27, 2022), the consultation closing date (April 27, 2022), the exact number of responses (90 total, 10 confidential), the role of the SMSG, and critically, the distinction between the binding delegated regulation amendments (effective August 2, 2022) and ESMA's supplementary guidelines (published September 23, 2022). A general LLM would likely conflate the ESMA guidelines publication date with the effective date of the sustainability preference obligation, or would not know the precise response count. The document explicitly states these figures and the regulatory architecture -- the answer requires document-level knowledge of this specific Final Report.

Common Wrong Answer

A general LLM would likely state that the ESMA guidelines themselves created the sustainability preference collection obligation and became effective on or after September 23, 2022, potentially giving Hartwell a plausible defense for the period between August 2 and September 23, 2022. It might also approximate the consultation timeline or response count incorrectly -- for example, stating 'approximately 80-100 responses' without knowing the precise figure of 90 (10 confidential). The model would likely miss the critical distinction that the MiFID II Delegated Regulation amendments are binding Level 2 law effective August 2, 2022, independent of ESMA's guidelines, which are Level 3 convergence tools.

Item 24 of 200

ANSWER:

Topic: excessive_sales_charges_suitability_threshold

Type: precise threshold (does this just barely meet or miss the standard?)

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability), FINRA Rule 2010 (Standards of Commercial Honor), FINRA Rule 3110 (Supervision), NASD Rule 2830(d) (Investment Company Securities - Breakpoints)

Source: 21_FINRA_OHO_Decisions

Fact Pattern

Margaret Paulson, age 67, opened an account with Ridgeline Securities in March 2023 with \$280,000 in retirement savings. Her investment profile indicated moderate risk tolerance, a 15-year time horizon, and an objective of income generation with capital preservation. Her representative, David Chen, recommended she invest \$180,000 across six different Class A mutual funds, each carrying a 5.25% front-end sales charge. The total sales charges paid were \$9,450.

Margaret's account size technically qualified for breakpoint discounts at the \$100,000 level (reducing the charge to 4.25%) and would have qualified for further reduction at \$250,000 (3.75% charge) through a letter of intent or rights of accumulation. However, Chen split the purchases across three different fund families rather than consolidating with one family where breakpoints could aggregate. Chen documented that diversification across fund families was appropriate to reduce 'manager risk.'

Ridgeline's supervisory system flagged the transactions on an exception report for potential breakpoint violations. The reviewing principal, Sandra Reyes, approved the transactions after noting Chen's written justification regarding manager diversification. Reyes did not contact Margaret to confirm she understood she was forgoing approximately \$2,700 in breakpoint savings by using multiple fund families. The firm's WSPs required principals to 'consider whether customers are receiving appropriate breakpoint discounts' but did not mandate customer contact.

Margaret's investments subsequently performed in line with benchmarks. She filed no complaint. However, during a FINRA examination 14 months later, the examiner questioned whether the multi-family approach was suitable when it resulted in materially higher sales charges that consumed nearly 3.4% of her invested principal without documented offsetting benefit.

Question

Did David Chen's recommendation to split Margaret's investments across multiple fund families, thereby forgoing \$2,700 in breakpoint discounts, violate FINRA suitability requirements even though he documented a diversification rationale?

Why Adversarial

Common Wrong Answer

Item 25 of 200

ANSWER:

Topic: suitability_product_ambiguity_adversarial

Type: product ambiguity (is this recommendation subject to suitability at all?)

Difficulty: hard

Standard: Regulation Best Interest Care Obligation (Exchange Act Rule 15l-1); FINRA Rule 2111 (Suitability); FINRA Regulatory Notice 12-25 (guidance on account transfers and recommendations)

Source: 15_FINRA_Regulatory_Notices

Fact Pattern

Margaret Holloway, age 58, had been a long-time client of Gregory Nash at Meridian Securities LLC. In March 2024, Nash transferred to a competing broker-dealer, Apex Financial Partners. During a phone call on March 15, 2024, Nash contacted Holloway to inform her of his move and suggested she transfer her \$840,000 brokerage account to follow him to Apex. Nash mentioned that Apex offered 'better technology platforms' and that he could 'continue providing the same excellent service.' He did not provide any written materials during this initial contact.

Holloway's account at Meridian consisted of 35% in proprietary mutual funds with backend loads ranging from 3-5% if redeemed within six years, 40% in individual municipal bonds, and 25% in a structured CD linked to an equity index with a three-year remaining term. Nash knew that transferring the account would trigger approximately \$18,200 in surrender charges on the proprietary funds, that several municipal bond positions would need to be liquidated because Apex did not support those specific issuers, and that the structured CD was non-transferable and would need to be cashed out at current market value--resulting in an estimated \$12,000 loss versus holding to maturity.

Nash did not discuss these costs or consequences with Holloway during their conversation. He simply told her that 'the process would be seamless' and that she should 'sign the ACAT transfer paperwork' he would mail to her. Holloway, trusting Nash after their twelve-year relationship, signed the documents without further inquiry. After the transfer completed in April 2024, Holloway discovered the total costs exceeded \$34,000. She filed a complaint alleging Nash failed to act in her best interest.

Apex's compliance department argues that Nash's suggestion to transfer accounts was merely 'operational guidance about account logistics' and did not constitute an investment recommendation subject to suitability or Regulation Best Interest obligations.

Question

Does Nash's suggestion that Holloway transfer her brokerage account to his new firm constitute a 'recommendation' triggering suitability or Regulation Best Interest obligations, and if so, did his conduct comply with applicable standards?

Why Adversarial

Common Wrong Answer

Item 26 of 200

ANSWER:

Topic: dual_registration_suitability_best_interest_obligations

Type: multi-party scenario (broker AND IA both involved, who owes what duty?)

Difficulty: hard

Standard: Regulation BI Care Obligation, Investment Advisers Act Section 206 fiduciary duty, FINRA Rule 2330 (variable annuities), FINRA Rule 2111 (suitability)

Source: 21_FINRA_OHO_Decisions

Fact Pattern

Margaret Chen, age 67, is a retired schoolteacher with \$485,000 in retirement savings, moderate risk tolerance, a 15-year investment horizon, and a stated need for income preservation with modest growth. In March 2023, she opened both a brokerage account at Pinnacle Securities LLC and an advisory account at Pinnacle Wealth Advisors, the firm's affiliated registered investment adviser. Both accounts were serviced by Derek Sullivan, who held dual registration as a broker-dealer representative and investment adviser representative.

On April 15, 2023, Sullivan recommended that Chen allocate \$175,000 from her brokerage account to purchase a leveraged inverse ETF (ProShort UltraVolatility 2X) designed for sophisticated daily trading strategies. Sullivan executed this as a commission-based brokerage transaction, telling Chen it would 'protect her portfolio during market downturns.' The same week, Sullivan recommended Chen move \$210,000 from her advisory account into a variable annuity with a 7-year surrender period, generating a 5.5% commission for Sullivan. Sullivan told Chen this recommendation was made in his 'fiduciary capacity as her investment adviser.'

Chen's investment policy statement in her advisory account explicitly stated she needed access to funds within 3-5 years for potential medical expenses and home modifications. The leveraged inverse ETF lost 38% of its value over the following four months due to volatility decay, while the variable annuity locked up funds Chen later needed urgently. When Chen complained, Sullivan argued that the ETF was a brokerage recommendation subject only to Regulation BI's best interest standard, while the annuity was an advisory recommendation but was suitable because it provided guaranteed income. Pinnacle's compliance department initially agreed, noting the transactions occurred in separate accounts with different regulatory frameworks.

Question

What are the applicable standards of conduct for each recommendation, and did Sullivan violate his obligations under either or both frameworks?

Why Adversarial

Common Wrong Answer

Item 27 of 200**ANSWER:**

Topic: suitability_threshold_product_ambiguity

Type: product ambiguity (is this recommendation subject to suitability at all?)

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); Reg BI Care Obligation; FINRA interpretive guidance on what constitutes a 'recommendation'

Source: 09_Law_Firm_Memos

Fact Pattern

In April 2023, Marcus Chen, a registered representative at Clearwater Securities LLC, received an inbound call from longtime customer Dorothy Wilkins, age 71, a retired schoolteacher with approximately \$340,000 in her brokerage account consisting primarily of municipal bonds and blue-chip dividend stocks. Her investment profile indicated moderate risk tolerance, income as a primary objective, and a 10-year time horizon. Mrs. Wilkins called to ask about Treasury I-Bonds after reading a newspaper article touting their inflation protection. Chen explained that his firm did not offer I-Bonds directly since they must be purchased through TreasuryDirect.gov, but mentioned that the firm did have access to Treasury Inflation-Protected Securities (TIPS) which 'work similarly' and could be purchased in her brokerage account.

Mrs. Wilkins expressed interest, and Chen proceeded to execute a purchase of \$85,000 in a single TIPS ETF (ticker: SCHP) on her behalf. Chen did not discuss the differences between I-Bonds and TIPS, including duration risk, the fact that TIPS can lose value in rising rate environments, or that I-Bonds have principal protection while TIPS do not. He also did not mention that TIPS ETFs add another layer of interest rate sensitivity and can trade at premiums or discounts to NAV. Over the following 14 months, the position declined approximately 8.2% as interest rates continued to rise.

When Mrs. Wilkins complained, Clearwater's compliance department initially took the position that Chen merely executed an unsolicited order for a government-backed security after the customer initiated the conversation about inflation-protected investments. The firm argued that since Mrs. Wilkins asked about inflation protection and TIPS are explicitly government securities, no suitability analysis was required for what was essentially a customer-directed trade in a low-risk product category.

Question

Did Chen's conduct constitute a 'recommendation' triggering FINRA suitability obligations, and if so, was the recommendation suitable for Mrs. Wilkins given her investment profile?

Why Adversarial**Common Wrong Answer**

Item 28 of 200

ANSWER:

Topic: dual_registration_suitability_fiduciary_conflict

Type: multi-party scenario (broker AND IA both involved, who owes what duty?)

Difficulty: hard

Standard: Investment Advisers Act of 1940 fiduciary duty; Regulation Best Interest Care Obligation; FINRA Rule 2111 (Suitability); SEC Interpretation Regarding Standard of Conduct for Investment Advisers (2019)

Source: 10_Academic_Articles

Fact Pattern

Margaret Chen, age 62, recently retired from her position as a municipal bond analyst with \$1.8 million in savings. She met with Thomas Ridley at Pinnacle Financial Group in March 2023. Ridley is dually registered--he holds Series 7 and 66 licenses and is associated with Pinnacle Securities (a broker-dealer) and Pinnacle Advisors, LLC (a registered investment adviser). During the initial meeting, Margaret explained she needed income to supplement her pension and Social Security, had moderate risk tolerance, and wanted to preserve capital for her disabled adult son's future care needs.

Ridley recommended Margaret split her assets: \$900,000 would go into a fee-based advisory account at Pinnacle Advisors with a 1.25% annual wrap fee, managed according to a moderate-growth model portfolio. The remaining \$900,000 would be used to purchase a variable annuity with a guaranteed minimum withdrawal benefit through Pinnacle Securities, generating a 4.5% front-end commission.

The advisory account agreement Margaret signed contained language stating she was establishing a 'fiduciary relationship' with Pinnacle Advisors. The variable annuity purchase documents, processed through Pinnacle Securities, referenced FINRA's suitability standard. Ridley told Margaret verbally that 'either way, I'm looking out for your best interests.'

Six months later, Margaret discovered that the variable annuity carried total annual expenses of 3.2% and had a seven-year surrender period with declining charges starting at 7%. The advisory account's model portfolio held 35% in emerging market equities and 20% in high-yield bonds. Margaret complained that neither recommendation aligned with her stated objectives of income and capital preservation, and that she was confused about which standard of care applied to which recommendation.

Question

Under what standards of care should Ridley's recommendations be evaluated, and did either the advisory account recommendation or the variable annuity recommendation satisfy the applicable obligation?

Why Adversarial

Common Wrong Answer

Item 29 of 200

ANSWER:

Topic: suitability_leveraged_etf_customer_classification_edge_case

Type: edge case customer profile (institutional? retail? which standard applies?)

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); Regulation Best Interest (Exchange Act Rule 15l-1); Securities Exchange Act Section 10(b); FINRA Rule 2010 (Standards of Commercial Honor)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Chen is a 67-year-old retired actuary who managed pension fund investments for 30 years before retiring in 2019. She maintains a personal brokerage account at Meridian Capital Partners with approximately \$2.8 million in assets. Her account documentation lists her investment objective as 'growth' with a 'moderate' risk tolerance and a 10-year time horizon. In March 2023, her registered representative, David Walsh, recommended she invest \$420,000 (15% of her portfolio) in a 3x leveraged inverse S&P 500 ETF to hedge against market volatility she had expressed concern about.

Walsh justified the recommendation by noting that Chen's actuarial background meant she could understand the complex mathematics underlying leveraged products, and he referenced her prior professional experience evaluating derivative instruments for pension portfolios. Chen agreed to the purchase. Walsh did not discuss the daily reset mechanism, volatility decay, or the product's unsuitability for holding periods beyond a single trading day.

Chen held the position for seven months. During this period, the S&P 500 rose modestly, but due to compounding effects and volatility decay, her position lost approximately \$185,000 (44% of the investment). She filed a FINRA arbitration claim alleging unsuitable recommendations.

Meridian Capital Partners argues that Chen should be treated as a sophisticated investor given her institutional background, and that the suitability analysis should be evaluated under a standard that accounts for her professional expertise. They contend that Regulation Best Interest's care obligation was satisfied because Chen possessed the knowledge to independently evaluate the recommendation. Walsh's supervisor had approved the transaction based solely on a notation that 'client has 30 years institutional investment experience.'

Question

Does Margaret Chen's prior institutional experience as a pension fund manager change the suitability analysis applicable to Walsh's recommendation of the leveraged inverse ETF, and did the firm meet its care obligations under the applicable standard?

Why Adversarial

Common Wrong Answer

Item 30 of 200

ANSWER:

Topic: suitability_product_ambiguity_529_plan

Type: product ambiguity (is this recommendation subject to suitability at all?)

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor); MSRB Rule G-19 (Suitability of Recommendations and Transactions)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

In March 2023, registered representative David Thornton of Pinnacle Securities LLC met with Margaret Ellison, a 58-year-old administrative assistant earning \$52,000 annually with approximately \$180,000 in retirement savings. Ellison's daughter, age 34, had recently announced she was expecting a baby. During the meeting, Thornton enthusiastically recommended that Ellison open a 529 college savings plan for her future grandchild, suggesting she contribute \$75,000 from her taxable brokerage account--representing roughly 60% of her non-retirement liquid assets.

Thornton explained that the 529 plan offered by his firm's affiliated program manager provided tax-free growth and withdrawals for qualified education expenses. He selected an age-based aggressive growth portfolio within the 529 plan, noting the beneficiary wouldn't need the funds for approximately 18 years. Thornton did not discuss Ellison's own retirement timeline, her lack of long-term care insurance, or the fact that she had not yet maximized her 401(k) contributions.

When Ellison expressed mild concern about tying up such a substantial portion of her savings, Thornton assured her that 529 plans were 'different from regular investments' and that the recommendation was merely 'helping with college planning, not investment advice.' He noted that the funds would belong to her as account owner, though she could change beneficiaries if needed. Ellison proceeded with the \$75,000 contribution.

Eighteen months later, Ellison faced unexpected medical expenses and discovered that withdrawing funds from the 529 for non-educational purposes would trigger a 10% penalty plus income taxes on earnings. She filed a complaint alleging the recommendation was unsuitable given her financial circumstances and proximity to retirement. Pinnacle Securities argued that 529 plan recommendations are educational savings vehicles exempt from FINRA suitability requirements, citing the plans' status as municipal securities.

Question

Was Thornton's recommendation of a \$75,000 contribution to a 529 plan subject to FINRA's suitability rule, and if so, did the recommendation violate that standard?

Why Adversarial

Common Wrong Answer

Item 31 of 200**ANSWER:**

Topic: reg_bi_vs_state_fiduciary_best_interest_conflict

Type: rule conflict (Reg BI vs. state fiduciary standard disagree)

Difficulty: hard

Standard: SEC Regulation Best Interest (Exchange Act Rule 15l-1), Care Obligation; Massachusetts 950 CMR 12.207 state fiduciary standard; FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Holloway, age 71, is a retired schoolteacher residing in Massachusetts with a \$425,000 IRA rollover from her state pension system. She visited Coastal Ridge Securities, a dual-registered broker-dealer and RIA, in March 2024 seeking income-generating investments to supplement her \$2,100 monthly Social Security. Her documented investment profile indicated moderate risk tolerance, a 15-year time horizon, and a primary objective of income with capital preservation as secondary. Her liquid net worth outside the IRA was approximately \$85,000.

Registered representative Daniel Vickers, operating in his broker-dealer capacity under Reg BI, recommended Mrs. Holloway allocate \$340,000 (80% of the rollover) to a proprietary structured note product called 'Coastal Ridge Income Plus Notes' with a 7-year maturity, yielding 6.2% annually. The notes carried significant downside exposure tied to a basket of three technology stocks, with principal at risk if any underlying stock declined more than 30% from its reference price. The product paid Coastal Ridge a 4.5% upfront commission versus 1.2% for comparable Treasury-based income products.

Vickers documented his analysis showing the structured notes had a reasonable basis for income-seeking retirees and that Mrs. Holloway's moderate risk tolerance and 15-year horizon made the product suitable. He disclosed the commission differential and conflicts verbally during the meeting. Massachusetts, however, had adopted a state fiduciary standard in 2020 requiring broker-dealers to act in the customer's 'best interest' using language interpreted by state regulators as imposing a stricter duty than federal Reg BI--specifically requiring advisers to recommend the 'best' reasonably available option, not merely a suitable one with disclosed conflicts.

In November 2024, one of the underlying technology stocks declined 45%, triggering a \$119,000 loss of principal on Mrs. Holloway's structured notes. She filed a complaint alleging Vickers failed to meet his best interest obligation.

Question

Did Daniel Vickers satisfy his regulatory obligations under both SEC Regulation Best Interest and the Massachusetts state fiduciary standard when recommending the proprietary structured notes to Mrs. Holloway?

Why Adversarial**Common Wrong Answer**

Item 32 of 200**ANSWER:**

Topic: suitability_product_scope_ambiguity

Type: product ambiguity (is this recommendation subject to suitability at all?)

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor); Securities Act of 1933 Section 2(a)(1) definition of security; Investment Advisers Act of 1940 fiduciary duty

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Sinclair, age 67, retired from her position as a hospital administrator in March 2023 with a \$485,000 401(k) balance at Fidelity. She visited the local branch office of Crossbridge Wealth Partners, a dually-registered broker-dealer and RIA, seeking guidance on what to do with her retirement funds. Her stated objectives were capital preservation and generating income to supplement her \$2,400 monthly Social Security payments. She indicated moderate risk tolerance and no prior experience with complex investments.

During a single 45-minute consultation on April 3, 2023, registered representative Daniel Okonkwo discussed several options. He ultimately recommended that Mrs. Sinclair purchase a bank-issued certificate of deposit (CD) directly from First National Bank, a banking institution unaffiliated with Crossbridge. The CD was a 5-year jumbo CD offering 4.85% APY with early withdrawal penalties. Okonkwo did not execute the transaction himself but instead provided Mrs. Sinclair with the bank's phone number and branch address, telling her to 'mention his name' when she visited. First National had no referral arrangement or compensation agreement with Crossbridge or Okonkwo.

Mrs. Sinclair subsequently purchased the CD directly from First National, investing \$250,000 of her retirement savings. Six months later, she needed to access \$80,000 for unexpected medical expenses and incurred substantial early withdrawal penalties totaling \$9,700. She filed a FINRA arbitration claim against Crossbridge and Okonkwo, alleging the recommendation was unsuitable given her need for liquidity and that the 5-year lockup was inappropriate for a retiree with no other liquid savings. Okonkwo's defense argues that because the CD was a bank product purchased directly from an unaffiliated bank with no compensation to him or Crossbridge, FINRA's suitability rule does not apply to his recommendation.

Question

Does FINRA Rule 2111 apply to Okonkwo's recommendation that Mrs. Sinclair purchase a bank CD directly from an unaffiliated institution, given that he received no compensation and did not execute the transaction?

Why Adversarial**Common Wrong Answer**

Item 33 of 200**ANSWER:**

Topic: suitability_product_classification_ambiguity

Type: product ambiguity (is this recommendation subject to suitability at all?)

Difficulty: hard

Standard: FINRA Rule 2330 (Deferred Variable Annuities); FINRA Rule 2111 (Suitability); FINRA Rule 3110 (Supervision)

Source: 09_Law_Firm_Memos

Fact Pattern

Sterling Wealth Partners LLC is a dual-registrant firm operating as both a broker-dealer and investment adviser. On March 15, 2024, Marcus Webb, a registered representative at Sterling, met with longtime client Dorothy Chen, a 67-year-old retired schoolteacher with \$485,000 in her IRA and moderate risk tolerance. Dorothy expressed concern about market volatility and mentioned she wanted 'something safe with some growth potential.'

Marcus presented Dorothy with a variable annuity product offered by Guaranteed Life Insurance Company. However, rather than recommending the variable annuity itself, Marcus specifically discussed only the fixed account option within the variable annuity contract--a sub-account that functions essentially like a traditional fixed annuity, offering a guaranteed 3.2% interest rate with no exposure to market fluctuations. Marcus explained that Dorothy could allocate 100% of her premium to this fixed account and never touch the variable sub-accounts.

Dorothy invested \$200,000 from her IRA into the variable annuity contract, directing all funds to the fixed account option. The variable annuity carried a 7-year surrender period with declining charges starting at 7%, mortality and expense charges of 1.35% annually (applied to all assets including the fixed account), and administrative fees of \$35 per year. A standalone fixed annuity from the same insurer would have offered a 3.5% rate with a 5-year surrender period and no M&E charges.

Marcus documented the transaction as a 'fixed account election within variable annuity' and did not complete the firm's enhanced suitability review form required for variable annuity sales, reasoning that since Dorothy was only using the fixed portion, the variable annuity suitability framework did not apply. Sterling's compliance department flagged the transaction six months later during a routine review.

Question

Was Marcus's recommendation of the variable annuity (with full allocation to the fixed account) subject to variable annuity suitability requirements under FINRA Rule 2330, and did his advice satisfy the applicable standard of care?

Why Adversarial**Common Wrong Answer**

Item 34 of 200

ANSWER:

Topic: dual_standard_alternative_investment_due_diligence_suitability

Type: multi-party scenario (broker AND IA both involved, who owes what duty?)

Difficulty: hard

Standard: Investment Advisers Act §206 (fiduciary duty); Reg BI Care Obligation; OCIE guidance on alternative investment due diligence processes

Source: 05_SEC_Exam_Findings

Fact Pattern

Margaret Chen, age 58, has accumulated \$1.8 million in her 401(k) and is planning to retire in four years. In September 2023, she engaged with Horizon Wealth Partners, a dually-registered entity operating as both a registered investment adviser and a broker-dealer. Her primary contact was David Rothwell, who holds both Series 7 and Series 66 licenses. Margaret explicitly told David she wanted 'moderate growth with capital preservation' and expressed concern about market volatility affecting her retirement timeline.

In October 2023, David recommended Margaret roll over her 401(k) to an IRA and allocate 35% (\$630,000) to the Apex Alternative Credit Fund II, a private credit fund with a 7-year lockup, 2% annual management fee, and 20% carried interest. David explained this was a 'bond alternative' that would provide steady income. The recommendation was made during a meeting where David was explicitly acting in his capacity as an investment adviser representative, as documented in the engagement letter signed that day specifying advisory services for the IRA account.

However, the actual transaction was executed through Horizon's broker-dealer side, with David receiving a 4% upfront commission (\$25,200) plus trailing compensation. The private placement memorandum for Apex Alternative Credit Fund II disclosed concentration in distressed commercial real estate debt and subordinated tranches of CLOs, with historical volatility significantly exceeding investment-grade bonds. David conducted no independent verification of Apex's assets, did not request transparency reports from the fund administrator, and relied solely on marketing materials provided by Apex's wholesaler.

In March 2024, Apex suspended redemptions entirely due to liquidity issues in its underlying portfolio. Margaret, now unable to access \$630,000 of her retirement savings, filed a complaint alleging the recommendation was unsuitable and that inadequate due diligence was performed.

Question

Given that David Rothwell provided advice in his IA capacity but executed through the broker-dealer, which regulatory standard governs the suitability determination, and did the recommendation and due diligence process satisfy the applicable obligations?

Why Adversarial

Common Wrong Answer

Item 35 of 200**ANSWER:**

Topic: suitability_product_coverage_ambiguity

Type: product ambiguity (is this recommendation subject to suitability at all?)

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); Securities Act Section 2(a)(1) (security definition); SEC v. W.J. Howey Co. (investment contract test); FINRA Rule 2010 (Standards of Commercial Honor)

Source: 10_Academic_Articles

Fact Pattern

Marcus Sterling is a registered representative at Pinnacle Securities LLC, a dual-registered broker-dealer and investment adviser. In March 2024, a long-time customer, Helen Vance (age 58, moderate risk tolerance, \$380,000 in retirement savings, no prior alternative investment experience), asked Marcus about ways to diversify beyond traditional stocks and bonds. During their conversation, Marcus mentioned that a colleague at an affiliated real estate firm, Pinnacle Realty Partners, was raising capital for a direct participation program involving farmland acquisition in Iowa. Marcus explained the general structure--investors would purchase direct ownership interests in specific agricultural parcels, with projected annual distributions of 6-8% from crop lease revenues. Helen expressed interest and asked Marcus to provide materials.

Marcus forwarded a private placement memorandum from Pinnacle Realty Partners directly to Helen via email, adding a cover note stating: 'Helen, I think this could be a good fit for your situation given current market volatility. The farmland sector has historically shown low correlation to equities. Let me know if you'd like to proceed--I can connect you with our realty team.' Helen subsequently invested \$95,000 (25% of her retirement portfolio) directly with Pinnacle Realty Partners. Marcus received no transaction-based compensation from Pinnacle Securities for this investment, though Pinnacle Realty Partners paid a \$4,750 referral fee directly to Marcus personally.

The farmland investment was structured as a tenancy-in-common interest, not a security under federal law according to Pinnacle Realty Partners' counsel. When the investment significantly underperformed and Helen complained to FINRA, Pinnacle Securities argued that Marcus's communication was merely an informal referral to an affiliated real estate venture involving non-security interests, and therefore fell outside FINRA's suitability jurisdiction entirely.

Question

Did Marcus Sterling's recommendation of the farmland tenancy-in-common investment to Helen Vance trigger FINRA suitability obligations, and if so, did his conduct satisfy those requirements?

Why Adversarial**Common Wrong Answer**

Item 36 of 200**ANSWER:**

Topic: reg_bi_suitability_temporal_application

Type: temporal trap (rule changed mid-period, which version applies?)

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); SEC Regulation Best Interest Rule 15l-1 (for temporal analysis); FINRA Rule 2111.05(a) (complex products)

Source: 03_FINRA_AWC

Fact Pattern

Harold Weston, age 67, is a retired machinist with \$485,000 in savings, moderate investment experience limited to mutual funds and CDs, and a stated risk tolerance of 'moderate-conservative.' On May 15, 2020, his broker Marcus Rivera at Pinnacle Securities recommended that Harold liquidate approximately \$290,000 from his traditional IRA holding diversified bond funds and purchase a complex structured note tied to the S&P 500 with a 7-year maturity, principal protection contingent on the index not falling more than 30%, and an embedded call feature allowing the issuer to redeem after year three. Rivera documented the recommendation in the firm's system on May 15, 2020, and Harold signed the purchase documents that same day.

However, due to back-office processing delays and the structured note's settlement cycle, the actual trade execution and settlement did not occur until July 8, 2020. The structured note subsequently underperformed, and Harold filed a complaint in March 2023 alleging the recommendation was unsuitable for his age, risk profile, and liquidity needs given his retirement status.

Pinnacle Securities' compliance department reviewed the matter and noted that Regulation Best Interest became effective June 30, 2020. The firm's internal records show the recommendation was made and documented on May 15, 2020, but trade execution occurred on July 8, 2020. Rivera's supervisor had approved the transaction on May 22, 2020, based on the suitability standard then in effect. The firm argues the recommendation should be evaluated under FINRA Rule 2111 (Suitability) because the recommendation occurred before Reg BI's effective date. Harold's attorney contends that because execution occurred after June 30, 2020, the stricter Reg BI Care Obligation applies.

Question

Which regulatory standard--FINRA Rule 2111 Suitability or SEC Regulation Best Interest--applies to evaluate Marcus Rivera's recommendation to Harold Weston, and under either applicable standard, was the recommendation compliant?

Why Adversarial**Common Wrong Answer**

Item 37 of 200

ANSWER:

Topic: robo_adviser_ai_recommendation_suitability_best_interest

Type: novel fact pattern (robo-adviser, crypto, AI-generated recommendation)

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor); Regulation Best Interest Care Obligation; Investment Advisers Act Section 206 Fiduciary Duty; Exchange Act Section 10(b)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

DigitalWealth Advisers LLC is a dually-registered broker-dealer and investment adviser that launched 'SmartPath Pro,' a robo-adviser platform in January 2024. The platform uses a proprietary AI algorithm to generate investment recommendations based on customer questionnaires. Gloria Mendez, age 67, retired schoolteacher with \$485,000 in retirement savings and monthly pension income of \$3,200, completed the SmartPath Pro onboarding questionnaire in March 2024. She indicated her investment objective as 'income with capital preservation,' time horizon of '5-10 years,' risk tolerance as 'conservative,' and investment experience as 'limited--mostly CDs and savings bonds.' The AI algorithm generated a portfolio recommendation allocating 35% to a cryptocurrency index fund, 25% to leveraged ETFs tracking technology stocks, 20% to high-yield corporate bonds rated BB or below, and 20% to money market funds.

DigitalWealth's compliance department had approved the SmartPath Pro algorithm based on backtesting showing strong risk-adjusted returns over a simulated 10-year period. The platform disclosed to Ms. Mendez in a 47-page terms of service document that 'recommendations are generated algorithmically and may include alternative assets and leveraged products.' A human registered representative, Jason Whitfield, was assigned to Ms. Mendez's account but only reviewed her profile and the AI-generated recommendation for approximately 90 seconds before clicking 'approve' in the system, generating a confirmation email to Ms. Mendez stating the recommendation was 'reviewed and approved by your personal adviser.'

Ms. Mendez accepted the recommendation and invested her entire \$485,000. Within six months, her portfolio declined by \$187,000 (38.6%) due to cryptocurrency volatility and leveraged ETF decay. When she complained, DigitalWealth argued that (1) the AI recommendation was based on sophisticated quantitative analysis, (2) disclosure was provided regarding algorithmic recommendations and product types, (3) a human representative reviewed and approved the recommendation, and (4) the backtested algorithm had been compliance-approved. Mr. Whitfield stated in his deposition that he trusted the AI system's output and did not independently evaluate whether the specific allocation was suitable for Ms. Mendez's stated profile.

Question

Did DigitalWealth Advisers LLC and/or Jason Whitfield satisfy their suitability and best interest obligations with respect to the AI-generated recommendation provided to Gloria Mendez, and does the use of an approved robo-adviser algorithm and disclosure of product types constitute adequate compliance?

Why Adversarial

Common Wrong Answer

Item 38 of 200

ANSWER:

Topic: dual_registration_suitability_obligations_commodity_pools

Type: multi-party scenario (broker AND IA both involved, who owes what duty?)

Difficulty: hard

Standard: SEC Regulation Best Interest Care Obligation; Investment Advisers Act fiduciary duty; NFA Rule 2-30; CEA Section 40; CFTC Regulation 4.41

Source: 19_CFTC_Guidance

Fact Pattern

Westfield Capital Advisers LLC is a dually-registered investment adviser and CPO operating a commodity pool called the Westfield Strategic Futures Fund. The fund invests primarily in managed futures strategies through various CTAs. Margaret Chen, age 62, is a retired schoolteacher with \$850,000 in retirement savings, moderate risk tolerance, and income generation as her primary objective. Her liquid net worth is approximately \$920,000.

In March 2023, Margaret met with David Kowalski, an associated person of Clearview Securities Inc. (a registered broker-dealer) who also serves as an investment adviser representative of Westfield Capital Advisers. Kowalski recommended Margaret invest \$425,000 (approximately 50% of her retirement assets) into the Westfield Strategic Futures Fund, emphasizing the 'diversification benefits' and 'low correlation to traditional markets.' The fund's disclosure document revealed a 3% management fee, 20% incentive fee, and historical maximum drawdown of 34%.

Kowalski conducted the recommendation meeting in his capacity as an IAR of Westfield, providing a written investment advisory agreement. However, the actual subscription and fund purchase was processed through his broker-dealer, Clearview Securities, which earned a 2% placement fee on the investment. Clearview's account documentation classified Margaret as a 'growth-oriented' investor based on a brief questionnaire Kowalski administered.

Westfield Capital Advisers delegated the selection of underlying CTAs to an unaffiliated sub-adviser, Horizon Trading Consultants LLC, which is a registered CTA but not an investment adviser. Horizon selected three aggressive momentum-based CTAs for the pool's trading, despite the pool's marketing materials suggesting a 'balanced approach to managed futures.' Within eight months, Margaret's investment declined 28% due to concentrated losses in volatile energy futures positions taken by one of Horizon's selected CTAs.

Question

Given the overlapping roles and registration statuses of the parties involved, which entity or entities violated their suitability or best interest obligations to Margaret Chen, and under which specific regulatory frameworks?

Why Adversarial

Common Wrong Answer

Item 39 of 200**ANSWER:**

Topic: best_interest_standard_conflict_dual_registration

Type: rule conflict (Reg BI vs. state fiduciary standard disagree)

Difficulty: hard

Standard: SEC Regulation Best Interest (Care Obligation); Massachusetts 950 CMR 12.207 Fiduciary Conduct Standard; FINRA Rule 2111 (Suitability)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Marcus Webb is a dually-registered representative of Pinnacle Securities LLC (a broker-dealer) and also serves as an investment adviser representative of Pinnacle Advisory Services LLC, a state-registered investment adviser in Massachusetts. In March 2024, Webb met with Eleanor Fitzgerald, a 67-year-old retired schoolteacher residing in Worcester, Massachusetts, with \$485,000 in retirement savings held in a traditional IRA at another custodian. Fitzgerald sought guidance on whether to roll over her IRA to Pinnacle and how to invest the proceeds to generate stable income while preserving capital for potential long-term care needs.

Webb recommended Fitzgerald roll over her entire IRA to Pinnacle Securities and invest 60% (\$291,000) in a variable annuity with a guaranteed lifetime withdrawal benefit rider, which carried total annual expenses of 3.15% including the rider cost and underlying fund fees. The annuity paid Webb a 5.5% commission (\$16,005). Webb presented this recommendation through his broker-dealer capacity, documenting it under Reg BI protocols with a disclosure that the recommendation was in Fitzgerald's 'best interest' considering her income needs and longevity concerns.

However, Fitzgerald's intake documents, completed during her initial consultation, indicated she was seeking 'ongoing investment advice and portfolio management' and had checked a box requesting 'fiduciary-level guidance.' Webb did not establish an advisory relationship or provide the recommendation through Pinnacle Advisory Services. Massachusetts had adopted its fiduciary conduct standard for broker-dealers effective March 2020, which requires broker-dealers and their agents to act in the customer's best interest without regard to the financial interest of the broker-dealer or agent.

Fitzgerald later discovered that lower-cost alternatives existed, including a similar variable annuity from the same carrier with a 2.35% total expense ratio that paid a 3% commission, as well as a managed portfolio option through Pinnacle Advisory Services charging 1.1% annually. Webb had not documented consideration of these alternatives in his Reg BI disclosure materials.

Question

Given Webb's dual registration and Massachusetts's enhanced fiduciary standard for broker-dealers, did Webb's recommendation of the higher-cost variable annuity violate applicable standards, and which standard--SEC Regulation Best Interest or the Massachusetts fiduciary rule--controls the analysis of his conduct?

Why Adversarial**Common Wrong Answer**

Item 40 of 200**ANSWER:**

Topic: suitability_concentration_threshold

Type: precise threshold (does this just barely meet or miss the standard?)

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2111.05(a) (Concentration); FINRA Rule 2010 (Standards of Commercial Honor)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Marcus Delano, age 58, approached Westfield Securities LLC in March 2022 seeking assistance with his retirement portfolio. His completed account documentation showed liquid net worth of \$620,000 (excluding his primary residence), annual income of \$95,000 as a mid-level corporate accountant, a moderate risk tolerance, and an investment time horizon of 7-10 years until retirement. His stated objective was 'growth with income' and he indicated 'some' investment experience, primarily with mutual funds and blue-chip stocks over the past 15 years.

Registered representative Daniel Forsythe recommended that Marcus invest \$155,000 (25% of liquid net worth) into Micron Technology stock, citing the semiconductor industry's growth potential and the company's strong earnings trajectory. Forsythe documented his rationale, noting that single-stock positions up to 25% were permissible under Westfield's internal guidelines for customers with moderate risk tolerance. The firm's written supervisory procedures stated that positions exceeding 25% 'generally require enhanced suitability review' but did not establish a bright-line prohibition.

Marcus followed the recommendation in April 2022, purchasing 1,938 shares at approximately \$80 per share. By October 2022, Micron had declined to approximately \$50 per share, and Marcus's position was worth roughly \$97,000--a loss of approximately \$58,000. Marcus did not contact Forsythe during this period, and Forsythe made no effort to contact Marcus about the decline or recommend any portfolio rebalancing.

Marcus filed a FINRA arbitration claim alleging that the 25% concentration in a single volatile technology stock was unsuitable for a 58-year-old moderate-risk investor approaching retirement, constituting a breach of FINRA Rule 2111. Westfield defended by arguing that the position was within firm guidelines, properly documented, and that Marcus's moderate risk tolerance and 7-10 year horizon supported growth-oriented positions. Westfield also noted that Marcus had signed acknowledgment forms confirming he understood the risks of concentrated equity positions.

Question

Did Forsythe's recommendation to place exactly 25% of Marcus's liquid net worth in a single technology stock satisfy the reasonable-basis and customer-specific suitability obligations under FINRA Rule 2111, given that the position was at the maximum threshold permitted by firm guidelines?

Why Adversarial**Common Wrong Answer**

Item 41 of 200

ANSWER:

Topic: suitability_standard_applicability_institutional_vs_retail

Type: edge case customer profile (institutional? retail? which standard applies?)

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability), FINRA Rule 2111.07 (Institutional Account Exemption), FINRA Rule 4512(c) (Institutional Account Definition), FINRA Rule 2010 (Standards of Commercial Honor)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Greentree Capital Partners LLC is a registered broker-dealer. In March 2024, registered representative Marcus Donovan received an order from Lakefield Family Holdings, a single-family office managing approximately \$47 million in investable assets for the Lakefield family across three generations. The family office employs one full-time investment analyst, Sandra Chen, who holds a Series 65 license but no other professional credentials. The family office was established in 2019 and operates from a small office in suburban Connecticut.

Donovan recommended that Lakefield Family Holdings invest \$8 million in a structured note tied to a basket of emerging market currencies with a 5-year maturity, embedded leverage of 3x, and principal-at-risk features if the currency basket declined more than 15% from inception. The note carried significant liquidity constraints and early redemption penalties of 12%. The family office's stated investment objectives were moderate growth with capital preservation emphasis, and their existing portfolio consisted primarily of investment-grade bonds and blue-chip equities.

Donovan's firm had designated Lakefield Family Holdings as an 'institutional account' in its customer records based solely on the \$47 million in assets under management. When Sandra Chen asked questions about the downside scenarios for the structured note, Donovan provided a term sheet and offering memorandum but did not conduct any further suitability analysis, relying on the institutional designation. He assumed that because Chen held a Series 65 and the family office met the \$10 million asset threshold, the firm's obligations were limited to ensuring the family office was capable of independently evaluating investment risks.

Within 18 months, the emerging market currency basket declined 22%, and the structured note lost approximately \$4.2 million in principal value. The Lakefield family filed an arbitration claim alleging unsuitable investment recommendations and breach of duty of care.

Question

Did Greentree Capital Partners properly treat Lakefield Family Holdings as an institutional customer entitled to a modified suitability analysis, or was full retail suitability analysis required under FINRA Rule 2111?

Why Adversarial

Common Wrong Answer

Item 42 of 200

ANSWER:

Topic: reg_bi_institutional_retail_customer_classification

Type: edge case customer profile (institutional? retail? which standard applies?)

Difficulty: hard

Standard: Regulation Best Interest Rule 15l-1(a)(2)(ii) Care Obligation; Rule 15l-1(b)(1) retail customer definition; FINRA Rule 2111 Suitability; FINRA Rule 4512(c) institutional account definition

Source: 03_FINRA_AWC

Fact Pattern

Meridian Capital Partners, a broker-dealer, received an order in March 2024 from Thornwood Family Holdings LLC, a family office managing \$48 million in assets for the descendants of a wealthy industrialist. The LLC had four beneficial owners: the 82-year-old matriarch and her three adult children. Thornwood was formed solely to manage family wealth and was not registered as an investment adviser. Registered representative Derek Simmons at Meridian dealt exclusively with the family's 45-year-old son, Marcus, who held a signed trading authorization and represented himself as 'extremely sophisticated' with 'decades of experience in private equity.'

Simmons recommended that Thornwood allocate \$8.5 million (approximately 18% of assets) to a structured product linked to a basket of emerging market currencies with a 7-year lockup and principal-at-risk features tied to currency fluctuation thresholds. The product carried a 4.2% upfront commission. Simmons conducted no formal risk assessment of the other three beneficial owners, relying entirely on Marcus's self-described expertise and a brief questionnaire Marcus completed on behalf of the LLC.

Six months later, the matriarch discovered the investment during a portfolio review and complained to FINRA. She stated she was entirely risk-averse following her husband's death and had instructed Marcus that no more than 5% of family assets should be in speculative positions. Meridian's compliance records showed the firm had classified Thornwood as an 'institutional account' based on the LLC's total assets exceeding \$10 million, and therefore did not apply Reg BI's care obligation.

Simmons defended his recommendation by noting Marcus's authorization and the institutional classification. Meridian argued that even if Reg BI applied, the recommendation was suitable given Marcus's stated sophistication and the family's overall wealth.

Question

Did Meridian properly classify Thornwood Family Holdings LLC as an institutional account exempt from Regulation Best Interest, and if Reg BI applies, did Simmons satisfy his care obligation?

Why Adversarial

Common Wrong Answer

Item 43 of 200**ANSWER:**

Topic: reg_bi_vs_state_fiduciary_conflict_annuity_recommendation

Type: rule conflict (Reg BI vs. state fiduciary standard disagree)

Difficulty: hard

Standard: SEC Regulation BI Care Obligation (Exchange Act Section 15(l)); Oregon Insurance Division fiduciary standard for annuity recommendations; NAIC Model Regulation on annuity suitability

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Holloway, age 68, retired from her position as a hospital administrator in Portland, Oregon in January 2023. She rolled her \$485,000 defined contribution plan into an IRA at Cascade Financial Partners, a broker-dealer dually registered as an investment adviser in multiple states. Her assigned representative, Daniel Kramer, conducted a thorough suitability analysis documenting her moderate risk tolerance, 15-year investment horizon, need for income supplementation of \$2,400 monthly starting in 2025, and limited investment experience beyond target-date funds.

In March 2023, Kramer recommended Mrs. Holloway allocate \$340,000 (70% of her IRA) to a variable annuity with a lifetime income rider. The product carried total annual costs of 3.2%, including a mortality and expense charge of 1.15%, administrative fees of 0.25%, subaccount expenses averaging 0.95%, and the income rider fee of 0.85%. The annuity had a 7-year surrender schedule with a 7% initial surrender charge. Kramer received a 5.5% upfront commission (\$18,700) on this sale.

Kramer documented his Regulation BI analysis, noting the annuity would provide guaranteed lifetime income meeting Mrs. Holloway's stated income needs, protection against market volatility, and a death benefit for her two adult children. He presented three alternative products: a lower-cost variable annuity (2.4% total cost, smaller income guarantee), a systematic withdrawal strategy using a diversified portfolio, and a fixed indexed annuity with lower fees but less growth potential.

Oregon adopted its own fiduciary standard for annuity sales effective January 2022, which requires that recommendations be in the consumer's 'best interest' using a standard that explicitly incorporates NAIC Model Regulation elements but adds state-specific language requiring advisers to demonstrate that no reasonably available alternative would better serve the consumer's needs. The Oregon Insurance Division has interpreted this to require documented consideration of whether lower-cost products could achieve substantially similar outcomes.

Question

Did Kramer's recommendation comply with both Regulation BI and Oregon's state fiduciary standard, and if the standards produce different outcomes, which standard controls?

Why Adversarial**Common Wrong Answer**

Item 44 of 200

ANSWER:

Topic: multi_party_fiduciary_duty_suitability_analysis

Type: multi-party scenario (broker AND IA both involved, who owes what duty?)

Difficulty: hard

Standard: Regulation BI Care Obligation; Investment Advisers Act Section 206; FINRA Rule 2111 (Suitability); SEC interpretive guidance on dual-registrant capacity obligations

Source: 09_Law_Firm_Memos

Fact Pattern

Margaret Thornton, age 71, is a retired schoolteacher with \$680,000 in retirement savings, consisting of a 403(b) account valued at \$520,000 and a separate taxable brokerage account with \$160,000. Her risk tolerance questionnaire indicates she is conservative, seeking income preservation with modest growth, and she has stated her primary goal is to fund her living expenses for the next 20 years without depleting principal.

In March 2024, Margaret engaged Clearwater Financial Partners, a dually registered firm operating both as a broker-dealer and investment adviser. She signed an advisory agreement for her taxable account, establishing a fee-based relationship where Clearwater would provide ongoing portfolio management under its RIA capacity for a 1.25% annual fee. However, for her 403(b) rollover, she worked with James Hadley, a registered representative at Clearwater who recommended rolling the \$520,000 into a variable annuity with a 7-year surrender period, earning Hadley a \$31,200 commission. Hadley processed this transaction in his broker-dealer capacity.

The variable annuity carried annual fees of 2.85% and included optional living benefit riders costing an additional 1.10% annually. The underlying subaccounts were invested 65% in aggressive growth equity funds and 35% in high-yield bond funds. Hadley presented this recommendation during a meeting where he also discussed the fee-based advisory account, using the same comprehensive financial planning presentation that referenced Clearwater's 'fiduciary commitment to all clients.'

Six months later, Margaret discovered her annuity had declined 18% due to market volatility, and she learned the surrender charges would cost her \$36,400 if she wished to exit. She complained to the firm's compliance department, arguing the recommendation was unsuitable and violated the fiduciary duty she believed applied to all her accounts given Clearwater's marketing materials emphasizing their fiduciary standards.

Question

What standard of care did Hadley owe Margaret with respect to the variable annuity recommendation in her 403(b) rollover, and did his conduct violate the applicable obligation given the multi-capacity relationship and the firm's fiduciary marketing representations?

Why Adversarial

Common Wrong Answer

Item 45 of 200**ANSWER:**

Topic: suitability_reg_bi_temporal_application

Type: temporal trap (rule changed mid-period, which version applies?)

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); SEC Regulation Best Interest Care Obligation; Exchange Act Section 15(l)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Chen, age 67, was a longtime client of Westbrook Securities, a FINRA member firm. Her investment profile documented moderate risk tolerance, a 10-year time horizon, annual income of \$78,000 from pension and Social Security, liquid net worth of \$340,000, and a primary objective of capital preservation with income generation. On May 15, 2020, her registered representative, David Holloway, recommended she liquidate her diversified bond portfolio and invest \$280,000 into a complex structured product--a reverse convertible note linked to three volatile technology stocks with a 14-month maturity. The product offered a 9.2% coupon but carried significant downside risk if any underlying stock declined more than 30%.

Holloway presented the recommendation during a video conference, explaining the enhanced yield compared to her existing bonds. He did not document any analysis of reasonably available alternatives or explain why this particular product was superior to other income-generating options. Chen signed the paperwork on May 22, 2020, and the trade settled on May 28, 2020.

By September 2020, one of the underlying technology stocks had declined 42%, triggering the knock-in barrier. At maturity in July 2021, Chen received shares worth only \$168,000--a loss of \$112,000 from her principal investment. She filed an arbitration claim in August 2021 alleging the recommendation was neither suitable under FINRA Rule 2111 nor in her best interest under Regulation Best Interest.

Westbrook Securities argued in its defense that the recommendation was made and documented before Regulation BI's June 30, 2020 compliance date, so only FINRA Rule 2111 suitability standards applied. The firm contended that under the suitability rule, Holloway reasonably believed the investment was suitable based on Chen's documented moderate risk tolerance and income objective. The claimant countered that the trade did not settle until after Reg BI's effective date and that, regardless, the recommendation failed even the pre-existing suitability standard.

Question

Which regulatory standard--FINRA Rule 2111 suitability or SEC Regulation Best Interest--applies to this recommendation, and did the broker's conduct satisfy the applicable standard?

Why Adversarial**Common Wrong Answer**

Item 46 of 200

ANSWER:

Topic: suitability_institutional_retail_customer_classification

Type: edge case customer profile (institutional? retail? which standard applies?)

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2111.07 (Institutional-Account Customers); FINRA Rule 4512(c) (Institutional Account Definition); FINRA Rule 2010 (Standards of Commercial Honor)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Thornfield Capital Partners is a family office managing \$18 million in assets for the extended Hartwell family. The entity was formed in 2019 with three family members serving as principals. Marcus Webb, a registered representative at Sentinel Securities LLC, began servicing the Thornfield account in January 2023. Based on the account's asset size exceeding \$10 million, Webb classified Thornfield as an institutional account and applied institutional suitability standards, meaning he relied on the account's affirmative indication that it would independently evaluate Webb's recommendations.

In March 2023, Webb recommended that Thornfield allocate \$4.2 million to a complex structured product linked to emerging market currencies with a 7-year maturity and significant downside risk if the reference currencies depreciated more than 25%. The product carried embedded leverage of 3x. Webb provided a term sheet and offering memorandum, and Thornfield's designated contact, Eleanor Hartwell (age 67, retired school administrator), signed an acknowledgment stating the firm would exercise independent judgment. Webb did not conduct any additional suitability analysis or inquire about Thornfield's specific investment objectives, risk tolerance, or liquidity needs beyond the initial account opening documents.

By November 2023, the referenced currency basket had declined 31%, triggering accelerated losses. Thornfield lost \$2.8 million on the investment. In the subsequent FINRA arbitration, Webb's defense centered on Thornfield's institutional classification and the signed acknowledgment of independent evaluation. However, discovery revealed that Thornfield had no dedicated investment staff, Eleanor Hartwell had no financial industry experience, and the family office had never previously invested in structured products or derivatives. The acknowledgment form was a standard template Webb used for all accounts over \$10 million.

Question

Did Marcus Webb satisfy his suitability obligations under FINRA Rule 2111 by relying on Thornfield's institutional customer classification and signed acknowledgment of independent evaluation?

Why Adversarial

Common Wrong Answer

Item 47 of 200

ANSWER:

Topic: best_interest_obligation_state_fiduciary_conflict

Type: rule conflict (Reg BI vs. state fiduciary standard disagree)

Difficulty: hard

Standard: SEC Regulation BI Care Obligation; Massachusetts 950 CMR 12.207 Fiduciary Conduct Standard; FINRA Rule 2111 (Suitability)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Gloria Whitfield, age 67, retired from teaching in Massachusetts in March 2023 with a \$412,000 403(b) account at TIAA. She met with Marcus Brennan, a registered representative of Coastal Ridge Securities, a broker-dealer with no investment advisory affiliates. Brennan holds Series 6 and 63 licenses and operates from an office in Boston. During their April 2023 meeting, Whitfield explained she needed steady income to supplement her \$2,100 monthly pension and \$1,850 Social Security benefit, had no other liquid savings, moderate risk tolerance based on her completed questionnaire, and a 20-year investment horizon given her family longevity.

Brennan recommended she roll over her entire 403(b) into a variable annuity with Paramount Life Insurance Company, the "Paramount Growth & Income VA." The product featured a 7-year surrender schedule with a 7% declining surrender charge, annual fees totaling 2.85% (mortality & expense 1.35%, administrative 0.25%, underlying fund expenses averaging 1.25%), and an optional guaranteed minimum withdrawal benefit rider costing an additional 1.10% annually. Brennan would receive a 5.5% upfront commission (\$22,660) on the rollover.

Brennan documented his Regulation BI analysis, noting the product provided "downside protection" through the GMWB rider, offered tax-deferred growth, and matched her moderate risk profile through diversified subaccount options. He compared it against two other variable annuities from different carriers, both with similar fee structures. He did not compare against lower-cost options like index funds, target-date funds, or fixed income ETFs available in retail brokerage accounts. Brennan's firm had a reasonable basis review completed by compliance before the transaction.

Whitfield proceeded with the rollover in May 2023. In January 2024, she consulted a fee-only financial planner who informed her that Massachusetts had adopted fiduciary standards for broker-dealer recommendations under state regulations effective September 2022, requiring brokers to act in clients' best interest without regard to their own financial interest.

Question

Did Brennan's recommendation comply with his best interest obligations, and does the Massachusetts state fiduciary standard impose a different or higher duty that was violated even if Regulation BI was satisfied?

Why Adversarial

Common Wrong Answer

Item 48 of 200**ANSWER:**

Topic: suitability_product_coverage_ambiguity

Type: product ambiguity (is this recommendation subject to suitability at all?)

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor); FINRA Regulatory Notice 12-25 (discussing what constitutes a 'recommendation')

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Marcus Thornton, age 58, has been a customer of Ridgeline Financial Services since 2019. His account profile indicates moderate risk tolerance, a 7-year investment horizon, a net worth of \$1.2 million (excluding primary residence), and a stated objective of income generation with capital preservation for retirement. In March 2023, his registered representative, Daniel Kramer, learned that Thornton had accumulated \$340,000 in a money market fund earning negligible interest.

Kramer suggested that Thornton consider purchasing shares in Meridian Capital Partners Fund III, a business development company (BDC) that trades on the NYSE. Kramer explained that the BDC invests primarily in senior secured loans to middle-market companies and was currently yielding approximately 9.2% annually. Kramer provided Thornton with the fund's publicly available prospectus and annual report, noting that while BDCs carry credit and interest rate risk, they offer diversification away from traditional equity markets.

Thornton invested \$275,000 in the publicly traded BDC based on Kramer's suggestion. Over the following eight months, the BDC's share price declined 23% due to rising defaults in its loan portfolio, and the quarterly distribution was reduced by 40%. Thornton filed a complaint with Ridgeline alleging that Kramer failed to ensure the recommendation was suitable given his conservative income needs and proximity to retirement.

Ridgeline's compliance department initially responded that because the BDC is an exchange-traded security available to any retail investor, and because Kramer merely 'suggested' the investment rather than making a formal recommendation, FINRA's suitability rule does not apply. Additionally, Ridgeline noted that Thornton had self-directed trades in the past, including purchasing individual corporate bonds without representative input.

Question

Did Kramer's communication about the publicly traded BDC constitute a 'recommendation' triggering FINRA Rule 2111 suitability obligations, and if so, was the recommendation suitable for Thornton?

Why Adversarial**Common Wrong Answer**

Item 49 of 200

ANSWER:

Topic: suitability_complex_product_threshold

Type: precise threshold (does this just barely meet or miss the standard?)

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability) - reasonable-basis, customer-specific, and quantitative suitability obligations; FINRA Rule 2010 (Standards of Commercial Honor); FINRA Supplementary Material 2111.03 (customer-specific factors); FINRA Supplementary Material 2111.05 (components of suitability)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Marcus Chen, age 67, retired from his position as a mechanical engineer in February 2023 with a \$485,000 IRA rollover from his employer's 401(k). He met with registered representative David Thornton of Meridian Wealth Partners in San Juan to discuss investment options. Chen's new account form indicated moderate risk tolerance, an investment time horizon of 10-15 years, annual income of \$62,000 (primarily Social Security and a small pension), liquid net worth of \$510,000 (including the IRA), and a primary objective of 'growth with income' to supplement retirement. Chen had prior investment experience limited to target-date mutual funds held in his 401(k).

Thornton recommended allocating \$145,500 (30% of the IRA) to a portfolio of closed-end funds trading at discounts to NAV, explaining they offered attractive yields averaging 7.2%. What Thornton did not adequately explain was that \$97,000 of this allocation went into leveraged closed-end funds employing 35-40% structural leverage through preferred share issuances. These funds invested in municipal bonds and mortgage-backed securities. The remaining \$48,500 went into non-leveraged equity closed-end funds.

During the recommendation conversation on March 15, 2023, Thornton mentioned that closed-end funds 'can be more volatile than regular mutual funds' but emphasized the discount-to-NAV value opportunity and the income generation. He did not specifically discuss leverage mechanics, interest rate sensitivity amplification, or the potential for forced deleveraging in stressed markets. Chen signed a general closed-end fund acknowledgment form that contained boilerplate risk language but did not specifically address leveraged fund risks.

By December 2023, rising interest rates caused the leveraged closed-end funds to decline 23% while paying reduced distributions, resulting in a \$22,300 loss on the \$97,000 leveraged position. Chen filed a complaint alleging the leveraged closed-end fund recommendation was unsuitable given his age, limited experience, and retirement income needs.

Question

Did Thornton's recommendation of the leveraged closed-end funds meet FINRA Rule 2111 suitability requirements, considering that Chen had moderate risk tolerance and a 10-15 year time horizon, but limited experience with complex products and the recommendation represented 20% of his total IRA?

Why Adversarial

Common Wrong Answer

Item 50 of 200

ANSWER:

Topic: multi_party_suitability_annuity_recommendation

Type: multi-party scenario (broker AND IA both involved, who owes what duty?)

Difficulty: hard

Standard: Regulation Best Interest Care Obligation (Exchange Act Rule 15l-1); Investment Advisers Act Section 206 fiduciary duty; FINRA Rule 2111 (Suitability); FINRA Rule 2330 (Variable Annuity Suitability)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Gloria Hendricks, age 67, retired from her position as a hospital administrator in March 2023 with a 401(k) balance of \$485,000. She had moderate investment knowledge, a conservative risk tolerance documented on all account forms, and needed income supplementation starting within 18 months. Her liquid net worth outside the 401(k) was approximately \$95,000 in savings accounts.

Ms. Hendricks initially consulted with Marcus Webb, a registered representative at Silverstone Wealth Services (a FINRA member broker-dealer), about rolling over her 401(k). Webb recommended she establish a fee-based advisory account at Silverstone's affiliated registered investment adviser, Silverstone Advisory Partners, where she would receive ongoing portfolio management. Webb facilitated the rollover paperwork and received a referral fee from Silverstone Advisory.

Once the advisory relationship was established, investment adviser representative Jennifer Castellano at Silverstone Advisory took over management of the account. In June 2023, Castellano recommended allocating \$340,000 (70% of the rolled-over assets) to a variable annuity with a 7-year surrender period and annual surrender charges starting at 8%. The annuity had subaccount options but carried total annual expenses of 3.2%. Castellano emphasized the death benefit rider and guaranteed minimum withdrawal benefit, though the GMWB would not activate for 10 years.

Ms. Hendricks signed the variable annuity application and accompanying disclosure documents, including a Point of Sale Disclosure that described the surrender charges. She later claimed she was told the annuity was 'the safest option for someone her age' and that she could 'access the money whenever needed.' When she attempted to withdraw \$50,000 in January 2024 for unexpected medical expenses, she discovered the \$4,000 surrender charge and filed complaints against both Webb and Castellano.

Silverstone Wealth Services and Silverstone Advisory Partners share common ownership but maintain separate compliance departments. The variable annuity was available on both the broker-dealer's and the advisory firm's platforms.

Question

Analyze the respective suitability and fiduciary obligations owed by Webb (the broker) and Castellano (the IAR), and determine which party or parties violated their applicable standard of care in recommending this variable annuity allocation to Ms. Hendricks.

Why Adversarial

Common Wrong Answer

Item 51 of 200

ANSWER:

Topic: multi_party_duty_of_care_suitability_best_interest

Type: multi-party scenario (broker AND IA both involved, who owes what duty?)

Difficulty: hard

Standard: Regulation Best Interest (SEC Rule 15l-1) Care Obligation; Investment Advisers Act of 1940 Section 206 fiduciary duty; FINRA Rule 2111 (Suitability); FINRA Rule 2330 (Variable Annuity Suitability)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Chen, age 67, retired from her position as a hospital administrator in March 2023 with a \$1.2 million 401(k) balance. She sought advice from Evergreen Financial Partners, a hybrid firm operating both as a FINRA-registered broker-dealer and an SEC-registered investment adviser through separate divisions. Margaret's documented investment objectives were capital preservation and income generation, with a moderate risk tolerance and a 15-year investment horizon.

Margaret initially met with registered representative David Kowalski, who operated under the broker-dealer side of Evergreen. In April 2023, Kowalski recommended she roll over her 401(k) to an IRA held at Evergreen and invest \$400,000 in a variable annuity with a 7-year surrender period and annual fees totaling 2.85%. Kowalski earned a 5.5% commission on this sale. The remaining \$800,000 was placed in a fee-based advisory account managed by Sarah Mitchell, an investment adviser representative at Evergreen's RIA division, charging a 1.25% annual advisory fee.

In September 2023, Mitchell recommended that Margaret concentrate 65% of her advisory account (\$520,000) in a portfolio of high-yield corporate bonds and leveraged bond ETFs yielding approximately 8.5%, emphasizing the income generation objective. Mitchell did not discuss the credit risk of the high-yield bonds or the daily compounding effects of the leveraged ETFs. By February 2024, the leveraged ETF positions had declined 34% due to interest rate volatility, and two of the high-yield bond issuers had defaulted, resulting in total losses of approximately \$185,000 in the advisory account.

Margaret filed a FINRA arbitration claim against both Kowalski (through Triad Partners, the introducing broker-dealer) and Mitchell (through the RIA), alleging breach of fiduciary duty and unsuitability. Evergreen's compliance department maintained that Kowalski was subject only to Regulation Best Interest while Mitchell was subject to the Advisers Act fiduciary standard, and argued the standards should be analyzed separately for each recommendation.

Question

What standard of care applied to each recommendation, and which recommendation(s), if any, violated the applicable suitability or best interest obligations owed to Margaret Chen?

Why Adversarial

Common Wrong Answer

Item 52 of 200

ANSWER:

Topic: suitability_concentration_threshold_retirement_account

Type: precise threshold (does this just barely meet or miss the standard?)

Difficulty: hard

Standard: Regulation Best Interest Care Obligation (Exchange Act Rule 15l-1(a)(2)(ii)); FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Ellison, age 62, opened a rollover IRA in March 2023 with Westbrook Financial Partners after retiring from a manufacturing company. Her rollover consisted of \$485,000 from her 401(k), representing her entire retirement savings. Her account documents indicated a moderate risk tolerance, a 10-year investment time horizon, a stated objective of 'growth and income,' annual income of \$24,000 from Social Security, and no other liquid assets beyond a \$15,000 emergency fund. She had limited investment experience, having only participated in target-date funds within her 401(k).

Her registered representative, David Chen, recommended allocating 48% of her portfolio (\$232,800) to a single high-yield corporate bond fund with an expense ratio of 1.35% that concentrated in energy sector debt rated BB and below. Chen documented that the recommendation was suitable because: (1) the client's moderate risk tolerance permitted some exposure to below-investment-grade securities, (2) the 10-year horizon provided adequate time to recover from volatility, (3) the 6.8% yield would generate needed income, and (4) the 48% allocation kept concentration 'below the 50% threshold that would trigger enhanced review under firm policy.'

Chen's firm, Westbrook Financial Partners, maintained an internal supervision manual stating that single-sector concentrations above 50% required branch manager pre-approval, but concentrations between 40-50% required only 'documented rationale.' Chen completed the documentation as required. Within 14 months, the fund declined 31% as several energy companies defaulted, reducing Margaret's account to approximately \$413,000. She filed an arbitration claim alleging the recommendation was unsuitable and violated Regulation Best Interest's care obligation.

Question

Did David Chen's recommendation to allocate 48% of Margaret Ellison's rollover IRA to a single high-yield energy sector bond fund satisfy the care obligation under Regulation Best Interest, given that the allocation fell just below the firm's 50% enhanced review threshold?

Why Adversarial

Common Wrong Answer

Item 53 of 200

ANSWER:

Topic: suitability_rule_transition_reg_bi_timing

Type: temporal trap (rule changed mid-period, which version applies?)

Difficulty: hard

Standard: SEC Regulation Best Interest (effective June 30, 2020); Care Obligation; FINRA Rule 2111 (Suitability); FINRA Rule 2330 (Variable Annuity Suitability)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Miranda Castellanos, age 62, was a long-time customer of Horizon Wealth Partners, a FINRA-member broker-dealer in San Juan, Puerto Rico. On May 15, 2020, she met with her registered representative, Carlos Delgado, to discuss rolling over her \$485,000 employer 401(k) into an IRA following her early retirement from a pharmaceutical company. Mrs. Castellanos had moderate risk tolerance, a 15-year investment horizon, and stated her primary objectives were capital preservation and generating income to supplement her pension.

On June 10, 2020, Delgado recommended she roll the entire amount into a variable annuity with a 7-year surrender period, carrying annual fees of 3.2% including the mortality and expense charge, administrative fees, and underlying fund expenses. The annuity included a guaranteed minimum income benefit rider. Delgado documented the recommendation using Horizon's standard suitability form, which assessed whether the recommendation was 'suitable' based on the customer's investment profile. The paperwork was signed that day, but due to processing delays at the insurance company, the annuity contract was not actually issued and funded until July 8, 2020.

In early 2022, Mrs. Castellanos filed a complaint alleging the recommendation was not in her best interest. She noted that lower-cost alternatives, including a simple IRA with diversified low-cost ETFs generating similar income, were never discussed. Horizon's compliance department reviewed the matter and noted that Delgado had completed his Regulation Best Interest training on June 25, 2020, after the recommendation was made but before the contract was funded. The firm's records showed the suitability documentation was completed on June 10, but the annuity application bore a submission date of July 2, 2020.

Delgado maintained that his June 10 recommendation was governed by FINRA Rule 2111 (suitability), under which the variable annuity was suitable given the customer's profile and the guaranteed income feature. The customer's attorney argued that Regulation Best Interest applied because the transaction was not completed until after June 30, 2020.

Question

Which regulatory standard--FINRA Rule 2111 (suitability) or SEC Regulation Best Interest--governs Delgado's recommendation, and did he comply with the applicable standard?

Why Adversarial

Common Wrong Answer

Item 54 of 200

ANSWER:

Topic: robo_adviser_fiduciary_duty_share_class_selection

Type: novel fact pattern (robo-adviser, crypto, AI-generated recommendation)

Difficulty: hard

Standard: Investment Advisers Act Section 206(1) and 206(2); SEC Guidance on Robo-Advisers (2017); Fiduciary duty of care and duty of loyalty

Source: 02_SEC_Enforcement_Actions

Fact Pattern

AlgoWealth Advisors, LLC is a registered investment adviser that operates a fully automated robo-advisory platform serving approximately 12,000 retail clients with assets totaling \$890 million as of December 2023. The platform uses a proprietary algorithm to construct diversified portfolios based on client risk questionnaires completed during onboarding. The algorithm automatically selects mutual funds across various asset classes without human intervention.

Margaret Chen, age 67, retired with \$425,000 in rollover IRA assets, completed AlgoWealth's 15-question risk assessment in January 2024. Based on her responses indicating moderate risk tolerance and a 15-year investment horizon, the algorithm constructed a portfolio allocating 60% to equities and 40% to fixed income using mutual funds from AlgoWealth's approved fund menu. The algorithm selected Class A shares for all twelve mutual funds in Margaret's portfolio.

AlgoWealth's fund menu includes both Class A shares (with 12b-1 fees ranging from 25-35 basis points) and Class I shares (no 12b-1 fees) for identical funds. The algorithm was programmed by AlgoWealth's technology team in 2019 and defaulted to Class A shares because, at that time, minimum investment thresholds for Class I shares were \$1 million. However, by 2022, seven of the twelve fund families had lowered their Class I minimums to \$100,000, and three eliminated minimums entirely for advisory accounts.

AlgoWealth's Form ADV Part 2A, last updated in March 2023, stated: 'Our algorithm selects appropriate share classes based on client eligibility and investment minimums.' The firm received approximately \$148,000 in 12b-1 fee revenue from client accounts during 2023, including \$1,870 attributable to Margaret's account. AlgoWealth argues that because the algorithm operates without human discretion, the share class selection reflects objective programming rather than conflicted advice, and that updating legacy code would impose unreasonable costs on a technology-first firm.

Question

Did AlgoWealth Advisors breach its fiduciary duty to Margaret Chen and other clients by failing to update its algorithm to select lower-cost share classes, and does the automated nature of the recommendations affect the firm's obligations under the Investment Advisers Act?

Why Adversarial

Common Wrong Answer

Item 55 of 200

ANSWER:

Topic: dual_registration_suitability_and_fiduciary_duty

Type: multi-party scenario (broker AND IA both involved, who owes what duty?)

Difficulty: hard

Standard: Regulation Best Interest (Exchange Act Section 15(l)); Investment Advisers Act of 1940 fiduciary duty; FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Marcus Delgado, age 67, retired from his position as a regional sales manager in March 2024 with a \$485,000 401(k) balance at his former employer's plan. His investment profile indicated moderate risk tolerance, a 15-year time horizon, annual income needs of \$24,000 from the portfolio, and limited investment knowledge. Delgado had a pre-existing brokerage relationship with Trident Securities LLC through registered representative Jennifer Walsh (CRD #4521887), who had serviced his taxable account since 2019.

In April 2024, Walsh recommended Delgado roll his 401(k) into an IRA at Trident Securities, explaining that consolidated account management would be more convenient. Walsh completed the rollover paperwork in her capacity as a registered representative. The rollover proceeded, and the \$485,000 was deposited into a new IRA at Trident. Walsh earned a \$4,850 commission on the rollover transaction.

Two weeks after the rollover, Walsh referred Delgado to Pinnacle Wealth Advisors, a separately registered investment adviser where Walsh was also employed as an investment adviser representative. At Pinnacle, Walsh placed Delgado's IRA assets into a wrap fee program charging 1.75% annually (\$8,487.50 per year), investing primarily in leveraged ETFs including a 2x S&P 500 fund and a 3x small-cap growth fund, which comprised 60% of the portfolio. Walsh explained these products would 'accelerate growth to make up for lost time.'

By December 2024, the leveraged ETF positions had declined 34% due to volatility decay, reducing Delgado's IRA to \$367,000. Delgado filed a complaint alleging the rollover recommendation was unsuitable and the subsequent leveraged ETF strategy violated the adviser's fiduciary duty. Walsh contends the rollover was subject only to Regulation Best Interest as a broker-dealer transaction, while the investment strategy was appropriate advisory discretion.

Question

What standards of conduct applied to each phase of Walsh's recommendations, and did she violate her obligations in either the rollover recommendation or the subsequent investment strategy?

Why Adversarial

Common Wrong Answer

Item 56 of 200

ANSWER:

Topic: suitability_reg_bi_temporal_application

Type: temporal trap (rule changed mid-period, which version applies?)

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); SEC Regulation Best Interest effective date June 30, 2020; FINRA Rule 2330 (Variable Annuity Suitability)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Chen, age 67, was a retired school administrator with \$485,000 in retirement savings held at Eastbrook Securities LLC. In March 2020, her registered representative Daniel Vega recommended that she roll over her 403(b) plan into a variable annuity with a 7-year surrender charge schedule and annual fees totaling 3.2%. Mrs. Chen had a moderate risk tolerance, a 15-year investment horizon, and income needs of approximately \$2,500 monthly beginning in 2022. Vega documented that the annuity's guaranteed lifetime withdrawal benefit would address her income needs, though she already had Social Security and a modest pension totaling \$3,100 monthly.

Vega initiated the rollover paperwork on May 28, 2020, with Mrs. Chen signing the application that day. However, due to processing delays at the annuity carrier and the 403(b) custodian, the actual transfer of funds and contract issuance did not occur until July 8, 2020. Vega did not revisit the recommendation or documentation between the application date and the funding date.

During a 2023 FINRA examination, examiners questioned whether Vega's recommendation complied with applicable suitability and best interest standards. The firm's compliance department had issued guidance in early June 2020 instructing representatives that Regulation Best Interest would apply to recommendations where the 'transaction' occurred on or after June 30, 2020, but provided no specific guidance on rollover recommendations with extended processing timelines.

Mrs. Chen filed an arbitration claim alleging that the high-cost variable annuity was unsuitable given her existing guaranteed income sources and that Vega failed to consider reasonably available alternatives with lower costs. The firm argued that FINRA Rule 2111 suitability standards applied because the recommendation was made in May 2020, prior to Reg BI's effective date.

Question

Which regulatory standard--FINRA Rule 2111 suitability or SEC Regulation Best Interest--governs Vega's recommendation, and did his conduct satisfy the applicable standard?

Why Adversarial

Common Wrong Answer

Item 57 of 200

ANSWER:

Topic: suitability_standard_applicability_institutional_retail_threshold

Type: edge case customer profile (institutional? retail? which standard applies?)

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 4512(c) (Institutional Account Definition); FINRA Rule 2111.03 (Institutional Customer Exemption); FINRA Rule 2010 (Standards of Commercial Honor)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Nieland Family Holdings LLC is a single-member limited liability company established by Jan-Harm Nieland in 2019 to manage his personal investment portfolio of approximately \$12.5 million. The LLC has no employees other than Nieland himself, who is a retired software engineer with no professional investment or finance background. In March 2024, Oscar Hernandez, a registered representative at Summit Ridge Securities, was assigned to the account after the previous representative departed.

Hernandez recommended that Nieland Family Holdings LLC invest approximately \$3.2 million (roughly 25% of the portfolio) in a concentrated position of leveraged ETFs tracking semiconductor indices, specifically 3x bull products. Hernandez justified this recommendation by noting the account held \$12.5 million in assets, which he documented as exceeding the \$10 million threshold for institutional customer classification. In his internal documentation, Hernandez checked a box indicating the customer had 'institutional' status and therefore only a 'reasonable basis' suitability analysis was performed rather than customer-specific suitability.

Nieland, age 68, had previously documented his investment objective as 'balanced growth with moderate risk' and his time horizon as '10-15 years for estate planning purposes.' He had no prior experience with leveraged products. When questioned later about the recommendation, Hernandez stated that because the LLC qualified as an institutional customer, his obligation was limited to ensuring the investment had a reasonable basis for recommendation generally, and that institutional customers bear responsibility for their own customer-specific suitability analysis.

By September 2024, the leveraged semiconductor ETF positions had declined 47% due to sector volatility, resulting in approximately \$1.5 million in losses. Nieland filed an arbitration claim alleging the recommendation was unsuitable for his documented risk tolerance and investment objectives.

Question

Did Summit Ridge Securities and Hernandez properly classify Nieland Family Holdings LLC as an institutional customer exempt from customer-specific suitability obligations under FINRA Rule 2111, and was the leveraged ETF recommendation suitable regardless of classification?

Why Adversarial

Common Wrong Answer

Item 58 of 200

ANSWER:

Topic: institutional_vs_retail_fiduciary_duty_threshold

Type: precise threshold (does this just barely meet or miss the standard?)

Difficulty: hard

Standard: Investment Advisers Act Section 206; SEC Fiduciary Interpretation for Investment Advisers; Duty of Care requiring advice in client's best interest suitable for client's investment profile

Source: 07_Practitioner_Commentary

Fact Pattern

Margaret Chen is the sole owner and CEO of Chen Medical Supplies, Inc., a closely-held corporation with \$18 million in total assets. In March 2024, she contacted Apex Wealth Advisors, a registered investment adviser, seeking help managing the company's excess cash reserves of \$4.2 million. Margaret explained that while she has an MBA and understands basic corporate finance, she has no experience with alternative investments and relies entirely on professional advisors for investment decisions. She specified that approximately \$1.5 million would be needed within 18 months for planned equipment purchases, with the remaining \$2.7 million available for longer-term investment.

Apex assigned senior advisor David Thornton to the account. After a single 45-minute meeting, Thornton recommended allocating 65% of the total \$4.2 million into a private credit fund with a 3-year lockup period, quarterly liquidity windows, and minimum investment of \$500,000. The fund targets 12% annual returns but carries significant credit risk and has experienced quarterly NAV declines of up to 8% during market stress. Thornton's analysis focused heavily on the fund's potential returns compared to money market alternatives, but his written recommendation contained only two sentences addressing liquidity needs: 'Client has substantial corporate assets. Liquidity should not be a concern.'

Margaret signed the advisory agreement, which contained standard language acknowledging she was an 'institutional client' based on her company's asset size exceeding \$10 million. Thornton did not provide additional disclosure about conflicts, though Apex receives a 25 basis point revenue share from the private credit fund manager. Six months later, Chen Medical Supplies needed to access the funds early due to an unexpected acquisition opportunity, but could not withdraw due to the lockup provisions.

Question

Did Apex Wealth Advisors satisfy its fiduciary duty of care under the Investment Advisers Act when recommending the private credit fund allocation, given that the client was classified as institutional?

Why Adversarial

Common Wrong Answer

Item 59 of 200

ANSWER:

Topic: reg_bi_suitability_temporal_application

Type: temporal trap (rule changed mid-period, which version applies?)

Difficulty: hard

Standard: SEC Regulation Best Interest (Care Obligation); FINRA Rule 2111 (Suitability); FINRA Rule 2330 (Variable Annuity Suitability)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Thornton, age 67, retired from her position as a hospital administrator in March 2020. She had accumulated \$1.2 million in a 403(b) plan and sought advice from Coastal Securities, LLC representative Derek Vasquez about rolling over these assets. On May 15, 2020, Vasquez recommended Margaret roll over her entire 403(b) into a variable annuity with a 7-year surrender period, annual fees of 2.85%, and a guaranteed minimum income benefit rider. Vasquez documented Margaret's risk tolerance as 'moderate,' her investment objective as 'income with growth,' and her time horizon as '10+ years.' He noted she had \$85,000 in liquid savings outside the rollover.

Vasquez processed the initial paperwork on May 28, 2020, but due to COVID-related processing delays at the annuity company, the actual transfer and purchase didn't complete until July 8, 2020. Margaret signed the final annuity contract acceptance on July 15, 2020. Vasquez received a commission of \$72,000 on the transaction.

In 2024, Margaret filed an arbitration claim alleging the variable annuity recommendation was unsuitable and not in her best interest. She pointed out that the 403(b) plan offered low-cost index funds with total expenses of 0.35%, and that the annuity's surrender charges would prevent her from accessing funds if needed for healthcare costs. Additionally, Margaret stated that Vasquez never discussed whether rolling over versus staying in the 403(b) plan was advisable, nor did he present alternative products.

Coastal Securities defended the claim by arguing that the recommendation process began in May 2020 before Regulation Best Interest's June 30, 2020 compliance date, and therefore only the traditional FINRA suitability standard under Rule 2111 applied. They contended the recommendation met the quantitative suitability requirements existing at that time.

Question

Which regulatory standard--FINRA Rule 2111 suitability or SEC Regulation Best Interest--applies to Vasquez's recommendation, and did the recommendation comply with the applicable standard?

Why Adversarial

Common Wrong Answer

Item 60 of 200

ANSWER:

Topic: suitability_concentration_threshold

Type: precise threshold (does this just barely meet or miss the standard?)

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability) - reasonable-basis, customer-specific, and quantitative suitability obligations; FINRA Rule 2010 (Standards of Commercial Honor)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Townsend, age 67, retired from her position as a hospital administrator in March 2023 with a total liquid net worth of \$1,150,000. She opened an account with Ridgeway Securities LLC in April 2023, completing a new account form indicating moderate risk tolerance, a primary investment objective of income with capital preservation, a 10-year time horizon, and investment experience limited to mutual funds and CDs. Her annual income from Social Security and a small pension totaled \$48,000, and she indicated she might need to supplement this with portfolio withdrawals of approximately \$25,000 annually.

Her assigned representative, Marcus Colburn, recommended allocating her portfolio to generate the income she needed while maintaining growth potential. Over the following four months, Colburn recommended and executed purchases totaling \$563,500 in various business development companies (BDCs) across six different issuers. He explained that the BDC allocation represented 49% of her portfolio--intentionally kept below 50% to remain within firm guidelines for concentration limits. The remaining 51% was allocated to a mix of investment-grade corporate bonds and a balanced mutual fund.

Colburn documented his rationale, noting that the BDCs were diversified across different sectors and managers, that the aggregate dividend yield of 9.2% would cover her income needs, and that keeping concentration below the 50% threshold demonstrated prudent portfolio construction. He also noted that each individual BDC position was under 10% of the portfolio. When Mrs. Townsend questioned whether the investments were appropriate, Colburn assured her that the diversification across six BDC issuers and compliance with concentration limits meant the recommendation was suitable.

By December 2023, three of the BDCs had reduced their distributions and their share prices had declined by an average of 18%, resulting in a total portfolio loss of approximately \$87,000. Mrs. Townsend filed an arbitration claim alleging the BDC concentration was unsuitable given her risk profile and income needs.

Question

Was Colburn's recommendation to allocate 49% of Mrs. Townsend's portfolio to BDCs suitable under FINRA Rule 2111, given that he kept concentration below the firm's 50% threshold and diversified across multiple BDC issuers?

Why Adversarial

Common Wrong Answer

Item 61 of 200

ANSWER:

Topic: erisa_fiduciary_duty_ai_robo_adviser_prudence

Type: novel fact pattern (robo-adviser, crypto, AI-generated recommendation)

Difficulty: hard

Standard: ERISA Section 404(a)(1)(B) (prudent expert standard); ERISA Section 404(a)(1)(D) (diversification); DOL guidance on fiduciary responsibility for investment selection

Source: 06_DOL_Fiduciary

Fact Pattern

Meridian Digital Advisors LLC operates an AI-powered robo-adviser platform called 'RetireWise Pro' that serves both retail IRAs and small 401(k) plans with assets under \$5 million. In March 2024, Meridian integrated a new machine learning algorithm designed to optimize retirement portfolios by incorporating 'alternative yield-enhancing assets.' The algorithm was trained on historical data suggesting that a 15% allocation to digital asset trusts (holding Bitcoin and Ethereum exposure through regulated trust structures) could enhance long-term returns for participants with 20+ year time horizons.

Sarah Mendez, age 42, is a participant in the Oakwood Manufacturing 401(k) Plan, a 75-participant plan with \$3.2 million in total assets. Ms. Mendez earns \$68,000 annually, has \$127,000 in her 401(k) account, and selected a 'moderate growth' risk profile when onboarding to RetireWise Pro. The platform's AI automatically rebalanced her account in April 2024, allocating 15% (\$19,050) to the Grayscale Bitcoin Trust and 12% to a leveraged emerging markets ETF, reducing her S&P 500 index allocation from 60% to 35%.

Meridian's platform generated these recommendations without human adviser review, relying entirely on the algorithm's output. The firm's investment policy statement for ERISA plans stated that 'all AI-generated recommendations are presumed prudent if based on the proprietary RetireWise optimization engine.' When Oakwood's plan sponsor inquired about the cryptocurrency allocation, Meridian responded that the algorithm had determined this was 'mathematically optimal' for Ms. Mendez's projected retirement date of 2047.

By September 2024, Ms. Mendez's account had declined 31% due to cryptocurrency volatility and emerging market losses, while a comparable target-date fund would have declined only 4% during the same period. Ms. Mendez filed a complaint alleging the AI-generated recommendation violated ERISA fiduciary duties.

Question

Did Meridian Digital Advisors LLC satisfy its ERISA fiduciary duty of prudence when its AI algorithm automatically allocated 15% of Ms. Mendez's 401(k) account to a Bitcoin trust and 12% to a leveraged emerging markets ETF without human review, based solely on algorithmic optimization?

Why Adversarial

Common Wrong Answer

Item 62 of 200

ANSWER:

Topic: best_interest_robo_adviser_best_execution_crypto

Type: novel fact pattern (robo-adviser, crypto, AI-generated recommendation)

Difficulty: hard

Standard: Regulation BI Rule 15l-1 Care Obligation; FINRA Rules 5310(a)(1), 5310(a)(2), 5310.09, and 2010

Source: 04_RegBI_Compliance_Guidance

Fact Pattern

NexGen Digital Advisors LLC is a hybrid broker-dealer and investment adviser that launched an AI-powered robo-adviser platform called 'CryptoBalance Pro' in March 2023. The platform uses machine learning algorithms to recommend digital asset allocations alongside traditional securities for customers seeking growth-oriented portfolios. Margaret Thornton, age 58, opened an account in April 2023 with \$175,000 in retirement savings, indicating a moderate risk tolerance, a 7-year investment horizon, and limited prior experience with digital assets. The robo-adviser's algorithm recommended allocating 35% of her portfolio to a basket of cryptocurrency positions accessed through a single affiliated exchange, CryptoRoute Partners LLC, which NexGen wholly owns.

The CryptoBalance Pro algorithm was designed to route all digital asset orders exclusively through CryptoRoute Partners regardless of execution quality available at competing venues. Internal testing conducted by NexGen in January 2023 showed that CryptoRoute Partners consistently executed customer orders at prices 2.8% inferior to the National Best Bid and Offer available at three competing digital asset exchanges. NexGen's compliance department noted this disparity but the firm did not modify the algorithm's routing logic because CryptoRoute Partners paid NexGen a \$0.45 per-share payment for order flow equivalent.

Margaret's account experienced significant losses over eight months. Her cryptocurrency positions declined 42%, but analysis revealed that approximately \$6,125 of her losses were directly attributable to inferior execution prices rather than market movements. When Margaret complained, NexGen's CCO responded that robo-adviser algorithms operate autonomously and that the firm had disclosed in its Form CRS that it 'may receive compensation from affiliates.' NexGen argues that because no human representative made specific recommendations, the Care Obligation under Regulation BI does not apply, and that best execution duties are satisfied by disclosure of potential conflicts.

Question

Did NexGen Digital Advisors LLC satisfy its best interest and best execution obligations with respect to Margaret Thornton's account, considering the AI-generated recommendations and exclusive routing to an affiliated exchange with documented inferior execution quality?

Why Adversarial

Common Wrong Answer

Item 63 of 200**ANSWER:**

Topic: suitability_best_interest_dual_registration_duty_allocation

Type: multi-party scenario (broker AND IA both involved, who owes what duty?)

Difficulty: hard

Standard: Investment Advisers Act Sections 206(1) and 206(2); Exchange Act Section 15(l); SEC Rule 15l-1 (Regulation Best Interest); FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Thornton, age 67, retired from her position as a school administrator in March 2024 with a \$485,000 403(b) retirement account and a separate \$125,000 taxable brokerage account. Her investment profile indicated moderate risk tolerance, a 15-year time horizon, income generation as her primary objective, and limited investment knowledge. She approached Pinnacle Financial Partners, a dual-registered broker-dealer and investment adviser, seeking guidance on her retirement assets.

Margaret was assigned to David Chen, a dually-registered representative who holds both Series 7 and Series 66 licenses. In April 2024, Chen recommended that Margaret roll her 403(b) into a fee-based advisory account at Pinnacle, charging a 1.35% annual wrap fee. Chen explained this would provide 'ongoing professional management and monitoring.' He simultaneously recommended she use her taxable brokerage account to purchase \$95,000 in a leveraged closed-end fund (Apex Tactical Income Fund) paying a 12.5% distribution rate, executing this as a commission-based brokerage transaction.

The rollover documentation Margaret signed contained language stating Chen was acting 'in an investment advisory capacity' for the IRA. The trade confirmation for the leveraged closed-end fund stated the transaction was executed in a 'brokerage capacity.' Chen's presentation materials made no distinction between his capacities and referred uniformly to 'our fiduciary commitment to clients.' Six months later, the leveraged fund had declined 28% in value due to interest rate volatility, and Margaret's advisory account had underperformed its benchmark by 340 basis points while generating \$3,275 in wrap fees.

Margaret filed a FINRA arbitration claim alleging unsuitable recommendations and breach of fiduciary duty against both Pinnacle and Chen. Respondents argued that different standards applied to each recommendation based on the capacity in which Chen acted, and that Chen satisfied Regulation Best Interest for the brokerage transaction and his fiduciary duty for the advisory account separately.

Question

Under the applicable regulatory framework, what standard of conduct applied to each recommendation Chen made to Margaret, and did he satisfy those respective obligations given the facts presented?

Why Adversarial**Common Wrong Answer**

Item 64 of 200

ANSWER:

Topic: suitability_variable_annuity_recommendation

Type: precise threshold (does this just barely meet or miss the standard?)

Difficulty: hard

Standard: FINRA Rule 2330 (Variable Annuities), FINRA Rule 2111 (Suitability), FINRA Rule 2010 (Standards of Commercial Honor)

Source: 21_FINRA_OHO_Decisions

Fact Pattern

Marcus Thornton, age 63, visited Coastal Wealth Advisors in March 2023 seeking advice on repositioning \$285,000 in a maturing fixed annuity. His account opening documents showed annual income of \$72,000 from his current employment as a facilities manager, liquid net worth of \$340,000, and a stated investment objective of 'income with moderate growth.' His risk tolerance was marked as 'moderate' and his time horizon was listed as '7-10 years' with an anticipated retirement at age 67.

Registered representative Devon Hartley recommended that Thornton surrender his existing fixed annuity and purchase a variable annuity with a guaranteed minimum withdrawal benefit (GMWB) rider. The new VA had a surrender period of 7 years, total annual expenses of 3.15% (including the GMWB rider fee of 1.05%), and offered access to 42 sub-account investment options. Hartley documented that the GMWB would provide Thornton with guaranteed lifetime income starting at age 67, which aligned with his retirement timeline.

Hartley's suitability analysis noted that Thornton's existing fixed annuity was paying only 2.3% interest, while the VA's sub-accounts had averaged 6.8% returns over the trailing 10 years. The analysis also documented that Thornton had \$55,000 in emergency savings outside this annuity. However, the analysis did not quantify the surrender charges Thornton would incur on the existing annuity (\$8,550), nor did it compare the total cost of the GMWB rider against simply purchasing a deferred income annuity for the guaranteed income component.

Thornton signed all required disclosures, including the VA prospectus delivery acknowledgment. When Thornton later expressed concern about market volatility affecting his retirement income, Hartley reminded him that the GMWB rider protected his income floor regardless of market performance. Thornton's account statements from the first year showed the sub-accounts had declined 4.2%, though the GMWB benefit base remained intact per the rider terms.

Question

Did Hartley's variable annuity recommendation satisfy FINRA Rule 2330's suitability requirements for annuity transactions, given that the customer's retirement timeline matched the surrender period and the GMWB rider addressed his income objective?

Why Adversarial

Common Wrong Answer

Item 65 of 200

ANSWER:

Topic: suitability_product_ambiguity_adversarial

Type: product ambiguity (is this recommendation subject to suitability at all?)

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability), FINRA Rule 2111 Supplementary Material .03, FINRA Rule 2010 (Standards of Commercial Honor), FINRA Rule 2020 (Manipulation), FINRA Rule 3110 (Supervision)

Source: 21_FINRA_OHO_Decisions

Fact Pattern

Margaret Hensley, age 67, retired from teaching in March 2023 with a 403(b) account valued at \$285,000 and a modest pension providing \$2,400 monthly. She contacted Ridgeline Securities LLC in April 2023, stating she wanted to preserve capital and generate supplemental income of approximately \$800 per month. Her investment experience was limited to target-date funds within her 403(b). She had no prior experience with individual securities or active trading strategies.

Ridgeline's registered representative, Thomas Vance, recommended Margaret roll her 403(b) into a brokerage IRA at the firm. After the rollover was complete in May 2023, Vance told Margaret he would manage the account using a 'systematic rebalancing approach' that would involve 'periodic adjustments' to maintain her desired income level. Margaret signed a trading authorization form giving Vance discretion over the account.

Over the next eight months, Vance executed 127 transactions in Margaret's account, primarily in dividend-paying stocks and preferred shares. The account experienced an annualized cost-to-equity ratio of 14.2% and a turnover rate of 6.8. Margaret received approximately \$9,100 in dividends during this period, while paying \$31,400 in commissions and fees. Her account value declined from \$285,000 to \$241,000. When Margaret questioned the losses in February 2024, Vance explained that the transactions were simply 'rebalancing' her portfolio to optimize dividend capture and were not 'recommendations' since she had granted him full discretion.

Vance's supervisor at Ridgeline reviewed monthly account statements but took no action, noting in internal correspondence that 'discretionary accounts are managed differently and the normal suitability review process doesn't apply since these aren't recommendations to the customer.'

Question

Does FINRA Rule 2111 suitability obligations apply to Vance's trading activity in Margaret's discretionary account, or does the grant of discretionary authority exempt these transactions from suitability review?

Why Adversarial

Common Wrong Answer

Item 66 of 200

ANSWER:

Topic: suitability_customer_classification_institutional_retail

Type: edge case customer profile (institutional? retail? which standard applies?)

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 4512(c) (Institutional Account Definition); FINRA Rule 2010 (Standards of Commercial Honor)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Midwest Energy Partners LLC is a small family office managing approximately \$12 million in assets for the extended Harrison family. The entity was formed in 2018 and has three employees: Martha Harrison (the matriarch, age 72), her son David (age 48, a retired high school principal), and a part-time bookkeeper. Neither Martha nor David holds any securities licenses or professional investment designations. In March 2022, registered representative Kevin Stahl of Pinnacle Wealth Advisors contacted David after receiving a referral. During the initial meeting, Kevin learned that the family office had been investing primarily in municipal bonds and blue-chip dividend stocks for the past four years.

Kevin recommended that Midwest Energy Partners allocate \$3.2 million (approximately 27% of total assets) into master limited partnerships (MLPs) focused on midstream energy infrastructure, specifically citing the Harrison family's Kentucky roots and familiarity with the energy sector. Kevin's firm classified Midwest Energy Partners as an 'institutional account' based solely on the \$12 million AUM figure, applying FINRA Rule 4512(c)'s \$50 million threshold but incorrectly interpreting regulatory guidance. As a result, Kevin did not collect detailed suitability information about the underlying beneficial owners' risk tolerances, time horizons, or liquidity needs.

The MLPs Kevin recommended--Appalachian Midstream Holdings LP and Great Plains Pipeline Partners LP--were complex investments with K-1 tax reporting requirements, significant distribution variability tied to commodity prices, and substantial illiquidity. Kevin provided a brief disclosure document but did not explain the tax implications or the difference between return of capital and income distributions. By December 2023, both MLPs had suspended distributions and declined approximately 45% in value, resulting in unrealized losses of \$1.44 million. David Harrison filed an arbitration claim alleging breach of suitability obligations, arguing that the firm improperly classified the family office as institutional to avoid retail suitability requirements.

Question

Did Pinnacle Wealth Advisors properly classify Midwest Energy Partners LLC as an institutional account, and what suitability obligations applied to Kevin Stahl's MLP recommendations given the characteristics of the family office and its beneficial owners?

Why Adversarial

Common Wrong Answer

Item 67 of 200

ANSWER:

Topic: fiduciary_duty_best_interest_temporal_application

Type: temporal trap (rule changed mid-period, which version applies?)

Difficulty: hard

Standard: NASAA Model Rule on Investment Adviser Fiduciary Duty; State-adopted enhanced fiduciary standard (effective June 1, 2019); Traditional suitability requirements under state securities law; Ongoing duty to monitor discretionary accounts

Source: 14_NASAA_State_Enforcement

Fact Pattern

Silverstone Capital Advisors, LLC, a state-registered investment adviser in the fictional state of Newmont, began providing advisory services to Doris Pemberton, age 71, in March 2019. Mrs. Pemberton was a retired schoolteacher with \$485,000 in liquid assets, moderate risk tolerance, a 10-year investment horizon, and income needs of approximately \$2,200 monthly from her portfolio to supplement Social Security. Her investment policy statement, signed March 15, 2019, documented these parameters and authorized discretionary management.

Between March and August 2019, senior adviser Raymond Tillis allocated 45% of Mrs. Pemberton's portfolio to illiquid alternative investments, including two non-traded REITs and a business development company. These products carried 7-year lockup periods, front-end loads averaging 6.5%, and limited secondary market liquidity. Tillis documented his rationale as 'income enhancement through alternative yield strategies' but did not document any analysis of Mrs. Pemberton's liquidity needs or the concentration risk.

Newmont adopted an enhanced fiduciary rule effective June 1, 2019, which explicitly required investment advisers to document a 'reasonable basis' analysis for any recommendation, including consideration of costs, liquidity constraints, and concentration limits appropriate to the client's profile. The prior rule, in effect until May 31, 2019, required only that recommendations be 'suitable' based on the client's stated objectives.

During a state examination in February 2020, examiners questioned whether the illiquid alternative allocations were appropriate given Mrs. Pemberton's age and income needs. Silverstone's compliance officer argued that the March and April 2019 purchases predated the enhanced rule and should be evaluated under the prior suitability standard, while only the June through August 2019 purchases should be subject to the new fiduciary standard. The examiners noted that Tillis made additional purchases of the same illiquid products in June, July, and August 2019, totaling \$87,000 of the \$218,000 total alternative allocation.

Question

Under which standard should the state evaluate the appropriateness of each phase of Raymond Tillis's recommendations, and was Silverstone Capital Advisors in compliance with its obligations to Mrs. Pemberton under either or both applicable standards?

Why Adversarial

Common Wrong Answer

Item 68 of 200

ANSWER:

Topic: suitability_standard_customer_classification_edge_case

Type: edge case customer profile (institutional? retail? which standard applies?)

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 4512(c) (Institutional Account definition); FINRA Rule 2111.03 (Institutional Suitability); FINRA Rule 2010 (Standards of Commercial Honor); Regulation Best Interest Rule 15l-1 (Care Obligation)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Meridian Wealth Advisors, a dual-registered broker-dealer and investment adviser, received an account opening from the Reverend Mother Superior Elena Vasquez on behalf of the Sisters of Divine Providence Charitable Trust in March 2023. The Trust held \$4.2 million in assets and was established to provide lifetime income to elderly retired nuns while ultimately benefiting the religious order's charitable mission. Sister Elena, age 78, served as sole trustee with full discretionary authority over investments. She had no formal financial training but had managed the Trust for twelve years, primarily keeping assets in bank CDs and Treasury securities.

Meridian's registered representative, Thomas Caldwell, recommended the Trust invest \$1.8 million (43% of assets) in a structured product linked to a basket of emerging market equities with a five-year lock-up period and complex knock-in/knock-out barrier features. Caldwell's internal notes indicated that the Trust qualified as an 'institutional account' under FINRA Rule 4512(c) because it was a 'bank, savings and loan association, insurance company, or registered investment company' equivalent--specifically reasoning that the Trust functioned like an insurance company because it provided annuity-like payments to beneficiaries. His notes also stated that because of this classification, he had no obligation to make an affirmative suitability determination.

The Trust's stated objectives in account documentation were 'income and capital preservation.' Sister Elena signed disclosures acknowledging the product's risks but later testified she did not understand the barrier mechanics. When emerging markets declined 34% in late 2023, the knock-in barrier was triggered, and the Trust suffered a \$640,000 loss with no ability to liquidate for four more years. The Trust filed an arbitration claim alleging unsuitable recommendations.

Caldwell's defense centered on the institutional customer classification and his belief that the Trust, as a sophisticated charitable entity with over \$4 million in assets, did not require retail-level suitability protections.

Question

Did Caldwell correctly classify the Sisters of Divine Providence Charitable Trust as an institutional account exempt from affirmative suitability obligations, and was his recommendation of the structured product suitable regardless of classification?

Why Adversarial

Common Wrong Answer

Item 69 of 200

ANSWER:

Topic: retirement_rollover_suitability_temporal_rule_change

Type: temporal trap (rule changed mid-period, which version applies?)

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2330 (Variable Annuity Recommendations); pre-Reg BI suitability framework

Source: 10_Academic_Articles

Fact Pattern

Margaret Thornton, age 62, worked for 28 years at a manufacturing company and accumulated \$487,000 in her employer's 401(k) plan. In early May 2019, she contacted Pinnacle Wealth Advisors, a dual-registered broker-dealer and investment adviser, about rolling over her retirement assets upon her planned retirement in August 2019. Her registered representative, Kevin Masterson, conducted an initial meeting on May 15, 2019, gathering basic information: Margaret earned \$68,000 annually, had modest Social Security benefits projected at \$1,850/month starting at 67, owned her home outright, had \$45,000 in savings, and listed her risk tolerance as 'moderate' with a 20-year investment horizon.

Masterson recommended Margaret roll her 401(k) into a variable annuity with a guaranteed lifetime withdrawal benefit rider, carrying total annual expenses of 3.2%. He explained this would provide 'lifetime income security' and 'protection against market downturns.' Margaret signed the rollover paperwork on May 28, 2019, and the transaction was completed on June 10, 2019. Masterson earned a \$24,350 commission on the sale.

The recommendation came during the compliance transition period when Regulation Best Interest had been adopted by the SEC but had not yet become effective. Margaret's existing 401(k) offered a diversified menu of low-cost index funds averaging 0.08% in expense ratios, including a target-date fund appropriate for her retirement timeline. Masterson's notes from May 2019 documented Margaret's 'desire for guaranteed income' but did not include any comparative cost analysis between remaining in the 401(k), rolling to a fee-based IRA, or the variable annuity recommendation.

In January 2021, Margaret filed a complaint alleging the rollover recommendation was unsuitable given the significant cost differential and her existing low-cost investment options. She noted that her 401(k) plan also offered an in-plan annuity option with substantially lower fees than the product Masterson recommended.

Question

Under which regulatory standard should Masterson's May-June 2019 rollover recommendation be evaluated, and did his conduct satisfy that applicable standard?

Why Adversarial

Common Wrong Answer

Item 70 of 200

ANSWER:

Topic: robo_adviser_ai_recommendation_suitability

Type: novel fact pattern (robo-adviser, crypto, AI-generated recommendation)

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability), Regulation Best Interest Rule 15l-1 (Care Obligation), FINRA Rule 3110 (Supervision), FINRA Rule 2010 (Standards of Commercial Honor)

Source: 03_FINRA_AWC

Fact Pattern

Nexus Digital Advisers LLC operates a hybrid robo-adviser platform where an AI algorithm generates initial portfolio recommendations, which are then reviewed by licensed representatives before client implementation. In March 2024, client Harold Brennan, age 71, completed the platform's online risk questionnaire, indicating he was retired, had \$425,000 in liquid assets representing his life savings, a fixed income of \$2,800 monthly from Social Security, moderate investment knowledge, and a stated goal of 'capital preservation with modest growth for healthcare expenses.' The questionnaire included a risk tolerance slider where Harold selected '4' on a 1-10 scale.

The AI algorithm processed Harold's inputs and generated a recommendation allocating 35% to a diversified cryptocurrency index fund (including Bitcoin, Ethereum, and Solana exposure), 25% to leveraged equity ETFs, 20% to high-yield corporate bonds, and 20% to money market funds. The algorithm's logic weighted Harold's '4' risk score heavily, interpreting it as acceptance of moderate-to-aggressive volatility, while deprioritizing his age and stated capital preservation goal as 'secondary factors.'

Registered representative Sandra Voss reviewed the AI-generated recommendation for approximately 90 seconds before approving it for implementation. The platform's compliance overlay system flagged the recommendation as 'elevated risk for stated objectives' but allowed manual override. Sandra clicked 'approve with override,' entering the notation 'client indicated moderate risk tolerance per questionnaire.' Harold's portfolio was implemented on March 15, 2024.

By August 2024, the cryptocurrency allocation had declined 47% and the leveraged ETFs lost 31%, reducing Harold's portfolio to \$289,000. Harold filed a complaint stating he never understood the portfolio would include cryptocurrency or leveraged products and that he expected conservative investments appropriate for a retiree. Nexus's records show the AI recommendation was generated in 2.3 seconds and Sandra's review lasted 94 seconds total.

Question

Did Sandra Voss and Nexus Digital Advisers LLC satisfy their suitability and care obligations under applicable standards when implementing the AI-generated portfolio recommendation for Harold Brennan?

Why Adversarial

Common Wrong Answer

Item 71 of 200

ANSWER:

Topic: robo_adviser_suitability_hybrid_model

Type: novel fact pattern (robo-adviser, crypto, AI-generated recommendation)

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); Regulation Best Interest Care Obligation (Exchange Act Rule 15l-1); FINRA Rule 3110 (Supervision); Investment Advisers Act Section 206 (fiduciary duty)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

NovaTech Wealth Solutions operates a hybrid robo-adviser platform where customers complete an online risk questionnaire and receive AI-generated portfolio recommendations, but can also access human financial advisers for questions. In March 2024, Margaret Chen, age 71, a retired schoolteacher with \$485,000 in savings (representing her entire liquid net worth), completed NovaTech's 12-question digital intake form. She indicated a 'moderate' risk tolerance, a 5-year investment horizon, and selected 'retirement income' as her primary objective. The algorithm processed her inputs and recommended a portfolio consisting of 35% individual growth stocks, 25% sector-specific ETFs concentrated in technology and healthcare, 20% high-yield corporate bonds rated BB or below, and 20% a proprietary digital asset fund containing Bitcoin and Ethereum derivatives.

NovaTech's platform included a pop-up disclosure stating: 'Recommendations are generated by our proprietary AlphaLogic AI system. By proceeding, you acknowledge that AI-generated advice may not account for all personal circumstances.' Mrs. Chen clicked 'Accept' and funded her account with \$450,000. A human adviser, Derek Simmons, was assigned to her account but only contacted her once--three days after account funding--via a generic welcome email that did not discuss her specific portfolio allocation.

By November 2024, Mrs. Chen's portfolio had declined 34% due to cryptocurrency volatility and high-yield bond defaults. When she complained, NovaTech argued that (1) the AI algorithm properly matched her stated 'moderate' risk tolerance with the recommended allocation, (2) she accepted the AI disclosure, and (3) human adviser involvement was optional. Internal records show the AlphaLogic system was programmed to weight cryptocurrency exposure at 15-25% for all 'moderate' profiles regardless of age or investment horizon, and that Simmons never reviewed Mrs. Chen's account allocation despite having supervisory access.

Question

Did NovaTech Wealth Solutions and Derek Simmons satisfy their suitability and care obligations under applicable securities regulations, given the hybrid robo-adviser structure and the AI-generated recommendation to a 71-year-old retiree?

Why Adversarial

Common Wrong Answer

Item 72 of 200

ANSWER:

Topic: ai_generated_recommendation_suitability

Type: novel fact pattern (robo-adviser, crypto, AI-generated recommendation)

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability), FINRA Rule 3110 (Supervision), FINRA Rule 2010 (Standards of Commercial Honor)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Vertex Digital Advisers LLC, a FINRA member firm, launched an AI-powered investment recommendation engine called 'SmartAllocate' in March 2023. The platform uses machine learning algorithms to generate personalized portfolio recommendations based on customer questionnaire responses. Marcus Chen, age 67, completed Vertex's online account opening process on April 15, 2023, indicating he was retired, had \$340,000 in liquid assets (representing 85% of his total net worth), a fixed income of \$2,800 monthly from Social Security, a 'moderate' risk tolerance, and a 5-year investment time horizon for supplementing retirement income.

The SmartAllocate algorithm analyzed Marcus's inputs and generated a recommendation allocating 35% to leveraged cryptocurrency ETFs, 25% to high-yield emerging market bonds, 20% to technology sector growth funds, and 20% to money market funds. The algorithm's internal logic weighted Marcus's self-selected 'moderate' risk tolerance heavily, while its programming gave minimal weight to age, income stability, or concentration risk factors. The recommendation appeared on Marcus's dashboard with a prominent 'AI-Optimized for Your Goals' banner.

Marcus followed the recommendation and invested his \$340,000 accordingly on April 22, 2023. Vertex's compliance department had approved SmartAllocate's launch after reviewing the algorithm's general methodology but had not examined specific output scenarios for various customer profiles. The firm employed no human review of AI-generated recommendations before they were presented to customers. By November 2023, the leveraged crypto ETF positions had declined 72%, and Marcus's portfolio had lost approximately \$185,000. Marcus filed a FINRA arbitration claim alleging the recommendation was unsuitable given his retirement status, age, and reliance on the invested funds for income supplementation.

Question

Does Vertex Digital Advisers bear suitability liability under FINRA Rule 2111 for the AI-generated recommendation, and does the firm's reliance on the customer's self-selected 'moderate' risk tolerance provide a defense when the algorithm failed to appropriately weight other material customer profile factors?

Why Adversarial

Common Wrong Answer

Item 73 of 200

ANSWER:

Topic: ai_generated_variable_annuity_recommendation_suitability

Type: novel fact pattern (robo-adviser, crypto, AI-generated recommendation)

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor); FINRA Rule 3110 (Supervision); State insurance suitability requirements for variable annuity sales

Source: 03_FINRA_AWC

Fact Pattern

Apex Digital Wealth Partners launched an AI-powered recommendation engine called 'AnnuityIQ' in March 2024, designed to analyze client questionnaire responses and generate variable annuity recommendations. The system was trained on historical sales data and programmed to match clients with annuity products based on age, income, and stated retirement goals. Margaret Thornton, age 71, completed the online questionnaire on April 15, 2024, indicating she had \$340,000 in liquid assets (her entire savings), was already retired, needed income within 12 months, had a 'conservative' risk tolerance, and listed 'preserving principal' as her primary objective.

AnnuityIQ analyzed her responses and recommended the Pinnacle Growth Variable Annuity, which features a 7-year surrender charge schedule starting at 8%, annual mortality and expense charges of 1.35%, sub-account management fees averaging 0.95%, and an optional guaranteed lifetime withdrawal benefit rider costing an additional 1.10% annually. The AI system flagged the GLWB rider as 'recommended' based on her age. The total annual cost burden exceeded 3.4%.

A registered representative, Marcus Webb, reviewed the AI-generated recommendation for approximately 4 minutes before approving it for presentation to Mrs. Thornton. The firm's compliance procedures required only that Webb confirm the client completed the questionnaire and that the AI system generated a recommendation--not that he independently assess suitability. Webb conducted a brief phone call with Mrs. Thornton, during which she mentioned her husband recently passed away, she was unfamiliar with variable annuities, and she might need funds for potential assisted living costs. Webb did not modify the recommendation or conduct additional analysis.

Mrs. Thornton purchased \$280,000 of the Pinnacle Growth Variable Annuity on April 22, 2024. Three months later, she needed \$45,000 for a health emergency and discovered she would owe approximately \$3,600 in surrender charges plus potential tax consequences.

Question

Under FINRA suitability rules and the regulatory framework governing variable annuity sales, was the AI-generated recommendation and Webb's approval process compliant, and who bears responsibility for any suitability failures?

Why Adversarial

Common Wrong Answer

Item 74 of 200

ANSWER:

Topic: best_interest_standard_customer_classification_edge_case

Type: edge case customer profile (institutional? retail? which standard applies?)

Difficulty: hard

Standard: Regulation Best Interest (Exchange Act Rule 15l-1); FINRA Rule 4512(c) institutional account definition; FINRA Rule 2111 Suitability; FINRA Rule 2111.03 Institutional Suitability

Source: 16_Congressional_Materials

Fact Pattern

Fairview Capital Partners, a registered broker-dealer, recommended a complex structured note linked to commercial real estate indices to Horizon Community Development Corporation (HCDC) in March 2024. HCDC is a 501(c)(3) nonprofit organization with \$45 million in total assets dedicated to affordable housing development in underserved communities. The structured note carried a 7-year maturity, principal protection contingent on the underlying index not declining more than 35%, and a maximum return cap of 42%. The investment was for \$2.8 million from HCDC's operating reserves.

HCDC's board includes three members with financial backgrounds, including a retired commercial banker, a CPA, and a former municipal bond analyst. However, the organization's investment committee consists of two social workers and an urban planner with no formal investment experience. The investment committee made the final allocation decision based on Fairview's recommendation.

Marcus Reinholt, the registered representative handling the account, conducted his analysis based on HCDC's \$45 million asset base and board composition. He documented that HCDC qualified as an 'institutional account' under FINRA rules and therefore applied a less rigorous suitability framework, believing Regulation Best Interest did not apply. Reinholt's recommendation memo noted the organization's 'sophisticated governance structure' but did not document any assessment of the investment committee's actual knowledge or the organization's specific liquidity needs for housing development projects.

Six months after purchase, HCDC needed to liquidate the position to fund an emergency affordable housing acquisition but discovered the structured note had no secondary market and early redemption would result in a 22% loss of principal. The organization filed a complaint alleging the recommendation was unsuitable and violated applicable standards of care.

Question

Did Fairview Capital Partners correctly determine which standard of care applied to HCDC, and did the firm meet its obligations under the applicable standard when recommending the structured note?

Why Adversarial

Common Wrong Answer

Item 75 of 200

ANSWER:

Topic: suitability_product_scope_ambiguity

Type: product ambiguity (is this recommendation subject to suitability at all?)

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); Dodd-Frank Act Section 913; Exchange Act Section 15; FINRA Rule 2010 (Standards of Commercial Honor)

Source: 16_Congressional_Materials

Fact Pattern

Marcus Wellington, age 58, visited Brookfield Securities LLC in March 2024 seeking guidance on deploying \$380,000 in proceeds from selling his small business. Marcus indicated he wanted conservative growth with capital preservation as his priority, targeting retirement at age 63. His risk tolerance questionnaire classified him as 'moderately conservative,' and he had limited investment experience beyond a 401(k) that held target-date funds.

During their meeting, registered representative Dana Cho suggested Marcus consider purchasing shares in Harborview Capital Partners LP, a Delaware limited partnership that invests in commercial real estate development projects. Dana explained that Harborview was 'like a private REIT' and would provide steady income with real estate backing. The minimum investment was \$150,000, with a 7-year lockup period and no secondary market. Dana's branch manager approved the transaction after reviewing the account documentation.

Marcus invested \$175,000 in Harborview through Brookfield Securities, which received a 6% placement fee. The private placement memorandum disclosed that Harborview targeted 'opportunistic' development projects with projected 15-18% annualized returns but noted substantial risks including illiquidity, use of leverage up to 65% of project costs, and concentration in speculative development deals. The PPM classified suitable investors as those with 'substantial net worth' who could 'bear the complete loss of their investment.'

Eighteen months later, two of Harborview's development projects failed, and the fund suspended distributions. Marcus complained to FINRA that Dana never adequately explained the speculative nature of the investment and that the recommendation was unsuitable given his conservative profile and approaching retirement. Dana argued that as a private placement sold only to accredited investors, the transaction fell outside traditional suitability requirements because it was an 'exempt securities transaction.'

Question

Does Dana's recommendation of the Harborview Capital Partners LP interest to Marcus constitute a recommendation subject to FINRA's suitability rule, and if so, did Dana violate her suitability obligations?

Why Adversarial

Common Wrong Answer

Item 76 of 200

ANSWER:

Topic: suitability_product_coverage_ambiguity

Type: product ambiguity (is this recommendation subject to suitability at all?)

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor); Regulation Best Interest Care Obligation (Exchange Act Rule 15l-1)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Rebecca Thornton, age 58, had been a client of registered representative David Kowalski at Ridgeline Securities LLC since 2015. In March 2023, Thornton informed Kowalski that she had accumulated \$340,000 in a 401(k) plan with her former employer and was considering her options. Kowalski, who held both Series 7 and Series 66 licenses, recommended that Thornton roll over the 401(k) funds into a self-directed brokerage IRA at Ridgeline. Thornton agreed and opened the IRA account, completing a new account form indicating moderate risk tolerance, a 10-year investment horizon, and retirement income as her primary objective.

After the rollover was complete, Kowalski recommended that Thornton allocate \$280,000 of her IRA assets to purchase shares in Meridian Growth Partners, a private placement offering structured as a Delaware limited partnership investing in emerging technology companies. The offering memorandum disclosed a 7-year lockup period, substantial illiquidity, and the potential for total loss of principal. Thornton's remaining \$60,000 was placed in a diversified bond mutual fund.

When Thornton later complained that the Meridian investment was unsuitable given her retirement timeline and moderate risk tolerance, Ridgeline's compliance department argued that the private placement recommendation was not subject to FINRA Rule 2111 suitability requirements. The firm contended that Kowalski was acting in his capacity as an investment adviser representative when he recommended the private placement, and that the recommendation therefore fell outside FINRA's jurisdiction. The firm pointed to the fact that Thornton's account was charged an advisory fee rather than commissions for the private placement transaction.

Thornton's account documentation showed that the IRA was opened as a brokerage account, and Kowalski received a selling concession from Meridian in addition to the advisory fee charged to Thornton. Ridgeline had a selling agreement with Meridian and conducted due diligence on the offering before adding it to the firm's approved product list.

Question

Was Kowalski's recommendation of the Meridian Growth Partners private placement subject to FINRA Rule 2111 suitability requirements, and if so, did the recommendation violate the rule?

Why Adversarial

Common Wrong Answer

Item 77 of 200

ANSWER:

Topic: dual_registration_best_interest_suitability_allocation

Type: multi-party scenario (broker AND IA both involved, who owes what duty?)

Difficulty: hard

Standard: Regulation Best Interest Rule 15l-1 (Care Obligation); Investment Advisers Act of 1940 fiduciary duty; FINRA Rules 2111 and 2010; FINRA Rule 3110 (supervision)

Source: 03_FINRA_AWC

Fact Pattern

Margaret Thornton, age 67, is a retired school administrator with \$1.2 million in retirement savings. In February 2023, she engaged with Pinnacle Financial Partners, a dually-registered firm offering both brokerage and investment advisory services. Her financial professional, Derek Callahan, is both a registered representative of Pinnacle's broker-dealer and an investment adviser representative of Pinnacle's RIA. Margaret signed both a brokerage account agreement and a limited investment advisory agreement covering only her taxable account (\$300,000), while her IRA (\$900,000) remained in a commission-based brokerage relationship.

In March 2023, Callahan recommended Margaret roll over her traditional IRA into a variable annuity with a 7-year surrender period and L-share death benefit rider, generating a \$31,500 commission. He presented this recommendation during an advisory review meeting where he discussed her overall financial picture, including goals of capital preservation and income generation for her modest lifestyle needs of approximately \$4,200 monthly from all sources. Her risk tolerance questionnaire indicated 'moderate-conservative' with 'low' liquidity needs given her pension and Social Security income.

Simultaneously, within her advisory account, Callahan invested 40% of her taxable assets into a concentrated position in leveraged ETFs tracking the technology sector, charging his standard 1.25% advisory fee. Callahan documented that Margaret wanted 'growth potential' in her taxable account to leave assets to her grandchildren.

Three months later, Margaret's advisory account had declined 28% due to volatility decay in the leveraged ETFs, and she discovered she could not access her IRA funds for emergency home repairs without incurring substantial surrender charges. Pinnacle's compliance department had approved both transactions after cursory review of Callahan's documentation.

Question

Under which regulatory standard(s) should Callahan's recommendations be evaluated, and did his conduct violate applicable duties owed to Margaret in each account relationship?

Why Adversarial

Common Wrong Answer

Item 78 of 200

ANSWER:

Topic: best_interest_customer_classification_edge_case

Type: edge case customer profile (institutional? retail? which standard applies?)

Difficulty: hard

Standard: Regulation Best Interest Rule 15l-1 (Care Obligation); FINRA Rule 4512(c) institutional account definition; FINRA Rule 2111 suitability; Investment Advisers Act Section 206(1)-(2) if advisory relationship exists

Source: 01_SEC_Guidance_NoAction_Interpretive

Fact Pattern

Dr. Helena Vance is the sole trustee of the Vance Family Dynasty Trust, established in 2019 with assets of \$48 million. Dr. Vance holds a PhD in biochemistry and has no formal financial training, though she has made investment decisions for the trust since its inception. The trust instrument grants her full discretionary authority over investments. In March 2024, broker Marcus Chen of Piedmont Securities LLC recommended that the trust invest \$12 million in a structured note linked to a basket of emerging market currencies with a 7-year maturity, featuring downside principal risk if any currency depreciated more than 40% against the dollar. Chen classified the trust as an 'institutional account' under FINRA rules based on its asset size exceeding \$50 million when combined with related Vance family accounts, and therefore did not conduct a Reg BI suitability analysis or provide a Form CRS.

Chen's recommendation was driven primarily by the 3.2% upfront commission the product paid, significantly higher than comparable fixed-income alternatives yielding similar returns. The structured note's complexity--involving quanto adjustments, barrier conditions, and issuer credit risk layering--was not explained in any detail to Dr. Vance. Chen's supervisor approved the institutional classification after a cursory review showing only the combined account size.

By November 2024, the Brazilian real had depreciated 44% against the dollar, triggering the barrier condition and resulting in a principal loss of \$4.8 million for the trust. Dr. Vance filed a complaint alleging that Chen violated his best interest obligation by recommending an unsuitable product without proper analysis of the trust's risk tolerance or investment objectives.

Piedmont Securities maintains that as an institutional account, the trust was not entitled to Reg BI protections, and that Chen's recommendation satisfied the firm's institutional suitability policies. The firm points to the trust's substantial assets and Dr. Vance's years of investment decision-making as evidence of sophistication.

Question

Did Marcus Chen and Piedmont Securities properly classify the Vance Family Dynasty Trust as an institutional account exempt from Reg BI's best interest obligation, and was the structured note recommendation compliant with applicable care standards?

Why Adversarial

Common Wrong Answer

Item 79 of 200

ANSWER:

Topic: non_traded_reit_suitability_temporal_rule_change

Type: temporal trap (rule changed mid-period, which version applies?)

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); SEC Regulation Best Interest effective date June 30, 2020; FINRA Rule 2010 (Standards of Commercial Honor)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Holloway, age 67, retired from her position as a hospital administrator in March 2019 with \$485,000 in liquid assets, consisting primarily of her 401(k) rollover. She had moderate investment experience limited to mutual funds and had indicated on her customer account form that she needed income generation with capital preservation and had a 10-year investment horizon. Her annual income from Social Security and a small pension totaled \$42,000.

On May 15, 2019, her broker at Granite Peak Securities, LLC, Thomas Wellford, recommended she invest \$145,000 (approximately 30% of her liquid net worth) in Pinnacle Healthcare Properties REIT, a publicly registered non-traded real estate investment trust focusing on medical office buildings. Wellford explained the product offered a 6.5% annual distribution and exposure to healthcare real estate. The product prospectus disclosed illiquidity, a 7-year anticipated hold period, and various concentration risks.

Mrs. Holloway made the investment on May 22, 2019. In February 2020, she requested additional purchases totaling \$50,000 in the same non-traded REIT, which Wellford processed on February 28, 2020. By late 2021, the REIT suspended distributions and announced its NAV had declined 35%. Mrs. Holloway filed an arbitration claim in January 2023, alleging the recommendations were unsuitable given her age, income needs, and concentration in a single illiquid product.

Granite Peak Securities argues that Regulation Best Interest had not yet taken effect at the time of the May 2019 recommendation, and therefore only FINRA Rule 2111 suitability applied. For the February 2020 recommendation, Regulation BI became effective June 30, 2020, so the firm contends Rule 2111 still governed that transaction as well. The firm maintains both recommendations satisfied the reasonable-basis and customer-specific suitability requirements in effect at those times.

Question

Which regulatory standard--FINRA Rule 2111 suitability or SEC Regulation Best Interest--applies to each of the two recommendations, and was either or both recommendation compliant with the applicable standard?

Why Adversarial

Common Wrong Answer

Item 80 of 200

ANSWER:

Topic: multi_party_suitability_and_best_interest_duties

Type: multi-party scenario (broker AND IA both involved, who owes what duty?)

Difficulty: hard

Standard: Regulation BI Care Obligation (Securities Exchange Act Section 15(l)); Investment Advisers Act Section 206 fiduciary duty; FINRA Rule 2111 (Suitability); OCIE 2015 Examination Priorities on fee selection, sales practices, and suitability for retirement investors

Source: 05_SEC_Exam_Findings

Fact Pattern

Margaret Thornton, age 67, recently retired from a manufacturing company in March 2023 with a \$485,000 401(k) balance. She visited Cornerstone Financial Partners, a dually registered broker-dealer and investment adviser, seeking guidance on her retirement assets. During her initial meeting, she was introduced to David Chen, who holds both a Series 7 registration through Cornerstone's broker-dealer and serves as an investment adviser representative under the firm's RIA. Margaret signed a brokerage account agreement, which entitled her to transaction-based recommendations, not ongoing advisory services.

During a June 2023 meeting, Chen recommended Margaret roll her 401(k) into an IRA at Cornerstone and invest the proceeds in a variable annuity with a 7-year surrender period, carrying annual fees of 3.2% including mortality and expense charges, administrative fees, and underlying fund expenses. The annuity included a guaranteed minimum withdrawal benefit rider. Chen explained this would provide 'lifetime income security.' Margaret's disclosed investment profile indicated moderate risk tolerance, a 15-year time horizon, annual Social Security income of \$28,000, and no other liquid savings beyond \$32,000 in a money market account.

Three months later, in September 2023, Margaret engaged Chen under a separate investment advisory agreement for ongoing portfolio management of \$75,000 she inherited from her late sister. Under this advisory relationship, Chen placed the inherited assets into the same variable annuity product family, adding another contract with a 7-year surrender schedule. Chen's compensation included a 5.5% upfront commission on both annuity sales through the broker-dealer and a 1% annual advisory fee on the inherited assets managed under the RIA.

Cornerstone's compliance manual stated that representatives acting in a brokerage capacity must satisfy FINRA suitability requirements, while those acting in an advisory capacity owe fiduciary duties under the Investment Advisers Act. However, the firm provided no clear guidance on how representatives should delineate which capacity applied during specific client interactions, nor did it require documentation of capacity at the time of each recommendation.

Question

Analyze whether Chen and Cornerstone violated applicable suitability and best interest standards with respect to each annuity recommendation, specifically addressing which regulatory standard applied to each transaction and whether the conduct satisfied those distinct obligations.

Why Adversarial

Common Wrong Answer

Item 81 of 200

ANSWER:

Topic: robo_adviser_suitability_algorithmic_recommendation

Type: novel fact pattern (robo-adviser, crypto, AI-generated recommendation)

Difficulty: hard

Standard: Investment Advisers Act of 1940 Section 206 fiduciary duty; SEC IA fiduciary interpretation (duty of care requiring reasonable belief recommendation is in client's best interest); SEC guidance on robo-advisers and digital investment advice

Source: 10_Academic_Articles

Fact Pattern

NovaTech Wealth Solutions, a registered investment adviser, operates a hybrid robo-advisory platform called 'SmartPortfolio Pro' that combines algorithmic portfolio construction with access to human advisers for premium clients. In March 2024, the platform onboarded Margaret Chen, a 72-year-old retired schoolteacher with \$340,000 in retirement savings, a fixed pension of \$2,800 monthly, and no other income sources. During the digital onboarding questionnaire, Margaret indicated a 'moderate' risk tolerance, a 5-year investment horizon, and selected 'income generation' as her primary objective. She also checked a box indicating she had 'some investment experience' based on owning a target-date fund in her former employer's 401(k).

SmartPortfolio Pro's machine learning algorithm analyzed Margaret's inputs and, applying its proprietary 'risk optimization model,' determined that her stated moderate tolerance and 5-year horizon warranted a portfolio containing 35% in a thematic AI/technology ETF, 25% in emerging market equities, 20% in a high-yield corporate bond fund, and 20% in cryptocurrency index products (including Bitcoin and Ethereum exposure). The algorithm's internal documentation showed it weighted her 'some investment experience' answer heavily and interpreted the 5-year horizon as justifying higher volatility assets for 'growth potential.' The platform's disclosure stated that recommendations were 'personalized based on your individual profile.'

NovaTech's compliance team had configured the algorithm with minimum thresholds but had not programmed specific age-based constraints or income dependency factors. A human adviser was available for consultation, but Margaret was not prompted to speak with one before implementation, and the platform automatically invested her funds upon her electronic acceptance. Within eight months, Margaret's portfolio declined 38% due to cryptocurrency volatility and emerging market downturns, leaving her with approximately \$211,000 and significantly impaired retirement security.

Question

Did NovaTech Wealth Solutions, through its SmartPortfolio Pro robo-advisory platform, breach its fiduciary duty of care under the Investment Advisers Act by implementing the algorithm-generated portfolio recommendation for Margaret Chen?

Why Adversarial

Common Wrong Answer

Item 82 of 200**ANSWER:**

Topic: reg_bi_institutional_retail_classification_suitability

Type: edge case customer profile (institutional? retail? which standard applies?)

Difficulty: hard

Standard: Regulation BI Rule 15l-1 (Care Obligation); FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor)

Source: 03_FINRA_AWC

Fact Pattern

In March 2023, registered representative Marcus Thornton at Ridgeline Securities LLC received instructions from Clearwater Family Office, a multi-family office managing assets for four ultra-high-net-worth families totaling \$380 million. Clearwater's investment director, Diane Kellner, contacted Thornton requesting allocation of \$12 million across a portfolio of leveraged single-stock ETFs tied to technology companies. Kellner holds a CFA charter and has 18 years of institutional investment experience. The family office has a written investment policy statement permitting up to 15% allocation to 'alternative and leveraged strategies.'

However, of the \$12 million allocation, \$2.8 million was specifically earmarked for the Hartman Family Trust, a trust benefiting three minor children ages 8, 11, and 14, with the eldest child's college expenses beginning in 2027. The trust documents designate Clearwater as investment adviser with full discretionary authority, but require 'prudent investment standards consistent with the beneficiaries' time horizons and risk tolerances.'

Thornton executed the trades after receiving written authorization from Kellner on Clearwater letterhead. He did not separately analyze the Hartman Family Trust's investment profile or time horizon, relying entirely on Clearwater's institutional status and Kellner's sophistication. Ridgeline's compliance manual classified all family office accounts over \$50 million in AUM as 'institutional customers' exempt from Reg BI's retail customer obligations.

Within eight months, the leveraged ETF positions lost 67% of their value due to volatility decay and adverse market movements, reducing the Hartman Trust allocation from \$2.8 million to approximately \$924,000. The eldest beneficiary's college fund was substantially impaired. Clearwater's principals subsequently filed a complaint alleging Thornton failed to ensure the recommendation was in the best interest of the trust beneficiaries.

Question

Did Thornton's reliance on Clearwater's institutional classification and Kellner's authorization satisfy his suitability and best interest obligations with respect to the Hartman Family Trust allocation, and which regulatory standard--FINRA Rule 2111 or Regulation BI--applies to this recommendation?

Why Adversarial**Common Wrong Answer**

Item 83 of 200**ANSWER:**

Topic: dual_capacity_best_interest_suitability_variable_annuity

Type: multi-party scenario (broker AND IA both involved, who owes what duty?)

Difficulty: hard

Standard: Exchange Act Rule 15l-1(a)(1) and (a)(2)(ii) (Reg BI Care Obligation); FINRA Rules 2330(b)-(c) (Variable Annuity Suitability); FINRA Rule 3110; Investment Advisers Act Section 206 fiduciary duty

Source: 04_RegBI_Compliance_Guidance

Fact Pattern

Margaret Chen, age 67, is a retired schoolteacher with \$420,000 in retirement savings, a moderate risk tolerance, and an income need of approximately \$2,000 monthly to supplement her pension. In March 2023, she engaged Pinnacle Financial Partners, a dually-registered firm operating both as a FINRA member broker-dealer and an SEC-registered investment adviser. Margaret signed an investment advisory agreement for ongoing portfolio management of her \$320,000 IRA rollover, paying a 1.1% annual advisory fee. Her assigned adviser, David Thornton, holds both a Series 7 and is an investment adviser representative of the IA.

In July 2023, Thornton recommended that Margaret exchange \$185,000 from her existing variable annuity (which had no remaining surrender charges) into a new deferred variable annuity with a 7-year surrender period, a guaranteed lifetime withdrawal benefit rider costing 1.15% annually, and underlying subaccount expenses averaging 1.45%. Thornton presented this recommendation during what he characterized as an 'advisory review meeting,' though the transaction would be executed through the broker-dealer and generate a 5.5% commission (\$10,175) paid to Thornton. The new annuity's death benefit was slightly enhanced compared to her existing product.

The firm's compliance department approved the exchange based on suitability documentation showing Margaret's desire for 'guaranteed income.' However, the advisory agreement covering Margaret's IRA stated that Thornton would provide 'holistic retirement planning advice in the client's best interest.' No separate disclosure was provided explaining that the annuity recommendation would be made in Thornton's broker capacity rather than his advisory capacity, nor was there any written acknowledgment that different standards might apply to the transaction.

Margaret later discovered that her existing annuity already offered a comparable income rider that she had never activated, and that the new surrender charges would significantly restrict her liquidity during her prime retirement years.

Question

Under what standard(s) should Thornton's variable annuity exchange recommendation be evaluated, and did the recommendation comply with the applicable duty of care obligations owed to Margaret?

Why Adversarial**Common Wrong Answer**

Item 84 of 200

ANSWER:

Topic: annuity_suitability_customer_classification_edge_case

Type: edge case customer profile (institutional? retail? which standard applies?)

Difficulty: hard

Standard: NAIC Suitability in Annuity Transactions Model Regulation Sections 5I, 6A, 6B, 6F; FINRA Rule 2111 (suitability); FINRA Rule 2330 (variable annuities supervision)

Source: 13_FINRA_Rulebook

Fact Pattern

Dr. Evelyn Thornberg, age 58, is the sole trustee and beneficiary of the Thornberg Family Irrevocable Trust, established in 2019 with \$4.2 million in assets. The trust document grants Dr. Thornberg full discretion over investment decisions. In March 2024, insurance producer Marcus Welling of Cascade Financial Partners met with Dr. Thornberg to discuss retirement planning options for the trust's assets. Dr. Thornberg explained that the trust was established to provide income during her retirement beginning at age 65, with any remainder passing to her two adult children. She disclosed that she had moderate investment experience from her career as a university professor but limited knowledge of insurance products.

Welling recommended that the trust purchase a \$1.8 million indexed annuity with a 12-year surrender period and surrender charges starting at 9%. The annuity included a guaranteed lifetime withdrawal benefit rider with an additional annual fee of 1.15%. During the application process, Welling classified the purchaser as an 'institutional client' based on the trust's total assets exceeding \$4 million, and therefore did not complete the standard suitability information gathering form. He documented only the trust's total assets and the stated objective of 'retirement income.' Welling's supervisor at Cascade approved the transaction after reviewing only the trust documentation and asset verification, noting the institutional classification.

Six months later, Dr. Thornberg attempted to access \$200,000 from the annuity to cover unexpected medical expenses and discovered the substantial surrender charges. She filed a complaint arguing that Welling never discussed her liquidity needs, risk tolerance, or the trust's time horizon in relation to the surrender period. Cascade's compliance department defended the transaction by asserting that institutional suitability standards applied given the trust's asset level, and that reduced information gathering was appropriate.

Question

Did Cascade Financial Partners and producer Marcus Welling comply with the NAIC Suitability in Annuity Transactions Model Regulation's suitability requirements by classifying the Thornberg Family Irrevocable Trust as an institutional client and conducting abbreviated suitability analysis?

Why Adversarial

Common Wrong Answer

Item 85 of 200

ANSWER:

Topic: sales_charge_discount_suitability_threshold

Type: precise threshold (does this just barely meet or miss the standard?)

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); Regulation BI Care Obligation; FINRA Rule 3110 (Supervision); Rights of Accumulation provisions in mutual fund prospectuses

Source: 15_FINRA_Regulatory_Notices

Fact Pattern

Margaret Thornton, age 67, is a retired schoolteacher with \$485,000 in liquid assets and moderate risk tolerance. In February 2023, she met with registered representative David Chen of Ridgeline Financial Services to discuss consolidating her investment accounts. Margaret held \$142,000 in Class A shares of the Meridian Growth Fund Family across three accounts: her individual brokerage account (\$78,000), her IRA (\$52,000), and a joint account with her husband (\$12,000). All three accounts were held at Ridgeline.

Margaret expressed interest in purchasing an additional \$12,500 in Meridian Growth Fund shares for her individual account. According to the Meridian fund prospectus, the standard front-end sales charge was 5.0%, but investors with holdings between \$100,000 and \$249,999 qualified for a reduced 4.25% charge, and holdings between \$250,000 and \$499,999 qualified for a 3.50% charge. Critically, the prospectus stated that Rights of Accumulation applied to 'all shares held by the investor across accounts within the same fund family at the same broker-dealer.'

David processed Margaret's \$12,500 purchase at the standard 5.0% sales charge, resulting in a \$625 charge instead of what could have been \$531.25 at the 4.25% rate. When questioned during a routine compliance review, David explained that he only considered the holdings in Margaret's individual brokerage account (\$78,000) when calculating the applicable breakpoint, reasoning that the IRA and joint accounts were 'separate legal entities.' Ridgeline's written supervisory procedures required representatives to 'consider applicable breakpoints when processing mutual fund purchases' but did not specify how to aggregate accounts for ROA purposes.

The compliance department noted that if all three accounts were aggregated as contemplated by the prospectus language, Margaret's total holdings of \$142,000 would have qualified her \$12,500 purchase for the 4.25% breakpoint rate.

Question

Did David Chen's failure to aggregate Margaret's accounts for Rights of Accumulation purposes violate his suitability and best interest obligations, even though Ridgeline's WSPs did not explicitly require cross-account aggregation?

Why Adversarial

Common Wrong Answer

Item 86 of 200**ANSWER:**

Topic: best_interest_obligation_product_scope

Type: product ambiguity (is this recommendation subject to suitability at all?)

Difficulty: hard

Standard: Investment Advisers Act Section 206(2); Regulation BI Care Obligation; FINRA Rule 2111 (Suitability)

Source: 02_SEC_Enforcement_Actions

Fact Pattern

Meridian Wealth Partners, LLC is a dually-registered investment adviser and broker-dealer with approximately \$450 million in client assets. In March 2024, Marcus Chen, a financial advisor at Meridian, met with longtime client Dorothy Hanson, age 67, a retired schoolteacher with \$780,000 in investable assets, moderate risk tolerance, and income-focused investment objectives. Her primary concern was generating reliable retirement income while preserving capital for potential long-term care needs.

During this meeting, Mrs. Hanson mentioned she had received an inheritance of \$125,000 and was uncertain how to invest it. Chen suggested she consider purchasing interests in Centre Vista Fund VI, a private equity fund managed by an unaffiliated adviser that focuses on middle-market buyouts of technology services companies. Chen explained that his firm had received allocations for qualified clients and described the fund as offering 'attractive long-term returns.' He provided Mrs. Hanson with the fund's Private Placement Memorandum.

Chen characterized his role as merely providing 'investment education' about the private fund opportunity rather than making a formal recommendation. He stated that Meridian would not receive any compensation related to the transaction and that Mrs. Hanson would need to complete accredited investor verification and subscription documents directly with the fund administrator. Mrs. Hanson invested \$100,000 into Centre Vista Fund VI, which had a 10-year lockup period, 2% management fee, 20% carried interest, and minimum investment of \$100,000.

Six months later, Mrs. Hanson needed to access funds for unexpected medical expenses but discovered her private equity investment was entirely illiquid. She filed a complaint alleging Chen's recommendation was unsuitable given her age, income needs, and liquidity requirements. Meridian's compliance department argued that Chen merely facilitated access to the fund without making a 'recommendation' and that private fund investments fall outside standard suitability frameworks.

Question

Did Chen's conduct constitute a 'recommendation' subject to best interest or suitability obligations, and if so, did the recommendation violate applicable standards?

Why Adversarial**Common Wrong Answer**

Item 87 of 200**ANSWER:**

Topic: suitability_best_interest_reg_bi_state_fiduciary_conflict

Type: rule conflict (Reg BI vs. state fiduciary standard disagree)

Difficulty: hard

Standard: SEC Regulation Best Interest (Exchange Act Rule 15l-1) Care Obligation; Nevada Securities Division enhanced fiduciary standards for senior investors; FINRA Rule 2111 (Suitability); FINRA Rule 2330 (Variable Annuity Suitability); FINRA Rule 3110 (Supervision)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Thornton, age 67, is a retired schoolteacher residing in Nevada with a modest pension of \$2,800 per month and \$485,000 in retirement savings rolled over from her 403(b) plan. In March 2024, she met with registered representative David Keller of Mountainview Securities, LLC, a dual-registrant firm where Keller holds both Series 7 and Series 66 licenses. Thornton explicitly stated her primary objectives were capital preservation and generating supplemental income to cover medical expenses, with a moderate risk tolerance and a 10-year investment horizon.

Keller recommended that Thornton allocate \$340,000 (70% of her liquid assets) to a variable annuity with a guaranteed minimum withdrawal benefit rider, the Paramount Select VA Plus. The product carried total annual expenses of 3.42%, including a 1.15% mortality and expense charge, 0.95% administrative fee, and 1.32% for the GMWB rider. The surrender period was 8 years with declining charges starting at 7%. Keller documented his recommendation thoroughly, noting that the guaranteed income feature aligned with Thornton's stated need for predictable retirement income and that the death benefit would provide value to her estate.

Mountainview Securities operated under Regulation Best Interest for the brokerage recommendation. However, Nevada adopted enhanced fiduciary standards effective January 2024 under state securities regulations, requiring broker-dealers serving Nevada residents to act as fiduciaries when providing investment advice to retail customers over age 65, explicitly requiring advisers to recommend the 'most advantageous' product available rather than merely a suitable one. Keller's compliance department had approved the VA recommendation under Reg BI's Care Obligation analysis but had not updated procedures to reflect the Nevada standard.

A lower-cost alternative existed: a similar fixed indexed annuity from the same carrier with a 1.85% total annual expense ratio, a 6-year surrender period, and comparable guaranteed income features, though without market participation upside. Keller was aware of this product but believed the variable annuity's equity exposure better served Thornton's 10-year horizon despite her stated preference for capital preservation.

Question

Did Keller's variable annuity recommendation satisfy his obligations under both Regulation Best Interest and Nevada's state fiduciary standard, and which standard controls if they conflict?

Why Adversarial**Common Wrong Answer**

Item 88 of 200**ANSWER:**

Topic: suitability_product_ambiguity_cryptocurrency

Type: product ambiguity (is this recommendation subject to suitability at all?)

Difficulty: hard

Standard: FINRA Rule 3270 (Outside Business Activities); FINRA Rule 2010 (Standards of Commercial Honor); Regulation Best Interest Care Obligation; Investment Advisers Act Section 206

Source: 11_Case_Law

Fact Pattern

Marcus Whitfield, a registered representative at Coastal Securities LLC, a dual-registrant broker-dealer and investment adviser, had a long-standing relationship with client Eleanor Bradshaw, age 67, a retired schoolteacher with a moderate risk tolerance, \$420,000 in retirement savings, and a stated objective of capital preservation with modest growth. In March 2023, during a routine portfolio review conducted in Marcus's capacity as a broker, Eleanor mentioned she had heard about cryptocurrency from her grandson and wondered if it might help her portfolio keep pace with inflation.

Marcus explained that Coastal Securities did not offer direct cryptocurrency custody or trading through its brokerage platform. However, he told Eleanor about a 'tumbling service' he personally used called CryptoMix Solutions that could help her acquire and manage bitcoin outside of her brokerage account. Marcus provided Eleanor with detailed written instructions on how to open an account with CryptoMix, transfer \$75,000 from her bank account, and convert the funds to bitcoin. He emphasized that the tumbling feature would provide 'enhanced privacy' for her holdings. Marcus did not conduct any suitability analysis, did not document the recommendation, and received no compensation from CryptoMix.

Eleanor followed Marcus's instructions and transferred \$75,000 to CryptoMix in April 2023. By November 2023, CryptoMix had ceased operations, and Eleanor lost her entire investment. She filed a complaint with FINRA alleging that Marcus's recommendation was unsuitable for her conservative profile and that he violated his duty of care. Coastal Securities responded that Marcus's recommendation involved a non-security product outside the firm's business, made in his personal capacity without compensation, and therefore was not subject to suitability obligations.

Question

Was Marcus's recommendation regarding the cryptocurrency tumbling service subject to FINRA suitability rules or Regulation Best Interest, given that cryptocurrency is not a security and the recommendation was made outside the firm's product offerings?

Why Adversarial**Common Wrong Answer**

Item 89 of 200**ANSWER:**

Topic: dual_registration_suitability_best_interest_obligations

Type: multi-party scenario (broker AND IA both involved, who owes what duty?)

Difficulty: hard

Standard: Investment Advisers Act fiduciary duty; SEC Regulation Best Interest (Exchange Act Rule 15l-1) Care and Disclosure Obligations; FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Thornton, age 67, retired school teacher with a \$680,000 IRA rollover from her pension, consulted with Pinnacle Financial Partners in March 2024. She met with Kevin Walsh, who holds both a Series 7 registration through Pinnacle Securities (a FINRA member broker-dealer) and is also an investment adviser representative of Pinnacle Advisory Group, a state-registered investment adviser sharing office space and common ownership with the broker-dealer.

During the initial meeting, Walsh presented Margaret with two options: (1) a commission-based brokerage account where she would pay transaction fees for each trade, or (2) a fee-based advisory account charging 1.25% annually with ongoing portfolio management. Walsh recommended the fee-based advisory account, explaining he would have a 'fiduciary duty' to act in her best interest. Margaret signed advisory agreements with Pinnacle Advisory Group and opened the account in April 2024.

Once the advisory relationship was established, Walsh allocated 45% of Margaret's IRA (\$306,000) to a proprietary structured note with a 7-year maturity, 15% downside buffer, and potential returns tied to the S&P 500. The structured note carried a 2.8% upfront commission paid to Pinnacle Securities (not disclosed as a separate line item), which Walsh earned in his broker capacity. The remaining 55% was invested in a diversified portfolio of low-cost ETFs. Margaret's investment profile indicated 'moderate' risk tolerance, a 10-year time horizon, income needs beginning at age 72, and limited experience with complex products.

In January 2025, Margaret needed \$85,000 for unexpected medical expenses. She discovered the structured note could only be liquidated at a 12% discount to principal, resulting in a \$36,720 loss on that portion alone. She also learned Walsh received the undisclosed commission. Margaret filed arbitration claims against both Pinnacle Securities and Pinnacle Advisory Group, alleging the recommendation was unsuitable under FINRA Rule 2111 and breached the fiduciary duty owed under the advisory relationship.

Question

Given Walsh's dual registration and the structure of the transaction, which regulatory standards apply to assess whether the structured note recommendation was appropriate, and how should liability be allocated between the broker-dealer and the investment adviser?

Why Adversarial**Common Wrong Answer**

Item 90 of 200

ANSWER:

Topic: robo_adviser_suitability_ai_generated_retirement_recommendation

Type: novel fact pattern (robo-adviser, crypto, AI-generated recommendation)

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); Exchange Act Rule 15l-1 (Regulation Best Interest Care Obligation); FINRA Rule 2010 (Standards of Commercial Honor)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Thornton, age 68, is a retired schoolteacher with a \$425,000 IRA rollover from her pension plan. In March 2024, she opened an account with AlphaWealth Digital Advisors, a dually-registered broker-dealer and investment adviser offering a hybrid robo-advisory platform. During onboarding, the platform's AI-driven questionnaire collected her information: she indicated a 'moderate' risk tolerance, a 10-year investment horizon, annual income of \$42,000 from Social Security and a small pension, liquid assets of \$38,000 outside the IRA, and her primary investment objective as 'income generation for retirement expenses.'

The AI algorithm, branded as 'SmartAlloc Pro,' generated a recommended portfolio allocation of 35% in the Spirit of America Energy Income Fund (a non-traded REIT), 25% in Energy 11, LP (a speculative oil and gas limited partnership), 20% in high-yield corporate bonds, and 20% in dividend-paying equities. The platform disclosed that these alternative investments carried liquidity restrictions of 7-10 years and that Energy 11, LP had suspended distributions due to declining oil prices. Mrs. Thornton electronically accepted the recommendation after a 12-minute session without speaking to any human adviser.

Six months later, Mrs. Thornton needed \$85,000 for unexpected medical expenses and discovered she could not liquidate 60% of her portfolio. The Spirit of America fund was trading at a 40% discount on secondary markets, and Energy 11 had no redemption program. She filed a FINRA arbitration claim alleging unsuitable recommendations and breach of fiduciary duty. AlphaWealth defended by arguing that the AI algorithm properly matched her stated risk tolerance to the portfolio, that all disclosures were made electronically, and that Mrs. Thornton affirmatively accepted the recommendations, thereby ratifying the investment strategy.

Question

Did AlphaWealth Digital Advisors satisfy its suitability and best interest obligations under both FINRA Rule 2111 and Regulation Best Interest when its AI-generated algorithm recommended a 60% allocation to illiquid alternative investments for a 68-year-old retiree dependent on her IRA for income, despite proper electronic disclosures and client acceptance?

Why Adversarial

Common Wrong Answer

Item 91 of 200

ANSWER:

Topic: suitability_of_bond_and_preferred_stock_recommendations_for_retirement_accounts

Type: precise threshold (does this just barely meet or miss the standard?)

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor); Exchange Act Section 10(b)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Harold and Barbara Tennyson, ages 71 and 68 respectively, maintained retirement accounts at Westbrook Financial Partners totaling approximately \$1.4 million across Harold's traditional IRA (\$620,000), Harold's Roth IRA (\$180,000), Barbara's traditional IRA (\$450,000), and a family limited partnership account (\$150,000). Their stated investment objectives across all accounts were 'income with capital preservation,' with a moderate risk tolerance and an 8-10 year investment time horizon. Both were retired, drawing approximately \$48,000 annually from Social Security and \$22,000 from a small pension, with investment income supplementing their lifestyle.

Between March 2022 and November 2023, their registered representative, Daniel Westbrook, recommended a concentrated position in high-yield corporate bonds and preferred stocks issued by regional banks and energy companies. The recommendations included bonds rated BB and B by major rating agencies, constituting 47% of the total portfolio, and perpetual preferred stocks from three regional banks totaling 28% of holdings. Westbrook documented in his notes that the Tennysons 'understood the higher yields compensated for additional risk' and 'wanted to maximize income generation for their retirement years.'

The customer account records indicated the Tennysons had prior experience with investment-grade municipal bonds and blue-chip dividend stocks over their 25-year investment history, but no documented experience with high-yield or below-investment-grade securities. When regional bank stress emerged in early 2024, the preferred stock positions declined approximately 35%, and two of the high-yield bonds were downgraded, resulting in combined unrealized losses of approximately \$290,000. The Tennysons filed arbitration claims alleging unsuitability, breach of fiduciary duty, and negligence.

Westbrook's defense centered on the fact that the Tennysons signed account documentation indicating 'moderate' risk tolerance, their stated desire for income generation, and his contemporaneous notes reflecting client understanding. He also noted that no single issuer exceeded 12% of the portfolio, arguing the positions were diversified within their respective categories.

Question

Did the concentration of 47% in below-investment-grade bonds and 28% in regional bank preferred stocks satisfy FINRA suitability requirements for these retirement account customers, given their documented moderate risk tolerance and income-with-capital-preservation objectives?

Why Adversarial

Common Wrong Answer

Item 92 of 200

ANSWER:

Topic: suitability_product_ambiguity_fractional_shares

Type: product ambiguity (is this recommendation subject to suitability at all?)

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor); FINRA Rules 6380A and 6622 (confirming fractional shares are securities subject to FINRA rules)

Source: 03_FINRA_AWC

Fact Pattern

In March 2023, Clearview Securities, a FINRA member broker-dealer, launched an automated fractional share investment program called 'MicroInvest.' The program allowed customers to purchase fractional shares of stocks and ETFs in amounts as small as \$1. Marcus Chen, age 72, a retired schoolteacher with \$85,000 in total investable assets and a stated conservative risk tolerance, visited the Clearview branch to open a traditional brokerage account. During the account opening, registered representative Dana Wilkins suggested Marcus enroll in MicroInvest, explaining it would allow him to 'build a diversified portfolio with small regular contributions.'

Without conducting any meaningful suitability analysis, Wilkins enrolled Marcus in MicroInvest and configured the program to automatically invest \$500 weekly across a pre-set portfolio allocation consisting of 70% leveraged ETFs (including 3x leveraged technology and biotech funds), 20% speculative penny stocks, and 10% blue-chip dividend stocks. Wilkins told Marcus the program was 'just small amounts' and that fractional shares were 'different from regular stock recommendations' because the individual positions would be tiny.

Over the following eight months, Marcus invested \$17,500 through the program. Due to the volatile nature of the leveraged ETFs and penny stocks, his portfolio lost approximately 45% of its value, leaving him with roughly \$9,600. When Marcus complained, Clearview's compliance department initially responded that MicroInvest transactions were 'self-directed fractional share purchases' and that because each individual fractional share purchase was de minimis (often under \$50), traditional suitability rules did not apply to the program's underlying asset allocation recommendations.

Question

Does the fractional share nature of the MicroInvest program purchases exempt Clearview and Wilkins from FINRA suitability obligations regarding the recommended portfolio allocation, and if not, did Wilkins violate applicable suitability standards?

Why Adversarial

Common Wrong Answer

Item 93 of 200**ANSWER:**

Topic: ai_generated_recommendation_suitability

Type: novel fact pattern (robo-adviser, crypto, AI-generated recommendation)

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 3110 (Supervision); FINRA Rule 2010 (Standards of Commercial Honor)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

AlphaQuant Advisors LLC is a registered broker-dealer that launched an AI-powered recommendation engine called 'SmartSelect Pro' in March 2023. The system uses machine learning algorithms to analyze customer data and generate personalized investment recommendations. When customers open accounts, they complete an online questionnaire covering income, net worth, investment experience, time horizon, and risk tolerance. The AI engine processes these inputs and generates recommendations within seconds.

Margaret Chen, age 71, opened an account on April 15, 2024, with \$485,000--representing 85% of her liquid net worth from a recent inheritance. She indicated on her questionnaire: annual income of \$42,000 from Social Security, 'conservative' risk tolerance, 'capital preservation' as her primary objective, 'limited' investment experience, and a 3-5 year time horizon. She noted in the free-text field that she needed income to supplement her retirement and could not afford significant losses.

SmartSelect Pro generated a recommendation allocating 45% to leveraged ETFs tracking volatile sectors (semiconductors, emerging markets), 30% to high-yield corporate bonds rated BB or below, and 25% to cryptocurrency-linked structured products. The AI determined this allocation based on a proprietary 'opportunity optimization' algorithm that weighted potential returns heavily. No human representative reviewed the recommendation before it was presented to Mrs. Chen.

Mrs. Chen, unfamiliar with these products, accepted the recommendations based on the system's 'Confidence Score' of 92% displayed on screen. By September 2024, her portfolio had declined 38% to approximately \$300,700. AlphaQuant's compliance department defended the recommendations, arguing the AI system was properly designed, the customer voluntarily completed the questionnaire, and the firm had no obligation to have human review of algorithmically-generated recommendations for self-directed customers.

Question

Did AlphaQuant Advisors satisfy its suitability obligations under FINRA Rule 2111 when its AI system generated recommendations for Mrs. Chen, and does the use of an automated recommendation engine alter the firm's supervisory responsibilities?

Why Adversarial**Common Wrong Answer**

Item 94 of 200

ANSWER:

Topic: robo_adviser_suitability_municipal_proceeds

Type: novel fact pattern (robo-adviser, crypto, AI-generated recommendation)

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); Regulation BI Rule 15l-1 (Care Obligation); FINRA Rules 3110(a) and (b) (Supervision); FINRA Rule 2010; Exchange Act Section 15B(a)(1)(B)

Source: 03_FINRA_AWC

Fact Pattern

Meridian Digital Advisors, LLC is a dual-registrant broker-dealer and investment adviser that operates a robo-advisory platform called 'MuniSmart.' The platform uses an AI-driven algorithm to generate investment recommendations for customers based on questionnaire responses regarding risk tolerance, investment horizon, and liquidity needs. In March 2024, the City of Westbrook Water Authority (a municipal entity) opened an account through MuniSmart, depositing \$4.2 million in proceeds from a recent municipal bond issuance. The Water Authority's finance director completed the standard onboarding questionnaire, indicating a 'conservative' risk profile and a 3-year investment horizon, as the funds would be drawn down for infrastructure projects.

Meridian was not registered as a municipal advisor. The MuniSmart algorithm, which was not programmed to distinguish between municipal entity clients investing bond proceeds and retail investors, automatically generated recommendations for the \$4.2 million deposit. The AI recommended allocating 65% to intermediate-term corporate bonds, 20% to a money market fund, and 15% to a diversified equity ETF. No human adviser reviewed these recommendations before they were presented to the Water Authority, and Meridian's written supervisory procedures contained no provisions for identifying municipal entity accounts or screening for bond proceeds.

The Water Authority accepted the AI-generated recommendations and the trades were executed. Three months later, rising interest rates caused the corporate bond allocation to decline 8% in value, resulting in a \$218,400 unrealized loss. The equity ETF also declined 12%, adding another \$75,600 in losses. The Water Authority's finance director complained that the recommendations were inappropriate given their conservative profile and the nature of the funds as municipal bond proceeds requiring capital preservation.

Meridian's compliance department responded that the robo-adviser algorithm applied the same suitability analysis to all clients and that the recommendations were consistent with a 'conservative' risk profile under the platform's methodology. They noted no human adviser had provided advice, only the algorithm.

Question

Did Meridian Digital Advisors violate its suitability and best interest obligations by allowing its robo-advisory platform to generate investment recommendations for the Water Authority's bond proceeds without human review or municipal-entity-specific protocols?

Why Adversarial

Common Wrong Answer

Item 95 of 200

ANSWER:

Topic: suitability_threshold_private_placement_506b

Type: product ambiguity (is this recommendation subject to suitability at all?)

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 3110 (Supervision); SEC Regulation D Rule 506(b); Exchange Act Section 15(b)

Source: 15_FINRA_Regulatory_Notices

Fact Pattern

In January 2025, Whitmore Securities LLC, a FINRA member firm, was approached by Cascade Renewable Energy Partners LP seeking placement agent services for a Rule 506(b) private placement offering limited partnership interests in a solar farm development project. The minimum investment was \$150,000, and the offering was restricted to accredited investors per SEC requirements. Marcus Whitmore, a registered representative, contacted Eleanor Castellano, age 58, a longtime client with a net worth of \$2.8 million (excluding primary residence), annual income of \$195,000, and a portfolio consisting primarily of municipal bonds and dividend-paying stocks. Her investment profile indicated 'moderate' risk tolerance and a 10-year time horizon for retirement.

Castellano expressed general interest in 'green investments' during a routine portfolio review call. Whitmore mentioned the Cascade LP opportunity, explaining that as an accredited investor she qualified to participate. He provided the private placement memorandum and subscription documents but conducted no analysis of how the illiquid, 8-12 year lockup period aligned with her stated retirement timeline. He also did not discuss the speculative nature of development-stage solar projects, concentration risk (the \$150,000 would represent approximately 5.3% of her liquid assets), or the partnership's reliance on federal tax credits that could change with future legislation.

When Castellano signed the subscription agreement in February 2025, she checked the box confirming her accredited investor status. Whitmore processed the investment and received a \$7,500 placement fee. Whitmore's supervisor approved the transaction after verifying only Castellano's accredited investor qualification and that the offering documents were provided. No suitability determination was documented. Whitmore later argued that because Rule 506(b) offerings are exempt securities sold only to qualified investors who self-certify, his role was merely ministerial facilitation rather than making a 'recommendation' triggering suitability obligations.

Question

Does Whitmore's conduct in facilitating Castellano's investment in the Cascade LP Rule 506(b) private placement constitute a 'recommendation' subject to FINRA suitability requirements, and if so, did he violate those requirements?

Why Adversarial

Common Wrong Answer

Item 96 of 200

ANSWER:

Topic: suitability_product_coverage_ambiguity

Type: product ambiguity (is this recommendation subject to suitability at all?)

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2111.03 (Hold Recommendations and Investment Strategies); FINRA Rule 2010 (Standards of Commercial Honor)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

In March 2024, Gerald Whitmore, a 71-year-old retired manufacturing executive, contacted his registered representative Marcus Chen at Piedmont Securities LLC regarding a large block of restricted common stock in Vortex Dynamics Inc. that Whitmore had received as deferred compensation during his employment. The position, valued at approximately \$2.3 million, represented roughly 40% of Whitmore's total net worth. The shares carried a six-month holding period restriction that would expire in September 2024.

Whitmore asked Chen whether he should hold the restricted shares until the restriction lifted and then sell, or whether there were ways to monetize the position sooner. Chen researched the matter and told Whitmore that Piedmont could not execute any transactions involving the restricted shares due to firm policy and regulatory concerns about handling restricted securities. Chen specifically declined to recommend any hedging strategies, prepaid forward contracts, or collar arrangements, stating that such structures were 'outside his wheelhouse' and that Whitmore should consult a specialized attorney.

However, Chen did tell Whitmore: 'In my experience, concentrated positions like this usually work out fine if you just hold tight. The company looks solid and tech stocks have been recovering. I'd probably just wait it out rather than paying lawyers and bankers big fees to do something complicated.' Whitmore followed this informal guidance and held the shares. By October 2024, after the restriction lifted, Vortex Dynamics had declined 62% due to sector headwinds and company-specific issues, reducing the position value to approximately \$870,000.

Whitmore filed an arbitration claim alleging that Chen violated suitability obligations by recommending he maintain the concentrated position without proper analysis of his risk tolerance, time horizon, or diversification needs. Chen's defense argues that his statement about the restricted shares was merely an observation, not a 'recommendation' under FINRA Rule 2111, and that restricted securities fall outside the scope of suitability requirements since no transaction could be effected.

Question

Did Chen's informal guidance to Whitmore regarding the concentrated restricted stock position constitute a 'recommendation' subject to FINRA Rule 2111 suitability requirements, or does the restricted nature of the securities and absence of an executable transaction remove this communication from suitability coverage?

Why Adversarial

Common Wrong Answer

Item 97 of 200

ANSWER:

Topic: robo_adviser_ai_suitability_override

Type: novel fact pattern (robo-adviser, crypto, AI-generated recommendation)

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability), Investment Advisers Act of 1940 fiduciary duty of care, FINRA Rule 3110 (Supervision)

Source: 21_FINRA_OHO_Decisions

Fact Pattern

QuantumWealth Advisors launched an AI-driven robo-advisory platform called 'AlphaBot' in March 2023. The platform used machine learning algorithms to generate investment recommendations based on customer questionnaire responses. Margaret Chen, age 67, a retired schoolteacher with \$380,000 in retirement savings, completed AlphaBot's online risk assessment in June 2023. Her responses indicated a conservative risk tolerance, a 10-year investment horizon, moderate investment knowledge, and a primary objective of capital preservation with modest income generation. The algorithm initially generated a portfolio recommendation of 70% investment-grade bonds, 20% dividend-paying equities, and 10% money market funds.

However, AlphaBot's machine learning model had recently been updated to incorporate 'market opportunity signals' that could override baseline recommendations when the algorithm detected favorable conditions. In July 2023, the AI detected what it classified as a 'generational buying opportunity' in cryptocurrency markets following a significant price decline. The algorithm automatically adjusted Chen's recommendation to include a 25% allocation to a cryptocurrency basket (Bitcoin, Ethereum, and Solana), reducing her bond allocation to 45%. The platform's disclosure noted only that 'recommendations may be adjusted based on market conditions.'

Jennifer Walsh, a Series 65-licensed investment adviser representative employed by QuantumWealth, was designated as the 'human supervisor' for AlphaBot recommendations affecting clients over age 60. Walsh received an automated alert about Chen's modified recommendation but approved it within 90 seconds without reviewing Chen's underlying profile, relying on the algorithm's analysis. Chen invested \$95,000 in the cryptocurrency allocation. By December 2023, the cryptocurrency portion had declined 62% in value, resulting in losses of approximately \$59,000.

Question

Did QuantumWealth Advisors and Jennifer Walsh satisfy their suitability and fiduciary duty obligations when the AI-driven platform overrode Margaret Chen's conservative risk profile to recommend a 25% cryptocurrency allocation, even though a human supervisor nominally approved the recommendation?

Why Adversarial

Common Wrong Answer

Item 98 of 200

ANSWER:

Topic: multi_party_suitability_duty_allocation

Type: multi-party scenario (broker AND IA both involved, who owes what duty?)

Difficulty: hard

Standard: Regulation Best Interest Care Obligation; FINRA Rule 2330 (Deferred Variable Annuities); FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor); Investment Advisers Act of 1940 Section 206 (Fiduciary Duty)

Source: 21_FINRA_OHO_Decisions

Fact Pattern

Margaret Chen, age 72, is a retired schoolteacher with \$1.2 million in retirement savings, moderate risk tolerance, a 15-year investment horizon, and a primary objective of capital preservation with modest income. In January 2024, Margaret engaged Pinnacle Wealth Advisors, LLC, a dually-registered investment adviser and broker-dealer, to manage her retirement portfolio. She was assigned to work with David Torres, who holds both Series 7 and Series 66 licenses and operates as both a registered representative and an investment adviser representative of Pinnacle.

Torres recommended that Margaret roll over her 403(b) account, valued at \$850,000, into a variable annuity with a 7-year surrender period, containing subaccounts invested 60% in leveraged emerging market equity funds and 20% in inverse bond funds. The annuity carried total annual expenses of 3.2%, including mortality and expense charges, administrative fees, and subaccount management fees. Torres received a 6% upfront commission on the sale.

Simultaneously, Torres provided Margaret with a written financial plan under his investment adviser capacity, recommending she allocate her remaining \$350,000 IRA to a concentrated position in three speculative biotech stocks, despite her documented moderate risk tolerance. The financial plan was delivered on Pinnacle's investment adviser letterhead and explicitly stated Torres was acting in a fiduciary capacity for this portion of advice.

When Margaret questioned whether these recommendations were appropriate given her age and objectives, Torres assured her that the combination would 'balance growth and safety' and that the annuity's death benefit made it suitable for her estate planning goals, even though Margaret had no dependents and had explicitly stated she had no estate planning concerns. Six months later, the portfolio had declined 34% due to the leveraged and speculative nature of the holdings.

Question

Under what distinct regulatory standards should Torres's annuity recommendation and his financial plan recommendation be evaluated, and did he violate any applicable suitability or best interest obligations in either capacity?

Why Adversarial

Common Wrong Answer

Item 99 of 200**ANSWER:**

Topic: dual_registration_suitability_and_fiduciary_duty_conflict

Type: multi-party scenario (broker AND IA both involved, who owes what duty?)

Difficulty: hard

Standard: Investment Advisers Act of 1940 fiduciary duty; SEC Regulation Best Interest (Exchange Act Rule 15l-1); FINRA Rules 2111, 2010, 3110; SEC Staff Bulletin on Standards of Conduct

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Thornton, age 67, retired from her position as a hospital administrator in March 2023 with a \$1.2 million 401(k) balance. She had moderate investment knowledge, a stated moderate risk tolerance, and needed the funds to supplement her pension and Social Security for approximately 25 years of retirement. Her investment objective was income with capital preservation.

Margaret initially consulted with Ryan Castillo, a registered representative of Beacon Securities, LLC (a FINRA member broker-dealer), about rolling over her 401(k). Castillo recommended she roll the funds into a new IRA at Beacon and invest in a diversified portfolio of mutual funds and bonds. However, before executing this recommendation, Castillo introduced Margaret to his colleague Jennifer Walsh, who was dually registered as both a registered representative of Beacon Securities and as an investment adviser representative of Pinnacle Wealth Advisors, LLC, a separate SEC-registered investment adviser.

Walsh met with Margaret on April 15, 2023, and recommended that instead of Castillo's mutual fund approach, Margaret should invest \$900,000 of her rollover IRA in a concentrated portfolio of leveraged ETFs tracking the technology sector and \$300,000 in a private REIT with a 7-year lockup period. Walsh presented this recommendation during a meeting at the Pinnacle Wealth Advisors office, using Pinnacle letterhead and her Pinnacle business card. She charged a 1.5% annual advisory fee through Pinnacle for ongoing management. Walsh did not document any analysis comparing the costs or risks of this strategy to Margaret's existing 401(k) options or to Castillo's original mutual fund recommendation.

By February 2024, the leveraged ETFs had declined 58% due to technology sector volatility and the compounding decay inherent in leveraged products, reducing that portion to approximately \$378,000. The private REIT suspended redemptions, making Margaret's \$300,000 investment illiquid. Margaret filed complaints against both Beacon Securities and Pinnacle Wealth Advisors.

Question

Under what distinct standards of conduct are Beacon Securities and Pinnacle Wealth Advisors potentially liable, and which entity bears primary responsibility for the unsuitable recommendation given the circumstances of how Walsh presented the advice?

Why Adversarial**Common Wrong Answer**

Item 100 of 200

ANSWER:

Topic: reg_bi_care_obligation_retail_customer_classification

Type: edge case customer profile (institutional? retail? which standard applies?)

Difficulty: hard

Standard: Exchange Act Rule 15l-1 (Regulation BI Care Obligation); FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor)

Source: 04_RegBI_Compliance_Guidance

Fact Pattern

Marcus Delgado is a registered representative with Piedmont Securities Group, a mid-sized broker-dealer. In August 2023, he received an inquiry from Coastal Heritage Foundation, a private family foundation with approximately \$18 million in assets. The foundation's sole investment committee member is Patricia Wentworth, age 67, who personally controls all investment decisions and receives quarterly distributions from the foundation for her living expenses under a permissible arrangement. The foundation does not qualify as an accredited investor under Rule 501(a)(3) based on total assets, and has no full-time investment professionals on staff.

Delgado recommended that the foundation invest \$2.4 million in a portfolio of 3x leveraged inverse ETFs tracking the energy sector, suggesting a hold period of 60-90 days to capitalize on what he characterized as an 'obvious sector correction.' Prior to making this recommendation, Delgado reviewed only the foundation's total assets and its stated investment objective of 'growth.' He did not examine the foundation's liquidity needs, the impact of daily compounding over multi-week holding periods, or whether the volatility profile of leveraged inverse products aligned with the foundation's actual risk tolerance and charitable obligations.

Wentworth, relying on Delgado's expertise, authorized the purchases. Over the next 75 days, significant market volatility caused the leveraged inverse ETFs to lose 41% of their value despite the underlying energy index declining only 8% during the same period. The foundation subsequently filed a complaint. Delgado's supervisor, when reviewing the trade, noted that because the account was in the name of a foundation rather than a natural person, Regulation BI's Care Obligation would not apply, and the trade should only be analyzed under FINRA Rule 2111's suitability standard.

Question

Was Delgado subject to Regulation BI's Care Obligation when recommending the leveraged inverse ETFs to Coastal Heritage Foundation, and did he satisfy his applicable duty of care regardless of which standard applied?

Why Adversarial

Common Wrong Answer

Item 101 of 200

ANSWER:

Topic: suitability_product_scope_excessive_trading

Type: product ambiguity (is this recommendation subject to suitability at all?)

Difficulty: hard

Standard: FINRA Rules 2111 (Suitability), 2010 (Standards of Commercial Honor), 3260 (Discretionary Accounts)

Source: 21_FINRA_OHO_Decisions

Fact Pattern

Marcus Henley, a registered representative at Pinnacle Securities LLC, has been the primary broker for Silverstone Manufacturing Corp., a closely-held corporation with a profit-sharing retirement plan covering 47 employees. The plan sponsor designated Henley as the investment adviser for the plan's brokerage account in March 2021, with discretionary authority granted through a standard corporate resolution but no written authorization on file with Pinnacle Securities.

From April 2021 through November 2023, Henley executed over 340 trades in the plan's account, primarily involving large-cap equities. His strategy involved purchasing significant positions of \$75,000 to \$150,000 in individual stocks, then selling within 15 to 45 days regardless of performance, rotating into new positions. The account's annualized turnover ratio reached 8.2, and the cost-to-equity ratio averaged 22% annually. The plan incurred approximately \$187,000 in commissions over this period while the account value declined by \$94,000.

When questioned by Pinnacle's compliance department, Henley defended his trading by arguing that FINRA Rule 2111 suitability obligations do not apply to his recommendations because the account is an ERISA-governed retirement plan, not an individual retail customer. He contended that ERISA's prudent expert standard and the Department of Labor's oversight regime preempt FINRA's suitability rules, and that FINRA lacks jurisdiction to second-guess investment decisions made for qualified plans. He further noted that the plan fiduciary--the corporate sponsor--approved each trade through the discretionary arrangement.

The plan's investment policy statement specified moderate risk tolerance with a 7-10 year investment horizon, seeking capital appreciation with limited short-term trading. The average participant was approximately 48 years old with a median account balance of \$89,000.

Question

Does FINRA Rule 2111's suitability requirement apply to Henley's trading recommendations for the Silverstone Manufacturing profit-sharing plan, and if so, did his trading pattern violate the rule despite the account being an ERISA-qualified retirement plan?

Why Adversarial

Common Wrong Answer

Item 102 of 200

ANSWER:

Topic: reg_bi_vs_state_fiduciary_standard_conflict

Type: rule conflict (Reg BI vs. state fiduciary standard disagree)

Difficulty: hard

Standard: SEC Regulation Best Interest Care Obligation; NASAA Model Rule on IA Fiduciary Duty; Nevada state fiduciary standard for investment adviser representatives; Uniform Securities Act provisions on IAR conduct

Source: 14_NASAA_State_Enforcement

Fact Pattern

Margaret Thornton, age 67, is a retired school administrator in Nevada with \$485,000 in her 403(b) account and a modest pension providing \$2,800 monthly. In March 2024, she visited Cascade Wealth Partners, a dual-registrant firm where representative Derek Vance holds both Series 7 and Series 66 licenses. Margaret stated she needed income supplementation of approximately \$1,200 monthly, had a moderate risk tolerance, and wanted to preserve capital for potential long-term care expenses.

Vance recommended Margaret roll her 403(b) into an IRA at Cascade, then invest \$425,000 in a variable annuity with a guaranteed lifetime withdrawal benefit (GLWB) rider. The product carried total annual expenses of 3.15% including the rider cost, a 7-year surrender period with a 7% declining surrender charge, and offered a 5% withdrawal rate guarantee. Vance documented that the GLWB addressed Margaret's income needs and longevity concerns, and that she understood the surrender restrictions. His Reg BI disclosure explained he received a 5.5% commission on the annuity sale.

Vance's analysis showed that a diversified portfolio of dividend-paying stocks and bonds could potentially generate similar income at approximately 1.1% total annual cost with full liquidity, but he determined the annuity's income guarantee justified the higher costs given Margaret's risk concerns. Nevada's securities administrator subsequently opened an investigation, noting that Nevada adopted the NASAA Model Rule imposing a fiduciary duty on investment adviser representatives that requires acting in the client's 'best interest' with a prohibition on placing the adviser's interest ahead of the client.

The critical issue is that Vance conducted the transaction in his broker-dealer capacity, documenting Reg BI compliance, but Margaret's account was subsequently serviced under the firm's advisory platform for ongoing portfolio monitoring at 0.25% annually. Nevada regulators contend Vance should have applied the state fiduciary standard throughout.

Question

Under these facts, did Derek Vance violate applicable standards, and does the federal Reg BI framework preempt Nevada's state fiduciary standard as applied to this recommendation?

Why Adversarial

Common Wrong Answer

Item 103 of 200

ANSWER:

Topic: suitability_non_traded_reit_temporal_rule_application

Type: temporal trap (rule changed mid-period, which version applies?)

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability) for pre-June 30, 2020 recommendations; SEC Regulation Best Interest Rule 15l-1 (Care Obligation) for post-June 30, 2020 recommendations; FINRA Rule 2010 (Standards of Commercial Honor)

Source: 03_FINRA_AWC

Fact Pattern

Marcus Thornton, a registered representative with Pinnacle Financial Partners, began recommending non-traded REITs to his customer base of retired municipal workers in early 2019. His customer, Elena Vasquez, age 68, was a retired city employee with a modest pension of \$42,000 annually, liquid net worth of \$285,000, and limited investment experience consisting primarily of certificates of deposit and a 401(k) that had been rolled into a traditional IRA. In February 2019, Thornton recommended that Vasquez invest \$85,000 (approximately 30% of her liquid net worth) in Horizon Healthcare REIT II, a non-traded REIT with a seven-year expected holding period and significant liquidity restrictions.

Vasquez executed the purchase on March 15, 2019. In June 2020, after Regulation Best Interest became effective, Thornton recommended that Vasquez make an additional \$50,000 investment in the same non-traded REIT, which she executed on July 22, 2020. Thornton used the same customer profile information from 2019 without updating it, despite Vasquez having incurred \$35,000 in unexpected medical expenses during 2020 that reduced her liquid net worth to approximately \$165,000.

When FINRA examined Thornton's recommendations in 2022, he argued that the March 2019 transaction should be evaluated solely under FINRA Rule 2111's suitability standard, while his firm's compliance department noted that the customer's overall position in illiquid investments now exceeded 45% of her remaining liquid assets. Thornton maintained that each transaction should be evaluated independently under whatever standard applied at the time of that specific recommendation, and that retrospective analysis applying Reg BI to pre-June 2020 transactions would be improper.

Question

Under which regulatory standard(s) should each of Thornton's recommendations be evaluated, and were either or both of the recommendations compliant with the applicable standard(s)?

Why Adversarial

Common Wrong Answer

Item 104 of 200

ANSWER:

Topic: utma_account_suitability_minor_beneficiary

Type: precise threshold (does this just barely meet or miss the standard?)

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor); FINRA Regulatory Notice 12-25 (Suitability FAQ addressing accounts for minors)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

In March 2024, Lydia Thornton, a registered representative at Cascade Wealth Partners, was approached by Elaine Morrison, age 52, who wanted to open a custodial account under the Uniform Transfers to Minors Act for her grandson, Ethan Morrison, age 7. Elaine deposited \$45,000 from an inheritance she received. Elaine told Thornton she wanted the money to grow aggressively since Ethan wouldn't need it for at least 14 years when he reached majority at age 21 in their state.

Thornton documented the account opening forms with Elaine's information as custodian, noting 'aggressive growth' as the investment objective and a 14-year time horizon. However, Thornton did not separately document any inquiry into the minor beneficiary's anticipated needs or circumstances at majority. Thornton recommended allocating 85% of the account to a concentrated sector fund focused on emerging biotechnology companies, with an expense ratio of 1.89% and historical volatility exceeding 35% annually. The remaining 15% was placed in a small-cap growth fund.

When questioned during a compliance review in January 2025, Thornton defended the recommendation by noting the 14-year time horizon, the custodian's stated aggressive risk tolerance, and the fact that the account had appreciated 22% in the first nine months. Thornton argued that the custodian's expressed wishes governed the suitability analysis. The compliance officer noted that the biotechnology fund had experienced a 47% drawdown in 2022 and that no reasonable basis analysis for the specific fund selection was documented beyond matching the 'aggressive' objective.

The firm's procedures required documenting suitability for UTMA accounts based on the 'beneficiary's anticipated circumstances at majority' but did not specify what factors should be considered. Thornton had 12 years of experience and had opened approximately 40 UTMA accounts during her career, typically recommending diversified growth portfolios.

Question

Did Thornton satisfy her suitability obligations under FINRA Rule 2111 when recommending the concentrated biotechnology sector fund for the UTMA account, given that she relied on the custodian's stated aggressive risk tolerance and the long time horizon?

Why Adversarial

Common Wrong Answer

Item 105 of 200

ANSWER:

Topic: ai_generated_recommendation_best_interest_fiduciary_duty

Type: novel fact pattern (robo-adviser, crypto, AI-generated recommendation)

Difficulty: hard

Standard: NASAA Model Rule on Investment Adviser Fiduciary Duty; Uniform Securities Act fiduciary standards; State IA supervision and compliance requirements

Source: 14_NASAA_State_Enforcement

Fact Pattern

NexGen Wealth Advisors LLC is a state-registered investment adviser with \$18 million in AUM and three investment adviser representatives. In March 2023, NexGen implemented an AI-powered recommendation engine called 'AlphaBot' that generates personalized portfolio suggestions based on client questionnaire responses. The system was licensed from a third-party fintech vendor and uses machine learning to match client risk tolerance scores with model portfolios.

Margaret Chen, age 71, became a NexGen client in April 2023. She completed AlphaBot's 12-question digital intake form, indicating she was retired, had \$340,000 in investable assets (her entire retirement savings), needed monthly income distributions of \$2,800, and described herself as having 'moderate' risk tolerance. Mrs. Chen did not speak with any human adviser before AlphaBot generated its recommendation.

AlphaBot recommended a portfolio consisting of 45% in leveraged ETFs tracking emerging market indices, 25% in a single-stock concentrated position in a volatile technology company, 20% in high-yield corporate bonds rated CCC, and 10% in cash equivalents. The system's algorithm weighted her 'moderate' risk tolerance selection heavily while de-emphasizing her age, income needs, and asset concentration factors.

NexGen's Chief Compliance Officer, David Ramirez, had reviewed AlphaBot's methodology when it was implemented but did not establish any human review protocol for recommendations made to clients over age 65 or those with concentrated retirement assets. The firm's Form ADV Part 2A disclosed that 'investment recommendations may be generated through algorithmic processes' but did not explain the specific factors AlphaBot weighted or its limitations.

By September 2023, Mrs. Chen's portfolio had declined 38% due to the leveraged ETF losses during emerging market volatility. She complained to her state securities regulator during NASAA's coordinated examination period, asserting that no reasonable adviser would have recommended such a portfolio for someone in her situation.

Question

Under state fiduciary standards and the NASAA Model Rule on Investment Adviser Fiduciary Duty, did NexGen Wealth Advisors violate its duty of care to Mrs. Chen, and does the firm's use of AI-generated recommendations provide any defense to this potential violation?

Why Adversarial

Common Wrong Answer

Item 106 of 200

ANSWER:

Topic: best_interest_reg_bi_state_fiduciary_conflict_adversarial

Type: rule conflict (Reg BI vs. state fiduciary standard disagree)

Difficulty: hard

Standard: Exchange Act Rule 15l-1 (Reg BI Care Obligation); Massachusetts 950 CMR 12.207 Fiduciary Conduct Standard; SEC Reg BI Adopting Release non-preemption guidance

Source: 04_RegBI_Compliance_Guidance

Fact Pattern

Marcus Thornton, a registered representative at Coastal Securities Group, a dual-registered broker-dealer and investment adviser based in Nevada but serving clients across multiple states, recommended a complex variable annuity with a living benefit rider to Evelyn Schafer, a 67-year-old retired teacher residing in Massachusetts. Mrs. Schafer had \$485,000 in a traditional IRA, a moderate risk tolerance, a 15-year investment horizon, and expressed a primary goal of generating reliable retirement income while preserving principal for her grandchildren.

Thornton conducted a thorough analysis comparing four annuity products and documented that the recommended annuity had the highest guaranteed withdrawal percentage (5.5%) among comparable products, reasonable fees (total annual cost of 2.85%), and strong insurer ratings. The product was suitable for Mrs. Schafer's stated income needs and risk tolerance. Thornton received a 5.2% commission (\$25,220) on the sale, which was consistent with industry norms for this product type. He disclosed this compensation in writing prior to the transaction.

However, Massachusetts had enacted a fiduciary conduct standard in 2020 requiring broker-dealers to act as fiduciaries when providing investment advice to Massachusetts residents, imposing duties of loyalty and care that exceed Reg BI's requirements. Under this state standard, the adviser must demonstrate that the recommendation is in the client's best interest considering all available alternatives, including lower-cost investment options outside the annuity market entirely, and must minimize conflicts of interest rather than merely disclose and mitigate them.

Thornton's analysis did not include a comparison to a diversified portfolio of low-cost index funds combined with a systematic withdrawal strategy, which could have produced comparable income with total annual costs under 0.50%. His supervisor at Coastal Securities approved the transaction after reviewing only Reg BI compliance documentation. The firm's compliance manual referenced federal Reg BI requirements but did not specifically address Massachusetts' heightened fiduciary standard.

Question

Did Thornton's recommendation comply with applicable regulatory standards, and what is the firm's liability exposure given the conflict between federal Reg BI and the Massachusetts fiduciary standard?

Why Adversarial

Common Wrong Answer

Item 107 of 200

ANSWER:

Topic: suitability_reg_bi_temporal_application

Type: temporal trap (rule changed mid-period, which version applies?)

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); SEC Regulation Best Interest effective date June 30, 2020

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Marcus Thornberry, age 58, was a long-time client of Bridgewater Financial Services, a dual-registered broker-dealer and investment adviser. In April 2020, Marcus met with his registered representative, Amanda Chen, to discuss repositioning his retirement assets. Marcus had a moderate risk tolerance, annual income of \$95,000, liquid net worth of approximately \$600,000, and a stated investment objective of capital preservation with modest growth for his retirement in seven years.

On May 15, 2020, Amanda recommended that Marcus purchase \$175,000 in Class B shares of a complex structured product linked to emerging market indices with a seven-year surrender period, 5% annual fees, and significant downside risk if certain market thresholds were breached. Amanda documented the transaction using the firm's standard suitability review form, noting that Marcus had signed the product disclosure documents. The order was entered on May 18, 2020, but due to operational delays at the product issuer, the actual purchase did not settle until July 8, 2020.

Marcus filed an arbitration claim in November 2024, alleging that the recommendation was unsuitable for his risk profile and retirement timeline. He argued that the structured product's complexity, fee structure, and downside risk characteristics made it inappropriate for a moderate-risk investor approaching retirement. Bridgewater's defense centered on the timing of the recommendation, arguing that the applicable standard should be FINRA Rule 2111 suitability since the recommendation was made and the order entered before the June 30, 2020 compliance date for Regulation Best Interest.

Amanda Chen had since left Bridgewater and was not represented in the arbitration. Internal compliance notes showed that Bridgewater had not yet updated its policies for Reg BI at the time Amanda made the recommendation, and Amanda had not completed Reg BI training until August 2020.

Question

Which regulatory standard--FINRA Rule 2111 suitability or SEC Regulation Best Interest--applies to Amanda's recommendation, and does the recommendation violate the applicable standard?

Why Adversarial

Common Wrong Answer

Item 108 of 200

ANSWER:

Topic: suitability_complex_products_margin_threshold

Type: precise threshold (does this just barely meet or miss the standard?)

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor); FINRA Supplementary Material 2111.05 (Components of Suitability)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Thornton, age 67, retired from her position as a high school librarian in March 2022 with a \$485,000 rollover IRA representing her entire retirement savings. Her account documents at Clearview Securities indicated an annual income of \$38,000 (Social Security plus a small pension), liquid net worth of \$510,000, moderate risk tolerance, a 15-year investment time horizon, and an investment objective of 'income with capital preservation.' She had 22 years of experience investing in mutual funds and blue-chip stocks through her employer's 403(b) plan.

In September 2022, registered representative Daniel Marsh recommended that Mrs. Thornton invest \$145,000 (29.9% of her IRA) in the Velocity Enhanced Income Fund, a closed-end fund using 35% leverage to invest in high-yield corporate bonds and emerging market debt. The fund's prospectus disclosed annual distribution rates averaging 9.2% but noted that distributions could include return of capital and that leverage magnified both gains and losses. The fund had experienced a 31% NAV decline during the March 2020 market volatility.

Marsh documented his rationale in a contemporaneous email to his supervisor: 'Client seeks higher income than traditional bonds provide. She has 22 years of investment experience and moderate risk tolerance. The 29.9% allocation keeps us under the 30% concentration threshold in our compliance manual for alternative products. Time horizon of 15 years provides recovery time if volatility occurs. Discussed leverage risks and 2020 drawdown with client.'

By August 2023, the fund had declined 24% due to rising interest rates affecting leveraged bond positions. Mrs. Thornton filed an arbitration claim alleging the recommendation was unsuitable given her retirement status and income needs. Marsh's defense emphasized that Mrs. Thornton's documented moderate risk tolerance and lengthy investment experience supported the recommendation, and that staying below the firm's 30% concentration limit demonstrated prudent allocation.

Question

Does Marsh's recommendation satisfy the quantitative and qualitative components of the FINRA suitability obligation under Rule 2111, given that the allocation was specifically sized at 29.9% to remain below the firm's internal concentration threshold?

Why Adversarial

Common Wrong Answer

Item 109 of 200

ANSWER:

Topic: overlapping_duties_discretionary_authority_suitability

Type: multi-party scenario (broker AND IA both involved, who owes what duty?)

Difficulty: hard

Standard: Investment Advisers Act of 1940 fiduciary duty; SEC Regulation Best Interest (Exchange Act Rule 15l-1) Care Obligation; FINRA Rule 3110 (Supervision); FINRA Rule 2111 (Suitability)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret and Thomas Hendricks, both 64 years old, had accumulated \$1.2 million in retirement savings through Thomas's IRA and Margaret's 401(k) rollover. In March 2022, they engaged Horizon Wealth Partners, a dually-registered firm operating both as a broker-dealer and an SEC-registered investment adviser. Their assigned representative was Derek Paulson, who held both Series 7 and Series 66 licenses.

The Hendricks signed two separate agreements. First, a brokerage agreement for their existing taxable account of \$180,000, which remained commission-based. Second, an Investment Advisory Agreement granting Paulson discretionary authority over Thomas's \$620,000 IRA and Margaret's \$400,000 rollover IRA, with a 1.25% annual advisory fee. The Investment Profile documented their objectives as 'capital preservation with moderate income' and risk tolerance as 'conservative,' noting they planned to begin retirement distributions in 18 months.

Between April and August 2022, Paulson used his discretionary authority to allocate 35% of each advisory account to the Apex Options Overlay Fund, a complex alternative mutual fund employing a short volatility strategy similar to the strategy at issue in LJM Preservation & Growth Fund cases. The fund prospectus disclosed potential for 'substantial losses during periods of market stress.' Paulson never discussed this specific allocation with the Hendricks, relying on his discretionary authority.

Simultaneously, in the brokerage account, Paulson recommended and the Hendricks approved purchases of high-yield bond funds totaling \$95,000. In September 2022, extreme market volatility caused the Apex Options Overlay Fund to lose 68% of its value, resulting in combined losses of \$242,000 across both IRAs. The Hendricks filed a complaint alleging breach of fiduciary duty, negligence, and unsuitable investments against both Paulson and Horizon Wealth Partners.

Horizon's compliance department argued that because the advisory accounts were discretionary, Paulson had no obligation to discuss individual trades, and the firm's supervisory review focused only on the brokerage account recommendations under Regulation Best Interest.

Question

Under what standard of care did Paulson owe duties to the Hendricks for the discretionary advisory accounts versus the commission-based brokerage account, and did the firm's supervisory approach adequately address the applicable obligations for each account type?

Why Adversarial

Common Wrong Answer

Item 110 of 200

ANSWER:

Topic: suitability_complex_products_adversarial

Type: product ambiguity (is this recommendation subject to suitability at all?)

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor); FINRA interpretive guidance on the definition of 'recommendation'

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

In March 2023, Beacon Ridge Securities, a FINRA member firm, employed Marcus Thornton as a registered representative serving retail clients in the Dallas area. One of his longtime clients, Patricia Valdez, age 58, was a recently widowed schoolteacher with a moderate risk tolerance, \$340,000 in investable assets, and a stated investment objective of capital preservation with modest income generation for her upcoming retirement in seven years.

During a routine portfolio review, Valdez mentioned she had received a \$125,000 life insurance settlement and was considering options. Thornton did not recommend any specific security. Instead, he provided Valdez with a general educational brochure published by a third-party research firm describing exchange-traded notes (ETNs) linked to VIX volatility indices, along with a separate fact sheet on leveraged inverse ETFs. He told her these were 'interesting products some sophisticated investors use for hedging' and that she should 'do her own research' before making any decisions.

Two weeks later, Valdez called Thornton and placed an unsolicited order to purchase \$75,000 of a 2x leveraged inverse VIX ETN. Thornton executed the trade without further discussion. Within four months, the ETN lost 68% of its value due to contango effects and market volatility. Valdez filed a FINRA arbitration claim alleging that Thornton's provision of the educational materials constituted a de facto recommendation of an unsuitable complex product, and that Beacon Ridge failed to supervise the transaction.

Beacon Ridge's compliance department defended the transaction by asserting that no recommendation occurred--Thornton merely provided educational information, and the client initiated the trade on an unsolicited basis. The firm's records showed the order ticket was marked 'unsolicited,' and there was no written or verbal recommendation documented. However, arbitration discovery revealed that Thornton had provided identical materials to three other clients with similar profiles, two of whom also purchased the same ETN.

Question

Did Thornton's provision of educational materials about leveraged inverse VIX ETNs to Valdez, followed by her unsolicited purchase, trigger FINRA suitability obligations under Rule 2111, and if so, did the firm violate those obligations?

Why Adversarial

Common Wrong Answer

Item 111 of 200

ANSWER:

Topic: suitability_temporal_application_reg_bi_transition

Type: temporal trap (rule changed mid-period, which version applies?)

Difficulty: hard

Standard: SEC Regulation Best Interest (Rule 15l-1), Care Obligation; FINRA Rule 2111 (Suitability); Exchange Act Section 15(l)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Thornton, age 67, had been a client of Pinnacle Wealth Advisors, a FINRA member broker-dealer, since 2015. Her account was managed by registered representative Carlos Mendez. Margaret's documented investment profile indicated moderate risk tolerance, a 10-year time horizon, annual income of \$85,000 from her pension, liquid net worth of \$420,000, and a primary investment objective of capital preservation with modest growth to supplement retirement income.

On May 15, 2020, Carlos recommended that Margaret liquidate approximately \$180,000 from her diversified portfolio of investment-grade bonds and dividend-paying equities and reinvest the proceeds into a concentrated position in three speculative technology stocks: AeroVision Technologies, CloudMaster Systems, and DataPulse Inc. Carlos explained these were 'ground-floor opportunities' with significant upside potential. Margaret executed the trades on May 22, 2020, and signed a suitability acknowledgment form that referenced FINRA Rule 2111.

By August 2020, Carlos continued to recommend additional purchases in the same speculative technology positions, with Margaret making additional investments of \$45,000 on August 3, 2020, and \$62,000 on September 8, 2020. The September recommendation came with a new customer disclosure form that referenced Regulation Best Interest but contained the same basic customer profile information. Carlos did not update any risk tolerance documentation or provide any comparative analysis of alternatives.

By March 2021, the three technology positions had declined by 68%, resulting in losses of approximately \$195,000. Margaret filed a FINRA arbitration claim alleging unsuitable recommendations. Pinnacle's defense argued that the May and August 2020 transactions should be evaluated under FINRA Rule 2111's suitability standard, while only the September transaction fell under Regulation Best Interest, and that the recommendations satisfied the applicable standard at each time.

Question

Which regulatory standard applies to each of Carlos's three recommendation dates, and did his conduct satisfy the applicable standard(s) for the September 8, 2020 recommendation specifically?

Why Adversarial

Common Wrong Answer

Item 112 of 200

ANSWER:

Topic: reg_bi_care_obligation_reasonable_basis_suitability

Type: precise threshold (does this just barely meet or miss the standard?)

Difficulty: hard

Standard: Exchange Act Rule 15l-1(a)(2)(ii) (Reg BI Care Obligation); FINRA Rule 2111 (Suitability - Reasonable Basis); FINRA Rule 2010 (Standards of Commercial Honor)

Source: 03_FINRA_AWC

Fact Pattern

Westbrook Capital Partners, a FINRA member firm, employed registered representative Daniel Marsh who specialized in alternative investments. In March 2024, Marsh recommended a private placement offering of pre-IPO shares in TechVenture Fund III to customer Patricia Holden, a 58-year-old retired school administrator with \$890,000 in liquid net worth, moderate risk tolerance, and a 10-year investment horizon seeking growth to supplement her pension income.

The offering documents stated that TechVenture Fund III held pre-IPO positions in three late-stage technology companies expected to go public within 18-24 months. Marsh reviewed the offering memorandum, which included audited financials of the fund manager and descriptions of the target companies. He also attended a one-hour webinar hosted by the issuer and spoke with the issuer's placement agent, who assured him the fund had 'locked-in allocations' to the pre-IPO shares.

However, Marsh did not independently verify whether the issuer actually possessed or had binding contractual access to the pre-IPO shares described in the offering materials. He also did not investigate whether the fund's pricing of \$47 per share--representing a 35% markup over the issuer's claimed acquisition cost--was reasonable compared to recent secondary market transactions for similar pre-IPO interests. Marsh relied entirely on the issuer's representations and the placement agent's verbal assurances.

Holden invested \$75,000, representing approximately 8.4% of her liquid net worth. Marsh documented her investment objectives, risk tolerance, and time horizon in her account records and noted that she understood the illiquid nature of the investment and the risk of total loss. Six months later, it was discovered that the issuer never actually secured binding agreements for the pre-IPO shares, and the fund suspended redemptions pending investigation.

Question

Did Marsh satisfy Reg BI's Care Obligation when he recommended TechVenture Fund III to Holden, given that he reviewed available offering materials and documented customer-specific suitability factors but did not independently verify the issuer's actual possession of the underlying pre-IPO shares or the reasonableness of the pricing?

Why Adversarial

Common Wrong Answer

Item 113 of 200

ANSWER:

Topic: dual_registration_fiduciary_duty_allocation

Type: multi-party scenario (broker AND IA both involved, who owes what duty?)

Difficulty: hard

Standard: Regulation Best Interest Care Obligation; Investment Advisers Act Section 206 fiduciary duty; DOL fiduciary rule for rollover recommendations; FINRA suitability rules

Source: 10_Academic_Articles

Fact Pattern

Marcus Thornton, age 58, participated in the Consolidated Manufacturing 401(k) Plan for 22 years and accumulated \$847,000 in retirement savings. In March 2024, Marcus contacted Pinnacle Financial Group after seeing their advertisement promising 'fiduciary-level retirement planning.' At Pinnacle, Marcus met with Jennifer Walsh, who held both a Series 7 registration through Pinnacle Securities (the affiliated broker-dealer) and was also a supervised person of Pinnacle Advisors, LLC, a registered investment adviser.

During their initial meeting, Jennifer reviewed Marcus's situation: he was planning to retire in 18 months, had moderate risk tolerance, needed income to supplement Social Security, and wanted to preserve capital for his wife who had health issues. Jennifer recommended Marcus roll over his 401(k) to an IRA at Pinnacle Securities. She presented two options: a fee-based advisory account at Pinnacle Advisors charging 1.25% annually, or a commission-based brokerage account through Pinnacle Securities. Jennifer recommended the brokerage option, explaining that 'with your timeline, you'll save money on the lower ongoing fees.'

Marcus chose the brokerage account and signed a customer agreement with Pinnacle Securities. Jennifer then recommended he invest \$650,000 in variable annuities with income riders, explaining these would provide guaranteed income in retirement. The annuities carried 6.5% upfront commissions (\$42,250 total) and annual fees of 3.2%. The remaining \$197,000 was placed in Class A mutual fund shares with 5.25% front-end loads. Jennifer documented the recommendations as suitable based on Marcus's stated income needs.

Six months later, Marcus learned from an independent adviser that lower-cost immediate annuities and no-load funds could have achieved his income goals with approximately \$35,000 less in total fees over his expected retirement horizon. Marcus filed complaints against both Pinnacle Securities and Pinnacle Advisors.

Question

Given Jennifer Walsh's dual registration and the specific capacity in which she acted during each phase of the transaction, which entity bears primary regulatory responsibility for the suitability or best interest analysis, and did the recommendations violate the applicable standard?

Why Adversarial

Common Wrong Answer

Item 114 of 200

ANSWER:

Topic: annuity_suitability_best_interest_product_scope

Type: product ambiguity (is this recommendation subject to suitability at all?)

Difficulty: hard

Standard: NAIC Model #275 (2020 Revision) Section 6A Care Obligation; Section 6B(1) Producer Information-Gathering Requirements; State Insurance Agent Conduct Standards

Source: 08_State_Fiduciary_Rules

Fact Pattern

In March 2024, Horizon Life Insurance Company, domiciled in a state that adopted the 2020 NAIC Model #275 in 2023, launched a new product called the 'Horizon Secure Income Certificate.' The product is structured as a funding agreement issued by the insurer that provides a guaranteed fixed rate of return over a 7-year period with no surrender charges after year three. The product does not provide any mortality benefit, has no annuitization phase, and cannot be converted to an income stream. It is marketed as a 'principal protection savings vehicle' and sold exclusively through Horizon's licensed insurance agents.

Agent Rebecca Thornton, licensed in the state and appointed by Horizon, met with client Gerald Patterson, a 71-year-old retired factory supervisor with \$340,000 in liquid savings, a modest pension of \$1,800/month, and Social Security income of \$2,100/month. Mr. Patterson indicated he needed to preserve capital and maintain access to at least \$50,000 for potential medical expenses within the next two years. Agent Thornton recommended Mr. Patterson place \$275,000 into the Horizon Secure Income Certificate without collecting any information about his existing insurance coverage, investment holdings outside the liquid savings, risk tolerance, or liquidity needs beyond what he volunteered.

Thornton's sales presentation emphasized that 'this isn't an annuity, so the complicated suitability paperwork doesn't apply--we just need your signature and funds.' She processed the application the same day. Three months later, Mr. Patterson needed \$80,000 for an unexpected surgery. He discovered that accessing more than \$30,000 in the first three years would result in a 15% early withdrawal penalty that Thornton never disclosed, as the product materials were presented as 'non-annuity' documentation with minimal disclosure requirements.

Question

Does the NAIC Model #275 best interest standard apply to Agent Thornton's recommendation of the Horizon Secure Income Certificate, and if so, did she comply with the applicable suitability and care obligations?

Why Adversarial

Common Wrong Answer

Item 115 of 200

ANSWER:

Topic: suitability_actively_managed_versus_index_fund_recommendation

Type: precise threshold (does this just barely meet or miss the standard?)

Difficulty: hard

Standard: Regulation Best Interest Care Obligation (Exchange Act Rule 15l-1(a)(2)(ii)); FINRA Rule 2111 (Suitability); SEC Interpretation on Standard of Conduct for Investment Advisers

Source: 10_Academic_Articles

Fact Pattern

Margaret Chen, age 58, visited Piedmont Financial Advisors in September 2023 seeking advice on her \$340,000 401(k) rollover. She explicitly told her adviser, David Russo, that she had read extensively about passive investing and wanted a 'simple, low-cost index fund approach' for her retirement savings. Her investment objective was moderate growth with capital preservation becoming more important as she approached retirement in seven years. Margaret had a moderate risk tolerance, no debt, a paid-off home, and Social Security plus a small pension that would cover 70% of her projected retirement expenses.

During their meeting, Russo acknowledged Margaret's stated preference but spent 45 minutes explaining that 'active management can add alpha in volatile markets' and that 'index funds leave money on the table.' He presented historical performance data showing three actively managed funds that had outperformed their benchmark indices over the trailing five-year period. He did not mention that these same funds had underperformed over the trailing ten-year period or that research consistently shows most active managers fail to beat their benchmarks after fees.

Russo ultimately recommended Margaret invest her entire rollover into a portfolio of four actively managed mutual funds with an average expense ratio of 1.42%, compared to the 0.04% expense ratio of the total market index fund Margaret had initially expressed interest in. The recommended funds also carried front-end loads averaging 4.25%. Russo's firm received 12b-1 fees and revenue sharing from the fund families he recommended. The recommendation documentation noted Margaret's 'moderate growth objective' and 'seven-year time horizon' but made no mention of her explicitly stated preference for low-cost index investing.

Over the subsequent 18 months, the actively managed portfolio underperformed a comparable index fund portfolio by 2.8%, with the fee differential accounting for approximately 1.9% of that underperformance. Margaret filed a complaint alleging the advice was not in her best interest.

Question

Under Regulation Best Interest's Care Obligation, did Russo's recommendation of actively managed funds over index funds meet the best interest standard, given that the customer explicitly stated a preference for index investing but the actively managed recommendation technically aligned with her documented investment objectives and time horizon?

Why Adversarial

Common Wrong Answer

Item 116 of 200

ANSWER:

Topic: suitability_complex_products_threshold

Type: precise threshold (does this just barely meet or miss the standard?)

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor); FINRA Supplementary Material to Rule 2111 regarding complex products

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Thornton, age 67, retired from her position as a high school administrator in March 2024. She had accumulated \$485,000 in a 403(b) plan and sought advice from Westfield Financial Services regarding a rollover. Her stated investment objectives were income generation and capital preservation, with a moderate risk tolerance. She indicated a 10-year investment time horizon and monthly income needs of approximately \$2,200 to supplement her pension and Social Security.

Her registered representative, David Keane, conducted what he documented as a comprehensive analysis of her situation. His notes reflected her income needs, the fact that she had no other liquid savings beyond the 403(b), and her limited investment experience consisting primarily of target-date funds in her retirement account. Keane recommended she roll her entire 403(b) balance into an IRA and invest 35% (\$169,750) in a leveraged closed-end fund that used approximately 30% structural leverage to enhance yield, currently paying a 9.2% distribution rate.

Keane's rationale, documented in his recommendation file, noted that the 9.2% yield would generate approximately \$15,500 annually from the leveraged fund portion alone, substantially meeting her income needs while allowing the remaining 65% to be invested more conservatively. He emphasized to Mrs. Thornton that the fund's leverage was 'modest compared to industry norms' and that closed-end funds trading at discounts often provided 'built-in value.' He did not document any discussion of how rising interest rates could compress both the fund's NAV and distribution sustainability, nor the potential for forced deleveraging in volatile markets.

Mrs. Thornton signed the account documents indicating she understood the investment strategy. Six months later, during a period of interest rate volatility, the leveraged fund declined 22% and cut its distribution by 40%, significantly impairing her retirement income plan.

Question

Did Keane's recommendation of the leveraged closed-end fund meet the suitability and reasonable-basis obligations under FINRA Rule 2111, given Mrs. Thornton's specific investor profile and the documented rationale?

Why Adversarial

Common Wrong Answer

Item 117 of 200

ANSWER:

Topic: complex_product_suitability_self_directed_platform

Type: precise threshold (does this just barely meet or miss the standard?)

Difficulty: hard

Standard: Reg BI Rule 15l-1 (Care Obligation); FINRA Rules 2111 (Suitability), 2010 (Standards of Commercial Honor), 3110 (Supervision); FINRA guidance on complex products and heightened supervision

Source: 03_FINRA_AWC

Fact Pattern

Elena Marchetti, age 58, opened a self-directed brokerage account at Granite Peak Securities in January 2024. Her account application indicated moderate risk tolerance, a \$425,000 liquid net worth, annual income of \$78,000, and a primary investment objective of income with capital preservation for retirement in seven years. She had no prior options trading experience and listed her investment knowledge as 'limited.'

In February 2024, Marchetti contacted Granite Peak's customer support line asking about 'those ETFs that protect against losses.' The representative, Marcus Webb, explained that defined outcome ETFs offer downside buffers but cap upside gains, and directed her to educational materials on the firm's website. Marchetti asked Webb directly: 'So would this be good for someone like me who wants to protect my retirement money?' Webb responded: 'Many investors in your situation find them useful for managing volatility, but you should review the materials carefully before deciding.'

Marchetti subsequently purchased \$180,000 in a defined outcome ETF with a 15% downside buffer and 12% upside cap, representing 42% of her liquid net worth. She made this purchase through the firm's online platform without further interaction with Webb. The firm's system flagged the trade for supervisory review due to concentration, but the supervisor approved it within two hours, noting only that the customer had accessed educational materials and the product was 'appropriate for moderate risk tolerance accounts.'

Three months later, market volatility caused the ETF to decline near its buffer threshold, and Marchetti complained that she did not understand the ETF would 'lock up' her losses at the end of the outcome period if markets recovered. She alleged Webb's comments constituted a recommendation that triggered Reg BI obligations.

Question

Did Marcus Webb's response to Marchetti's direct question about whether the defined outcome ETF would be 'good for someone like me' constitute a recommendation triggering Reg BI's Care Obligation, and if so, did Granite Peak Securities satisfy its supervisory and suitability obligations?

Why Adversarial

Common Wrong Answer

Item 118 of 200

ANSWER:

Topic: reg_bi_suitability_transition_best_interest

Type: temporal trap (rule changed mid-period, which version applies?)

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); SEC Regulation Best Interest (effective June 30, 2020); FINRA Rule 2010 (Standards of Commercial Honor)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Thornton, age 71, was a retired schoolteacher with \$485,000 in a traditional IRA at Westfield Securities, a FINRA member broker-dealer. Her account documents from January 2019 indicated she had a conservative risk tolerance, moderate investment knowledge, a 10-year time horizon, and income needs of approximately \$2,200 monthly to supplement Social Security. Her stated investment objective was capital preservation with modest growth.

On May 15, 2020, registered representative Daniel Kessler recommended that Mrs. Thornton liquidate her diversified portfolio of blue-chip dividend stocks and investment-grade bonds and invest \$340,000 (70% of her account) into a single-issuer high-yield corporate bond rated BB- that matured in 15 years. Kessler explained the bond offered a 7.8% yield compared to the 3.2% average yield of her existing holdings. He documented in his notes that Mrs. Thornton verbally confirmed she understood the higher risk and wanted the increased income.

Mrs. Thornton signed the trade authorization on May 15, 2020. However, due to settlement issues and Westfield's internal compliance review backlog, the actual trade execution did not occur until July 8, 2020. By March 2021, the issuer's credit rating was downgraded to CCC+, and the bond's market value had declined to \$238,000, representing a 30% loss.

In the subsequent arbitration, Kessler argued that the recommendation was made on May 15, 2020, before SEC Regulation Best Interest's June 30, 2020 compliance date, and therefore should be evaluated under the legacy FINRA Rule 2111 suitability standard. Mrs. Thornton's counsel argued that because the trade executed on July 8, 2020, Regulation BI's enhanced care obligation applied, including the requirement to consider reasonably available alternatives.

Question

Which regulatory standard--FINRA Rule 2111 suitability or SEC Regulation Best Interest--applies to evaluate the appropriateness of Kessler's recommendation to Mrs. Thornton, and was the recommendation compliant under the applicable standard?

Why Adversarial

Common Wrong Answer

Item 119 of 200

ANSWER:

Topic: suitability_complex_product_threshold

Type: precise threshold (does this just barely meet or miss the standard?)

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor); FINRA Regulatory Notice guidance on complex products suitability

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Delancey, age 67, retired from her position as a high school teacher in March 2024 with a \$412,000 403(b) account representing her entire retirement savings. She met with registered representative Thomas Waverly of Pinnacle Securities LLC to discuss rolling over her account. During the meeting, Mrs. Delancey stated her primary objectives were capital preservation and generating income to supplement her \$2,100 monthly pension. She indicated she had a 'moderate' risk tolerance on the new account form, though she verbally emphasized she 'couldn't afford to lose this money' and needed it to last through retirement. Her investment experience consisted solely of the target-date funds in her 403(b).

Waverly recommended allocating 35% of the rollover (\$144,200) to a leveraged closed-end fund that employed 1.35x leverage to enhance yield, generating an 8.2% distribution rate. He explained the enhanced yield would meet her income needs better than traditional fixed income paying 4-5%. The fund prospectus disclosed that leverage magnifies both gains and losses and that distributions may include return of capital. Waverly documented in his notes that the 'moderate leverage ratio of 1.35x is conservative for this product category' and that the 'client needs income which this fund provides.'

The remaining 65% was allocated to a mix of investment-grade bond funds and dividend-paying equity funds. Within seven months, the leveraged closed-end fund declined 22% as rising interest rates negatively impacted both the underlying bonds and the leveraged structure, resulting in a \$31,724 loss on that position. Mrs. Delancey filed a complaint alleging the leveraged product was unsuitable given her stated need for capital preservation and limited investment experience.

Question

Did Waverly's recommendation of the 1.35x leveraged closed-end fund satisfy FINRA Rule 2111 suitability requirements, given that the leverage ratio was relatively modest, the allocation was limited to 35% of the portfolio, and the client had indicated 'moderate' risk tolerance on her account documentation?

Why Adversarial

Common Wrong Answer

Item 120 of 200**ANSWER:**

Topic: trust_account_suitability_temporal_rule_application

Type: temporal trap (rule changed mid-period, which version applies?)

Difficulty: hard

Standard: 12 U.S.C. §92a; 12 CFR 9.5; Nebraska pre-UPIA traditional trust investment law; Uniform Prudent Investor Act (effective July 1, 2019 in Nebraska)

Source: 18_OCC_Bank_Trust_Guidance

Fact Pattern

Heartland National Bank & Trust serves as trustee for the Margaret Ellsworth Irrevocable Trust, established in March 2018 with \$2.3 million in assets. The trust document grants the trustee broad investment discretion and specifies that income should support Mrs. Ellsworth's assisted living expenses during her lifetime, with remainder to her three adult grandchildren. Mrs. Ellsworth was 82 at trust creation and required approximately \$7,500 monthly for care expenses.

In January 2019, the state of Nebraska adopted the Uniform Prudent Investor Act, which became effective July 1, 2019. Prior to this adoption, Nebraska followed traditional trust investment law requiring trustees to evaluate each investment individually rather than as part of an overall portfolio strategy, and generally prohibited speculative investments regardless of portfolio context.

On May 15, 2019, Trust Officer Daniel Crowe restructured the portfolio by allocating 18% (\$414,000) to a diversified commodities fund and 12% (\$276,000) to emerging market equities. Crowe documented that these allocations would provide inflation protection and growth potential appropriate for a trust with a multi-decade distribution horizon to remainder beneficiaries, while maintaining 70% in investment-grade bonds and dividend-paying stocks to generate current income.

The trust's income beneficiary, Mrs. Ellsworth, filed a complaint with the OCC in September 2019 alleging that the commodities allocation was speculative and unsuitable, causing a 9% decline in that portion of the portfolio by August 2019. Crowe defended the allocation as prudent under modern portfolio theory, arguing the investments should be evaluated in the context of the entire trust portfolio rather than in isolation.

Question

Under which legal standard should the OCC evaluate the suitability of the May 2019 investment decisions, and was the trustee's allocation to commodities and emerging markets appropriate for this trust?

Why Adversarial**Common Wrong Answer**

Item 121 of 200

ANSWER:

Topic: suitability_product_scope_ambiguity

Type: product ambiguity (is this recommendation subject to suitability at all?)

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2111 Supplementary Material .03 (meaning of 'recommendation'); FINRA Rule 4512 (Customer Account Information)

Source: 15_FINRA_Regulatory_Notices

Fact Pattern

Marcus Delgado, age 58, has been a customer of Ridgeline Securities LLC since 2015. His account profile indicates moderate risk tolerance, an investment objective of 'growth and income,' liquid net worth of \$1.8 million, and retirement planned within 7-10 years. In February 2024, Marcus contacted his registered representative, Brenda Kowalski, expressing concern about potential liquidity constraints at smaller broker-dealers given recent market volatility. He mentioned reading about firms facing stress during the meme stock trading frenzy and wanted to ensure his assets were protected.

Brenda responded by explaining that Ridgeline, as a mid-sized firm with approximately \$15 million in capital, maintains robust risk management controls and conducts periodic liquidity stress assessments. She then suggested that Marcus might feel more comfortable if he moved a portion of his assets--specifically \$400,000 in individual equities--into a money market mutual fund offered through Ridgeline's platform. Brenda explained this would provide immediate liquidity and stability while still generating modest returns.

Marcus agreed and executed the transaction. Three months later, Marcus filed a complaint alleging the recommendation was unsuitable because he never asked for investment advice--he was simply inquiring about the firm's financial stability. He argued that Brenda converted a general inquiry into an investment recommendation without proper suitability analysis, and that moving growth-oriented equity holdings into a money market fund was inconsistent with his stated 'growth and income' objective.

Ridgeline's compliance department reviewed the matter. The money market fund recommended was a government securities fund with a stable \$1.00 NAV. Brenda documented in her notes that Marcus expressed 'significant anxiety about firm stability and wanting safe, accessible funds.' The compliance review questioned whether recommending a money market fund in response to a customer's liquidity concerns constitutes a 'recommendation' subject to FINRA Rule 2111 suitability requirements.

Question

Did Brenda's suggestion to move equity holdings into a money market fund constitute a 'recommendation' subject to FINRA Rule 2111 suitability requirements, and if so, was the recommendation suitable given the customer's profile and expressed concerns?

Why Adversarial

Common Wrong Answer

Item 122 of 200

ANSWER:

Topic: best_interest_standard_applicability_edge_case

Type: edge case customer profile (institutional? retail? which standard applies?)

Difficulty: hard

Standard: Regulation Best Interest Care Obligation; FINRA Rule 2111 (Suitability); Investment Advisers Act Section 206 fiduciary duty; SEC Reg BI Rule 15l-1

Source: 09_Law_Firm_Memos

Fact Pattern

Hartwell Capital Advisors is a dually-registered investment adviser and broker-dealer. In March 2024, Hartwell representative Marcus Chen received a referral from a colleague to meet with Oceanview Family Partners, LLC, an entity formed in 2019 to manage pooled assets for the Castellano family. Oceanview holds \$18.5 million in investable assets, has three members (two adult siblings and their mother), and is managed day-to-day by Elena Castellano, one of the siblings, who has 12 years of experience as a real estate attorney but no professional investment background.

During the initial consultation, Elena explained that Oceanview's primary objective was capital preservation with modest growth to fund family real estate acquisitions over the next decade. She explicitly stated the family had 'zero tolerance for speculative investments' and that members ranged in age from 58 to 82. Marcus categorized Oceanview as an 'institutional client' in Hartwell's customer relationship management system based on the LLC structure and asset size, applying Hartwell's streamlined institutional onboarding process.

Over the following six months, Marcus recommended and executed a series of brokerage transactions for Oceanview totaling \$4.2 million in structured notes linked to emerging market indices and \$2.8 million in leveraged ETFs focused on the technology sector. These products carried substantial downside risk and complexity. Marcus justified the recommendations internally by noting that Oceanview's 'institutional' classification meant standard retail suitability obligations were less stringent. He provided standard risk disclosures but conducted no documented analysis of whether these products aligned with Oceanview's stated conservative objectives.

By November 2024, the portfolio had declined 34% due to emerging market volatility and leveraged ETF decay. Elena Castellano filed a complaint alleging the recommendations were entirely unsuitable and violated applicable standards of conduct. Hartwell's compliance department now faces the question of which regulatory standard applies to evaluate Marcus Chen's recommendations.

Question

Under the applicable regulatory framework, did Marcus Chen's recommendations to Oceanview Family Partners, LLC violate the duty of care, and which standard--Regulation Best Interest or Investment Advisers Act fiduciary duty--governs the analysis of his conduct?

Why Adversarial

Common Wrong Answer

Item 123 of 200

ANSWER:

Topic: suitability_reg_bi_temporal_application

Type: temporal trap (rule changed mid-period, which version applies?)

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor); SEC Regulation Best Interest compliance date June 30, 2020

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Holloway, age 67, had been a client of Pinnacle Wealth Advisors since 2015. Her account profile indicated moderate risk tolerance, a 15-year investment horizon, and primary investment objectives of capital preservation and income generation. Her liquid net worth was \$425,000, consisting primarily of her 401(k) rollover from her former employer.

On May 15, 2020, her registered representative Derek Thornton recommended she roll over her \$425,000 401(k) into a variable annuity with a 7-year surrender period, featuring a guaranteed minimum withdrawal benefit rider. The annuity had total annual expenses of 3.2% including the rider cost, and imposed a 7% declining surrender charge. Thornton explained the guaranteed income features but did not document any comparison to leaving the funds in the 401(k) plan, which offered low-cost index funds with an average expense ratio of 0.08%.

Ms. Holloway signed the application on May 28, 2020, and the annuity was issued with an effective date of June 18, 2020. The account was funded on June 22, 2020, when the 401(k) custodian completed the transfer. Thornton earned a \$29,750 commission (7% of the premium).

In 2023, Ms. Holloway filed a FINRA arbitration claim alleging that Thornton's recommendation was unsuitable and not in her best interest. She claimed the high fees and surrender charges were inappropriate given her age and the availability of lower-cost options in her existing 401(k). Pinnacle's compliance department argued that Regulation Best Interest had not yet taken effect when the recommendation was made on May 15, 2020, and therefore only FINRA Rule 2111 suitability standards applied.

Question

Which regulatory standard--FINRA Rule 2111 suitability or SEC Regulation Best Interest--applies to evaluate Thornton's recommendation, and did Thornton's conduct violate the applicable standard?

Why Adversarial

Common Wrong Answer

Item 124 of 200

ANSWER:

Topic: suitability_product_ambiguity_self_directed_platform

Type: product ambiguity (is this recommendation subject to suitability at all?)

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor); FINRA Regulatory Notice 12-25 (guidance on 'recommendation' definition); FINRA Regulatory Notice 11-02 (self-directed platforms)

Source: 03_FINRA_AWC

Fact Pattern

Marcus Tilden, a registered representative with Westbrook Financial Services, LLC, worked primarily with retail clients seeking portfolio guidance. In March 2024, a longtime client, Evelyn Cho (age 58, moderate risk tolerance, \$420,000 in investable assets, income of \$95,000 annually), contacted Marcus to discuss her concerns about market volatility. During their conversation, Marcus mentioned that Westbrook had recently launched a new self-directed online trading platform called 'WestTrade Direct' that allowed clients to execute their own trades at reduced commissions.

Evelyn asked Marcus several questions about specific securities she had read about in financial news articles, including a leveraged inverse ETF (ProShares UltraShort S&P500) and a high-yield emerging market bond fund. Marcus responded by explaining how each product generally worked, including the mechanics of daily resetting for leveraged ETFs and the credit risks associated with emerging market debt. He also walked her through the WestTrade Direct platform interface and showed her how to place orders.

Evelyn subsequently opened a WestTrade Direct account and, over the following four months, independently purchased \$85,000 of the leveraged inverse ETF and \$60,000 of the emerging market bond fund. She held the leveraged ETF for 67 days, during which volatility decay significantly eroded its value, resulting in a \$31,000 loss. Evelyn filed a complaint alleging that Marcus's explanation of these products constituted a recommendation and that the investments were unsuitable given her moderate risk tolerance and proximity to retirement.

Westbrook's compliance department reviewed the recorded conversations and platform logs. The logs confirmed that Evelyn initiated all trades herself through the self-directed platform with no broker involvement at execution. Marcus never suggested she purchase any specific quantity or timing, nor did he state that either product would be appropriate for her situation.

Question

Did Marcus Tilden's educational explanation of product mechanics to Evelyn Cho constitute a 'recommendation' triggering FINRA Rule 2111 suitability obligations, even though all trades were executed independently on a self-directed platform?

Why Adversarial

Common Wrong Answer

Item 125 of 200

ANSWER:

Topic: ai_generated_recommendation_suitability_best_interest

Type: novel fact pattern (robo-adviser, crypto, AI-generated recommendation)

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); Regulation Best Interest Care Obligation (Exchange Act Rule 15l-1); FINRA Rule 2010 (Standards of Commercial Honor)

Source: 15_FINRA_Regulatory_Notices

Fact Pattern

Meridian Digital Advisors LLC operates a hybrid advisory platform combining artificial intelligence-driven recommendations with human oversight. In March 2024, the firm's proprietary AI engine, 'AdvisorIQ,' generated a recommendation for client Helen Marchetti, age 71, a retired schoolteacher with \$340,000 in liquid assets, a moderate risk tolerance profile, and stated investment objectives of capital preservation and income generation to supplement her pension.

AdvisorIQ analyzed Mrs. Marchetti's profile and recommended allocating 35% of her portfolio (\$119,000) to the Apex Blockchain Innovation Fund, a non-traded closed-end fund investing primarily in cryptocurrency mining operations and blockchain infrastructure companies. The AI's recommendation was based on the fund's projected 12% annual yield and the system's predictive model showing favorable long-term blockchain adoption trends. The algorithm weighted the yield projection heavily because Mrs. Marchetti had indicated 'income generation' as a goal.

Meridian's compliance protocol required human registered representatives to review AI recommendations before execution. James Thornton, the assigned representative, received the recommendation with a 'confidence score' of 87% from AdvisorIQ. Thornton spent approximately four minutes reviewing the recommendation, noted the high confidence score and the income objective match, and approved the trade without conducting independent analysis of the fund's prospectus, liquidity constraints, or volatility characteristics. He did not contact Mrs. Marchetti to discuss the recommendation.

The Apex Blockchain Innovation Fund prospectus disclosed a seven-year lockup period, a 15% early redemption penalty, and that underlying crypto assets had experienced 60% drawdowns in the prior eighteen months. Within five months of purchase, Mrs. Marchetti needed emergency funds for medical expenses but could not access her investment without incurring substantial penalties. She filed a complaint alleging the recommendation was unsuitable.

Question

Did Meridian Digital Advisors and James Thornton satisfy their suitability and best interest obligations under applicable standards when approving and executing the AI-generated recommendation for Mrs. Marchetti's investment in the Apex Blockchain Innovation Fund?

Why Adversarial

Common Wrong Answer

Item 126 of 200

ANSWER:

Topic: multi_party_suitability_duty_allocation

Type: multi-party scenario (broker AND IA both involved, who owes what duty?)

Difficulty: hard

Standard: Investment Advisers Act fiduciary duty (wrap account); SEC Regulation Best Interest Care Obligation (variable annuity); FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Chen, age 68, retired from her teaching career in March 2023 with a \$485,000 403(b) account at TIAA. She sought guidance from Pinnacle Wealth Partners, a firm dually registered as both a broker-dealer and an investment adviser. She was assigned to representative Derek Thornton (CRD# 2847291), who held Series 7 and 66 licenses. In their initial meeting on April 5, 2023, Thornton conducted a risk tolerance questionnaire that classified Chen as 'moderately conservative' with a 10-year investment horizon and primary objectives of capital preservation and income generation to supplement her \$2,100 monthly pension.

Thornton recommended Chen roll her 403(b) into a self-directed IRA at Pinnacle, which she completed on April 28, 2023. For the rollover assets, Thornton proposed a hybrid arrangement: \$285,000 would be placed in a fee-based advisory account managed under Pinnacle's wrap program (charging 1.25% annually), while \$200,000 would be invested through brokerage commissions into a variable annuity with a 7-year surrender period and 6.5% initial surrender charge. Chen signed both an advisory agreement and brokerage account documents during a single meeting.

The advisory portion was invested 65% in equity mutual funds including emerging market and small-cap growth funds. The variable annuity included a guaranteed minimum withdrawal benefit rider costing 1.15% annually on top of the 2.3% total annual annuity expenses. Within the annuity, Thornton selected subaccounts concentrated 80% in aggressive growth portfolios. By September 2024, Chen's total portfolio had declined 23%, and she filed a complaint alleging the recommendations were unsuitable and not in her best interest.

Pinnacle's compliance department must now determine the applicable standards and potential violations. The firm's procedures stated that Thornton was acting in an 'investment adviser representative' capacity for the wrap account and as a 'registered representative' for the annuity transaction, but Chen testified she was never informed which 'hat' Thornton was wearing for each recommendation.

Question

Which regulatory standard applies to each component of the recommendation (the advisory wrap account and the variable annuity), and did Thornton's conduct violate the applicable duty for each?

Why Adversarial

Common Wrong Answer

Item 127 of 200

ANSWER:

Topic: suitability_product_scope_ambiguity

Type: product ambiguity (is this recommendation subject to suitability at all?)

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor); Securities Exchange Act Section 3(a)(10) (definition of security)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Thornton, age 58, maintained a brokerage account at Sterling Wealth Partners LLC with registered representative David Kellerman. In March 2024, Thornton informed Kellerman that she had accumulated \$340,000 in a savings account at a local bank earning 0.4% APY and wanted advice on what to do with these funds. Kellerman reviewed her customer profile, which showed moderate risk tolerance, a 7-year investment horizon until retirement, annual income of \$95,000, liquid net worth of \$620,000, and a stated objective of 'growth with capital preservation.'

After their discussion, Kellerman recommended that Thornton move \$280,000 of her bank savings into a brokered certificate of deposit (CD) ladder, consisting of CDs issued by FDIC-insured banks with maturities of 6 months, 1 year, 2 years, and 3 years, offering yields ranging from 4.8% to 5.2%. Kellerman explained the CD ladder strategy, the FDIC insurance coverage limits, and the early withdrawal penalties. Thornton agreed and the purchases were executed through Sterling's fixed income desk. Sterling earned \$1,400 in markups on the transactions.

Eighteen months later, Thornton filed a complaint alleging that Kellerman violated FINRA suitability requirements by recommending she concentrate \$280,000 in fixed-rate CDs when she had expressed interest in growth, arguing that the recommendation was unsuitable given her moderate risk tolerance and 7-year horizon. Sterling's compliance department countered that brokered CDs are bank products, not securities, and therefore FINRA's suitability rule does not apply to the recommendation. Thornton's counsel argued that because the CDs were sold through Sterling's brokerage platform and the firm earned compensation, the suitability rule should apply.

Question

Did FINRA Rule 2111 (Suitability) apply to Kellerman's recommendation that Thornton purchase the brokered CD ladder, and if so, was the recommendation suitable given her customer profile?

Why Adversarial

Common Wrong Answer

Item 128 of 200

ANSWER:

Topic: best_interest_standard_conflict_dual_registration

Type: rule conflict (Reg BI vs. state fiduciary standard disagree)

Difficulty: hard

Standard: SEC Regulation BI (Rule 15l-1) Care Obligation; Nevada Revised Statutes Chapter 628A state fiduciary standard; FINRA Rule 2111 (Suitability)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Thornton, age 67, is a retired schoolteacher residing in Nevada with \$485,000 in retirement savings, including a 403(b) account valued at \$310,000 and a brokerage account worth \$175,000. Her risk tolerance questionnaire indicated 'conservative' preferences, with a primary goal of capital preservation and modest income generation to supplement her pension. She has no prior experience with options trading or complex investment products.

In March 2024, Marcus Webb, a financial professional dually registered as a broker-dealer representative with Pinnacle Securities Inc. and as an investment adviser representative with Pinnacle Advisory Services LLC, met with Ms. Thornton at her home in Henderson, Nevada. Webb recommended she roll over her 403(b) into a self-directed IRA at Pinnacle Securities and allocate 40% of the combined portfolio (\$194,000) into a structured note linked to a basket of technology stocks with principal-at-risk features and a 5-year maturity.

Webb presented the recommendation in his capacity as a broker, triggering Regulation BI obligations. He completed a Reg BI disclosure form and documented that the structured note offered a higher yield than comparable fixed-income alternatives, reasoning that this served Ms. Thornton's income needs. Nevada, however, adopted a state fiduciary standard in 2021 requiring that financial professionals providing investment advice to Nevada residents act as fiduciaries, imposing a duty of loyalty and care that goes beyond federal suitability or best interest requirements.

Ms. Thornton invested as recommended. Within 14 months, the technology basket declined 35%, triggering the knock-in barrier on the structured note and exposing her principal to significant losses. She lost approximately \$67,900 of her principal investment. Webb's compliance notes showed he considered alternative investments including Treasury bonds and investment-grade corporate bond funds but concluded the structured note's yield advantage justified the recommendation.

Question

Did Webb's recommendation of the principal-at-risk structured note comply with applicable regulatory standards, considering both SEC Regulation BI and Nevada's state fiduciary requirement?

Why Adversarial

Common Wrong Answer

Item 129 of 200

ANSWER:

Topic: suitability_covered_call_etf_product_classification

Type: product ambiguity (is this recommendation subject to suitability at all?)

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor); FINRA guidance on complex products and leveraged/inverse ETFs

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

In March 2024, registered representative David Thornton of Westbrook Securities recommended that his client, Eleanor Vance, age 71, invest \$285,000 of her \$340,000 retirement portfolio into the YieldMax TSLA Option Income Strategy ETF (TSLY), a covered call options ETF that generates income by selling call options on Tesla stock. Mrs. Vance's investment profile indicated conservative risk tolerance, income-generation as her primary objective, and a 10-year investment horizon. She had no prior experience with options or derivatives. During the recommendation, Thornton explained that TSLY was 'essentially just an ETF that pays monthly dividends' and emphasized its 50%+ distribution yield. He did not explain that the fund uses a synthetic covered call strategy involving FLEX options, that distributions could include return of capital eroding her principal, or that the fund's value was highly correlated to Tesla's volatile stock price.

Mrs. Vance's account agreement contained language stating she authorized 'unsolicited options transactions' but she had never requested options approval and the firm's system showed her account was not options-approved. When compliance reviewed the trade three months later, they noted the position had declined 34% while generating \$28,000 in distributions, resulting in a net loss of approximately \$69,000.

Thornton's supervisor argued that because the recommendation involved purchasing an ETF--not writing options directly--FINRA's options suitability rules did not apply, and that standard suitability under Rule 2111 was satisfied because the client wanted income and the ETF provides income. The supervisor further contended that since ETFs trade on exchanges like stocks, enhanced suitability obligations for complex products were inapplicable.

Question

Does Thornton's recommendation of the covered call options ETF trigger heightened suitability obligations beyond standard Rule 2111, and was his recommendation suitable for Mrs. Vance?

Why Adversarial

Common Wrong Answer

Item 130 of 200

ANSWER:

Topic: suitability_standard_applicability_edge_case

Type: edge case customer profile (institutional? retail? which standard applies?)

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2111.07 (Institutional Account Safe Harbor); FINRA Rule 4512(c) (Institutional Account Definition); FINRA Rule 2310 (Direct Participation Programs); Regulation Best Interest Care Obligation; Exchange Act Section 15(l)

Source: 15_FINRA_Regulatory_Notices

Fact Pattern

Westbrook Capital Partners LLC is a small family office managing \$42 million in assets for the Thornton family. The entity has three employees: a portfolio manager with 22 years of experience, an operations specialist, and an administrative assistant. In March 2025, Marcus Thornton, the family patriarch and sole decision-maker for investments, contacted registered representative Diana Voss at Meridian Securities about investing \$3.8 million in a non-traded REIT structured as a limited liability company electing partnership tax treatment for federal income tax purposes.

Diana conducted her analysis and determined that Marcus, age 71, wanted income-producing investments but had limited experience with illiquid alternative investments. Westbrook Capital Partners had never invested in direct participation programs or non-traded REITs previously, concentrating instead in publicly traded securities. Diana's firm's procedures classified Westbrook as an 'institutional account' based solely on its \$42 million in assets under management, which exceeded the \$10 million threshold in the firm's written supervisory procedures.

Relying on this institutional classification, Diana provided Marcus with the prospectus and offering documents but did not conduct a customer-specific suitability analysis. She did not document Marcus's investment objectives, risk tolerance, time horizon, or liquidity needs. When Marcus asked whether this investment was appropriate given his age and the seven-year expected hold period, Diana responded that 'as an institutional investor, you're sophisticated enough to make your own determination.' The investment was executed on March 28, 2025.

Six months later, Marcus needed liquidity due to unexpected medical expenses but discovered the REIT had no active secondary market and redemption was severely limited. He filed a complaint alleging Diana failed to ensure the recommendation was suitable for his circumstances.

Question

Did Diana Voss violate her suitability obligations under FINRA Rule 2111 by treating Westbrook Capital Partners as an institutional account exempt from customer-specific suitability analysis, and does Regulation Best Interest apply to this transaction?

Why Adversarial

Common Wrong Answer

Item 131 of 200

ANSWER:

Topic: multi_party_erisa_fiduciary_and_broker_best_interest_obligations

Type: multi-party scenario (broker AND IA both involved, who owes what duty?)

Difficulty: hard

Standard: ERISA Section 404(a)(1) prudent person and exclusive benefit standards; ERISA 3(21) fiduciary status; Regulation Best Interest Care Obligation; Investment Advisers Act Section 206 fiduciary duty

Source: 10_Academic_Articles

Fact Pattern

Lakeside Manufacturing, Inc. sponsors a 401(k) plan for its 340 employees, with approximately \$28 million in plan assets. The company's HR Director, Patricia Wynne, serves as the named fiduciary under the plan document. In March 2023, Wynne engaged Cornerstone Advisory Partners, a registered investment adviser, to serve as the plan's 3(21) investment fiduciary, providing non-discretionary investment recommendations for the plan's menu of investment options. Separately, Lakeside had an existing relationship with Marcus Thompson, a registered representative at Piedmont Securities, a broker-dealer. Thompson had been receiving 12b-1 fees from certain mutual funds in the plan for years and continued servicing the plan's participant education needs.

In September 2023, Cornerstone's lead adviser, Daniel Reyes, recommended that the plan add a suite of target-date funds from Vanguard to replace the existing actively-managed target-date series, citing lower expense ratios (0.13% vs. 0.72%) and stronger long-term performance. Reyes documented his analysis using a standardized investment policy statement review. However, before the investment committee met, Thompson contacted Wynne separately and strongly urged her to reject Cornerstone's recommendation, instead suggesting the plan adopt a different target-date series from American Funds that would continue generating 12b-1 fees to Piedmont Securities. Thompson told Wynne that American Funds had 'proven staying power' and that lower-cost index funds were 'risky for unsophisticated participants.'

Wynne, overwhelmed by conflicting advice and trusting Thompson's long relationship with the company, followed Thompson's recommendation without convening the investment committee or reviewing Cornerstone's documented analysis. The American Funds series carried an all-in expense ratio of 0.89%, and Thompson's 12b-1 compensation would total approximately \$42,000 annually. A terminated employee later filed a complaint with the Department of Labor alleging breach of fiduciary duty.

Question

Under ERISA and applicable securities regulations, what distinct duties did each party--Wynne, Cornerstone Advisory Partners, and Thompson--owe with respect to the investment recommendation, and which party or parties breached their respective obligations?

Why Adversarial

Common Wrong Answer

Item 132 of 200

ANSWER:

Topic: trust_investment_prudence_passive_vs_active_management

Type: edge case customer profile (institutional? retail? which standard applies?)

Difficulty: hard

Standard: Uniform Prudent Investor Act §§ 2, 7, 9; Investment Advisers Act § 206 fiduciary duty; Restatement (Third) of Trusts § 90

Source: 10_Academic_Articles

Fact Pattern

Consolidated Trust Services, LLC ('CTS') serves as the corporate trustee for the Harrington Family Irrevocable Trust, established in March 2019 with assets of \$4.2 million. The trust document grants CTS broad investment discretion and names three individual beneficiaries: two adult children with income interests and a minor grandchild with a remainder interest. The trust agreement contains no specific investment direction and expressly adopts the state's version of the Uniform Prudent Investor Act.

In June 2022, CTS engaged Pinnacle Wealth Advisors, a registered investment adviser, to provide discretionary investment management services for the trust. Pinnacle's lead adviser, Marcus Thornton, implemented an actively managed strategy investing 85% of the trust corpus in a proprietary fund-of-funds structure with a blended expense ratio of 2.1% annually, plus a 1.25% advisory fee. Thornton justified this approach by claiming his firm's research team could consistently identify undervalued securities and time market rotations effectively.

Over the subsequent 18-month period ending December 2023, the trust's portfolio underperformed a comparable passive index benchmark by 340 basis points annually after fees. A competing corporate trustee, reviewing the account for potential successor appointment, noted that low-cost index funds tracking the same asset classes would have achieved benchmark returns at a total cost of approximately 0.15% annually. The income beneficiaries have now filed a complaint alleging breach of fiduciary duty.

The critical complexity arises because Pinnacle Wealth Advisors maintains that as an investment adviser to an 'institutional' client (the corporate trustee), they owed duties only to CTS as their direct client, not to the underlying trust beneficiaries. CTS, in turn, argues that its delegation to a qualified investment adviser satisfied its prudent investor obligations. Meanwhile, the trust beneficiaries contend that both CTS and Pinnacle breached their respective duties of care.

Question

Under applicable trust investment law and investment adviser fiduciary standards, which entity or entities may be held liable for breach of fiduciary duty, and what standard applies to evaluate whether the active management strategy and fee structure were prudent for this trust?

Why Adversarial

Common Wrong Answer

Item 133 of 200

ANSWER:

Topic: institutional_vs_retail_suitability_standard_edge_case

Type: edge case customer profile (institutional? retail? which standard applies?)

Difficulty: hard

Standard: FINRA Rule 4512(c) (institutional account definition); FINRA Rule 2111 (suitability); Regulation Best Interest Care Obligation; SEC Regulation D (accredited investor - distinguished)

Source: 22_PiABA_Materials

Fact Pattern

Dr. Margaret Chen is a 58-year-old physician who recently sold her medical practice for \$4.2 million. She opened an account with Bridgewater Securities LLC in March 2023, completing a new account form indicating her liquid net worth as \$5.8 million, annual income of \$380,000 from consulting work, investment objective as 'growth with moderate risk,' and investment experience as 'limited--primarily mutual funds in 401(k).' Her registered representative, Kevin Walsh, noted that Dr. Chen mentioned she 'understood business risk from running a practice' and had read several investment books.

In April 2023, Walsh recommended that Dr. Chen invest \$1.8 million (approximately 31% of her liquid net worth) in a portfolio of leveraged inverse ETFs tracking semiconductor and technology indices. Walsh provided a one-page summary of the products and mentioned they were 'sophisticated instruments designed for active traders' but assured Dr. Chen that her 'business acumen' made her capable of monitoring them. Dr. Chen signed an acknowledgment form stating she had 'sufficient knowledge and experience in financial matters to evaluate the merits and risks of the investment.'

Walsh's firm, Bridgewater Securities, had an internal policy classifying any customer with liquid net worth exceeding \$5 million as 'accredited' and applying a reduced suitability review standard to such accounts. The firm's compliance manual stated that accredited investors were presumed to have 'institutional-level sophistication' and could 'fend for themselves' in evaluating complex products. Dr. Chen was never informed of this classification.

By October 2023, the leveraged inverse ETF portfolio had declined by \$890,000 due to the inherent volatility decay and Dr. Chen's failure to rebalance daily as the products required. Dr. Chen has filed a FINRA arbitration claim alleging unsuitability. Bridgewater Securities moves to dismiss, arguing that Dr. Chen qualified as an 'institutional customer' under FINRA rules based on her net worth and signed sophistication acknowledgment, and therefore the firm satisfied its reduced suitability obligations.

Question

Under applicable FINRA rules, does Dr. Chen qualify as an institutional customer to whom reduced suitability obligations apply, and did Walsh and Bridgewater Securities satisfy their suitability obligations regardless of her classification?

Why Adversarial

Common Wrong Answer

Item 134 of 200

ANSWER:

Topic: robo_adviser_ai_recommendation_suitability

Type: novel fact pattern (robo-adviser, crypto, AI-generated recommendation)

Difficulty: hard

Standard: Investment Advisers Act of 1940 fiduciary duty; SEC guidance on robo-advisers; IA fiduciary duty of care requiring reasonable inquiry and suitable recommendations

Source: 07_Practitioner_Commentary

Fact Pattern

Apex Digital Wealth LLC is a registered investment adviser offering an AI-driven robo-advisory platform called 'SmartPortfolio Pro.' The platform uses machine learning algorithms to generate investment recommendations based on client questionnaires. In March 2024, Martha Hendricks, age 71, opened an account with \$485,000--representing substantially all of her liquid retirement savings from a recent pension lump-sum distribution. The onboarding questionnaire asked twelve questions, including risk tolerance (Martha selected 'moderate'), investment horizon ('5-10 years'), and income needs ('supplemental retirement income needed within 2 years'). The questionnaire did not ask about total net worth, other income sources, health status, or liquidity needs beyond the single income question.

The SmartPortfolio Pro algorithm processed Martha's responses and generated a portfolio allocation of 45% domestic equities, 20% international equities (including 8% emerging markets), 15% high-yield corporate bonds, 12% cryptocurrency ETFs, and 8% money market funds. The algorithm's internal logic weighted her 'moderate' risk selection heavily while discounting the near-term income need indicator due to the 5-10 year horizon response. No human adviser reviewed the recommendation before implementation; the platform executed \$446,200 in trades within 72 hours.

Six months later, Martha contacted Apex because she needed \$95,000 for unexpected medical expenses and assisted living deposits. She discovered her portfolio had declined 23% due to cryptocurrency volatility and emerging market corrections. The platform's customer service representative explained that the AI system had operated exactly as designed and that all disclosures were provided electronically during onboarding. Apex's Form CRS, which Martha received digitally, stated the firm provides 'automated investment advisory services' and included conversation starters, but Martha never spoke with a human financial professional before or after account opening.

Question

Did Apex Digital Wealth LLC satisfy its fiduciary duty of care under the Investment Advisers Act when its AI-driven platform generated and implemented Martha's portfolio allocation without human review, given her specific client profile and the algorithm's weighting methodology?

Why Adversarial

Common Wrong Answer

Item 135 of 200

ANSWER:

Topic: suitability_standard_institutional_vs_retail_classification

Type: edge case customer profile (institutional? retail? which standard applies?)

Difficulty: hard

Standard: FINRA Rules 2111 (Suitability), 2111.03 (Institutional Suitability), 4512(c) (Institutional Account Definition), 3110 (Supervision)

Source: 13_FINRA_Rulebook

Fact Pattern

Westbrook Financial Services, a FINRA member firm, maintains an active client relationship with Meridian Family Office LLC, a limited liability company that provides consolidated investment management services exclusively for the Carrington family's multigenerational wealth. Meridian has \$47 million in assets under management, employs three full-time staff members (none of whom hold securities licenses), and was formed in 2019 to coordinate the family's various investment accounts, tax planning, and estate matters.

In March 2024, registered representative Daniel Okonkwo at Westbrook recommended that Meridian allocate \$8.5 million to a series of structured notes with embedded options tied to a basket of emerging market currencies. The notes carry significant downside risk, with potential principal loss of up to 35% if certain currency thresholds are breached. Okonkwo conducted minimal due diligence on Meridian's specific investment objectives, relying primarily on a brief phone conversation with Harold Carrington, the 71-year-old family patriarch who serves as Meridian's managing member.

Okonkwo's supervisor, Branch Manager Patricia Valdez, approved the recommendation based on Westbrook's internal classification of Meridian as an 'institutional account' due to its \$47 million AUM and LLC structure. Valdez did not require Okonkwo to document Meridian's investment profile, risk tolerance, or liquidity needs, reasoning that institutional customers are capable of independently evaluating investment risks. No written acknowledgment was obtained from Meridian regarding its ability to independently evaluate recommendations.

Following adverse currency movements in Q2 2024, Meridian suffered a \$2.9 million loss on the structured notes. Harold Carrington filed a complaint alleging that Okonkwo never explained the currency risk exposure and that the recommendation was unsuitable given the family's moderate risk tolerance and need for capital preservation to fund upcoming trust distributions.

Question

Did Westbrook Financial Services properly apply the institutional customer exemption under FINRA Rule 2111 to Meridian Family Office LLC, and was the suitability analysis conducted by Okonkwo and approved by Valdez compliant with applicable standards?

Why Adversarial

Common Wrong Answer

Item 136 of 200

ANSWER:

Topic: reg_bi_institutional_retail_classification_suitability

Type: edge case customer profile (institutional? retail? which standard applies?)

Difficulty: hard

Standard: Regulation Best Interest Rule 15l-1 (Care Obligation, retail customer definition); FINRA Rules 2111 (Suitability), 2111.07 (Institutional Suitability), and 2101 (Standards of Commercial Honor)

Source: 03_FINRA_AWC

Fact Pattern

Westbrook Capital Partners LLC is a family office organized as a limited liability company with \$18 million in assets under management. The family office serves three generations of the Hartfield family and employs a part-time bookkeeper but no dedicated investment professionals. In March 2024, Gregory Simmons, a registered representative at Meridian Securities, Inc., recommended that Westbrook allocate \$4.2 million to a portfolio of leveraged closed-end funds investing in emerging market debt and alternative credit strategies. These funds utilized leverage ratios of 35-40% and had experienced drawdowns exceeding 25% during recent market volatility.

Simmons had previously worked with Marcus Hartfield, the family patriarch and sole managing member of Westbrook, on traditional municipal bond investments. Marcus, age 74, indicated that Westbrook's primary objective was wealth preservation and income generation to support family distributions. When Simmons presented the leveraged closed-end fund strategy, he provided a detailed term sheet and prospectus materials. Marcus signed an institutional customer attestation form indicating that Westbrook was capable of independently evaluating investment risks and would exercise independent judgment.

Simmons documented in his notes that because Westbrook signed the institutional attestation, his firm's obligations were limited to ensuring a reasonable basis for the recommendation. He did not conduct a customer-specific suitability analysis or document how the leveraged strategy aligned with Westbrook's stated wealth preservation objectives. When the emerging market debt funds declined 31% over the following six months, the Hartfield family filed a complaint alleging that the recommendation was unsuitable for their conservative investment profile.

Meridian's compliance department reviewed the matter and initially concluded that Reg BI did not apply because Westbrook was an institutional account that had provided the required attestation under FINRA's institutional suitability framework.

Question

Under the applicable regulatory standards, was Simmons' reliance on the institutional customer attestation sufficient to satisfy his suitability and best interest obligations for the recommendation to Westbrook Capital Partners LLC?

Why Adversarial

Common Wrong Answer

Item 137 of 200

ANSWER:

Topic: suitability_product_ambiguity_private_placement

Type: product ambiguity (is this recommendation subject to suitability at all?)

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 5123 (Private Placements of Securities); FINRA Rule 2010 (Standards of Commercial Honor); FINRA Interpretive Guidance on 'recommendation' definition

Source: 22_PiABA_Materials

Fact Pattern

In March 2024, Clearwater Capital Partners, a FINRA member firm, acted as placement agent for Vertex Technology Ventures LP, a Regulation D private placement fund investing in early-stage AI startups. Marcus Henderson, a registered representative at Clearwater, had a pre-existing personal relationship with Dr. Patricia Okonkwo, a 58-year-old radiologist with \$2.3 million in liquid assets and no prior alternative investment experience. Her investment profile indicated moderate risk tolerance, a 10-year time horizon, and primary objectives of capital preservation and retirement income generation.

Dr. Okonkwo contacted Henderson directly after attending a medical conference where Vertex's general partner gave a presentation. She expressed strong interest in participating, stating she believed AI would transform radiology and wanted exposure before the technology matured. Henderson provided her with the private placement memorandum (PPM) and subscription documents but did not make any affirmative recommendation—he simply facilitated the transaction at her request. He answered her factual questions about the fund structure, minimum investment (\$250,000), and five-year lockup period.

Dr. Okonkwo invested \$400,000, representing approximately 17% of her liquid net worth. The PPM disclosed all material risks, including illiquidity, concentration risk, and potential total loss of principal. Clearwater received a 2% placement fee. Henderson documented that the investment was 'unsolicited' on the order ticket. No suitability analysis was performed, and Henderson made no determination about whether the investment was appropriate for Dr. Okonkwo's profile.

Two years later, Vertex collapsed after its flagship portfolio company failed to secure FDA approval. Dr. Okonkwo lost her entire \$400,000 investment and filed a FINRA arbitration claim alleging that Clearwater and Henderson violated suitability obligations by permitting her to make an unsuitable investment in a speculative private placement.

Question

Did Henderson's facilitation of the private placement transaction without conducting a suitability analysis violate FINRA suitability requirements, even though he characterized the transaction as unsolicited and made no affirmative recommendation?

Why Adversarial

Common Wrong Answer

Item 138 of 200

ANSWER:

Topic: suitability_best_interest_product_ambiguity

Type: product ambiguity (is this recommendation subject to suitability at all?)

Difficulty: hard

Standard: NASAA Model Rule on Investment Adviser Fiduciary Duty; Uniform Securities Act Section 102(15) (investment adviser definition); Michigan Securities Act; State fiduciary duty of care requiring suitability analysis

Source: 14_NASAA_State_Enforcement

Fact Pattern

Margaret Okonkwo, age 67, is a retired schoolteacher in Grand Rapids, Michigan with \$340,000 in savings, a modest pension, and Social Security income. In January 2024, she met with Gerald Finch, an investment adviser representative associated with Lakeside Wealth Partners, a state-registered investment adviser in Michigan with \$45 million in regulatory assets under management. Margaret explained she needed stable income and capital preservation for retirement.

During their meeting, Gerald recommended that Margaret invest \$180,000 into a 'structured settlement payment stream' being sold by a third-party company called FutureFlow Payment Solutions. Gerald explained that Margaret would purchase the right to receive periodic payments from an existing structured settlement originally awarded to an accident victim who wanted a lump sum instead. Gerald characterized this as 'essentially like buying an annuity but with better yields' and stated it would provide 'guaranteed monthly income.'

Gerald earned a \$9,000 referral fee from FutureFlow for introducing the transaction. He did not conduct any due diligence on FutureFlow's creditworthiness, the legal validity of the assignment, or whether state law permitted such transfers. Margaret signed purchase documents directly with FutureFlow. Six months later, FutureFlow ceased operations, and Margaret discovered that the underlying structured settlement issuer had voided the assignment as legally improper under state anti-assignment statutes.

When Margaret filed a complaint with Michigan's securities regulator, Gerald's firm argued that the structured settlement payment rights were not securities, that Gerald merely made a 'referral' rather than a recommendation, and that suitability standards therefore did not apply to the transaction.

Question

Did Gerald Finch's recommendation of the structured settlement payment stream constitute investment advice subject to state fiduciary and suitability standards, and if so, did his conduct violate those standards?

Why Adversarial

Common Wrong Answer

Item 139 of 200

ANSWER:

Topic: temporal_application_of_suitability_vs_reg_bi_care_obligation

Type: temporal trap (rule changed mid-period, which version applies?)

Difficulty: hard

Standard: FINRA Rule 2111 (suitability), FINRA Rules 3110 and 2010 (supervision), with prospective application of Regulation Best Interest Rule 15l-1 Care Obligation for recommendations on/after June 30, 2020

Source: 04_RegBI_Compliance_Guidance

Fact Pattern

Brightstone Securities LLC is a broker-dealer with 3,500 registered representatives nationwide. On June 15, 2020, registered representative Marcus Chen recommended that his client, Eleanor Vance (age 71, retired schoolteacher, moderate risk tolerance, \$380,000 in liquid assets, 5-year investment horizon, income-focused objective), invest \$95,000 in Nexus Growth BDC, a publicly traded business development company. Marcus documented that he believed the 8.2% yield was attractive for Eleanor's income needs and noted the investment represented approximately 25% of her liquid portfolio.

Marcus's branch manager, Patricia Weston, reviewed and approved the transaction on June 22, 2020, using Brightstone's standard suitability review checklist that had been in place since 2018. The checklist focused on whether the investment matched the customer's stated risk tolerance and investment objective but did not require comparison to reasonably available alternatives or explicit cost-benefit analysis.

Eleanor's account statements show the BDC position was established on June 25, 2020. The BDC carried a 2.1% annual management fee and had experienced share price volatility of 35% over the prior eighteen months, though it had maintained its dividend. Brightstone's product due diligence materials noted that Listed BDCs generally carried higher risk profiles than traditional equity income funds and recommended concentration limits of 10-15% for moderate-risk investors.

In January 2022, FINRA examiners reviewing Brightstone's Listed BDC transactions questioned whether the firm's supervisory system was adequate for the Eleanor Vance recommendation. Brightstone's compliance officer argued that since the recommendation discussion began on June 15, 2020, before Regulation Best Interest's June 30, 2020 compliance date, FINRA Rule 2111 suitability standards should apply.

Question

Which regulatory standard--FINRA Rule 2111 suitability or Regulation Best Interest's Care Obligation--governs the recommendation to Eleanor Vance, and did the recommendation comply with the applicable standard?

Why Adversarial

Common Wrong Answer

Item 140 of 200

ANSWER:

Topic: multi_party_standard_of_conduct_broker_and_ia_duties

Type: multi-party scenario (broker AND IA both involved, who owes what duty?)

Difficulty: hard

Standard: Regulation Best Interest Care Obligation (17 CFR 240.15l-1); Investment Advisers Act of 1940 Sections 206(1) and 206(2) fiduciary duty; FINRA Rule 2111 (Suitability)

Source: 07_Practitioner_Commentary

Fact Pattern

Margaret Chen, age 67, retired from her career as a hospital administrator in March 2023 with a \$1.2 million 401(k) and a modest pension providing \$2,800 monthly. She sought advice from Pinnacle Wealth Advisors, a dual-registrant firm operating both as a registered investment adviser and a broker-dealer. Margaret was assigned to work with two professionals at the firm: Derek Sullivan, a licensed registered representative operating under the broker-dealer, and Renata Voss, an investment adviser representative operating under the RIA.

In April 2023, Derek met with Margaret to discuss rolling her 401(k) into an IRA. He conducted a suitability analysis, documented her moderate risk tolerance, 15-year time horizon, and income needs of approximately \$1,500 monthly from her portfolio. Derek recommended rolling the funds into a Pinnacle IRA and received a one-time commission of \$18,000 from the rollover transaction. He did not compare fees in the existing 401(k) plan or document why the rollover was in Margaret's best interest versus keeping funds in the employer plan.

Once the IRA was established, Renata took over as Margaret's ongoing portfolio manager under the RIA's advisory agreement, charging a 1.25% annual wrap fee. In June 2023, Renata allocated 40% of Margaret's portfolio to a proprietary emerging markets fund with a 2.1% expense ratio and significant volatility, despite Margaret's documented moderate risk tolerance and near-term income needs. Renata's selection was influenced by the firm's internal revenue-sharing arrangement with the proprietary fund, though she believed the fund had strong long-term performance potential.

By December 2023, the emerging markets allocation had declined 28%, and Margaret's portfolio could no longer sustain her required monthly withdrawals without depleting principal at an accelerated rate. Margaret filed a complaint alleging both the rollover recommendation and the subsequent portfolio allocation violated applicable standards.

Question

Which standard of conduct applied to Derek's rollover recommendation versus Renata's portfolio allocation, and did each professional satisfy their respective obligations under the applicable regulatory frameworks?

Why Adversarial

Common Wrong Answer

Item 141 of 200

ANSWER:

Topic: investment_adviser_representative_threshold_fiduciary_duty

Type: precise threshold (does this just barely meet or miss the standard?)

Difficulty: hard

Standard: NASAA Model Rule USA 2002 102(16) Alternative 2; Investment Advisers Act of 1940 fiduciary duty; state fiduciary standards for investment advice suitability

Source: 14_NASAA_State_Enforcement

Fact Pattern

Marcus Thornton works for Grandview Capital Partners, a federal covered investment adviser with \$180 million in assets under management. Thornton operates from a small office in State X where he meets with clients and provides investment recommendations. In December 2023, he provided personalized portfolio recommendations to exactly five natural person clients who each had less than \$750,000 under management and net worths below \$1,500,000. These five clients represented 11% of his total client base of 45 clients (the remaining 40 clients were either institutional investors or high-net-worth individuals meeting the excepted person thresholds).

One of Thornton's five non-excepted natural person clients was 68-year-old Helen Marsden, a retired teacher with \$420,000 in retirement savings and moderate risk tolerance. In February 2024, Thornton recommended she allocate 35% of her portfolio to a concentrated position in a single small-cap technology stock, citing his belief in the company's growth potential. The recommendation was based on Thornton's general market outlook rather than Helen's specific retirement income needs, time horizon, or risk capacity. He met with Helen in person at his State X office to discuss this recommendation.

Grandview's compliance department later reviewed Thornton's status and concluded he was not required to register as an investment adviser representative in State X because he had 'exactly five' natural person clients who were not excepted persons, arguing this did not exceed the 'more than five' threshold in the state's adopted version of NASAA Model Rule USA 2002 102(16) Alternative 2. Therefore, they asserted state fiduciary standards did not apply to Thornton's advice to Helen Marsden.

Question

Did Thornton meet the definition of 'investment adviser representative' under Alternative 2 of NASAA Model Rule USA 2002 102(16), and if so, was his recommendation to Helen Marsden suitable under the applicable state fiduciary standard?

Why Adversarial

Common Wrong Answer

Item 142 of 200

ANSWER:

Topic: multi_party_suitability_and_best_interest_duties

Type: multi-party scenario (broker AND IA both involved, who owes what duty?)

Difficulty: hard

Standard: Regulation Best Interest Care Obligation (Exchange Act Section 15(l)); Investment Advisers Act of 1940
Fiduciary Duty; FINRA Rule 2111 (Suitability, to extent applicable pre-Reg BI transition)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Thornton, age 67, retired from her position as a hospital administrator in March 2023 with a \$1.2 million 401(k) balance. She had moderate investment knowledge and a stated risk tolerance of 'moderate-conservative' with a 15-year time horizon. She initially consulted with Jason Merrill, a registered representative of Coastal Securities LLC (a broker-dealer), who recommended she roll her 401(k) into an IRA. Merrill completed the rollover paperwork and received a \$4,800 commission. He then referred Thornton to his colleague, Patricia Hayes, who operated as an investment adviser representative through Coastal Wealth Advisors, a separately registered investment adviser sharing office space with Coastal Securities.

Hayes entered into an advisory agreement with Thornton, charging a 1.25% annual wrap fee for ongoing portfolio management. In her initial investment policy statement, Hayes documented Thornton's moderate-conservative risk profile and income needs of approximately \$3,500 monthly to supplement Social Security. However, Hayes allocated 35% of Thornton's portfolio to non-traded REITs focusing on commercial real estate, 20% to a leveraged closed-end bond fund, and 15% to emerging market equities. The remaining 30% was placed in investment-grade bonds and money market funds.

By January 2024, the leveraged bond fund had declined 28% due to interest rate increases, and two of the non-traded REITs suspended distributions and marked down NAV by 40%. Thornton's portfolio had lost approximately \$310,000 in value. When Thornton complained, Hayes argued that the initial rollover recommendation was Merrill's responsibility, while Merrill contended that all investment selection decisions were made by Hayes under her fiduciary capacity. Coastal Securities and Coastal Wealth Advisors are both subsidiaries of Coastal Financial Group but maintain separate compliance departments and supervision structures.

Question

What are the respective suitability and best interest obligations of Merrill (the broker-dealer representative) and Hayes (the investment adviser representative), and which party or parties violated their applicable standard of care in this scenario?

Why Adversarial

Common Wrong Answer

Item 143 of 200

ANSWER:

Topic: trust_fiduciary_suitability_prudent_investor_standard

Type: precise threshold (does this just barely meet or miss the standard?)

Difficulty: hard

Standard: 12 U.S.C. §92a; OCC Regulation 12 CFR 9.5; Uniform Prudent Investor Act Sections 2 and 3 (prudence and diversification requirements)

Source: 18_OCC_Bank_Trust_Guidance

Fact Pattern

Heartland National Bank operates a trust department that is regularly examined by OCC examiners for compliance with fiduciary principles. In March 2023, the bank accepted an irrevocable trust for Margaret Thornton, age 78, with \$2.1 million in assets. The trust instrument named the bank as sole trustee and directed it to provide income to Margaret for life, with remainder to her three grandchildren. The trust document contained no specific investment guidance beyond requiring the trustee to 'invest prudently for the benefit of all beneficiaries.'

Robert Chen, the trust officer assigned to the account, conducted an initial review and documented that Margaret required approximately \$7,500 monthly from the trust to supplement her Social Security and pension income. Her health was described as 'fair with managed chronic conditions.' The remainder beneficiaries, aged 19, 22, and 25, had no immediate need for distributions. Chen noted the trust had a 'moderate' risk tolerance based on balancing current income needs against long-term growth for remaindermen.

In April 2023, Chen allocated 47% of the portfolio to dividend-paying equities, 38% to investment-grade corporate bonds, 12% to high-yield bonds rated BB, and 3% to cash equivalents. The high-yield allocation was concentrated in a single sector-specific bond fund focused on energy companies. Chen documented that this allocation would generate approximately \$8,200 monthly in dividends and interest, exceeding Margaret's income requirement. His investment rationale stated: 'The 12% high-yield allocation enhances income generation while remaining within acceptable risk parameters for the trust's moderate profile.'

By November 2023, the energy-focused high-yield fund had declined 31% due to sector volatility, reducing trust assets to approximately \$1.92 million. Margaret's income distributions continued uninterrupted. When questioned during the OCC examination in January 2024, Chen defended the allocation as appropriate given the income mandate and the fact that 88% of assets remained in investment-grade securities or equities.

Question

Did trust officer Chen's investment of 12% of the trust assets in a concentrated sector-specific high-yield bond fund satisfy the prudent investor standard applicable to bank fiduciary accounts under OCC regulations and the Uniform Prudent Investor Act?

Why Adversarial

Common Wrong Answer

Item 144 of 200

ANSWER:

Topic: variable_annuity_suitability_commission_differential

Type: precise threshold (does this just barely meet or miss the standard?)

Difficulty: hard

Standard: Regulation Best Interest Rule 15l-1(a)(2)(ii) Care Obligation; FINRA Rule 2330 (Variable Annuity Suitability); FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor)

Source: 03_FINRA_AWC

Fact Pattern

In March 2023, Marcus Delaney, a registered representative at Cornerstone Financial Services, met with Patricia Westbrook, a 61-year-old recently retired schoolteacher. Mrs. Westbrook had received a \$485,000 lump-sum pension distribution and sought advice on generating stable retirement income while preserving capital. Her risk tolerance was documented as 'moderate-conservative,' her time horizon was 20+ years given her health and family longevity, and she had limited investment experience beyond her 403(b) plan.

Delaney recommended Mrs. Westbrook invest \$400,000 in the Pinnacle Select Variable Annuity with a Guaranteed Lifetime Withdrawal Benefit (GLWB) rider. The product carried total annual expenses of 3.42% (1.35% M&E, 0.95% administrative fees, and 1.12% for the GLWB rider), a 7-year declining surrender charge starting at 7%, and paid Delaney a 6.5% upfront commission (\$26,000). Cornerstone's product shelf also included the Meridian Flex Variable Annuity with comparable GLWB benefits, total annual expenses of 2.18%, a 5-year surrender schedule starting at 5%, which paid a 3.2% commission.

Delaney documented his rationale as follows: the Pinnacle product offered a slightly higher initial GLWB withdrawal percentage (5.25% vs. 5.0% for Meridian), the underlying fund options included one additional international equity subaccount, and the insurance carrier had a marginally higher A.M. Best rating (A+ vs. A). He noted these features 'justified' the higher expense ratio and longer surrender period as appropriate trade-offs for Mrs. Westbrook's needs. He did not document any analysis of how the 1.24% annual expense differential would compound over her 20+ year time horizon, nor did he calculate the breakeven point where the higher GLWB percentage would offset the additional costs.

Mrs. Westbrook signed all disclosures acknowledging the fees and surrender charges. Three months later, she filed a complaint after her nephew, a CPA, calculated that the expense differential would cost her approximately \$98,000 more over 20 years compared to the Meridian product.

Question

Did Delaney's recommendation of the Pinnacle Select Variable Annuity satisfy his care obligation under Regulation Best Interest, given that the product had marginally superior features but significantly higher costs and commissions compared to available alternatives?

Why Adversarial

Common Wrong Answer

Item 145 of 200

ANSWER:

Topic: dual_registration_best_interest_fiduciary_duty_allocation

Type: multi-party scenario (broker AND IA both involved, who owes what duty?)

Difficulty: hard

Standard: Regulation Best Interest Rule 15l-1 (Care Obligation); Investment Advisers Act of 1940 fiduciary duty; Reg BI's requirement to consider costs and reasonably available alternatives

Source: 04_RegBI_Compliance_Guidance

Fact Pattern

Margaret Chen, age 67, recently retired from her position as a school administrator with a \$485,000 403(b) account and \$125,000 in savings. In March 2024, she visited Pinnacle Financial Partners, a dually-registered firm where representatives hold both broker-dealer and investment adviser licenses. Margaret met with David Lawson, who operates under both capacities at the firm.

During their first meeting on March 12, 2024, Lawson gathered Margaret's financial information and learned she wanted conservative income generation with capital preservation for retirement. Her risk tolerance questionnaire scored her as 'moderately conservative,' and she indicated she needed to begin drawing \$2,500 monthly within six months. Lawson recommended rolling her 403(b) into an IRA at the firm, which Margaret agreed to.

On March 28, 2024, after the rollover was complete, Lawson recommended Margaret invest \$400,000 of the IRA in a fee-based advisory account managed by Pinnacle's investment advisory division, charging 1.25% annually. However, for the remaining \$210,000 (including her savings), Lawson switched to his broker-dealer capacity and recommended she purchase a variable annuity with a 7-year surrender period, 6% initial surrender charge, and mortality and expense fees of 1.4% annually, for which he received a 5.5% commission (\$11,550).

Lawson's rationale for the variable annuity, documented in his notes, stated it provided 'tax-deferred growth and guaranteed income options.' However, Margaret's combined investment expenses now exceed 2.5% annually on a blended basis, and her liquidity is severely constrained given the surrender period. When Margaret needed \$35,000 eight months later for unexpected medical expenses, she faced a \$2,100 surrender charge. She filed a complaint alleging the recommendations were not in her best interest.

Question

Given that Lawson acted in dual capacities during these transactions, what standard of care applied to each recommendation, and did either recommendation--the fee-based advisory account or the variable annuity--violate the applicable duty?

Why Adversarial

Common Wrong Answer

Item 146 of 200

ANSWER:

Topic: institutional_versus_retail_suitability_standard_application

Type: edge case customer profile (institutional? retail? which standard applies?)

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 4512(c) (Institutional Account Definition); Exchange Act Section 15(l); Regulation Best Interest Care Obligation

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Meridian Wealth Partners, a FINRA member broker-dealer, maintained an account for Cypress Grove Family Office LLC, a single-family office managing \$47 million in assets for the Thornberg family. The family office employed three staff members: a part-time bookkeeper, an administrative assistant, and Marcus Thornberg (age 72), the family patriarch who served as managing member and made all investment decisions despite having no professional investment background. On March 15, 2024, Meridian's registered representative, Sandra Chen, recommended that Cypress Grove invest \$3.2 million in a series of leveraged inverse ETFs tracking the energy sector, representing approximately 7% of the family office's total assets.

Chen's recommendation was based on a conversation with Marcus Thornberg in which he expressed bearish views on oil prices. Chen did not conduct any independent analysis of whether leveraged inverse products were appropriate for the account, relying instead on Cypress Grove's status as a legal entity with over \$10 million in assets. Chen's notes stated: 'Client is institutional--qualified to evaluate risks independently.' She provided the standard prospectus but did not explain the daily rebalancing mechanics, compounding effects, or the risks of holding these products beyond single trading sessions.

Over the following four months, the energy sector experienced significant volatility without a clear directional trend. By July 2024, the leveraged inverse ETF positions had declined by \$890,000 (a 28% loss) even though the underlying energy index had moved only 4% higher from the purchase date. Marcus Thornberg, who had intended to hold the positions as a medium-term hedge, was shocked by the magnitude of losses and filed an arbitration claim alleging that Chen failed to ensure the recommendation was suitable for the account's investment profile and that Meridian failed to meet its care obligation under applicable standards.

Question

Did Sandra Chen and Meridian Wealth Partners violate their suitability and care obligations by treating Cypress Grove Family Office LLC as an institutional customer exempt from enhanced suitability analysis, and which regulatory standard--FINRA Rule 2111 traditional suitability or Regulation Best Interest--applies to this recommendation?

Why Adversarial

Common Wrong Answer

Item 147 of 200

ANSWER:

Topic: variable_annuity_suitability_regulatory_conflict

Type: rule conflict (Reg BI vs. state fiduciary standard disagree)

Difficulty: hard

Standard: SEC Regulation Best Interest (Care Obligation); Nevada Insurance Regulation adopting NAIC Annuity Suitability Model Regulation Section 6 (Best Interest Standard); FINRA Rule 2111 (Suitability); FINRA Rule 2330 (Variable Annuity Suitability)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Holloway, age 64, is a retired schoolteacher residing in Nevada with \$485,000 in her 403(b) retirement account and no other significant liquid assets. In March 2024, she visited Ridgeline Securities LLC, a broker-dealer dually registered in Nevada and California, to discuss rolling over her 403(b) into an IRA. Her stated objectives were capital preservation and modest income generation to supplement her pension, with a risk tolerance she described as 'very conservative.' Her representative, David Chen, recommended she roll the entire \$485,000 into the Apex Premier Variable Annuity, a product featuring a 7-year surrender schedule with declining charges starting at 8%, annual expenses totaling 3.2% (including mortality and expense charges, administrative fees, and subaccount management fees), and an optional living benefit rider adding 1.15% annually. Chen's commission on this sale was 6.5%, totaling \$31,525.

Chen documented that Mrs. Holloway wanted 'guaranteed lifetime income' and that the living benefit rider addressed this need. However, his notes also reflected that she mentioned wanting 'easy access to funds for medical emergencies' and that she had expressed concern about complexity. Chen's comparison analysis showed two lower-cost alternatives: a no-load variable annuity with 1.4% total expenses and no surrender charges, and a fixed indexed annuity with a 3-year surrender period and 0.95% annual costs. Chen's internal rationale memorandum stated that while the Apex product had higher costs, its living benefit guarantees were 'superior' and justified the expense differential.

Nevada adopted a best interest standard for annuity sales effective January 2024, modeled on the NAIC Annuity Suitability Model Regulation, which requires that recommendations be in the consumer's 'best interest' without placing the producer's financial interest ahead of the consumer's. Meanwhile, Ridgeline's compliance department approved the transaction under SEC Regulation Best Interest, documenting that Chen had provided Form CRS, disclosed the commission, and considered the customer's investment profile.

Three months later, Mrs. Holloway needed \$60,000 for unexpected home repairs. The surrender charge on this withdrawal was \$4,800, and she filed a complaint alleging the recommendation was unsuitable given her stated need for liquidity.

Question

Under the applicable regulatory standards, was David Chen's recommendation of the Apex Premier Variable Annuity to Mrs. Holloway compliant, and how do the federal Regulation Best Interest and Nevada's state best interest standard interact in evaluating this recommendation?

Why Adversarial

Common Wrong Answer

Item 148 of 200

ANSWER:

Topic: suitability_concentration_risk_threshold

Type: precise threshold (does this just barely meet or miss the standard?)

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor); FINRA Regulatory Guidance on concentrated positions and illiquid investments

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Holloway, age 67, retired from her position as an elementary school teacher in January 2024 with total liquid assets of \$485,000, consisting of a \$340,000 IRA rollover from her pension and \$145,000 in savings. Her stated investment objective was 'moderate growth with income,' her risk tolerance was documented as 'moderate,' and her time horizon was listed as '15-20 years.' She indicated she needed approximately \$1,800 per month in supplemental income to cover living expenses beyond her Social Security benefits.

Her registered representative at Pinnacle Wealth Advisors, Thomas Brennan, recommended she invest \$240,000 (approximately 49.5% of her liquid net worth) into a single non-traded REIT focused on commercial office properties. Brennan documented that the REIT offered a 6.5% annual distribution yield, which would provide roughly \$1,300 per month toward her income needs. He noted the investment was 'suitable for moderate risk investors seeking income' based on the product sponsor's marketing materials.

Brennan's suitability documentation included a signed acknowledgment that Margaret understood the REIT was illiquid with a minimum 7-year holding period, that distributions were not guaranteed, and that commercial real estate carries market risk. The firm's compliance manual stated that concentrated positions exceeding 50% in any single illiquid alternative investment required supervisory pre-approval, which was not obtained because the position was 49.5%--just under the threshold.

Eighteen months later, the REIT suspended distributions due to declining commercial office occupancy rates and announced it would not pursue a liquidity event for at least 10 years. Margaret filed a claim alleging the recommendation was unsuitable given her age, income needs, and the concentration in a single illiquid product. Brennan's defense emphasized that the position was under the firm's 50% concentration limit and that Margaret signed all required disclosures.

Question

Did Brennan's recommendation of the non-traded REIT meet FINRA suitability requirements under Rule 2111, given that the 49.5% concentration fell just below the firm's internal 50% supervisory threshold?

Why Adversarial

Common Wrong Answer

Item 149 of 200

ANSWER:

Topic: customer_classification_suitability_standard_applicability

Type: edge case customer profile (institutional? retail? which standard applies?)

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2111.03 (Institutional Suitability); FINRA Rule 4512(c) (Institutional Account Definition); FINRA Rule 2010 (Standards of Commercial Honor)

Source: 03_FINRA_AWC

Fact Pattern

Granite Peak Securities LLC is a broker-dealer that executes trades in microcap and low-priced securities. In February 2023, the firm received a new account application from Thornwood Capital Partners, a limited partnership organized in Delaware with \$12 million in total assets. Thornwood's general partner, Marcus Reinhardt, has 18 years of experience in private equity but minimal direct experience trading microcap securities or penny stocks.

The account opening documents indicated that Thornwood qualified as an 'institutional account' under FINRA Rule 4512(c) based on its asset threshold. During the account opening process, registered representative Dana Wilcox of Granite Peak recommended that Thornwood allocate \$4.5 million--approximately 37.5% of its total assets--into a concentrated portfolio of eight microcap issuers, several of which had limited trading history and minimal publicly available financial information. Wilcox provided Thornwood with brief research summaries but did not conduct a detailed discussion of Thornwood's investment objectives, risk tolerance, or liquidity needs.

Wilcox relied on an institutional customer affirmation that Thornwood had opted out of certain suitability protections by indicating it was 'capable of evaluating investment risks independently.' However, this affirmation was obtained through a pre-checked box on an electronic form, and no follow-up conversation occurred to verify Thornwood's actual capability to assess microcap securities specifically. Within four months, five of the eight recommended securities became virtually illiquid, and Thornwood suffered losses exceeding \$2.8 million.

Thornwood's partnership agreement reveals that 60% of its limited partners are individual retirees who invested their retirement savings, and the partnership was formed primarily to pool capital for diversified investments. Reinhardt later acknowledged in correspondence that he had assumed Wilcox would provide guidance appropriate to Thornwood's actual sophistication level regarding microcap investments.

Question

Did Granite Peak Securities and Dana Wilcox satisfy their suitability obligations under FINRA Rule 2111 when recommending the concentrated microcap portfolio to Thornwood Capital Partners, given its institutional account classification and the circumstances of the affirmation?

Why Adversarial

Common Wrong Answer

Item 150 of 200

ANSWER:

Topic: reg_bi_vs_state_fiduciary_conflict_best_interest

Type: rule conflict (Reg BI vs. state fiduciary standard disagree)

Difficulty: hard

Standard: SEC Regulation Best Interest Care Obligation; Massachusetts 950 CMR 12.207 Fiduciary Conduct Standard; FINRA Rule 2111 (Suitability)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Marcus Chen, age 58, is a Nevada resident who works as a mechanical engineer earning \$145,000 annually. In March 2024, he met with registered representative Diana Frost of Pinnacle Securities LLC, a broker-dealer dually registered in Nevada and Massachusetts. Chen had accumulated \$680,000 in his employer's 401(k) plan and was considering his options upon upcoming retirement. His investment profile indicated moderate risk tolerance, a 15-year time horizon, and primary objectives of capital preservation and income generation.

Frost recommended Chen roll his 401(k) into an IRA at Pinnacle and invest the proceeds into a suite of proprietary structured notes with 7-year maturities, principal protection tied to the S&P 500, and embedded fees totaling 2.8% annually. Frost documented that the structured notes met Chen's stated objectives because they offered downside protection and potential for modest growth. She completed the Reg BI disclosure requirements, provided the Form CRS, and documented her reasonable basis for the recommendation. The structured notes were on Pinnacle's approved product list after passing the firm's product-level due diligence.

However, Chen maintained a secondary residence in Massachusetts where he spent approximately four months per year. Under Massachusetts's fiduciary conduct standard (effective March 2020), broker-dealers owe a fiduciary duty to Massachusetts residents, requiring them to act in the customer's 'best interest' without regard to the financial interests of the broker-dealer. Massachusetts regulators interpret this as prohibiting recommendations of proprietary products when substantially similar non-proprietary alternatives with lower costs exist.

Pinnacle's compliance department had identified that third-party structured notes with nearly identical terms were available at 1.9% annual fees. The firm's compensation grid paid Frost a 45% payout on proprietary products versus 35% on third-party alternatives. Frost selected the proprietary product without documenting why it was superior to the lower-cost alternative, relying solely on the fact that Reg BI permits such recommendations if properly disclosed.

Question

Did Diana Frost's recommendation of the proprietary structured notes comply with applicable conduct standards, and which regulatory framework should govern given Chen's dual-state residency?

Why Adversarial

Common Wrong Answer

Item 151 of 200

ANSWER:

Topic: multi_party_suitability_duty_allocation

Type: multi-party scenario (broker AND IA both involved, who owes what duty?)

Difficulty: hard

Standard: Regulation Best Interest Care Obligation (Exchange Act Section 15(l)); Advisers Act Section 206 Fiduciary Duty; SEC Fiduciary Interpretation (June 2019); FINRA Rule 2111 (Suitability)

Source: 23_International_Comparative

Fact Pattern

Margaret Chen, age 67, retired from her position as a school administrator in March 2023 with a \$485,000 403(b) account. She sought guidance from Horizon Wealth Partners, a dually-registered firm operating both a broker-dealer and an investment adviser under separate entities. Margaret initially met with Bradley Torres, a registered representative of Horizon Securities LLC (the BD), who completed a customer profile indicating she had moderate risk tolerance, needed income within 12 months, had no investment experience beyond target-date funds, and listed her investment objective as 'capital preservation with modest growth.'

Torres recommended Margaret roll her 403(b) into an IRA at Horizon Securities and purchase \$400,000 of a variable annuity with a living benefit rider. However, before executing the transaction, Torres informed Margaret that for 'ongoing portfolio management,' she would be better served by the firm's advisory side. He transferred her account documentation to Samantha Reeves, an investment adviser representative of Horizon Advisory Services LLC (the RIA), noting the annuity recommendation in the referral.

Reeves, relying on Torres's profile and recommendation notes, proceeded to implement the variable annuity purchase within a newly opened advisory IRA account, charging a 1.15% annual wrap fee on top of the annuity's 2.3% annual expenses and mortality charges. Reeves did not independently assess Margaret's risk tolerance or conduct her own suitability analysis, assuming Torres had already performed this function. The total annual cost structure exceeded 3.4%, and the annuity imposed a 7-year declining surrender charge starting at 7%.

Eighteen months later, Margaret needed to withdraw \$60,000 for unexpected medical expenses and discovered she would face a \$4,200 surrender penalty plus potential tax consequences. She complained that no one had explained the liquidity constraints given her stated need for income access.

Question

Under the applicable regulatory frameworks, how should the suitability and best interest obligations be allocated between Torres (the registered representative) and Reeves (the IAR), and which party bears primary responsibility for the unsuitable recommendation?

Why Adversarial

Common Wrong Answer

Item 152 of 200

ANSWER:

Topic: churning_suitability_temporal_rule_application

Type: temporal trap (rule changed mid-period, which version applies?)

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability) for pre-June 30, 2020 conduct; SEC Regulation Best Interest Care Obligation (Exchange Act Rule 15l-1) for post-June 30, 2020 conduct; FINRA Rule 2010 throughout

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Dalton, a 68-year-old retired schoolteacher, opened a brokerage account with Prestige Financial Advisors in January 2019 with \$285,000 in rollover IRA funds. Her account documents indicated moderate risk tolerance, income generation as her primary objective, and a 10-year investment horizon. Her annual income was \$42,000 from Social Security and a small pension, and she had limited investment experience beyond her former 403(b) plan.

From January 2019 through May 2020, her registered representative, Marcus Whitfield, executed 147 trades in her account, generating \$31,400 in commissions. The account had an annualized turnover rate of 6.2 and a cost-to-equity ratio of 18.4%. The trading concentrated heavily in speculative small-cap stocks and penny stocks, with several positions held for less than 30 days. By May 2020, the account value had declined to \$198,000.

When FINRA's Regulation Best Interest became effective on June 30, 2020, Whitfield continued similar trading patterns through December 2020, executing an additional 62 trades generating \$14,200 in commissions. The account's annualized turnover for the July-December 2020 period was 5.8 with a cost-to-equity ratio of 16.2%. By year-end 2020, the account had declined further to \$156,000.

In arbitration filed in March 2021, Mrs. Dalton alleged churning and unsuitable investment strategies throughout the entire January 2019 through December 2020 period. Whitfield's defense argued that Reg BI's heightened care obligation should not apply retroactively to any conduct, and that the pre-June 2020 suitability standard was more lenient. The firm further contended that even under the new standard, Mrs. Dalton had authorized each individual trade and never complained during the trading period.

Question

Which regulatory standard applies to evaluate the churning and suitability allegations for each time period, and does Whitfield's conduct violate the applicable standard(s)?

Why Adversarial

Common Wrong Answer

Item 153 of 200

ANSWER:

Topic: ai_generated_recommendation_suitability

Type: novel fact pattern (robo-adviser, crypto, AI-generated recommendation)

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2111.05(a)-(b) (Supplementary Material); Regulation Best Interest Care Obligation; FINRA Rule 210 (Standards of Commercial Honor)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

QuantumWealth Advisers, Inc., a dually-registered broker-dealer and investment adviser, launched an AI-powered advisory platform called 'WealthMind AI' in March 2023. The platform uses machine learning algorithms trained on historical market data and client portfolio outcomes to generate personalized investment recommendations. Patricia Holloway, age 71, a retired schoolteacher with \$340,000 in retirement savings, opened an account in April 2023. During onboarding, the platform's questionnaire collected her age, income (\$48,000 annually from pension and Social Security), investment experience (limited to mutual funds in her 403(b)), and risk tolerance (which she indicated as 'conservative'). The AI system also analyzed her social media activity and purchasing patterns through a third-party data aggregator, concluding she had 'hidden risk capacity' based on her recent travel spending and subscription to a financial podcast.

Based on this combined analysis, WealthMind AI generated a recommendation to allocate 35% of Patricia's portfolio to a leveraged ETF tracking semiconductor stocks, 25% to a volatile small-cap growth fund, and 15% to cryptocurrency exposure through a digital asset trust. The AI's rationale, displayed to Patricia in a summary screen, stated: 'Our proprietary behavioral analysis indicates your actual risk tolerance exceeds your self-reported level. This allocation optimizes for wealth accumulation given your underutilized risk capacity.'

Patricia approved the recommendations, relying on the platform's sophisticated appearance and the assurance that 'AI-optimized portfolios outperform traditional advice.' No human adviser reviewed the recommendations before execution. By November 2023, Patricia's portfolio had declined by \$127,000 (37%) due to semiconductor sector volatility and cryptocurrency market declines. QuantumWealth's compliance department defended the recommendations, arguing that the AI system documented its rationale, Patricia approved the trades, and the firm's disclosure documents noted that AI-generated advice may differ from traditional suitability assessments.

Question

Did QuantumWealth Advisers violate its suitability and best interest obligations by allowing the AI platform to override Patricia's self-reported conservative risk tolerance based on behavioral data analysis, even though the customer approved the recommended trades?

Why Adversarial

Common Wrong Answer

Item 154 of 200

ANSWER:

Topic: reg_bi_care_obligation_threshold_analysis

Type: precise threshold (does this just barely meet or miss the standard?)

Difficulty: hard

Standard: Reg BI Rule 15l-1(a)(2)(ii) Care Obligation; SEC Reg BI Adopting Release guidance on rollover recommendations; FINRA Rule 2111 Suitability (reasonable-basis and customer-specific)

Source: 04_RegBI_Compliance_Guidance

Fact Pattern

Margaret Holloway, age 67, retired from her position as an office manager in March 2024. She had accumulated \$412,000 in her employer's 401(k) plan invested entirely in a target-date 2025 fund. Her only other assets were \$28,000 in a savings account and her home (paid off, valued at \$285,000). She received \$2,100 monthly in Social Security and had no pension. Her investment objective on her new account form was marked as 'moderate growth with income' and her risk tolerance was listed as 'moderate.' She indicated a 15-year time horizon and stated her primary goal was supplementing retirement income.

Brian Kessler, a registered representative at Midland Securities Partners, LLC, recommended Margaret roll her 401(k) into an IRA at his firm and invest the proceeds as follows: 60% in a diversified equity mutual fund with a 1.15% expense ratio, 30% in a corporate bond fund with a 0.85% expense ratio, and 10% in a money market fund. The equity fund had a 5-year annualized return of 9.2% with standard deviation of 14.8%. The existing target-date 2025 fund had a 0.12% expense ratio, 5-year return of 6.1%, and standard deviation of 8.9%.

Kessler documented that the rollover would provide Margaret access to a broader range of investment options and consolidated account management. He did not document any quantitative comparison of the cost differential over Margaret's stated time horizon, nor did he analyze the income-generation characteristics of the recommended portfolio versus the target-date fund's glide path. Kessler received a \$4,120 commission on the rollover transaction. Margaret's account paperwork included her signature acknowledging receipt of a rollover disclosure document listing potential benefits and costs of rollovers generally.

Question

Did Brian Kessler satisfy Regulation Best Interest's Care Obligation when recommending the 401(k) rollover and subsequent investment allocation to Margaret Holloway?

Why Adversarial

Common Wrong Answer

Item 155 of 200

ANSWER:

Topic: dual_registration_excessive_trading_best_interest

Type: multi-party scenario (broker AND IA both involved, who owes what duty?)

Difficulty: hard

Standard: Regulation BI Rule 15l-1(a)(1) and Care Obligation Rule 15l-1(a)(2)(ii); Investment Advisers Act fiduciary duty; FINRA Rule 3260(b); FINRA Rule 2010

Source: 04_RegBI_Compliance_Guidance

Fact Pattern

Margaret Chen, age 67, is a retired schoolteacher with \$485,000 in retirement savings. In March 2022, she opened accounts at Pinnacle Financial Partners, a firm where Jason Reeves is dually registered as both a broker-dealer representative (through Pinnacle Securities LLC) and an investment adviser representative (through Pinnacle Advisory Services, an SEC-registered investment adviser). Margaret signed agreements for both a fee-based advisory account and a commission-based brokerage account.

Reeves placed Margaret's \$300,000 IRA into the advisory account under a 1.2% annual wrap fee, where he recommended a diversified portfolio of low-cost ETFs aligned with her moderate risk tolerance and income-generation objectives. However, he directed her remaining \$185,000 in non-retirement assets to the brokerage account, telling Margaret this arrangement would be 'more tax-efficient' for her shorter-term needs.

Between March 2022 and November 2023, Reeves executed 247 transactions in Margaret's brokerage account, generating \$43,200 in commissions. The account exhibited a turnover rate of 9.4 and a cost-to-equity ratio of 28.6%. Meanwhile, the advisory account remained relatively stable with appropriate rebalancing. Margaret never provided written discretionary authority for either account, though Reeves routinely executed trades in both without prior consultation, telling her he was 'managing everything together as her overall financial picture.'

When Margaret questioned her brokerage account's poor performance (a 22% loss versus the advisory account's 6% gain), Reeves explained that the brokerage trades were 'tactical moves' to capture short-term opportunities. Margaret's investment profile documented a moderate risk tolerance, 10-year time horizon, and primary objective of capital preservation with income. She had no prior securities experience before working with Reeves.

Question

Under what standards should Reeves' conduct be evaluated for each account, and which specific obligations did he violate given his dual registration status and the differing account structures?

Why Adversarial

Common Wrong Answer

Item 156 of 200

ANSWER:

Topic: multi_party_suitability_and_best_interest_duty_allocation

Type: multi-party scenario (broker AND IA both involved, who owes what duty?)

Difficulty: hard

Standard: SEC Regulation Best Interest (Care Obligation); FINRA Rule 2111 (Suitability); Investment Advisers Act Section 206 (Fiduciary Duty); FINRA Rule 2010 (Standards of Commercial Honor)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Thornton, age 67, retired in March 2022 with a \$1.4 million 401(k) from her employer, Midwest Manufacturing. She had moderate risk tolerance, a 15-year investment horizon, and needed approximately \$4,200 monthly to supplement Social Security. Margaret engaged Clearview Wealth Partners, a dually-registered firm operating as both a broker-dealer and a registered investment adviser. She signed both a brokerage agreement and an investment advisory agreement covering different accounts.

In April 2022, Margaret met with Derek Simmons, who held both a Series 7 registration and was also an investment adviser representative of Clearview's RIA. During the meeting, Simmons recommended Margaret roll her 401(k) into a new IRA at Clearview. For \$900,000 of the rollover proceeds, Simmons recommended a fee-based advisory account where he would provide ongoing discretionary management charging 1.25% annually. For the remaining \$500,000, he recommended a commission-based brokerage account to purchase a variable annuity with a 7-year surrender schedule, 6.5% upfront commission, and guaranteed lifetime withdrawal benefit rider.

Simmons presented both recommendations in a single meeting, using one consolidated proposal document titled 'Clearview Retirement Income Strategy.' The proposal emphasized the annuity's income guarantees but did not compare the total costs of keeping assets in Margaret's low-cost 401(k) versus the proposed structure. The 401(k) had institutional share class funds averaging 0.08% expense ratios.

By September 2023, Margaret realized she was paying approximately \$18,500 annually in combined advisory fees, annuity mortality and expense charges, and rider fees--compared to approximately \$1,120 she had paid in her 401(k). She filed a FINRA arbitration claim alleging the rollover recommendation was unsuitable and not in her best interest, naming both Clearview Wealth Partners (as broker-dealer and RIA) and Derek Simmons individually.

Question

Under what legal standards should each component of Simmons' recommendation be evaluated, and which entity--the broker-dealer or the RIA--bears primary responsibility for the suitability and best interest analysis of the IRA rollover and subsequent investment recommendations?

Why Adversarial

Common Wrong Answer

Item 157 of 200

ANSWER:

Topic: retirement_planning_suitability_financial_literacy_assessment

Type: precise threshold (does this just barely meet or miss the standard?)

Difficulty: hard

Standard: Reg BI Care Obligation (Exchange Act Rule 15l-1(a)(2)(ii)); SEC Reg BI Adopting Release discussion of investment profile factors including customer sophistication and ability to understand complex products; FINRA guidance on variable annuity suitability

Source: 10_Academic_Articles

Fact Pattern

Margaret Hendricks, age 62, visited Cornerstone Financial Advisors in March 2023 seeking guidance on her retirement planning. During the initial meeting, registered representative Daniel Foster administered an informal assessment that revealed Margaret had significant difficulty with basic financial concepts--she could not correctly answer questions about compound interest, inflation's effect on purchasing power, or risk diversification. Margaret disclosed she had worked as an administrative assistant for 34 years, had \$187,000 in a 401(k), received Social Security estimates of \$1,890 monthly at age 66, and had no other savings. Her stated risk tolerance was 'moderate' and she indicated a goal of retiring at age 65.

Foster recommended Margaret roll her 401(k) into a newly opened IRA at Cornerstone, then invest 70% of the proceeds (\$130,900) into a variable annuity with a lifetime income rider carrying a 2.3% annual expense ratio and 7-year surrender period with 7% declining surrender charges. He explained this would 'guarantee' income in retirement. Foster documented that Margaret verbally confirmed understanding of the product features during a 25-minute presentation using the annuity company's standard brochure. His suitability documentation noted her 'moderate' risk tolerance and desire for retirement income.

Margaret's 401(k) had been invested in a target-date 2030 fund with a 0.12% expense ratio and no surrender charges. Foster did not document any analysis comparing the costs, liquidity restrictions, or projected outcomes between retaining the 401(k) versus the variable annuity recommendation. He also did not document whether Margaret's demonstrated lack of financial literacy affected her capacity to understand the complex annuity structure. The annuity prospectus, which Margaret signed acknowledging receipt, contained 187 pages detailing subaccount options, fee structures, and benefit calculations.

Question

Under Reg BI's Care Obligation, did Foster meet the standard by obtaining Margaret's verbal confirmation of understanding and documenting her stated risk tolerance, despite her demonstrated financial illiteracy and absence of a comparative cost analysis?

Why Adversarial

Common Wrong Answer

Item 158 of 200

ANSWER:

Topic: reg_bi_care_obligation_threshold_analysis

Type: precise threshold (does this just barely meet or miss the standard?)

Difficulty: hard

Standard: Regulation Best Interest (Exchange Act Rule 15l-1), specifically the Care Obligation component requiring reasonable basis to believe recommendation is in customer's best interest based on investment profile; FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Holloway, age 67, retired from her position as an elementary school principal in March 2024 with a \$485,000 rollover IRA representing her entire retirement savings. She visited Clearwater Financial Advisors seeking conservative growth to supplement her \$2,100 monthly pension and \$1,950 Social Security benefit. Her client profile documented a 'moderate' risk tolerance (3 out of 5 on the firm's scale), a 15-year investment horizon, annual income of \$48,600, liquid net worth of \$52,000 outside the IRA, and investment objective listed as 'growth with income.'

Her assigned broker, Daniel Reeves, recommended allocating 62% of the IRA to a diversified portfolio of large-cap dividend stocks and investment-grade bonds. For the remaining 38% (\$184,300), he recommended the Apex Emerging Markets Enhanced Return Fund, a leveraged ETF that uses 1.5x daily leverage to amplify returns from emerging market equities. Reeves documented that this allocation would 'provide enhanced growth potential to ensure the portfolio keeps pace with inflation over Mrs. Holloway's projected 20+ year retirement.' The recommendation letter noted the client had previously held a small position in an international mutual fund in her 403(b).

Reeves conducted the required Reg BI care analysis, documenting that: (1) he considered five alternative emerging market products before selecting Apex; (2) the 38% allocation was below the firm's 40% threshold requiring supervisory pre-approval for alternative products; (3) Mrs. Holloway's 'moderate' risk tolerance could accommodate some volatility; and (4) her 15-year horizon provided time to recover from short-term losses. The compliance department approved the recommendation based on Reeves' documented analysis. Within eight months, the Apex fund declined 47% due to emerging market volatility amplified by the leverage, reducing Mrs. Holloway's IRA to approximately \$398,000.

Question

Did Daniel Reeves satisfy the Reg BI Care Obligation when recommending that Mrs. Holloway allocate 38% of her retirement IRA to the leveraged emerging markets ETF, given his documented consideration of alternatives and the allocation falling below the firm's 40% supervisory threshold?

Why Adversarial

Common Wrong Answer

Item 159 of 200

ANSWER:

Topic: complex_product_suitability_temporal_standard

Type: temporal trap (rule changed mid-period, which version applies?)

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2111.05(a)-(c); Regulation Best Interest effective date June 30, 2020; Exchange Act Section 15(l)

Source: 15_FINRA_Regulatory_Notices

Fact Pattern

Margaret Chen, age 67, retired from her teaching position in March 2020 with \$485,000 in her 403(b) account. She met with registered representative Daniel Vickers at Ridgemont Securities LLC on May 15, 2020, to discuss rolling over her retirement assets into an IRA. Margaret stated her objectives were capital preservation and modest income generation to supplement her pension, with a moderate risk tolerance and a 15-year investment horizon.

During the meeting, Vickers recommended allocating \$145,000 (approximately 30% of her portfolio) to the ProShares Ultra VIX Short-Term Futures ETF, a leveraged volatility product designed to provide 1.5x daily exposure to short-term VIX futures. Vickers explained that given the market uncertainty during the pandemic, this product would provide 'excellent downside protection' and was 'perfect for retirees worried about crashes.' Margaret signed the account paperwork and the trades were executed on May 22, 2020.

On June 30, 2020, Regulation Best Interest became fully effective for broker-dealers. By August 2020, Margaret's leveraged VIX position had declined by 62% due to contango decay and the product's daily reset mechanism--factors Vickers never explained. When Margaret complained in October 2020, Ridgemont's compliance department conducted a review. The firm argued that since the recommendation occurred in May 2020, only the pre-existing FINRA Rule 2111 suitability standard applied, and under that standard, the firm believed adequate documentation existed.

Margaret filed a complaint alleging the recommendation was unsuitable regardless of which standard applied, while Ridgemont maintained that retrospective application of Reg BI would be improper and that the recommendation met the less stringent suitability standard in effect at the time of the recommendation.

Question

Which regulatory standard governs the suitability analysis for Vickers' May 2020 recommendation, and was the recommendation compliant under that standard given Margaret's investor profile and the characteristics of the leveraged volatility ETF?

Why Adversarial

Common Wrong Answer

Item 160 of 200

ANSWER:

Topic: retirement_income_suitability_dual_registration_duties

Type: multi-party scenario (broker AND IA both involved, who owes what duty?)

Difficulty: hard

Standard: FCA Consumer Duty (PRIN 2A); FCA COBS 9 Suitability Requirements; FCA Retirement Income Advice Thematic Review (March 2024); PRIN 12 Cross-cutting Rules

Source: 23_International_Comparative

Fact Pattern

Margaret Thornton, age 67, retired from her position as a hospital administrator in February 2024 with a £485,000 defined benefit pension transfer value. She approached Meridian Financial Partners, a firm dual-registered as both a broker-dealer and investment adviser. Margaret was assigned to James Whitfield, who holds both Series 7 and Series 66 licenses. During the initial consultation on March 15, 2024, Margaret expressed that she wanted 'steady income to supplement her state pension' and had 'no tolerance for losing her retirement savings.' Her investment experience questionnaire indicated she had only held cash ISAs and a workplace pension throughout her career.

Whitfield initially engaged with Margaret in his capacity as an investment adviser, conducting a suitability assessment and drafting a financial plan recommending she transfer out of her DB pension. The plan projected annual income of £24,000 using a 5% withdrawal rate from a portfolio allocated 70% to equity funds and 30% to fixed income. However, when executing the recommendation, Whitfield placed the trades through the broker-dealer side of Meridian, earning £12,150 in upfront commissions on proprietary structured products with 7-year surrender periods and embedded equity-linked returns.

The client agreement Margaret signed contained a single paragraph stating that Meridian 'may act in either a brokerage or advisory capacity depending on the services provided' but did not specify which capacity applied to the pension transfer advice. Six months later, in September 2024, the equity markets declined 18%, and Margaret's portfolio fell to £397,000. She complained that the recommendation was unsuitable given her stated objectives and risk tolerance, and that she was unclear whether she had received advice subject to a fiduciary standard or merely a suitability obligation.

Meridian's compliance department argued that because the trades were executed through the broker-dealer, only the suitability standard applied, and that the recommendation met that standard because long-term equity exposure is appropriate for retirement income portfolios with multi-decade time horizons.

Question

Under the applicable conduct standards, which duty--fiduciary or suitability--governed Whitfield's pension transfer recommendation, and did his advice violate that standard given Margaret's stated objectives and risk profile?

Why Adversarial

Common Wrong Answer

Item 161 of 200

ANSWER:

Topic: suitability_senior_investor_diminished_capacity

Type: precise threshold (does this just barely meet or miss the standard?)

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability), FINRA Rule 2330 (Variable Annuity Suitability), FINRA Rule 4512 (Trusted Contact Person), proposed FINRA Rule 2165 (Financial Exploitation of Specified Adults)

Source: 15_FINRA_Regulatory_Notices

Fact Pattern

Margaret Thornton, age 79, has been a client of Ridgeway Financial Services for twelve years. Her registered representative, David Chen, has managed her \$485,000 retirement portfolio consisting primarily of dividend-paying blue-chip stocks and investment-grade bonds. In March 2024, Margaret's designated trusted contact person, her nephew James Thornton, called David to express concern that Margaret had been making unusual requests and seemed confused during recent family visits. James mentioned Margaret had been asking him repeatedly about 'guaranteed income for life' products she'd seen advertised.

Two weeks later, Margaret came to David's office alone and requested to liquidate \$340,000 of her portfolio to purchase a variable annuity with a guaranteed minimum income benefit rider. The product had a 7-year surrender period with declining surrender charges starting at 7%, annual fees totaling 2.85%, and required sub-account allocation into equity funds. Margaret stated she wanted 'guaranteed income that would never run out' and seemed to understand the basic concept when David explained the product. However, Margaret asked the same clarifying questions three separate times during the 45-minute meeting and could not recall the surrender period length when asked at the conclusion.

David documented that Margaret appeared oriented and signed all required documents correctly. He noted her investment objective as 'income with growth potential' and her risk tolerance as 'moderate,' consistent with her existing profile. David did not contact James or place any hold on the transaction, reasoning that Margaret had not been formally diagnosed with any cognitive impairment and had always made her own financial decisions. The annuity was processed three business days after the meeting. Margaret's existing portfolio had been generating approximately \$19,400 annually in dividends and interest income, while the annuity's guaranteed withdrawal benefit would provide \$17,000 annually beginning at age 80.

Question

Did David Chen meet his suitability and care obligations under FINRA Rules 2111 and 2330 when processing Margaret's variable annuity purchase, given her age, the observable signs during the meeting, the trusted contact notification, and the comparative income analysis?

Why Adversarial

Common Wrong Answer

Item 162 of 200

ANSWER:

Topic: suitability_inherited_securities_fee_based_account

Type: precise threshold (does this just barely meet or miss the standard?)

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); Regulation Best Interest Care Obligation (Exchange Act Rule 15l-1); FINRA Rule 2010 (Standards of Commercial Honor)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Thornton, age 72, inherited approximately \$1.4 million in concentrated stock positions from her late husband in March 2023. The holdings consisted of 8,500 shares of a Fortune 500 technology company representing roughly 89% of the inherited portfolio value. Mrs. Thornton had no prior investment experience, having relied entirely on her husband for financial matters. Her only income was Social Security of \$2,100 monthly, and she had modest savings of \$45,000 in a bank account. She stated her primary objectives were capital preservation and generating income to supplement her fixed income.

Her new financial adviser, Derek Simmons at Cornerstone Wealth Partners, recommended transferring the inherited brokerage account into a fee-based advisory account charging 1.25% annually on assets under management. Simmons argued that the fee-based structure would provide 'comprehensive ongoing monitoring' of the concentrated position and 'professional oversight' of the portfolio. During the six months following the transfer, Simmons made no trades in the account, provided quarterly performance reports generated automatically by the firm's system, and held one 15-minute phone call with Mrs. Thornton in July 2023.

The concentrated technology stock declined 23% during this period. Mrs. Thornton was charged approximately \$16,450 in advisory fees during the first year. When questioned by the firm's compliance department during a routine review, Simmons maintained that holding the inherited position was appropriate because selling would trigger substantial capital gains taxes, and that his 'watchful waiting' strategy constituted suitable ongoing advice for a conservative elderly client. He noted that Mrs. Thornton never complained about the fees and signed the advisory agreement voluntarily.

Mrs. Thornton's account documentation showed her risk tolerance marked as 'conservative' and investment time horizon as '5-7 years.' The firm's policies required annual suitability reviews for clients over 65, which Simmons completed by checking a box indicating 'no changes recommended' without any documented analysis.

Question

Did Simmons' recommendation to place Mrs. Thornton's inherited concentrated stock position in a fee-based advisory account meet the applicable suitability and best interest standards, given his subsequent minimal activity and the client's documented conservative profile?

Why Adversarial

Common Wrong Answer

Item 163 of 200

ANSWER:

Topic: multi_party_suitability_obligations_broker_and_ia

Type: multi-party scenario (broker AND IA both involved, who owes what duty?)

Difficulty: hard

Standard: Regulation Best Interest (Care Obligation for rollovers); Investment Advisers Act of 1940 fiduciary duty; FINRA Rules 2111, 2310, 2010; FINRA Rule 3110 (Supervision)

Source: 21_FINRA_OHO_Decisions

Fact Pattern

Margaret Thornton, age 67, retired in March 2022 with a \$1.2 million 401(k) accumulated over 35 years at a manufacturing company. She had modest investment experience limited to target-date funds and sought advice for her retirement transition. In April 2022, she engaged Paramount Advisory Partners, LLC, a dually-registered investment adviser and broker-dealer, to help manage her retirement assets.

Margaret met first with David Kessler, a registered representative operating under Paramount's broker-dealer, who recommended she roll over her 401(k) to an IRA. Kessler told her this would give her 'more investment options and personalized attention.' The rollover was processed in May 2022. Kessler received a 1% commission (\$12,000) on the rollover transaction.

Immediately after the rollover, Margaret was transitioned to work with Patricia Huang, an investment adviser representative at Paramount's advisory division, who began managing the IRA under a 1.25% annual wrap fee arrangement. Huang, without conducting an independent suitability analysis beyond reviewing Kessler's initial paperwork, allocated 40% of Margaret's portfolio (\$480,000) to a proprietary structured note product issued by Paramount's affiliate. This product had a 7-year lockup period, 15% downside exposure to an emerging markets index, and paid Paramount an additional 2% placement fee.

Margaret's documented investment profile indicated a conservative risk tolerance, a 10-year investment horizon, need for income starting in 2024, and moderate liquidity needs for potential healthcare expenses. Her annual income in retirement was projected at \$42,000 from Social Security and a small pension. Six months later, the structured note declined 22% in value, and Margaret discovered she could not liquidate the position to cover unexpected medical bills totaling \$85,000.

Question

Analyze the distinct suitability and best interest obligations owed by Kessler (as broker) and Huang (as investment adviser representative), and determine which party or parties violated applicable standards in connection with Margaret's retirement account.

Why Adversarial

Common Wrong Answer

Item 164 of 200

ANSWER:

Topic: customer_classification_suitability_standard_determination

Type: edge case customer profile (institutional? retail? which standard applies?)

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 4512(c) (Institutional Account Definition); FINRA Rule 2010 (Just and Equitable Principles of Trade)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Thornridge Capital Partners is a small family office managing \$18 million in assets for the extended Morrison family. The entity was formed as an LLC in Delaware in 2019 and is managed by Eleanor Morrison, age 67, who previously worked as a hospital administrator with no securities industry experience. Thornridge has four beneficial owners (Eleanor and her three adult children), employs no dedicated investment professionals, and relies entirely on external advisers for investment decisions.

In March 2024, registered representative Derek Huang at Coastal Prime Securities recommended that Thornridge allocate \$4.2 million (approximately 23% of total assets) to a portfolio of leveraged and inverse exchange-traded products tracking various commodity indices. These products included 3x leveraged crude oil ETFs, -2x inverse natural gas ETFs, and a 2x leveraged agricultural commodities fund. Huang's rationale, documented in his recommendation memo, was that Thornridge qualified as an 'institutional account' under FINRA rules due to its \$18 million in assets, and therefore the standard suitability analysis applicable to retail customers was unnecessary.

Huang provided Thornridge with product prospectuses and a one-page summary of leveraged ETF mechanics but conducted no analysis of whether the Morrison family's investment objectives, time horizon, or risk tolerance were consistent with daily-resetting leveraged products. Eleanor Morrison signed an institutional customer acknowledgment form provided by Coastal Prime. Within eight months, the leveraged commodity positions had declined by \$2.8 million due to volatility decay and adverse market movements. Eleanor Morrison filed a FINRA arbitration claim alleging that the recommendation was unsuitable and that Coastal Prime failed to conduct adequate due diligence on the family office's actual sophistication and investment profile.

Question

Did Thornridge Capital Partners properly qualify as an institutional account exempt from standard suitability obligations, and was Derek Huang's recommendation of leveraged commodity ETFs appropriate under the applicable regulatory standard?

Why Adversarial

Common Wrong Answer

Item 165 of 200

ANSWER:

Topic: dual_registration_best_interest_and_fiduciary_duty_allocation

Type: multi-party scenario (broker AND IA both involved, who owes what duty?)

Difficulty: hard

Standard: Exchange Act Rule 15l-1(a)(1) Regulation Best Interest; Rule 15l-1(a)(2)(ii) Care Obligation; FINRA Rules 3110(a) and 2010

Source: 04_RegBI_Compliance_Guidance

Fact Pattern

Margaret Donaldson, age 68, is a recently widowed retiree with \$1.2 million in total investable assets. She has a conservative risk tolerance, needs income to supplement her \$24,000 annual Social Security benefit, and has limited investment experience beyond certificates of deposit. Her investment time horizon is 15-20 years, and she has moderate liquidity needs for potential healthcare expenses.

In September 2023, Margaret consulted with Bradley Chen, who is dually registered as a broker-dealer representative with Horizon Securities LLC and as an investment adviser representative with Horizon Wealth Advisors, a separately registered investment adviser under common ownership. During their initial meeting, Chen recommended that Margaret split her assets: \$700,000 would go into a fee-based advisory account at Horizon Wealth Advisors, while \$500,000 would be used to purchase GWG L Bonds through her brokerage account at Horizon Securities LLC.

Chen explained that the GWG L Bonds, which are illiquid alternative investments backed by life insurance policies, offered attractive yields of 8.5% that would address Margaret's income needs. He did not discuss that GWG Holdings had filed for bankruptcy in April 2022 or that these bonds were high-risk, speculative instruments. The L Bond purchase represented 41.7% of Margaret's total portfolio. Chen's recommendation was processed through the brokerage platform, where he earned a 6% commission totaling \$30,000.

Horizon Securities' written supervisory procedures for Reg BI compliance were limited to a general statement that representatives should 'consider customer profiles when making recommendations.' The firm's principal approved the transaction after a cursory review that focused primarily on whether the customer met the minimum net worth requirements for the product.

Question

Which regulatory standards apply to Chen's recommendation of the GWG L Bonds, what duties were owed, and did Chen and the supervising firm satisfy their respective obligations?

Why Adversarial

Common Wrong Answer

Item 166 of 200

ANSWER:

Topic: reg_bi_vs_state_fiduciary_best_interest_conflict

Type: rule conflict (Reg BI vs. state fiduciary standard disagree)

Difficulty: hard

Standard: Reg BI Care Obligation; Investment Advisers Act Section 206; Massachusetts Fiduciary Conduct Standard (950 CMR 12.207); SEC v. Capital Gains Research Bureau fiduciary principles

Source: 09_Law_Firm_Memos

Fact Pattern

Marcus Whitfield, a registered representative with Coastal Wealth Advisors, a dual-registrant broker-dealer based in Massachusetts, recommended in March 2024 that his client Eleanor Chen, age 58, roll over her \$485,000 employer 401(k) into a variable annuity with a 7-year surrender period. Eleanor is a middle school teacher earning \$72,000 annually with plans to retire at 62. She has moderate risk tolerance and expressed concerns about market volatility affecting her retirement. The variable annuity carried total annual fees of 2.85% and offered a guaranteed minimum income benefit rider for an additional 1.1% annually.

Marcus conducted a thorough Reg BI process: he documented Eleanor's investment profile, compared three annuity products, selected the one with the lowest overall cost among those offering income guarantees, and provided full disclosure of fees and surrender charges. His firm's compliance department approved the recommendation under Reg BI's Care Obligation framework, finding that the product reasonably addressed Eleanor's stated volatility concerns and retirement income needs.

However, Massachusetts had enacted its own fiduciary standard effective January 2024, which requires broker-dealers to act as fiduciaries when providing retirement account advice and mandates that recommendations must be 'solely in the client's interest' rather than merely in the client's 'best interest.' Under the Massachusetts standard, advisers must also consider whether rollover recommendations provide sufficient benefits to justify the increased costs compared to leaving assets in the employer plan, which charged 0.45% in total fees.

Eleanor's employer plan offered a stable value fund yielding 4.2% with no surrender restrictions, target-date funds, and a self-directed brokerage window. Marcus's documentation noted the employer plan options but concluded the guaranteed income rider justified the higher costs because Eleanor 'expressed anxiety about market conditions.' Six months later, Eleanor filed a complaint alleging the recommendation violated Massachusetts fiduciary standards.

Question

Did Marcus's variable annuity recommendation satisfy his regulatory obligations, and how should the conflict between federal Reg BI compliance and the Massachusetts state fiduciary standard be analyzed?

Why Adversarial

Common Wrong Answer

Item 167 of 200

ANSWER:

Topic: reg_bi_vs_state_fiduciary_annuity_recommendation

Type: rule conflict (Reg BI vs. state fiduciary standard disagree)

Difficulty: hard

Standard: SEC Regulation Best Interest Rule 15l-1(a)(2)(ii) Care Obligation; New York Insurance Regulation 187 (11 NYCRR 224); FINRA Rule 2111 Suitability; FINRA Rule 2010 Standards of Commercial Honor

Source: 03_FINRA_AWC

Fact Pattern

Marcus Chen, a registered representative with Meridian Securities LLC, serves clients in both New York and New Jersey from his Newark office. In March 2024, he met with Dorothy Hanson, a 68-year-old New York resident who had just received a \$425,000 inheritance. Mrs. Hanson expressed concern about outliving her savings and wanted guaranteed income, but also mentioned she might need access to approximately \$100,000 within the next three years to help her daughter purchase a home. Her total liquid assets after the inheritance were \$580,000, with annual Social Security income of \$28,000 and a small pension of \$12,000. She had no investment experience beyond CDs and savings accounts, and her risk tolerance questionnaire indicated she was 'conservative.'

Chen recommended that Mrs. Hanson invest \$400,000 in the Apex Strategic Income Variable Annuity, which featured a guaranteed lifetime withdrawal benefit rider, a 7-year surrender period with declining charges starting at 8%, and annual fees totaling 3.2% including the rider. The product paid Chen a 6% commission (\$24,000). Chen documented that the annuity met Reg BI's Care Obligation because the guaranteed income feature addressed her stated primary concern about longevity risk, and he considered three other annuity products before selecting this one as having the best income guarantees.

Meridian Securities is a broker-dealer only and does not provide advisory services. Chen holds Series 6 and 63 licenses but is not an investment adviser representative. New York's Regulation 187, which applies to annuity sales to New York residents, requires that recommendations be in the consumer's 'best interest' under a standard that explicitly includes consideration of the consumer's 'financial situation and needs, including the consumer's suitability information.' New York's standard also requires producers to have a reasonable basis to believe the consumer has been informed of various features, including surrender periods and charges, and that the recommendation is suitable after considering 'reasonably available alternatives.'

Question

Did Marcus Chen's recommendation of the Apex Strategic Income Variable Annuity to Dorothy Hanson satisfy both the SEC's Regulation Best Interest Care Obligation and New York's Regulation 187 best interest standard, and if the standards conflict, which governs this transaction?

Why Adversarial

Common Wrong Answer

Item 168 of 200

ANSWER:

Topic: suitability_concentration_threshold_adversarial

Type: precise threshold (does this just barely meet or miss the standard?)

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability), FINRA Rule 2010 (Standards of Commercial Honor), FINRA Rule 3110 (Supervision)

Source: 03_FINRA_AWC

Fact Pattern

Margaret Holloway, age 67, retired from her position as a hospital administrator in March 2023 with a liquid net worth of \$840,000, consisting primarily of her 401(k) rollover. Her stated investment objective was 'income with moderate growth' and her risk tolerance on her new account form at Pinnacle Securities was marked as 'moderate.' She indicated a 15-year investment time horizon and listed her annual income as \$38,000 from Social Security and a small pension.

Her registered representative, David Chen (CRD# 4521876), recommended she invest \$420,000--exactly 50% of her liquid net worth--into a single non-traded REIT focused on senior housing facilities. Chen documented that the investment was suitable because: (1) REITs provide income consistent with her objectives, (2) senior housing is a 'defensive' sector given demographic trends, (3) the 15-year horizon exceeds the REIT's 7-year anticipated liquidity event, and (4) the 50% allocation leaves adequate funds for other needs.

Pinnacle Securities' written supervisory procedures stated that single-security concentrations 'generally should not exceed 25% of liquid net worth for moderate-risk investors' but noted that 'exceptions may be approved where documented rationale supports the deviation.' Chen's supervisor, noting the written rationale, approved the transaction without requiring any modification to the concentration level.

Six months later, Margaret needed \$60,000 for unexpected medical expenses but discovered she could not access her REIT investment without substantial early redemption penalties. She filed a complaint alleging the recommendation was unsuitable given her age, income needs, and the concentration in a single illiquid security.

Question

Did David Chen's recommendation of a 50% concentration in a single non-traded REIT satisfy FINRA Rule 2111 suitability requirements, given that his firm's WSPs permitted documented exceptions to the 25% concentration guideline and he provided written rationale for the deviation?

Why Adversarial

Common Wrong Answer

Item 169 of 200

ANSWER:

Topic: robo_adviser_ai_recommendation_suitability

Type: novel fact pattern (robo-adviser, crypto, AI-generated recommendation)

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); SEC Regulation Best Interest Care Obligation; FINRA Rule 2010 (Standards of Commercial Honor)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

NexGen Wealth Technologies LLC operates a hybrid robo-adviser platform called 'SmartPath Pro' that combines algorithmic portfolio construction with periodic human adviser oversight. In March 2024, Eleanor Hutchins, a 71-year-old retired school administrator, opened an account with \$385,000 representing her entire retirement savings. During onboarding, the digital questionnaire asked Eleanor to rate her risk tolerance on a 1-10 scale; she selected '4' (moderate-conservative). The questionnaire also asked about her investment timeline, and she indicated '10+ years' because she hoped to leave assets to her grandchildren, though she noted in a free-text field that she 'needs steady income to supplement Social Security' and that this money 'has to last through my lifetime.'

SmartPath Pro's algorithm processed Eleanor's inputs and generated a portfolio allocation of 65% equities (including 8% in a leveraged semiconductor ETF and 12% in emerging market growth funds), 20% fixed income, and 15% in a tokenized real estate investment product that the platform had recently added. The algorithm weighted her '10+ years' response heavily while treating her income needs comment as secondary metadata that didn't adjust the core risk parameters. The platform's disclosure stated that 'AI-generated recommendations are reviewed by a licensed adviser within 5 business days of account funding.'

James Corrigan, the assigned human adviser at NexGen, received an automated alert about Eleanor's account on March 18, 2024. The alert summary showed her age, account size, and the '10+ years' horizon but did not display her free-text comment about income needs. Corrigan approved the portfolio without contacting Eleanor directly, noting in the system that the allocation 'appears consistent with stated risk tolerance and timeline.' By September 2024, Eleanor's portfolio had declined 22% due to semiconductor sector volatility and illiquidity in the tokenized real estate product. She filed a complaint alleging the recommendations were unsuitable given her actual circumstances.

Question

Did NexGen Wealth Technologies and James Corrigan satisfy their suitability and best interest obligations under applicable standards, given that Eleanor's stated timeline was '10+ years' but her actual need was retirement income, and the human oversight process did not surface her written income dependency comment?

Why Adversarial

Common Wrong Answer

Item 170 of 200

ANSWER:

Topic: ai_robo_adviser_suitability_crypto_allocation

Type: novel fact pattern (robo-adviser, crypto, AI-generated recommendation)

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); Regulation Best Interest Care Obligation; FINRA Rule 2010 (Standards of Commercial Honor); SEC guidance on robo-advisers

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

NexGen Wealth Advisers, LLC operates a hybrid advisory platform called 'SmartPath Pro' that combines algorithmic portfolio construction with access to human advisers upon request. In March 2023, Patricia Delgado, age 67, opened an account with \$847,000--representing her entire retirement savings from a recent 401(k) rollover. During onboarding, the platform's AI-driven questionnaire assessed her risk tolerance through 12 questions, resulting in a 'Moderate-Conservative' profile with a stated investment horizon of 15 years and income needs beginning in 18 months.

The SmartPath Pro algorithm, which NexGen markets as using 'cutting-edge machine learning to optimize returns,' automatically allocated 18% of Mrs. Delgado's portfolio to the 'NexGen Digital Assets Fund'--a proprietary fund holding Bitcoin, Ethereum, and various altcoins. The algorithm's allocation model had been trained on data from 2017-2021, a period of exceptional cryptocurrency returns, and weighted recent performance heavily in its optimization function. NexGen's disclosure stated that 'AI-generated recommendations are reviewed by our investment committee quarterly.'

Mrs. Delgado never specifically requested cryptocurrency exposure. The onboarding questionnaire included one question asking whether she was 'open to innovative investment strategies,' to which she answered 'somewhat agree' on a five-point scale. No follow-up questions specifically addressed cryptocurrency, digital assets, or her understanding of blockchain technology. The platform did display a brief risk disclosure about the Digital Assets Fund before executing the allocation, requiring her to click 'I acknowledge' to proceed.

By November 2023, the Digital Assets Fund had declined 52%, resulting in losses of approximately \$79,000 to Mrs. Delgado's portfolio. She filed a FINRA arbitration claim alleging that the AI-generated recommendation was unsuitable given her age, risk profile, income needs, and lack of understanding of cryptocurrency investments. NexGen defended by arguing that the algorithm properly incorporated her stated 15-year horizon and 'openness to innovation,' and that she acknowledged the risks before the allocation was executed.

Question

Did NexGen Wealth Advisers satisfy its suitability and care obligations under applicable standards when its AI algorithm allocated 18% of Mrs. Delgado's retirement rollover to a cryptocurrency fund based on her onboarding responses, and does the use of algorithmic recommendations alter the firm's regulatory responsibilities?

Why Adversarial

Common Wrong Answer

Item 171 of 200

ANSWER:

Topic: multi_party_duty_allocation_suitability

Type: multi-party scenario (broker AND IA both involved, who owes what duty?)

Difficulty: hard

Standard: Regulation BI Rule 15l-1 Care Obligation; Investment Advisers Act §§206(1)-(2) fiduciary duty

Source: 01_SEC_Guidance_NoAction_Interpretive

Fact Pattern

Margaret Chen, age 67, retired from teaching in March 2024 with a \$485,000 403(b) account and a modest \$1,800 monthly pension. She sought guidance on rolling over her retirement assets and walked into Integrated Financial Partners, a firm operating both a registered investment adviser (Clarity Wealth Management, LLC) and an affiliated broker-dealer (IFP Securities, Inc.). During her initial consultation on April 3, 2024, she met with David Moreno, who holds dual registration as both an investment adviser representative of Clarity Wealth and a registered representative of IFP Securities.

Moreno recommended Margaret roll her 403(b) into an IRA and invest approximately \$340,000 (70% of assets) into a complex interval fund--the Pinnacle Alternative Credit Fund--which invests in senior secured loans, mezzanine debt, and distressed credit. The fund has a 5.25% upfront sales charge, 2.15% annual expense ratio, quarterly liquidity windows capped at 5% of NAV, and a 7-year recommended holding period. Moreno executed the rollover through his broker-dealer registration at IFP Securities, earning a \$17,850 commission, while the ongoing advisory relationship was established through Clarity Wealth at 0.85% annually on the remaining \$145,000 in diversified mutual funds.

Moreno's notes indicate Margaret stated she wanted 'steady income with some growth' and rated herself as having 'moderate' risk tolerance on the new account forms. However, during the meeting Margaret mentioned she might need to access \$50,000-\$75,000 within two years for potential assisted living costs for her mother. Moreno did not document this liquidity concern on the account paperwork. The interval fund's prospectus clearly states it is designed for investors who do not need near-term liquidity.

Six months later, Margaret's mother required immediate placement in assisted care. Margaret attempted to liquidate a portion of her interval fund holding but discovered she could only redeem approximately \$17,000 per quarter. She filed a complaint alleging the recommendation was unsuitable given her disclosed liquidity needs.

Question

Given Moreno's dual registration and the split transaction between broker-dealer and advisory accounts, which regulatory standard(s) apply to the interval fund recommendation, and did Moreno satisfy his obligations under the applicable standard(s)?

Why Adversarial

Common Wrong Answer

Item 172 of 200

ANSWER:

Topic: reg_bi_vs_state_fiduciary_standard_annuity_recommendation

Type: rule conflict (Reg BI vs. state fiduciary standard disagree)

Difficulty: hard

Standard: SEC Regulation Best Interest Care Obligation; Massachusetts 950 CMR 12.207 Fiduciary Conduct Standard; Investment Advisers Act Section 206 (by analogy for fiduciary principles)

Source: 11_Case_Law

Fact Pattern

Marcus Whitfield, a registered representative with Horizon Securities LLC, a dual-registrant broker-dealer in Massachusetts, recommended that client Eleanor Vance, age 67, roll over her \$485,000 401(k) from a former employer into a variable annuity with a guaranteed lifetime withdrawal benefit rider. Eleanor is a retired schoolteacher with a state pension of \$4,200 monthly, Social Security of \$2,100 monthly, and modest expenses. Her investment objective was stated as 'income with capital preservation,' risk tolerance was 'moderate,' and her time horizon was 15+ years. The variable annuity carried total annual expenses of 2.85% (including the rider fee) and a 7-year surrender period with declining charges starting at 7%.

Whitfield documented his Reg BI analysis, noting that the guaranteed income rider addressed Eleanor's longevity concerns and that lower-cost alternatives (such as a diversified bond portfolio or immediate annuity) were considered but rejected because they lacked the 'psychological comfort' of guaranteed withdrawals. He completed the firm's Care Obligation checklist, which showed the recommendation was not 'excessive' relative to her assets and that she could reasonably be expected to benefit from the product features.

However, Massachusetts has adopted a state fiduciary standard for broker-dealers that requires recommendations to be 'in the best interest of the customer' and explicitly mandates consideration of 'reasonably available alternatives that would accomplish the customer's objectives with materially lower costs.' The Massachusetts Securities Division has issued guidance stating that high-cost variable annuities recommended to clients with existing guaranteed income sources require 'heightened scrutiny' and documented justification for why lower-cost alternatives were unsuitable.

Eleanor later complained that the recommendation was inappropriate given her existing pension and Social Security income, and that a lower-cost solution would have better served her needs. Whitfield's documentation did not include a quantitative comparison of projected outcomes under the variable annuity versus a low-cost index fund portfolio with systematic withdrawals.

Question

Did Whitfield's recommendation satisfy both Reg BI's Care Obligation and Massachusetts's state fiduciary standard, and if there is a conflict, which standard controls?

Why Adversarial

Common Wrong Answer

Item 173 of 200

ANSWER:

Topic: suitability_best_interest_customer_classification_edge_case

Type: edge case customer profile (institutional? retail? which standard applies?)

Difficulty: hard

Standard: Investment Advisers Act Section 206; SEC fiduciary duty of care interpretation; contrast with FINRA Rule 2111 institutional customer provisions

Source: 02_SEC_Enforcement_Actions

Fact Pattern

Grandview Capital Advisors LLC, an SEC-registered investment adviser, began providing investment advice to the Hendrickson Family Trust in March 2022. The trust held \$4.8 million in assets and was established for the benefit of Eleanor Hendrickson, age 72, and her three adult children. The trust's co-trustees were Eleanor herself and her son Marcus, age 45, who worked as a regional sales manager for a pharmaceutical company with no financial industry background. The trust instrument granted broad investment discretion to the trustees.

Sarah Pelletier, an investment adviser representative at Grandview, recommended that the trust allocate 35% of its assets--approximately \$1.68 million--to a concentrated strategy involving short-dated options on volatile technology stocks, specifically weekly call options on three semiconductor companies with earnings announcements imminent. Pelletier argued that because the trust qualified as a 'qualified purchaser' under Section 2(a)(51) of the Investment Company Act based on its asset size, the trust should be treated as a sophisticated institutional client capable of evaluating these speculative strategies independently.

Pelletier documented that Marcus verbally acknowledged the 'aggressive nature' of the strategy during a 20-minute phone call but conducted no written suitability analysis. The trust's investment policy statement, drafted five years earlier, stated the objective was 'capital preservation with moderate growth to support Eleanor's retirement needs and eventual distribution to beneficiaries.' Within six weeks, the options positions expired worthless, resulting in a complete loss of the \$1.68 million allocation.

When Eleanor discovered the losses, she complained that she had never been consulted about the options strategy and that Marcus had exceeded his authority by approving such speculation without her consent. Grandview's compliance department argued that because the trust met qualified purchaser thresholds, the firm owed only a general anti-fraud duty rather than a heightened fiduciary suitability obligation.

Question

Did Grandview Capital Advisors and Sarah Pelletier violate their fiduciary duty of care under the Investment Advisers Act by recommending the concentrated options strategy to the Hendrickson Family Trust, and does the trust's status as a potential 'qualified purchaser' modify the applicable standard?

Why Adversarial

Common Wrong Answer

Item 174 of 200

ANSWER:

Topic: dual_registration_suitability_fiduciary_duty_allocation

Type: multi-party scenario (broker AND IA both involved, who owes what duty?)

Difficulty: hard

Standard: SEC Regulation Best Interest (Care Obligation); FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor); Investment Advisers Act fiduciary duty; Exchange Act Section 10(b)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Holloway, age 67, retired from her career as a hospital administrator in March 2022 with \$1.2 million in her employer's 403(b) plan. She sought advice from Brandon Pierce, who was dually registered as a broker with Coastal Securities, LLC (a FINRA member) and as an investment adviser representative with Apex Wealth Partners, a state-registered investment adviser. During their initial meeting on April 3, 2022, Pierce presented himself using Apex Wealth Partners letterhead and discussed comprehensive retirement planning, including Social Security optimization and tax-efficient withdrawal strategies. He recommended Mrs. Holloway roll her 403(b) into an IRA at Coastal Securities.

After executing the rollover in May 2022, Pierce recommended Mrs. Holloway invest 70% of the proceeds (\$840,000) in a portfolio of non-traded REITs and business development companies (BDCs), with the remaining 30% in high-yield bond funds. Mrs. Holloway's stated investment objectives were capital preservation and income generation, with moderate risk tolerance. She needed approximately \$4,500 monthly from her investments to supplement her pension and Social Security. Pierce received a 7% commission on the alternative investments and documented the trades on Coastal Securities' brokerage platform.

By September 2023, the non-traded REIT portfolio had declined 35% in value, and two of the BDCs had suspended distributions. Mrs. Holloway could no longer meet her income needs and was forced to liquidate positions at significant losses. Pierce's supervisory principal at Coastal Securities had approved the transactions after reviewing the new account documentation, which listed Mrs. Holloway's risk tolerance as 'aggressive growth' -- contradicting her actual stated objectives documented in Pierce's handwritten notes from the planning meeting. Apex Wealth Partners had no record of the investment recommendations and maintained that Pierce acted solely in his brokerage capacity.

Question

Given Pierce's dual registration and the specific facts regarding how he presented himself, conducted the planning engagement, and executed the transactions, which regulatory standard(s) applied to his recommendation, and did he violate his duties to Mrs. Holloway?

Why Adversarial

Common Wrong Answer

Item 175 of 200

ANSWER:

Topic: suitability_product_classification_ambiguity

Type: product ambiguity (is this recommendation subject to suitability at all?)

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor); SEC Regulation Best Interest (for recommendations after June 30, 2020)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

In March 2023, Gerald Whitmore, a registered representative with Baxter Ridge Securities, met with Margaret Delacroix, a 68-year-old retired schoolteacher with \$420,000 in investable assets, moderate risk tolerance, and a 10-year investment horizon. During their meeting, Whitmore discussed several investment options but ultimately mentioned that he personally owned shares in Vanguard Total Stock Market ETF and found it to be an excellent long-term holding. He provided Margaret with the fund's prospectus and fact sheet but made no explicit recommendation to purchase. Margaret, trusting Whitmore's judgment based on his personal endorsement, independently logged into her self-directed brokerage account the following week and purchased \$85,000 of the ETF.

Three months later, Margaret attended another meeting where Whitmore reviewed her portfolio. Noting her ETF purchase, he commented, 'Good choice--that's exactly what I would have suggested for someone in your situation.' He then recommended she increase her position by another \$60,000, which she did through a follow-up phone call where Whitmore entered the order. Following significant market volatility in late 2023, Margaret's portfolio declined substantially. She filed a complaint alleging that Whitmore's initial mention of his personal holdings constituted an unsuitable recommendation given her age and need for income generation.

Baxter Ridge Securities' compliance department reviewed the matter and noted that Whitmore had documented the March 2023 meeting as 'educational discussion only--no recommendation made.' The firm's policies define recommendations as 'specific calls to action regarding particular securities directed to specific customers.' Whitmore maintained that sharing his personal investment choices was merely conversation, not advice, and that Margaret's subsequent purchase was entirely self-directed. The firm seeks guidance on whether FINRA suitability obligations applied to either interaction.

Question

Did Whitmore's disclosure of his personal ETF holdings in March 2023, which influenced Margaret's subsequent self-directed purchase, constitute a 'recommendation' triggering FINRA Rule 2111 suitability obligations, and does his June 2023 comment affirming her choice create independent suitability liability?

Why Adversarial

Common Wrong Answer

Item 176 of 200

ANSWER:

Topic: suitability_obligations_institutional_fairness_opinion

Type: product ambiguity (is this recommendation subject to suitability at all?)

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2111 Supplementary Material .03 (Meaning of Recommendation); Securities Exchange Act Section 15(l) (Reg BI scope limited to retail customer recommendations)

Source: 07_Practitioner_Commentary

Fact Pattern

Granite Peak Securities LLC serves as financial advisor to Hawthorne Manufacturing Corp., a publicly traded company with approximately \$1.2 billion market capitalization. In March 2024, Hawthorne's board of directors engaged Granite Peak to render a fairness opinion in connection with a proposed \$875 million acquisition by Aurora Capital Partners. The engagement letter specified that Granite Peak would provide its opinion to the Hawthorne board regarding whether the consideration to be received by Hawthorne shareholders was fair from a financial point of view.

Granite Peak's managing director, Richard Townsend, conducted extensive due diligence including DCF analyses, comparable company analyses, and precedent transaction reviews. His team ultimately delivered an opinion that the \$28.50 per share consideration was fair to Hawthorne shareholders. The fairness opinion was included in the proxy statement sent to all Hawthorne shareholders ahead of the merger vote.

Following the merger's completion in July 2024, several former Hawthorne shareholders filed complaints alleging that Granite Peak violated its suitability obligations under FINRA Rule 2111 because the firm failed to analyze whether accepting the merger consideration was suitable for individual shareholders with varying investment objectives, time horizons, and risk tolerances. The complainants argue that retail shareholders relied on Granite Peak's fairness opinion in deciding to tender their shares, and that such reliance created a recommendation relationship requiring suitability analysis.

Granite Peak counters that its engagement was exclusively with the Hawthorne board, that fairness opinions are not investment recommendations to individual shareholders, and that no suitability obligation attached to its services. The firm notes it had no direct contact with individual shareholders and collected no customer profile information.

Question

Does Granite Peak's delivery of a fairness opinion to Hawthorne's board, which was subsequently disclosed to shareholders in the proxy materials, constitute a 'recommendation' triggering FINRA Rule 2111 suitability obligations to individual retail shareholders?

Why Adversarial

Common Wrong Answer

Item 177 of 200

ANSWER:

Topic: suitability_outside_business_activity_temporal_analysis

Type: temporal trap (rule changed mid-period, which version applies?)

Difficulty: hard

Standard: FINRA Rules 2111 (Suitability), 3110 (Supervision), 3270 (Outside Business Activities), 3280 (Private Securities Transactions)

Source: 15_FINRA_Regulatory_Notices

Fact Pattern

Marcus Chen was a registered representative at Lighthouse Securities LLC from January 2015 through December 2020. In March 2019, Chen disclosed to his firm's compliance department that he had begun offering fee-based financial planning services through his own side company, Chen Financial Strategies LLC. The disclosure form indicated he would provide general budgeting advice and retirement goal-setting to clients, with no securities recommendations involved.

In reality, between April 2019 and May 2020, Chen used his financial planning sessions to recommend that eight Lighthouse clients--all retirees aged 68-79 with moderate risk tolerances and income-focused objectives--invest in private placement offerings from a local real estate syndication company called Meridian Development Partners. Chen received \$187,000 in referral fees from Meridian. He never disclosed these transactions to Lighthouse or sought the firm's approval for these securities-related activities. The investments were illiquid five-year lockups requiring minimum \$50,000 commitments, representing 25-40% of each client's liquid net worth.

Lighthouse's written supervisory procedures at the time required annual re-certification of OBAs but did not mandate any ongoing monitoring or client cross-referencing between disclosed OBAs and the firm's customer base. In September 2019, FINRA issued guidance emphasizing that firms should implement risk-based supervision of OBAs, including periodic reviews to detect undisclosed securities activities. Lighthouse updated its procedures in February 2020 to include quarterly OBA audits.

By November 2020, five of the eight investors had lost their entire investments when Meridian collapsed. The clients filed arbitration claims against both Chen and Lighthouse, arguing that the private placement recommendations were unsuitable and that Lighthouse failed to supervise Chen's activities. Lighthouse defended by arguing it had no supervisory obligation because the transactions occurred outside the firm and were never properly disclosed as securities activities.

Question

Under FINRA Rules 3270 and 3280, which supervisory standard applies to Lighthouse's obligations regarding Chen's undisclosed private securities transactions--the pre-September 2019 procedures or the enhanced February 2020 procedures--and were the private placement recommendations suitable for the affected clients?

Why Adversarial

Common Wrong Answer

Item 178 of 200

ANSWER:

Topic: suitability_complex_product_threshold

Type: precise threshold (does this just barely meet or miss the standard?)

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor); SEC Regulation Best Interest Care Obligation

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Thornton, age 67, retired from her position as a hospital administrator in January 2024. She rolled over her 401(k) totaling \$485,000 to an IRA at Ridgeline Wealth Advisors. Her documented investment profile indicated moderate risk tolerance, a 15-year investment time horizon, annual income of \$42,000 from Social Security and a small pension, and a primary objective of income generation with capital preservation as secondary. She had 25 years of experience investing through her 401(k), primarily in target-date funds and blue-chip equity mutual funds.

Her assigned representative, Daniel Kessler, recommended allocating 18% of her portfolio (\$87,300) to a leveraged closed-end fund that used 30% structural leverage to enhance yield. The fund invested in investment-grade corporate bonds and paid a 7.2% distribution rate. Kessler documented that the leveraged fund would increase Mrs. Thornton's portfolio income by approximately \$2,800 annually compared to unleveraged alternatives, helping meet her income needs. He noted in his recommendation memo that the fund's underlying holdings were investment-grade bonds, providing quality diversification.

Kessler's firm, Ridgeline Wealth Advisors, had an internal guideline suggesting that leveraged products generally should not exceed 15% of a moderate-risk retirement investor's portfolio, though the policy allowed exceptions with supervisory approval when the representative documented specific justification. Kessler obtained supervisory approval by emphasizing the investment-grade quality of the underlying bonds and the relatively modest 30% leverage ratio compared to other products. The supervisor approved the 18% allocation, three percentage points above the guideline threshold.

Within eight months, rising interest rates caused the leveraged fund to decline 24%, reducing Mrs. Thornton's position to approximately \$66,300--a loss of \$21,000. The unleveraged bond alternatives Kessler had considered would have declined only 9% over the same period. Mrs. Thornton filed an arbitration claim alleging the recommendation was unsuitable given her risk tolerance and primary objective of capital preservation.

Question

Did Kessler's recommendation of the 18% leveraged closed-end fund allocation meet FINRA's suitability requirements for this moderate-risk retiree, given that he obtained supervisory approval exceeding the firm's 15% internal guideline and documented the investment-grade quality of the underlying holdings?

Why Adversarial

Common Wrong Answer

Item 179 of 200

ANSWER:

Topic: ai_robo_adviser_suitability_best_interest

Type: novel fact pattern (robo-adviser, crypto, AI-generated recommendation)

Difficulty: hard

Standard: Regulation Best Interest Care Obligation (Exchange Act Rule 15l-1); Investment Advisers Act Section 206 fiduciary duty; FINRA Rule 2111 (Suitability); FINRA Rule 3110 (Supervision); SEC guidance on robo-advisers

Source: 15_FINRA_Regulatory_Notices

Fact Pattern

NexGen Digital Advisors LLC operates a hybrid robo-adviser platform registered as both a broker-dealer and investment adviser. In March 2024, the firm deployed an AI-driven recommendation engine called 'SmartAllocate' that generates personalized portfolio recommendations based on customer questionnaire responses. The algorithm was trained on historical market data through December 2023 and incorporates a proprietary risk-scoring methodology.

Margaret Chen, age 67, recently widowed, completed the onboarding questionnaire indicating she had \$485,000 in retirement savings (her only liquid assets), a 5-year investment horizon, income needs of \$2,500 monthly to supplement Social Security, and selected 'moderate' when asked about risk tolerance. She noted limited investment experience, having previously only held bank CDs and a target-date fund in her late husband's 401(k).

SmartAllocate's algorithm processed Mrs. Chen's inputs and generated a recommendation for a portfolio containing 35% allocation to a leveraged Bitcoin ETF, 25% to high-yield emerging market bonds, 20% to small-cap growth equities, and 20% to investment-grade corporate bonds. The algorithm's documentation showed it weighted Mrs. Chen's 'moderate' risk selection heavily, interpreting this as tolerance for volatility, while discounting her age, income needs, and limited experience as secondary factors.

NexGen's compliance framework relies on quarterly algorithmic audits but does not include human review of individual recommendations before execution. A single compliance officer oversees 47,000 customer accounts. Mrs. Chen's recommendation was auto-approved and executed within 24 hours of questionnaire completion. When she called customer service three weeks later expressing concern about 18% portfolio losses, she was told the recommendation was 'scientifically generated' based on her stated preferences.

NexGen's supervisory procedures state that 'algorithmic recommendations are presumed suitable when generated from validated customer inputs' and that human intervention is only triggered when accounts lose more than 25% in a 30-day period.

Question

Under both Regulation Best Interest for the brokerage component and the investment adviser fiduciary standard, did NexGen Digital Advisors satisfy its care obligations when SmartAllocate generated and auto-executed this recommendation for Mrs. Chen?

Why Adversarial

Common Wrong Answer

Item 180 of 200

ANSWER:

Topic: reg_bi_vs_state_fiduciary_rule_conflict

Type: rule conflict (Reg BI vs. state fiduciary standard disagree)

Difficulty: hard

Standard: SEC Regulation Best Interest Rule 15l-1(a)(2)(ii) Care Obligation; Massachusetts state fiduciary standard for broker-dealers; FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor)

Source: 03_FINRA_AWC

Fact Pattern

Margaret Chen, age 62, is a Massachusetts resident with \$890,000 in retirement assets, primarily held in a 401(k) from her former employer. She approaches registered representative Derek Paulson of Westbrook Securities, LLC in March 2024, seeking advice on whether to roll over her 401(k) into an IRA. Margaret has a moderate risk tolerance, plans to retire in three years, and requires income generation from her portfolio starting at age 65.

After reviewing her situation, Paulson recommends she roll over the entire \$890,000 into a proprietary variable annuity offered by Westbrook's affiliate, featuring a guaranteed lifetime withdrawal benefit rider. The annuity carries a 1.85% annual expense ratio, a 7-year surrender period with declining charges starting at 7%, and the rider adds an additional 1.15% annual fee. Margaret's existing 401(k) holds low-cost index funds with a blended expense ratio of 0.08% and has no surrender charges or restrictions on withdrawals.

Paulson documents in his recommendation file that the annuity provides downside protection and guaranteed income, which aligns with Margaret's stated need for retirement income. He notes that the 401(k) lacks these guarantees. However, Paulson does not document any analysis of whether Margaret could achieve similar income objectives using lower-cost alternatives, nor does he quantify the cumulative cost differential over her expected retirement horizon. He receives a \$35,600 commission on the transaction.

Massachusetts has adopted a state fiduciary standard requiring broker-dealers to act in the customer's best interest and to consider reasonably available alternatives when making recommendations. The state standard explicitly requires written documentation demonstrating that the recommended product is superior to alternatives considered. Paulson's firm maintains that compliance with Reg BI satisfies all applicable standards.

Question

Did Paulson violate his obligations under Reg BI and/or the Massachusetts state fiduciary standard in recommending the variable annuity rollover, and does compliance with one standard necessarily satisfy the other?

Why Adversarial

Common Wrong Answer

Item 181 of 200

ANSWER:

Topic: suitability_product_ambiguity_recommendation_threshold

Type: product ambiguity (is this recommendation subject to suitability at all?)

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Regulatory Notice 11-02 (guidance on recommendations); FINRA Rule 2090 (Know Your Customer)

Source: 10_Academic_Articles

Fact Pattern

In March 2023, Sandra Whitfield, a 58-year-old schoolteacher with \$340,000 in retirement savings, contacted Thornberry Financial Services, a dual-registered broker-dealer and investment adviser. She scheduled an appointment with Marcus Chen, a registered representative, specifically asking him to explain 'why everyone keeps talking about index funds.' During the 45-minute meeting, Marcus provided educational materials comparing actively managed mutual funds versus index funds, explaining expense ratios, historical performance patterns, and the concept of market segmentation between direct-sold and broker-sold funds. He referenced general industry research showing that funds sold through brokers tend to charge higher fees while funds sold directly to investors often have lower expense ratios.

Marcus did not collect any information about Sandra's financial situation, risk tolerance, time horizon, or investment objectives during this meeting. When Sandra asked 'So which type should I buy?', Marcus responded: 'Based on what academic research generally shows, investors who don't need ongoing advice often do well with low-cost index funds available through direct channels. But everyone's situation is different.' He then handed her a list of five no-load index fund families that sell directly to consumers, without making any specific fund recommendations.

Sandra subsequently opened an account directly with one of the listed fund families, Vanguard, and invested \$280,000 in their S&P 500 index fund on her own initiative. Three months later, the market dropped 12%, and Sandra filed a complaint alleging that Marcus's statements constituted an unsuitable recommendation because he failed to gather her financial information and she was actually a conservative investor who needed her funds within five years for retirement.

Thornberry's compliance department must now determine whether Marcus's conduct triggered suitability obligations under FINRA rules, and if so, whether he violated those obligations.

Question

Did Marcus Chen's educational discussion and provision of a general list of direct-sold fund families constitute a 'recommendation' triggering FINRA suitability obligations, and if so, did his failure to collect customer-specific information before the discussion violate those obligations?

Why Adversarial

Common Wrong Answer

Item 182 of 200

ANSWER:

Topic: reg_bi_vs_suitability_customer_classification

Type: edge case customer profile (institutional? retail? which standard applies?)

Difficulty: hard

Standard: Regulation BI Rule 15l-1(a)(2)(ii) Care Obligation; FINRA Rule 2111 Suitability; FINRA Rule 4512(c) Institutional Account Definition; FINRA Rule 2010

Source: 03_FINRA_AWC

Fact Pattern

Meridian Capital Partners LLC is a small family office managing \$32 million in assets for the extended Castellano family, comprising twelve individual family members across three generations. The family office has three employees: a part-time bookkeeper, an administrative assistant, and Marcus Castellano, the family patriarch who serves as managing member with investment authority. Marcus, age 71, has 15 years of experience managing the family's real estate holdings but limited securities experience beyond basic equity portfolios.

In March 2024, registered representative Diana Walsh at Coastal Securities, Inc. recommended that Meridian Capital invest \$8.5 million (approximately 27% of total AUM) in a portfolio of leveraged inverse exchange-traded products tied to volatility indices. Diana explained these products could hedge the family's concentrated equity positions during market turbulence. She conducted her analysis based on the family office entity's \$32 million in assets and assumed institutional sophistication.

Diana did not inquire about the individual family members' risk tolerances, investment time horizons, or financial situations. She relied solely on Marcus's verbal representation that he had full discretion and that 'the family trusts my judgment.' The leveraged inverse ETPs carried daily rebalancing features that made them unsuitable for holding periods beyond one trading day, though Diana recommended a 6-month holding strategy. Within four months, the position had lost \$3.2 million due to volatility decay and adverse market movements.

When the Castellano family complained, Coastal Securities argued that Meridian Capital qualified as an institutional account under FINRA Rule 4512(c) because it had total assets exceeding \$10 million, meaning only the lesser suitability standard--not Regulation BI--applied to the recommendation.

Question

Did Coastal Securities correctly apply the institutional account classification to avoid Regulation BI's best interest standard, and regardless of which standard applies, was the leveraged inverse ETP recommendation appropriate?

Why Adversarial

Common Wrong Answer

Item 183 of 200

ANSWER:

Topic: suitability_reg_bi_transition_period

Type: temporal trap (rule changed mid-period, which version applies?)

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); SEC Regulation Best Interest (compliance date June 30, 2020); FINRA Rule 2010 (Standards of Commercial Honor)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Chen, age 67, was a longtime client of Ashford Securities LLC with a moderate risk tolerance and a primary investment objective of income generation for retirement. Her liquid net worth was approximately \$420,000, consisting largely of proceeds from her late husband's life insurance policy. On May 15, 2020, her broker, Thomas Reilly, recommended she invest \$180,000 in a complex structured note tied to the performance of emerging market equity indices. The product featured a 15% downside buffer but unlimited upside participation, with a 7-year maturity and significant early redemption penalties. Reilly explained the potential for enhanced returns compared to traditional fixed income but did not conduct a detailed analysis of whether Chen could afford to have this capital locked up given her age and income needs.

Chen agreed to the purchase and signed the trade confirmation on May 22, 2020. However, due to operational delays at the product issuer, the trade did not actually settle until July 8, 2020. Reilly's notes from May 2020 documented his suitability analysis under the traditional FINRA Rule 2111 framework, noting that Chen had investment experience and understood the general risks of structured products.

In March 2022, after the structured note had declined 28% in value (exceeding the buffer due to extreme emerging market volatility), Chen filed a FINRA arbitration claim alleging that Reilly violated his duty to act in her best interest by recommending an illiquid, complex product unsuitable for a 67-year-old retiree dependent on her portfolio for income. Ashford Securities defended by arguing that the recommendation was made in May 2020, before SEC Regulation Best Interest's June 30, 2020 compliance date, and therefore only FINRA's suitability rule applied.

Question

Which standard--FINRA Rule 2111 suitability or SEC Regulation Best Interest--applies to Reilly's recommendation to Chen, and did the recommendation comply with the applicable standard?

Why Adversarial

Common Wrong Answer

Item 184 of 200

ANSWER:

Topic: best_interest_standard_applicability_edge_case

Type: edge case customer profile (institutional? retail? which standard applies?)

Difficulty: hard

Standard: Regulation Best Interest Care Obligation (Exchange Act Rule 15l-1); FINRA Rule 4512(c) institutional account definition; FINRA Rule 2111 Suitability

Source: 11_Case_Law

Fact Pattern

Meridian Capital Partners LLC is a registered broker-dealer. In March 2023, broker Nathan Whitfield received a call from Helena Castillo, the CFO of Castillo Family Holdings LP, a limited partnership that manages approximately \$47 million in assets for the extended Castillo family. The LP has twelve beneficial owners--all family members--ranging from ages 24 to 78, with investment experience varying from novice (the younger generation) to sophisticated (Helena and her brother, the general partners).

Helena explained she wanted to invest \$3.2 million of the LP's funds in a structured product linked to healthcare sector volatility. Whitfield recommended the Apex Healthcare Contingent Coupon Note, a complex structured note with a 5-year term, principal at risk if the underlying index drops more than 35%, and annual coupons contingent on index performance. The product carried substantial credit risk from the issuer and limited secondary market liquidity.

Whitfield conducted his analysis based solely on conversations with Helena, who described the LP as having a 'moderate-to-aggressive' risk tolerance and a 7-10 year horizon. He did not inquire about the individual beneficial owners' circumstances, ages, or risk tolerances. Helena signed the account documentation, which designated the LP account as 'institutional' based on the \$47 million in assets under management. Whitfield applied institutional suitability standards and did not perform a Regulation Best Interest analysis, reasoning that the LP's asset size and Helena's sophistication made Reg BI inapplicable.

Six months later, the note lost 28% of its value due to healthcare sector turbulence and issuer credit deterioration. Several younger family members complained that the investment was inappropriate given their conservative preferences and near-term liquidity needs for home purchases, which Helena had not disclosed to Whitfield.

Question

Did Whitfield properly apply institutional suitability standards to this recommendation, or was he required to apply Regulation Best Interest's care obligation, and was his analysis sufficient under whichever standard applies?

Why Adversarial

Common Wrong Answer

Item 185 of 200

ANSWER:

Topic: institutional_vs_retail_suitability_standard_application

Type: edge case customer profile (institutional? retail? which standard applies?)

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2111.07 (Institutional Suitability); FINRA Rule 4512(c) (Institutional Account Definition); FINRA Rule 2111.05(c) (Quantitative Suitability)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Breslin Capital Partners LLC is a small hedge fund with \$8.5 million in assets under management, organized as a limited partnership with four high-net-worth individual limited partners. The fund's general partner, Marcus Whitfield, has 12 years of experience trading equities but minimal experience with structured products or fixed income. In March 2023, registered representative Dana Holloway at Pinnacle Securities recommended that Breslin Capital Partners invest \$2.1 million (approximately 25% of fund assets) in a series of inverse volatility ETNs and leveraged commodity funds, presenting them as 'portfolio hedges' suitable for the fund's stated objective of capital preservation with moderate growth.

Holloway's firm had designated Breslin Capital Partners as an 'institutional account' under FINRA Rule 4512(c) based on the fund's legal structure and total assets exceeding \$5 million. Relying on this designation, Holloway did not conduct a detailed suitability analysis or document the fund's specific investment profile, instead obtaining only a brief written acknowledgment from Whitfield that the fund could independently evaluate investment risks. Holloway did not inquire into Whitfield's actual knowledge of leveraged and inverse products, the fund's liquidity needs to meet potential redemption requests from limited partners, or the fund's stated investment policy document which explicitly prohibited derivative-based instruments.

Within four months, the inverse volatility positions lost 67% of their value during a period of market turbulence, and one leveraged commodity ETN was delisted, resulting in total losses of approximately \$1.4 million. The limited partners have filed a FINRA arbitration claim alleging that Holloway's recommendations were unsuitable regardless of the institutional designation, citing the fund's conservative investment policy and Whitfield's lack of sophistication in structured products.

Question

Did Pinnacle Securities and Dana Holloway satisfy their suitability obligations by treating Breslin Capital Partners as an institutional customer and obtaining a risk acknowledgment, or does the institutional customer exemption fail to apply given the specific circumstances of this account?

Why Adversarial

Common Wrong Answer

Item 186 of 200

ANSWER:

Topic: variable_annuity_suitability_threshold_analysis

Type: precise threshold (does this just barely meet or miss the standard?)

Difficulty: hard

Standard: FINRA Rule 2330 (Variable Annuities), FINRA Rule 2111 (Suitability), FINRA Rule 4512 (Customer Account Information)

Source: 15_FINRA_Regulatory_Notices

Fact Pattern

Margaret Thornton, age 67, retired from her position as a hospital administrator in March 2024 with a \$485,000 401(k) balance. She scheduled an appointment with registered representative David Chen of Meridian Financial Partners to discuss her options. During their meeting on April 15, 2024, Margaret explained that she needed to generate approximately \$2,400 per month in supplemental income to cover living expenses beyond her pension and Social Security, which together provided \$3,100 monthly. She stated she had no other liquid investments, owned her home free and clear (valued at \$340,000), and described herself as 'moderately conservative' with a 15-year investment horizon based on her family's longevity history.

Chen recommended Margaret roll her entire 401(k) into an L-share variable annuity with a 7-year surrender period and a Guaranteed Lifetime Withdrawal Benefit (GLWB) rider. The product carried total annual expenses of 3.15% (1.40% M&E, 0.95% GLWB rider, 0.80% average subaccount expense). The GLWB would allow her to withdraw 5% annually (\$24,250) starting immediately without depleting the benefit base. Chen documented that the product addressed Margaret's income need and provided downside protection through the GLWB rider.

Critically, Chen's analysis showed that Margaret's required withdrawals of \$2,400 monthly (\$28,800 annually) actually exceeded the GLWB's 5% allowance by \$4,550 per year. Chen noted this discrepancy in his file but concluded the recommendation was still suitable because the excess withdrawal amount represented only 0.94% beyond the guaranteed threshold, which he characterized as 'de minimis.' He also documented that Margaret could reduce discretionary spending if markets declined significantly. Margaret's new customer account form listed her risk tolerance as 'moderate' and her liquidity needs as 'some' rather than 'high.'

Question

Did Chen's variable annuity recommendation satisfy FINRA Rule 2330's suitability requirements given that Margaret's actual income needs exceeded the GLWB's guaranteed withdrawal threshold by less than 1% of the contract value annually?

Why Adversarial

Common Wrong Answer

Item 187 of 200

ANSWER:

Topic: suitability_best_interest_spac_recommendation_temporal

Type: temporal trap (rule changed mid-period, which version applies?)

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability) for May 2020 transaction; Regulation Best Interest Care Obligation for February 2021 transaction; Investment Advisers Act Section 206(2)

Source: 02_SEC_Enforcement_Actions

Fact Pattern

Meridian Wealth Partners, a dual-registered investment adviser and broker-dealer based in San Diego, California, began discussions with client Harold Steinberg in April 2020 about investing a portion of his \$1.8 million retirement portfolio in SPAC units. Steinberg, age 67, was a retired pharmaceutical executive with moderate risk tolerance and a stated investment objective of capital preservation with modest growth. His investment policy statement, signed in January 2020, indicated a maximum 15% allocation to speculative investments.

In May 2020, Meridian representative Sandra Chen recommended that Steinberg invest \$180,000 (10% of his portfolio) in pre-IPO SPAC sponsor units through a private placement arrangement. Chen explained that SPACs offered 'downside protection' through redemption rights while providing upside exposure to merger targets. Steinberg executed the investment on May 28, 2020, purchasing sponsor interests that would convert to founder shares upon a successful business combination.

In February 2021, Chen contacted Steinberg again, recommending an additional \$270,000 investment in a follow-on PIPE (Private Investment in Public Equity) financing related to the same SPAC's pending merger with a cannabis technology company. This second investment was executed on February 15, 2021. Chen's recommendation was based primarily on the potential for substantial returns if the merger closed, though she acknowledged the cannabis sector was volatile.

The SPAC merger closed in April 2021, but the combined company's stock declined 78% by December 2021. Steinberg filed a complaint alleging that both recommendations were unsuitable and not in his best interest. Meridian's compliance department must now analyze whether the May 2020 recommendation is governed by the traditional suitability standard or Regulation Best Interest, and whether the February 2021 recommendation meets the applicable standard given Steinberg's profile.

Question

Under which regulatory standard should each of Steinberg's two investments be evaluated, and did either recommendation comply with the applicable standard given his client profile and the nature of SPAC sponsor units and PIPE investments?

Why Adversarial

Common Wrong Answer

Item 188 of 200

ANSWER:

Topic: erisa_prudence_deferred_compensation_investment_selection

Type: precise threshold (does this just barely meet or miss the standard?)

Difficulty: hard

Standard: ERISA § 404(a)(1)(B) prudent expert standard; ERISA §§ 201(2), 301(a)(3), 401(a)(1) top-hat exemption; ERISA § 3(21)(A) fiduciary definition

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Thornton, age 58, was a senior financial adviser at Lakewood Capital Partners earning \$425,000 annually. Under the firm's Deferred Compensation Plan, participants could allocate their deferred balances among twelve investment options. In March 2022, the plan's investment committee, chaired by Chief Investment Officer David Brennan, added a new option: the Lakewood Concentrated Growth Fund, which invested 85% of assets in five technology stocks. The fund carried an expense ratio of 1.85%, compared to 0.45% for the plan's existing diversified equity index fund.

Thornton, who had \$890,000 in her deferred compensation account, met with Brennan in April 2022 to discuss allocation options. Brennan recommended she allocate 60% of her balance to the Concentrated Growth Fund, citing her 'sophisticated understanding of markets' and the fund's 42% return in 2021. Thornton's participant profile indicated a 'moderate' risk tolerance, a 7-year investment horizon until retirement, and that she had no other liquid retirement assets besides \$125,000 in an IRA invested in balanced funds.

Brennan did not discuss the concentration risk, the significantly higher expense ratio, or how the recommendation fit with Thornton's overall retirement picture. He noted in his file that Thornton was 'experienced in securities' based on her occupation. The Concentrated Growth Fund lost 54% in 2022, reducing Thornton's account by approximately \$288,000. She filed a claim alleging the recommendation violated ERISA's prudence requirements.

Lakewood argued that the FA Deferred Compensation Plan was a 'top-hat' plan exempt from ERISA's fiduciary requirements, and alternatively that Thornton's sophistication as a financial adviser made the recommendation suitable. Plan documents showed the plan covered 312 participants, representing approximately 8% of Lakewood's 3,900 total employees, and included all registered representatives earning over \$200,000.

Question

Did Brennan's recommendation to allocate 60% of Thornton's deferred compensation to the Concentrated Growth Fund violate applicable prudence or suitability standards, and does the 'top-hat' exemption shield Lakewood from liability?

Why Adversarial

Common Wrong Answer

Item 189 of 200

ANSWER:

Topic: senior_investor_suitability_diminished_capacity

Type: precise threshold (does this just barely meet or miss the standard?)

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2111.05(a) (Reasonable-Basis Suitability); FINRA Rule 2111.05(b) (Customer-Specific Suitability); FINRA Rule 4512 (Customer Account Information); FINRA Rule 2165 (Financial Exploitation of Specified Adults)

Source: 15_FINRA_Regulatory_Notices

Fact Pattern

Harold Whitmore, age 84, has been a client of Evergreen Capital Advisors and registered representative Patricia Simmons for eleven years. His account profile, last updated eighteen months ago, lists his investment objective as 'income with capital preservation,' moderate risk tolerance, and a 5-7 year time horizon. His liquid net worth is \$620,000, consisting primarily of his brokerage account holding \$540,000 in investment-grade bonds and blue-chip dividend stocks, plus \$80,000 in a money market account.

In March 2024, Mr. Whitmore called Simmons requesting to liquidate \$175,000 from his bond holdings to invest in a biotech ETF that uses 2x daily leverage, explaining that his grandson had told him about 'incredible gains' in the biotech sector. During the call, Whitmore repeated the same question about commission costs three times and initially gave an incorrect account number. Simmons noted these behaviors but did not document them or contact anyone. She reviewed his account profile and observed that his moderate risk tolerance technically permits 'some growth-oriented investments.'

Simmons executed the trade, reasoning that: (1) the \$175,000 represented only 28% of his total liquid assets; (2) leveraged ETFs are exchange-traded and liquid; (3) the client explicitly requested the transaction; and (4) his profile permitted moderate risk. She did not discuss the daily reset mechanism of leveraged ETFs, the compounding decay over holding periods, or how this product might interact with his stated 5-7 year time horizon. Mr. Whitmore indicated he planned to hold the position 'for a couple of years at least.'

Three months later, the ETF had declined 34% due to sector volatility and compounding effects, while the underlying index had only declined 12%. Whitmore's daughter contacted the firm, alarmed that her father had made such an uncharacteristic investment and reporting that he had recently shown signs of early cognitive decline.

Question

Did Patricia Simmons satisfy her suitability obligations under FINRA Rule 2111 when she executed the leveraged ETF purchase for Harold Whitmore, given that his account profile technically permitted moderate-risk investments and he explicitly requested the transaction?

Why Adversarial

Common Wrong Answer

Item 190 of 200

ANSWER:

Topic: best_interest_standard_state_federal_conflict

Type: rule conflict (Reg BI vs. state fiduciary standard disagree)

Difficulty: hard

Standard: Regulation Best Interest Care Obligation (Exchange Act Rule 15l-1); Investment Advisers Act Section 206 fiduciary duty; Massachusetts state fiduciary standard for broker-dealers; FINRA Rule 2111 (Suitability); FINRA Rule 2330 (Variable Annuities)

Source: 11_Case_Law

Fact Pattern

Margaret Thornton, age 67, retired from her position as a hospital administrator in Massachusetts in January 2024 with \$890,000 in her 401(k) plan. She contacted Granite Coast Financial Services, a dual-registered broker-dealer and investment adviser headquartered in Boston, seeking guidance on rolling over her retirement assets. Her registered representative, Derek Sullivan, held both Series 7 and Series 66 licenses and was also an investment adviser representative of the firm.

During their initial consultation on February 15, 2024, Mrs. Thornton explained she needed income to supplement her Social Security and a small pension, totaling \$3,200 monthly. She described herself as 'very conservative' and said she 'couldn't stomach another 2008.' Sullivan documented her risk tolerance as 'moderate-conservative' and noted her investment time horizon as 15-20 years given her good health and family longevity.

Sullivan recommended Mrs. Thornton roll her 401(k) into a brokerage IRA and invest \$620,000 in a variable annuity with a guaranteed lifetime withdrawal benefit rider. The annuity carried total annual expenses of 3.42%, including a 1.15% mortality and expense charge, 0.85% administrative fees, and a 1.42% rider cost. The product featured a 7-year surrender period with declining charges starting at 7%. Sullivan received a 5.5% commission (\$34,100) on the sale. The remaining \$270,000 was allocated to a diversified bond fund portfolio.

Mrs. Thornton's existing 401(k) offered a stable value fund yielding 4.2% with no surrender charges and total expenses of 0.35%, plus access to low-cost index funds. Sullivan's analysis showed the variable annuity's guaranteed withdrawal base would need to grow at 5% annually (as illustrated, not guaranteed) to provide benefits exceeding what a systematic withdrawal from lower-cost investments would yield.

Six months later, Mrs. Thornton filed complaints with both FINRA and the Massachusetts Securities Division, alleging the recommendation was unsuitable and violated fiduciary standards. Massachusetts has enacted a fiduciary standard for broker-dealers that requires recommendations to be in the client's 'best interest' with a presumption that high-cost products with available lower-cost alternatives are not in the client's best interest absent documented justification.

Question

Under both federal Regulation Best Interest and the Massachusetts state fiduciary standard, did Sullivan's variable annuity recommendation satisfy applicable best interest obligations, and how should the conflicting standards be analyzed?

Why Adversarial

Common Wrong Answer

Item 191 of 200**ANSWER:**

Topic: suitability_product_scope_ambiguity

Type: product ambiguity (is this recommendation subject to suitability at all?)

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor); FINRA guidance on brokered CD recommendations

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Chen, age 58, had been a client of Westbrook Financial Services for twelve years. In February 2024, her registered representative, David Paulson, learned that Margaret's husband had recently passed away, leaving her with \$1.8 million in life insurance proceeds. Margaret indicated she wanted 'safe investments' and had no investment experience beyond the modest joint brokerage account she had maintained with her husband, which held primarily blue-chip stocks.

During their March 2024 meeting, Paulson discussed various options. He mentioned that interest rates on bank CDs were attractive and that Margaret might consider placing a substantial portion of her funds there while she grieved and considered longer-term plans. Margaret asked Paulson to 'handle it' and expressed trust in his judgment. Paulson subsequently facilitated Margaret's opening of a \$900,000 brokered CD position through the firm's platform--specifically, a 5-year non-callable CD issued by Heartland National Bank, with a 4.85% APY, purchased at par.

The brokered CD was purchased through Westbrook's standard brokerage account, not a separate banking relationship. Paulson received his normal grid payout on the transaction, which generated approximately \$4,500 in revenue to the firm. Eight months later, Margaret needed \$400,000 for an unexpected medical situation. When she attempted to liquidate a portion of the CD position, she discovered significant market depreciation due to rising interest rates and realized she would face a \$38,000 loss if she sold. Margaret filed an arbitration claim alleging Paulson failed to ensure the recommendation was suitable given her need for liquidity and that he never discussed the interest rate risk or secondary market implications of brokered CDs.

Question

Was Paulson's recommendation of the brokered CD subject to FINRA's suitability obligations under Rule 2111, and if so, did his conduct violate those obligations given Margaret's profile and the nature of the product?

Why Adversarial**Common Wrong Answer**

Item 192 of 200

ANSWER:

Topic: fiduciary_duty_best_interest_affiliated_funds

Type: precise threshold (does this just barely meet or miss the standard?)

Difficulty: hard

Standard: Investment Advisers Act Section 206(2); Fiduciary duty of care; Form ADV Part 2A disclosure requirements; SEC guidance on non-waivable fiduciary obligations

Source: 02_SEC_Enforcement_Actions

Fact Pattern

Westbrook Capital Advisors LLC is a registered investment adviser based in Connecticut with approximately \$98 million in regulatory assets under management. The firm's principals also operate Westbrook Private Equity Partners, an affiliated entity that manages three private placement funds investing in middle-market real estate debt. In its Form ADV Part 2A brochure, Westbrook Capital discloses: 'We have a conflict of interest when recommending investments managed by our affiliated entity. We manage this conflict by (1) ensuring all client recommendations align with documented investment policy statements, (2) conducting independent due diligence on all affiliated fund investments, and (3) maintaining policies to ensure recommendations are in clients' best interests.'

In September 2024, Margaret Thornton, age 67, became a Westbrook Capital client with a \$1.2 million portfolio. Her documented investment policy statement specified a moderate risk tolerance, 60% equities/40% fixed income allocation, a 10-year time horizon, and specifically stated: 'Client requires liquidity access for potential healthcare expenses and prefers investments with transparent pricing.' Her adviser, James Kerrigan, recommended she allocate \$180,000 (15% of her portfolio) to Westbrook Real Estate Debt Fund III, an affiliated private fund with a 7-year lock-up period, quarterly redemptions only after year 3, and estimated returns of 9-11% annually.

Before executing the investment, Kerrigan had Thornton sign an 'Investor Acknowledgment Form' which stated: 'Client acknowledges that Westbrook Capital Advisors is not acting in an advisory capacity with respect to this investment, and Client is making this investment decision independently without reliance on Westbrook Capital's investment advice.' Kerrigan documented in his notes that Thornton had 'substantial liquid assets remaining' and that 'the 9-11% target return exceeds comparable fixed income alternatives.' However, he did not conduct any independent due diligence beyond reviewing marketing materials prepared by Westbrook Private Equity Partners, nor did he document how the illiquid 7-year lock-up aligned with Thornton's stated liquidity needs and healthcare expense concerns.

The investment was processed through a third-party custodian that required Westbrook Capital to sign an Alternative Investment Letter of Authorization as Thornton's investment adviser, which Kerrigan signed on behalf of the firm.

Question

Did Westbrook Capital Advisors meet its fiduciary duty of care and best interest obligation to Margaret Thornton when recommending the affiliated private fund investment?

Why Adversarial

Common Wrong Answer

Item 193 of 200

ANSWER:

Topic: dual_suitability_obligations_swap_recommendation

Type: multi-party scenario (broker AND IA both involved, who owes what duty?)

Difficulty: hard

Standard: CEA Section 4s(h)(4); CFTC Business Conduct Standards for SDs with Special Entities; Investment Advisers Act Section 206 fiduciary duty; CFTC institutional suitability safe harbor limitations

Source: 19_CFTC_Guidance

Fact Pattern

Westbrook Capital Advisors, LLC is a dually registered entity operating as both an SEC-registered investment adviser and a CFTC-registered swap dealer. In March 2024, the firm's investment advisory division began managing a discretionary portfolio for Greenfield Municipal Pension Fund, a governmental pension plan with \$180 million in assets. The pension fund's investment policy statement specified moderate risk tolerance, a 7% return target, and explicitly prohibited speculative derivatives positions.

In June 2024, Marcus Chen, a relationship manager in Westbrook's swap dealer division, learned from internal systems that Greenfield was an advisory client. Seeing an opportunity, Chen contacted Janet Morrison, the pension fund's chief investment officer, directly--bypassing the advisory team--to recommend a complex variance swap tied to equity index volatility. Chen pitched the swap as a 'portfolio hedge' that could generate premium income of approximately \$2.4 million annually. The variance swap had unlimited downside exposure if realized volatility exceeded implied volatility significantly.

Chen verified Greenfield's status as an ECP and Special Entity under CFTC rules. He provided scenario analysis showing potential outcomes under normal market conditions but did not model extreme volatility scenarios like those seen in March 2020. Chen's written materials stated that Westbrook was 'acting as counterparty' and that Greenfield should 'exercise independent judgment.' Morrison signed the written representation without consulting the advisory team managing Greenfield's account.

The advisory team at Westbrook had no knowledge of the swap transaction until August 2024, when portfolio reconciliation revealed the position. By then, market volatility had spiked, and the variance swap showed an unrealized loss of \$8.7 million. The advisory team immediately flagged the position as inconsistent with Greenfield's IPS and outside the scope of their discretionary mandate. Greenfield's board is now alleging both the advisory and swap dealer divisions failed their respective duties.

Question

Which division of Westbrook Capital Advisors--the investment advisory side, the swap dealer side, or both--breached its suitability or fiduciary obligations to Greenfield Municipal Pension Fund, and what specific standards apply to each?

Why Adversarial

Common Wrong Answer

Item 194 of 200

ANSWER:

Topic: dual_registration_suitability_fiduciary_duty_conflict

Type: multi-party scenario (broker AND IA both involved, who owes what duty?)

Difficulty: hard

Standard: SEC Regulation Best Interest (Care Obligation, Disclosure Obligation); FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor); Investment Advisers Act Section 206 (fiduciary duty, if advisory relationship existed)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Thornton, age 67, retired from her position as a hospital administrator in March 2023 with a \$1.2 million 401(k) balance and a moderate risk tolerance. She had limited investment experience beyond target-date funds. Her neighbor recommended Derek Simmons, who was dually registered as a broker with Meridian Securities LLC (a FINRA member firm) and as an investment adviser representative with Lighthouse Wealth Advisors (a state-registered investment adviser). In their initial April 2023 meeting, Simmons presented himself generally as a 'financial advisor' without clearly distinguishing his capacities. He recommended Margaret roll her 401(k) into an IRA at Meridian Securities, explaining this would give her 'more investment options and personalized guidance.' The rollover paperwork was processed through Meridian's brokerage platform, and Simmons received a \$14,400 commission.

Following the rollover, Simmons recommended Margaret invest \$800,000 of the IRA into a portfolio of leveraged closed-end funds and non-traded REITs, products that paid Simmons additional sales commissions averaging 5.5%. He conducted this recommendation during a meeting where he also discussed ongoing advisory services available through Lighthouse Wealth Advisors, mentioning he could 'monitor her portfolio for a small annual fee.' Margaret signed new account documents at Meridian but did not sign an advisory agreement with Lighthouse.

By December 2023, Margaret's portfolio had declined 34% due to the concentrated positions in illiquid, high-risk products. She filed complaints against both Meridian Securities and Lighthouse Wealth Advisors, alleging unsuitable investment recommendations and breach of fiduciary duty. Simmons's defense was that he acted solely in his brokerage capacity when making the investment recommendations, and therefore only FINRA's suitability standard applied, not any fiduciary duty. He produced documentation showing Margaret had signed brokerage account documents, not an investment advisory agreement with Lighthouse.

Question

Under these circumstances, what standards of care did Derek Simmons owe Margaret Thornton with respect to the rollover recommendation and the subsequent investment recommendations, and did his conduct violate those standards?

Why Adversarial

Common Wrong Answer

Item 195 of 200

ANSWER:

Topic: institutional_versus_retail_suitability_standard_application

Type: edge case customer profile (institutional? retail? which standard applies?)

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2111.07 (Institutional Suitability); FINRA Rule 2010 (Standards of Commercial Honor)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Horizon Wealth Advisors, a FINRA member firm, services Clearwater Community Foundation, a 501(c)(3) charitable organization with \$18 million in assets under management. The Foundation's investment committee consists of five volunteer board members, including a retired dentist, a local business owner, two attorneys (neither specializing in securities law), and a former high school principal. The Foundation's charter restricts investments to those rated investment-grade and prohibits derivatives.

On March 15, 2023, registered representative Derek Paulson recommended that Clearwater allocate \$4.2 million to a structured note linked to the performance of a basket of emerging market currencies, featuring a 14% coupon but with principal at risk if the basket declined more than 20%. Paulson's recommendation was based solely on a 45-minute presentation to the investment committee, during which he described the product as 'enhanced yield with modest risk.' He provided no written materials beyond the term sheet and did not assess whether any committee member understood currency exposure, structured product mechanics, or the issuer's credit risk.

The Foundation's investment policy statement, last updated in 2019, designated the organization as a 'qualified institutional buyer' based on its asset level, and authorized the committee to make investment decisions. However, the IPS also stated the Foundation sought 'preservation of capital with modest growth' and had a 'low tolerance for speculative instruments.' Paulson relied on the QIB designation to avoid conducting a detailed customer-specific suitability analysis. By October 2023, the emerging market currency basket had declined 28%, resulting in a total loss of the \$4.2 million principal. The Foundation filed a FINRA arbitration claim alleging unsuitable recommendations.

Question

Did Horizon Wealth Advisors and Derek Paulson satisfy their suitability obligations under FINRA Rule 2111 by relying on Clearwater Community Foundation's self-designation as a qualified institutional buyer, or were they required to apply retail customer suitability standards given the specific circumstances?

Why Adversarial

Common Wrong Answer

Item 196 of 200

ANSWER:

Topic: variable_annuity_exchange_suitability_regulatory_conflict

Type: rule conflict (Reg BI vs. state fiduciary standard disagree)

Difficulty: hard

Standard: SEC Regulation BI Rule 15l-1 Care Obligation; FINRA Rules 2330(b)(1)(A), 2111, 3110, and 2010; Nevada Revised Statutes Chapter 688A (Annuity Suitability); NAIC Suitability in Annuity Transactions Model Regulation

Source: 03_FINRA_AWC

Fact Pattern

Margaret Chen, age 67, is a retired schoolteacher residing in Nevada with \$485,000 in retirement savings. In March 2023, she met with Bradley Simmons, a registered representative of Heartland Securities Group, a dual-registered broker-dealer and investment adviser. Margaret held an existing deferred variable annuity purchased in 2018 with a current surrender value of \$312,000, containing a guaranteed lifetime withdrawal benefit rider. The annuity had a remaining surrender period of three years with a 4% surrender charge.

Simmons recommended that Margaret exchange her existing variable annuity for a new L-share variable annuity product from a different issuer, citing lower ongoing mortality and expense charges (1.15% vs. 1.45%) and a newer guaranteed withdrawal benefit with a 5.5% payout rate versus her current 5% rate. The new product had a shorter 4-year surrender period but included a 1.25% annual charge for the enhanced rider. Margaret's investment profile indicated moderate risk tolerance, a 15-year time horizon, and income generation as her primary objective.

Simmons documented that the exchange satisfied FINRA Rule 2330's suitability requirements, noting the improved income guarantees and lower base M&E charges. However, his analysis did not account for the fact that Margaret would forfeit approximately \$12,480 in surrender charges on the existing annuity, lose a stepped-up death benefit of \$28,000 accumulated on the old contract, and incur a new surrender period. Nevada had recently adopted a best-interest standard for annuity recommendations that explicitly requires the recommendation to be in the consumer's 'best interest' considering reasonably available alternatives, including retention of the existing product.

Heartland's compliance department approved the exchange based on FINRA Rule 2330 documentation, but the Nevada Division of Insurance subsequently opened an investigation asserting that the transaction violated Nevada's annuity suitability regulation, which imposes a fiduciary-like standard stricter than Reg BI's care obligation.

Question

Did Simmons' variable annuity exchange recommendation comply with applicable regulatory standards, and how should the conflict between federal Reg BI requirements and Nevada's state fiduciary standard be resolved?

Why Adversarial

Common Wrong Answer

Item 197 of 200

ANSWER:

Topic: suitability_product_scope_ambiguity

Type: product ambiguity (is this recommendation subject to suitability at all?)

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Regulatory Notice 11-02 (definition of recommendation); FINRA Rule 2010 (Standards of Commercial Honor)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Holloway, age 58, has been a client of registered representative Daniel Fitch at Meridian Securities, LLC since 2018. In March 2024, Margaret inherited \$875,000 from her late sister's estate, which was deposited directly into her existing brokerage account. Her documented investment profile indicates moderate risk tolerance, a 10-year investment horizon until retirement, annual income of \$92,000, liquid net worth of \$1.4 million (post-inheritance), and primary objectives of capital preservation and income generation.

During an April 2024 meeting, Margaret expressed uncertainty about what to do with the inherited funds. Daniel discussed several options, including municipal bonds, dividend-paying stocks, and target-date funds. Margaret mentioned she had been reading about Treasury I-Bonds and asked Daniel whether she should purchase them. Daniel explained that I-Bonds are purchased directly through TreasuryDirect.gov, that Meridian could not execute such purchases, and that the annual purchase limit is \$10,000 per person. He confirmed that I-Bonds offer inflation protection and are backed by the U.S. government.

Margaret asked Daniel directly: 'Based on my situation, do you think I should buy \$10,000 in I-Bonds?' Daniel responded, 'Given your focus on preservation and the current inflation environment, I think that makes sense as part of your overall allocation.' Margaret subsequently purchased \$10,000 in I-Bonds through TreasuryDirect on her own. Six months later, when inflation dropped and I-Bond rates declined significantly, Margaret filed a complaint alleging that Daniel's recommendation was unsuitable because the funds would be locked up for a year and she might need liquidity. Meridian's compliance department must determine whether Daniel's statement constituted a 'recommendation' subject to FINRA Rule 2111 suitability requirements.

Question

Did Daniel Fitch's statement that I-Bonds 'make sense' for Margaret constitute a recommendation subject to FINRA Rule 2111 suitability obligations, given that the product cannot be purchased or held through the broker-dealer and was executed entirely outside the firm's platform?

Why Adversarial

Common Wrong Answer

Item 198 of 200

ANSWER:

Topic: reg_bi_transition_suitability_best_interest

Type: temporal trap (rule changed mid-period, which version applies?)

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2010; SEC Regulation Best Interest (Rule 15l-1) effective date analysis

Source: 03_FINRA_AWC

Fact Pattern

Margaret Thornton, age 67, retired from her position as a school administrator in April 2020 with a \$485,000 403(b) account. She had a moderate risk tolerance, needed income to supplement her pension, and had limited investment experience beyond target-date funds. On May 15, 2020, her broker at Keystone Securities LLC, David Holt, recommended she roll over her 403(b) into an IRA at Keystone and invest 70% of the proceeds in a portfolio of individual stocks and a leveraged ETF tracking the technology sector. Holt explained that 'the market dip creates a buying opportunity' and that the leveraged ETF would 'supercharge her recovery gains.' He completed a brief suitability analysis noting her moderate risk tolerance but did not document any consideration of reasonably available alternatives to the rollover or the specific costs compared to staying in her 403(b) plan.

The recommendation was made during an in-person meeting on May 15, 2020, and Margaret signed the IRA paperwork that same day. The rollover was processed on May 22, 2020, and the investments were purchased on May 26, 2020. By October 2020, the leveraged ETF had declined 35% due to volatility decay, and Margaret's overall portfolio was down 22%.

During a subsequent FINRA examination, the examiner noted that Regulation Best Interest became effective on June 30, 2020. Holt's supervisor argued that because the recommendation was made in May 2020, only the legacy FINRA Rule 2111 suitability standard applied. The examiner disagreed, noting the trades were executed after June 30, 2020. The firm's compliance records show the rollover recommendation was documented on May 15, 2020, but the leveraged ETF purchase occurred on May 26, 2020.

Keystone's WSPs in effect in May 2020 referenced only FINRA Rule 2111 and did not address Regulation BI requirements. The firm updated its procedures effective July 1, 2020.

Question

Which regulatory standard--FINRA Rule 2111 (suitability) or SEC Regulation Best Interest--applies to David Holt's recommendations to Margaret Thornton, and did his conduct comply with the applicable standard(s)?

Why Adversarial

Common Wrong Answer

Item 199 of 200

ANSWER:

Topic: robo_adviser_ai_recommendation_fiduciary_suitability

Type: novel fact pattern (robo-adviser, crypto, AI-generated recommendation)

Difficulty: hard

Standard: 12 CFR Part 9 (OCC fiduciary activities regulation); 12 CFR 9.5 (policies and procedures); 12 CFR 9.6(a) (administration according to instrument terms); 12 U.S.C. §92a (national bank trust powers); Uniform Prudent Investor Act §§2, 3, 9

Source: 18_OCC_Bank_Trust_Guidance

Fact Pattern

Heartland National Bank operates a trust department serving approximately 4,200 accounts with \$1.8 billion in assets under management. In March 2023, the bank implemented 'TrustAI Advisor,' an algorithmic investment management system for discretionary trust accounts. The system uses machine learning to generate portfolio recommendations based on account documentation, including trust instruments, beneficiary information, and stated investment objectives uploaded during account onboarding.

Margaret Bellweather, age 78, established an irrevocable charitable remainder unitrust (CRUT) in September 2023 with the bank as trustee, funding it with \$2.4 million from the sale of her deceased husband's business. The trust instrument explicitly states that the trust corpus must be invested to provide Margaret with stable quarterly income of approximately 5% annually, with the remainder passing to the Bellweather Family Foundation upon her death. The document specifically prohibits 'speculative investments' and requires preservation of principal as a secondary objective.

The trust officer, James Whitfield, uploaded the trust documents into TrustAI Advisor but did not manually review the system's classification of the account. The algorithm, trained primarily on accumulation-focused portfolios, categorized the account as 'Growth-Moderate' based on the 20-year actuarial life expectancy it calculated for Margaret and the charitable remainder structure. TrustAI Advisor then automatically executed trades allocating 35% to small-cap growth equities, 15% to emerging market funds, and 12% to a tokenized real estate investment platform that the bank had recently added to its approved product list.

Within six months, the portfolio declined 23%, and quarterly distributions to Margaret dropped to \$21,400 from the expected \$30,000. When Margaret's attorney contacted the bank, Whitfield defended the allocation by citing the algorithm's sophisticated analysis and the long-term growth potential appropriate for the trust's multi-decade horizon. The bank's fiduciary committee had approved TrustAI Advisor for trust account management but had not established specific override protocols for accounts with explicit investment restrictions in governing documents.

Question

Under the standards governing national bank fiduciary activities, did Heartland National Bank breach its fiduciary duties by relying on TrustAI Advisor's algorithmic recommendations without ensuring the system properly accounted for the specific investment restrictions and income requirements in the Bellweather trust instrument?

Why Adversarial

Common Wrong Answer

Item 200 of 200

ANSWER:

Topic: robo_adviser_ai_recommendation_fiduciary_duty

Type: novel fact pattern (robo-adviser, crypto, AI-generated recommendation)

Difficulty: hard

Standard: Investment Advisers Act Sections 206(1), 206(2); SEC Fiduciary Interpretation (Commission Interpretation Regarding Standard of Conduct for Investment Advisers); Advisers Act Rule 206(4)-7 (compliance policies and procedures)

Source: 01_SEC_Guidance_NoAction_Interpretive

Fact Pattern

QuantumWealth Advisors LLC is a registered investment adviser that launched an AI-powered robo-advisory platform called 'AdaptivePort' in March 2024. The platform uses machine learning algorithms to generate personalized portfolio recommendations based on client questionnaires. Margaret Chen, age 67, is a retired schoolteacher who completed AdaptivePort's onboarding questionnaire in April 2024. She indicated she has \$485,000 in retirement savings (her entire liquid net worth), a risk tolerance of 'moderate,' an investment horizon of '10-15 years,' and her primary goal is 'capital preservation with modest growth to supplement pension income.'

AdaptivePort's algorithm analyzed Margaret's responses but also incorporated third-party behavioral data suggesting clients with similar demographic profiles often 'understate' their risk tolerance. The algorithm autonomously adjusted Margaret's risk profile upward and recommended a portfolio containing 35% allocation to leveraged ETFs tracking emerging market indices, 25% to a private credit fund with a 5-year lockup period, and 15% to a tokenized real estate investment product offered through a blockchain platform. The remaining 25% was allocated to investment-grade bonds.

QuantumWealth's disclosures stated that 'AI recommendations are generated using advanced algorithms that may consider factors beyond client questionnaire responses to optimize outcomes.' The firm's compliance manual specified that human advisers would conduct 'periodic reviews' of AI-generated recommendations but did not require pre-implementation review. Margaret's portfolio was implemented automatically upon her electronic acceptance of the recommendation.

Within eight months, Margaret's portfolio lost 38% of its value due to emerging market volatility affecting the leveraged ETFs. She discovered she could not access the private credit fund allocation and was confused by the blockchain-based custody of her tokenized real estate holdings. Margaret had never been contacted by a human adviser before or after implementation.

Question

Did QuantumWealth Advisors satisfy its fiduciary duty of care under Advisers Act Section 206 when its AI algorithm overrode Margaret's stated risk tolerance and recommended complex products without human adviser review prior to implementation?

Why Adversarial

Common Wrong Answer
